

ANNUAL REPORT
2022

ANNUAL REPORT 2022

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<https://cnpd.public.lu/fr/publications/rapports.html>

ANNUAL REPORT 2022 CNPD

INTRODUCTION

The National Commission for Data Protection

(CNPD) is an independent public institution with legal personality. It enjoys financial and administrative autonomy.

It is responsible for verifying the legality of files and all collections, uses, and transmissions of information concerning identifiable individuals and must ensure, in this context, respect for the fundamental freedoms and rights of natural persons, particularly their privacy.

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It must in particular monitor and verify whether the data subject to processing is processed in compliance with the provisions:

- of the General Data Protection Regulation;
- of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection;
- of the law of August 1, 2018, relating to the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security;
- of the amended law of May 30, 2005, on the protection of privacy in the electronic communications sector;
- of legal texts providing for specific provisions regarding the protection of personal data.

It is not competent to monitor the processing operations of personal data carried out by the judicial authorities, including the public prosecutor's office, and the administrative authorities in the exercise of their judicial functions. This mission falls to the authority responsible for the monitoring of judicial data protection.

ANNUAL REPORT 2022 CNPD

INTRODUCTION

MISSIONS

The CNPD aims to protect the privacy of citizens and ensure compliance with data protection legislation, which assigns it the following missions:

INFORM AND GUIDE THROUGH:

- public awareness to promote understanding of the risks, rules, safeguards, and rights related to processing;
- raising awareness among data controllers and processors regarding their obligations.

ADVISE THROUGH:

- opinions on draft laws and regulatory or administrative measures concerning the processing of personal data;
- suggestions and recommendations addressed to the government, particularly regarding relevant developments, insofar as they impact the protection of personal data, especially in the field of information and communication technologies and business practices;
- the promotion of best practices and the publication of thematic guidelines;
- the promotion of codes of conduct, certification schemes, and the accreditation of certification bodies;
- recommendations to data controllers in accordance with the prior consultation procedure.

SUPERVISE AND ENSURE TRANSPARENCY THROUGH:

- on-site visits regarding data protection following complaints or on its own initiative;
- audits concerning data protection following complaints or on its own initiative;
- intervention following data breaches;
- maintaining internal records of breaches under the General Data Protection Regulation (GDPR);
- establishing and maintaining a list related to the obligation to conduct a data protection impact assessment;

- approval of binding corporate rules;
- reviewing certifications and monitoring certifiers;
- adopting corrective measures (e.g., warning, prohibition of processing, or administrative fine).

COOPERATE THROUGH:

- exchanges with other national or foreign supervisory authorities;
- contributing to the activities of the European Data Protection Board.

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VALUES

The CNPD independently carries out the missions assigned to it. It determines its own priorities within the limits of its legal framework. It chooses its priorities based on criteria such as the severity and scope of potential violations of the law and the potential number of individuals affected.

Expertise is very important for the CNPD, which is dedicated to quality work. To this end, the CNPD strives to work with interdisciplinary teams and invests in the continuous development of its agents to enhance their knowledge and skills.

The CNPD ensures transparency regarding its results and choices, which generates support for its work and invites dialogue. The CNPD is open, integral, and visible. It promotes a positive and respectful atmosphere.

The CNPD is proud to work for the protection of a fundamental right. It demonstrates its commitment to its work and its personnel and constitutes a full-fledged actor in the Luxembourg socio-economic environment.

ANNUAL REPORT 2022 CNPD

FOREWORD

The board: Alain Herrmann, Thierry Lallemand, Tine A. Larsen, and Marc Lemmer.

2022 was a memorable year for the CNPD, marked by its 20th anniversary. Twenty years during which the CNPD has grown, evolved, faced challenges, and established its expertise in the field of personal data protection, both nationally and internationally. We celebrated this milestone on December 1, 2022, at the Maison du Savoir in Esch-Belval, in the presence of Mr. Prime Minister and Minister of Communications and Media Xavier Bettel, Ms. Minister of the Interior and Minister for Gender Equality Taina Bofferding, Ms. Andrea Jelinek, Chair of the European Data Protection Board, and numerous representatives from public institutions. It was a moment to reflect on the key moments of the National Commission, particularly its creation by the law of 2002 and the transformation of its role with the implementation of the General Data Protection Regulation (GDPR) in 2018. And of course, we...

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are also looking towards the future,
with all the changes and challenges it
will bring.

Return to the new post-pandemic normal

The concerning challenge that the CNPD faced, like the rest of society, in recent years and up to 2022, was the Covid-19 pandemic. Continuing from the year 2021, the beginning of 2022 was marked by a significant number of questions regarding the processing of personal data related to the management of the Covid-19 pandemic, particularly around "CovidCheck" in the professional context. Other requests received from employers and employees concerned workplace monitoring, including

cyber surveillance, management of IT tools, and video surveillance. And just like in previous years, requests for information on data protection rights (right of access, right to erasure, etc.) continued to be on the agenda. The public interest regarding the protection of personal data, illustrated by the flow of information requests, shows that the GDPR – and the rights and obligations arising from it – are increasingly embedded in the minds of the population. This increased awareness of the existing regulation is also reflected in the number of complaints and notifications of data breaches received by the CNPD.

In 2022, 482 complaints were filed with the CNPD, with motivations ranging from unfulfilled requests for erasure or rectification to non-compliance with the right of access and contested legality of processing. The 354 breaches reported in 2022 mainly concerned the disclosure of personal data to the wrong person and hacking.

In terms of transparency towards the data subjects, there is still room for improvement. All 24 decisions adopted by the CNPD in 2022 following investigations concluded that the individuals concerned had not been informed of the processing of their data in a concise, transparent, understandable, easily accessible manner, and in clear and simple terms. Other issues raised during the investigations regarding the use of video surveillance and geolocation systems concerned data minimization, limitation of access to data, and data retention.

6 decisions were made as part of the thematic investigation campaign on transparency within the e-commerce sector. The CNPD, a pioneer in certification

In addition to our anniversary, the year 2022 marked another pivotal moment for the CNPD: the launch of the "GDPR-CARPA" certification scheme on May 13, 2022.

This is the first certification scheme under the GDPR at the national and European level. GDPR-CARPA provides an opportunity for businesses, administrations, associations, and other entities established in Luxembourg to

demonstrate that their personal data processing operations comply with the GDPR. In October 2022, the first certification body in Luxembourg and Europe was approved by the CNPD to carry out GDPR certifications based on the GDPR-CARPA certification mechanism. In the same month, the European Data Protection Board (EDPB) approved the Europrivacy scheme, the first "European data protection label" valid in all Member States. As the competent authority, the CNPD was responsible for submitting the certification criteria for the Europrivacy scheme, which is managed by the European Center for Certification and Privacy (ECCP) in Luxembourg. Such certification schemes promote transparency and compliance with the GDPR and allow data subjects to better assess the level of data protection offered by certified operations. Inform, educate, advise

After 2 and a half years of pandemic, the CNPD was able to resume its awareness-raising activities in person in 2022.

As part of Data Protection Day, the National Commission organized a conference titled "Cookies: I care about my privacy or I have nothing to hide?", exploring how cookies enable tracking and targeted advertising and how misleading design and non-transparent information promote their acceptance. The CNPD took the opportunity to present its guidelines on the subject, which also served as the basis for a practical fact sheet targeting the general public.

Throughout the year, the CNPD participated in a multitude of events as a speaker or panel member, including the "Data Privacy Day" conference organized by the Restena Foundation and the University of Luxembourg, the "Symposium on Cybersecurity and Data Protection in Humanitarian Action" (organized by the International Committee of the Red Cross), the Max Planck Institute conference on the private and public enforcement of EU economic law, the 44th Global Privacy Assembly conference in Istanbul, and the "Privacy Symposium Conference" in Venice.

These events provided excellent

opportunities for exchanging views on current topics and sharing knowledge ranging from emerging technologies to regulatory challenges in data protection within the humanitarian sector.

Furthermore, training activities aimed at raising awareness of data protection among various audiences are a priority for the CNPD. National Commission agents provided courses as part of a new

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training program in the field of cybersecurity for higher vocational education at the BTS level, offered by Lycée Guillaume Kroll. As part of the Digital Learning Hub (DLH), the CNPD has provided introductory training on data protection and the GDPR. In addition, a new training pathway for introducing personal data protection based on the needs of public service agents has been developed in cooperation with the Government Commissioner for Data Protection (CGPD) and the National Institute of Public Administration (INAP).

At the governmental level, the CNPD shares its expertise by attending consultative meetings on data protection as well as issuing opinions on relevant draft laws or regulatory measures. The 32 opinions published by the National Commission in 2022 concerned, among others, the protection of whistleblowers, affordable housing, the organization of the electricity and gas market, and the State Intelligence Service. At the communal level, the CNPD conducted in 2022 an information campaign advising communal administrations of their obligation to appoint a data protection officer.

Cooperation at the European Level

The GDPR establishes a unique data protection regime within the European Union. However, differences in the application and interpretation of the regulation remain at the national levels.

This is why the EDPB addressed this issue during a meeting in Vienna in April 2022.

In fact, the members of the EDPB agreed to strengthen cooperation on strategic files, diversify the range of cooperation methods used, and

exchange information on national strategies for enforcing legislation. Harmonious cooperation at the European level is all the more important in light of upcoming new regulations. As a data protection authority within the European Union, the CNPD is directly interested in ongoing European legislative work that may impact its competences and missions.

The retrospective of the year 2022 illustrates once again that without renouncing its values, the CNPD adapts to a changing environment, marked by the emergence of new technologies, new uses, and new expectations from its audiences. These changes present opportunities to develop new skills and know-how, serving a society in which the protection of the right to privacy, public service, innovation, and economic development coexist in a harmonious and balanced manner.

Tine A. Larsen
President

ANNUAL REPORT 2022 CNPD
A YEAR IN NUMBERS
AWARENESS, GUIDANCE, AND ADVICE
32

OPINIONS

compared to 33 in 2021
589

WRITTEN INQUIRIES

compared to 618 in 2021

related to draft laws or regulatory measures, including opinions on laws related to:

- the protection of whistleblowers;
- affordable housing;
- the criminal justice chain, known as "JU-CHA";
- the e-Wallet (identity card + permit);
- the organization of the electricity and gas market;
- the National Automobile Traffic Company;
- individual housing assistance;
- the State Intelligence Service.

The 3 main categories of inquiries concern:

- the Covid-19 pandemic (contact tracing, temperature checks, remote work, homeschooling, etc.);
- workplace surveillance;
- the rights of data subjects (right

of access, right to erasure, etc.).

25

TRAININGS AND CONFERENCES

compared to 13 in 2021

Number of awareness events that the CNPD organized or in which it participated as a speaker.

12 13

3

COMPLIANCE AND CONTROL

482

COMPLAINTS

compared to 512 in 2021

354

DATA BREACH NOTIFICATIONS

compared to 333 in 2021

Main reasons:

1. request for erasure or rectification not complied with (21%);
2. non-compliance with the right of access (15%);
3. lawfulness of processing (15%).

Main cause: human error (63%).

Nature of incidents:

1. personal data sent to the wrong recipient (28%);
2. hacking (18%);
3. disclosure of personal data to the wrong person (18%).

More than half of the incidents are detected within 5 days of their occurrence.

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INVESTIGATIONS

- Open audits as part of investigations regarding the appointment of a data protection officer against 6 communal administrations.
- On-site visits as part of the analysis of compliance with the GDPR of surveillance systems in a private establishment and in a school.

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A YEAR IN NUMBERS

DECISIONS

24

DECISIONS MADE BY THE RESTRICTED FORMATION

€48,375

IN ADMINISTRATIVE FINES

- 3 decisions closed without identified breaches
- 21 decisions with corrective measures, including 20 with fines
- only national cases

HUMAN RESOURCES

58

COLLABORATORS

compared to 53 in 2021

38.3 years: average age

4 years: average seniority

14 15

3

EDPB (EUROPEAN DATA PROTECTION BOARD)

15

PLENARY MEETINGS

118

WORKING GROUP MEETINGS

8

NEW GUIDELINES

4

PROJECTS FOR WHICH THE CNPD

ASSUMED THE ROLE OF REPORTER

OR CO-REPORTER

ANNUAL REPORT 2022 CNPD

ACTIVITIES IN 2022

ACTIVITIES UNDER THE GENERAL DATA PROTECTION REGULATION

1 AWARENESS RAISING

Informing citizens as well as data controllers and processors is a priority for the CNPD to make them aware of each party's respective rights and obligations. It conducts awareness-raising activities, informs the public through its website regarding personal data protection, and organizes or participates in training sessions and conferences.

Due to the pandemic, part of the training courses traditionally held in person was transformed into online courses, and other parts were pre-recorded for dissemination on learning platforms.

THE CNPD CELEBRATES ITS 20TH ANNIVERSARY

On December 1, 2022, the CNPD celebrated its 20th anniversary at the Maison du Savoir in Esch-Belval, in the presence of Mr. Prime Minister and Minister of Communications and Media Xavier Bettel, Ms. Minister of the Interior and Minister for Equality between Women and Men Taina Bofferding, Ms. Andrea Jelinek, Chair of the European Data Protection Board, and numerous representatives from public institutions.

In her speech on this occasion, Ms. Tine A. Larsen, Chair of the CNPD, reflected on the key moments of the National Commission, notably its creation by the law of 2002 and the transformation of its role with the implementation of the General Data Protection Regulation (GDPR) in 2018. The Chair also looked to the future: "In the coming decades, we will undoubtedly continue to change, grow, transform, and learn new lessons. But our main mission will remain the same: we will continue to protect your fundamental right to privacy as long as we exist." The speech was accompanied by a video recounting the history of the CNPD. The Chair thanked those who have supported the National Commission throughout the last two decades, the government for its continued support, and the CNPD staff for their quality work.

Then, the Prime Minister took the floor. Mr. Bettel highlighted the evolution of the technology that surrounds us increasingly, as well as the growing importance of data protection. "The National Commission for Data Protection is the guardian of one of our most fundamental rights: the protection of our privacy," noted Mr. Bettel. He mentioned the challenges posed by the rapid pace of technological changes for legislators and the necessity to combine innovation with data protection.

The Prime Minister's speech was followed by a speech from Ms. Andrea Jelinek, Chair of the European Data Protection Board (EDPB). Ms. Jelinek addressed the role of the EDPB and supervisory

authorities as well as the impact of the GDPR on privacy and data protection in Europe and internationally. She also commented on upcoming challenges, including the integration of new digital market regulations, the clear distribution of competencies among regulators, and effective cooperation within the European Union.

Prof. Dr. Jacques Folon, a professor at ICHEC Brussels and Rennes School of Business, then gave a presentation titled "The GDPR, Risk or Opportunity for Innovative Organizations?" Prof. Dr. Folon explained the complexities of the General Data Protection Regulation in the era of "big data," particularly for startups. He emphasized the challenge posed by the exponential progress of new technologies such as artificial intelligence or blockchain in terms of data protection. His presentation demonstrated why the GDPR, while an asset that builds consumer trust, should not hinder innovation in Europe. Prof. Dr. Folon concluded by stressing the need to reconcile the GDPR with technological progress and to continue raising awareness among entrepreneurs and the general public about cybersecurity and personal data protection.

ANNUAL REPORT 2022 CNPD ACTIVITIES IN 2022

- 262 opinions on projects or proposals for laws or regulatory measures (since 2002)
- 7,127 written inquiries received from private and public actors (since 2002)
- 3,804 complaints from citizens (since 2002)
- 1,471 notifications of data breaches received from organizations (since 2018)
- More than 42,000 data processing activities declared by companies or public organizations (under the previous legal regime between 2002 and 2018)
- 49 decisions made following investigations (in 2021)
- €746,319,500 in administrative fines (in 2021)
- 58 staff members spread across 6 departments: awareness, guidance, compliance, complaints, investigations, and administration. Additionally, the 4 commissioners are assisted by the secretaries of the college, the data protection officer, and the officer for European and international relations.

From left to right: Anne-Catherine Ries, Jacques Folon, Andrea Jelinek, Xavier Bettel, Tine A. Larsen, Taina Bofferding, Thierry Lallemand, Marc Lemmer, Alain Herrmann

SOME KEY FIGURES DOCUMENTING THE 20 YEARS OF THE CNPD ANNUAL REPORT 2022 CNPD ACTIVITIES IN 2022

JANUARY 28, 2022:

16TH INTERNATIONAL DATA PROTECTION DAY

The "International Data Protection Day," an initiative of the Council of Europe and the European Commission, has been celebrated on January 28 each year since 2006. The aim is to raise awareness among citizens about the importance of protecting their personal data and respecting their fundamental freedoms and rights, particularly their privacy.

Conference "Cookies: I Care About My Privacy or I Have Nothing to Hide?"

On April 26, 2022, the CNPD organized a conference to understand how cookies enable tracking and targeted advertising and how misleading design and non-transparent information promote their acceptance.

Postponed due to the health situation, the event was originally scheduled to take place on January 28, 2022, in conjunction with International Data Protection Day.

The welcome address by Mr. Marc Lemmer, Commissioner of the CNPD, was followed by presentations from experts in the field. In his presentation "Cookies: Myths and Realities," Mr. Alain Herrmann, Commissioner of the CNPD, demonstrated how third-party cookies allow tracking a user from one site to another, measuring user behavior following an advertisement exposure, and enriching databases with various user behaviors. He illustrated the potential dangers of cookie abuse with the example of Cambridge Analytica.

"These cookies harm privacy!" was the title of the presentation by Dr. Arianna Rossi, researcher at the Interdisciplinary Center for Security, Reliability and Trust (SnT) at the University of Luxembourg, and

Dr. Kerstin Bongard-Blanchy, lecturer-researcher at the University of Luxembourg within the Human-Computer Interaction group. They explained the issue of dark patterns, misleading interfaces that hide behind cookie banners and guide individuals towards a desired action, such as consenting to the processing of personal data.

Messrs. Jérôme Comodi and Vincent Legeleux, agents of the CNPD, then addressed the applicable rules regarding cookies and other trackers during their presentation of the CNPD guidelines. Their intervention detailed the European and national legal context before illustrating users' rights concerning cookies with concrete examples. The presentations were followed by a question-and-answer session led by Ms. Roberta Oertel, head of the Awareness Service of the CNPD and moderator of the conference.

Data Privacy Day: "Explore the Shifting Landscape of European Data Protection"

As part of International Data Protection Day, the CNPD also participated, represented by Ms. Roberta Oertel, in Data Privacy Day, organized by the Restena Foundation and the University of Luxembourg, with a presentation titled "Updates from the CNPD."

Data Privacy Day is an annual event for individuals interested in data protection and privacy, aimed at raising awareness and promoting best practices in this area at both European and international levels. The theme for 2022 was "Explore the Shifting Landscape of European Data Protection."

Cybersecurity Breakfast: "Data Protection - Why It Is So Relevant Today More Than Ever"

On January 20, 2022, the CNPD participated in a roundtable at the Cybersecurity Breakfast titled "CSB #51: Data Protection - Why It Is So Relevant Today More Than Ever," organized by SECURITYMADEIN.LU. The podcast of this event was published on the occasion of International Data Protection Day.

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ACTIVITIES IN 2022

MR. LEGELEUX, CAN YOU EXPLAIN WHAT COOKIES ARE?

A cookie is a file that is stored on your computing device to identify you. It allows online services to retain certain information such as user preferences.

Cookies can be classified into two main categories: essential cookies and non-essential cookies.

Essential cookies are necessary for the operation...

VINCENT LEGELEUX

IT Expert, Legal and Technological Monitoring

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of a website or an application, ensuring, for example, the execution of functionalities expressly requested by the user or the establishment of communication between the organization and the internet user. These cookies are exempt from the user's consent.

As their name indicates, non-essential cookies are not indispensable for the proper functioning of a website or an application. Often installed by third parties such as advertising market players, they serve purposes of analysis, marketing, or tracking.

It should be noted that the term "cookies" also refers to any other technology used to trace, profile, and target individuals.

WHAT ARE THE APPLICABLE RULES REGARDING COOKIES AND OTHER TRACKERS?

There are many, but two key legislations must be mentioned. The first is the ePrivacy Directive, which stipulates that internet users must be informed and give their consent prior to the placement and reading of non-essential cookies.

The second is the General Data Protection Regulation (GDPR): it requires that processing is based on one of the legal bases provided by the regulation (principle of lawfulness) and that the data subjects are informed in a concise, transparent, comprehensible, and easily accessible manner about the specifics of data processing.

Furthermore, the provisions of Article 7 of the GDPR prescribe that the data controller must be able to demonstrate that the data subject has given their consent and that it must be as easy for the data

subject to withdraw their consent as it is to give it.

Under national legislation, the CNPD is not competent to impose fines or corrective measures in case of non-compliance with the ePrivacy Directive; however, it can order corrective measures or impose fines on organizations whose data processing is not compliant with the GDPR.

HAS THE CNPD BEEN ABLE TO DETECT CASES OF NON-COMPLIANCE ON THESE POINTS?

Yes. In 2022, the CNPD conducted investigations related to the principle of transparency in the online services sector.

These investigations concerned, among other things, how companies informed visitors to their websites about the use of cookies. The violations identified ranged from insufficient information provided to data subjects regarding the use of trackers and the retention periods of their data obtained through these trackers, to non-compliance with the principle of accessibility of information and consent at the cookie level, to the failure to inform data subjects about the existence of a social plugin allowing for the profiling of internet users.

The decisions made at the end of the investigations indicated corrective measures that companies needed to take to rectify the reported shortcomings, as well as administrative fines.

IS THERE A WAY TO MINIMIZE THIS TYPE OF VIOLATIONS?

The CNPD places great emphasis on raising awareness among professional stakeholders and individuals.

Following the publication in 2021 of our guidance on cookies and other trackers, we published a practical sheet on the subject for the general public and operators of websites and applications on the occasion of "Data Privacy Day" on January 28, 2022. The sheet recalls the applicable rules and presents good practices in this area.

The CNPD also organized a conference in April 2022 titled "Cookies: I care about my privacy or I have nothing to hide?". Featuring presentations from experts from the CNPD as well as the University of Luxembourg, the conference clarified how cookies enable tracking and advertising targeting and how misleading design and non-transparent information promote their acceptance.

THE CNPD IS ALSO PART OF THE EDPB "COOKIE BANNER TASKFORCE." HOW WOULD YOU DESCRIBE THIS WORKING GROUP?

The "Cookie banner taskforce" was created in 2021 to coordinate the response to a complaint campaign launched by the association "None Of Your Business" (NOYB). Indeed, between May 2021 and August 2022, 18 data protection authorities from the European Economic Area (EEA) were seized by NOYB with several hundred complaints regarding the design and characteristics of cookie banners. The working group aims to promote cooperation, information sharing, and best practices among supervisory authorities. In particular, the members of the group exchange views on legal analysis and potential enforcement actions in this area, support activities taking place at different national levels, and ensure smooth communication channels.

In this context, we participated in a dozen meetings of the taskforce, reported on the follow-up of the complaints received by the CNPD, and each time shared our positions on the legal issues that arose.

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LAUNCH CONFERENCE

"GDPR CERTIFICATION IS COMING TO LUXEMBOURG"

On June 28, 2022, the CNPD organized a launch conference on the occasion of the adoption of its GDPR-CARPA certification criteria. Luxembourg thus became the first country to allow certification according to the GDPR (General Data Protection Regulation) criteria.

Mr. Alain Herrmann, Commissioner of the CNPD, first presented the framework of GDPR certification and the GDPR-CARPA tool developed by the CNPD.

This presentation was followed by testimonies from certification bodies (candidates for approval) engaged in GDPR certification (Mr. Michael Hofmann, EY Luxembourg, Head of GDPR Services, Executive Member of the Board of Managers; Mr. Shariq Arif, Grant Thornton Luxembourg, Senior Manager Advisory).

The conference was concluded with a presentation by Mr. François Thill (Ministry of the Economy) on “Digital Trust, an Essential Pillar in the Digital and Sustainable Transformation Strategy of Luxembourg and Europe.”

SYMPOSIUM ON CYBERSECURITY AND DATA PROTECTION IN HUMANITARIAN ACTION

On November 8, the “Symposium on Cybersecurity and Data Protection in Humanitarian Action” was held at the European Convention Center in Luxembourg.

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ACTIVITIES IN 2022

Approximately 120 people attended the event.

The symposium was organized by the International Committee of the Red Cross, in collaboration with the Ministry of Foreign and European Affairs (Directorate for Development Cooperation and Humanitarian Action), the CNPD, the Luxembourg House of Cybersecurity, the Luxembourg Red Cross, and the University of Luxembourg (SnT). Its objective? To bring together experts from the public, private, and humanitarian sectors, as well as from academia and civil society, to address legal, strategic, and operational issues faced by humanitarian organizations in the digital age.

Ms. Tine A. Larsen, President of the CNPD, was invited to speak at the opening session of the conference. She explained the CNPD's interest in humanitarian action, a field increasingly concerned with data protection.

Participants then discussed in 6 working groups issues related to data protection, independence, and technological and training solutions for humanitarian organizations in a digital environment. Mr. Arnaud Habran, Head of the Guidance Service at the CNPD, was the rapporteur of a working group that debated ways to ensure that international organizations have access to the necessary information while respecting data protection obligations. Mr. Alain Herrmann, Commissioner of the CNPD, chaired another working group that focused on the risks that hacking and surveillance pose to the impartiality and independence of humanitarian organizations.

CONFERENCES AND SEMINARS

In addition to the conferences organized by itself, the CNPD also participated in training sessions, conferences, and seminars to raise awareness among more informed audiences about the issues of data protection.

In 2022, it participated in the following conferences:

- “Covid-19 and Data Protection: Lessons Learned,” at the Privacy Symposium Conference in Venice;
- “Feedback on CNPD Controls,” at the “Combating Money Laundering – Compliance” conference organized by Abilways;

- “Data Sovereignty for Europa,” participation in a round table at the ICT Spring conference;
- “Introduction to Certification and Presentation of GDPR-CARPA,” at the “GDPR Certification in Luxembourg, the Right Approach to Certification” conference organized by Excellium Services;

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- “Legal, Compliance, Data Protection, IT Security: Complementarity at the service of compliance?”, a conference organized by the IAPP (International Association of Privacy Professionals);
- Round table “Changing Data Regulatory Environments – How can data regulation evolve to improve access, fairness and certainty while stimulating competitive markets? What are the challenges and opportunities of interoperability? What are the concerns around data sharing for public and private sector organisations?”, during the RAID conference “New Tech Governance for the New Globalization”;
- “Out of the shadows: CISOs & DPOs in the spotlight!”, presentation of a survey with CLUSIL and initiated by PwC Luxembourg during the PwC Cybersecurity & Privacy Day;
- “Cyber Incident Management (lessons learned)” in the context of Cybersecurity Week Luxembourg;
- “Public-private collaboration for an innovative cyber future”, round table during Cybersecurity Week Luxembourg;
- “Conference on private and public enforcement of EU economic law: competition, financial markets

and data protection – commonalities and perspectives" organized by the Max Planck Institute Luxembourg for International, European and Regulatory Procedural Law;

- "A New Decade in Information Security and Privacy: What Can We Expect?", intervention at the eighth annual Insights conference organized by the Professional Evaluation and Certification Board (PECB) in Brussels;
- "GDPR certification in Luxembourg", presentation at the "DPO Annual Conference";
- "Presentation of the CNPD and the information and awareness materials made available to the public" at the FGFC (Gewerkschaft vum Gemengepersonal);
- "Cross perspectives: Opinions of a DPO and the CNPD on data protection in Luxembourg", participation in the conference "Digital Law in Luxembourg" organized by Abilways;
- "Feedback on the controls carried out by the CNPD", presentation at the general assembly of the APDL (Association for Data Protection in Luxembourg).

TRAINING

At the beginning of 2022, the health situation began to normalize, allowing the CNPD to resume in-person training. At the same time, the CNPD continued to participate in online and hybrid learning formats to meet the growing demand for flexibility in terms of location and time.

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ACTIVITIES IN 2022

Chamber of Employees, Luxembourg Lifelong Learning Center, and Fit4Start

The CNPD led the training sessions "The legal framework for the protection of personal data and its challenges" and "Action-training: best practices for the protection of personal data" that it developed for the Chamber of Employees and the Luxembourg Lifelong Learning Center. Its training "An introduction to GDPR for startups" also made its return in 2022, being part of Fit 4 Start, an initiative by Luxinnovation that offers entrepreneurs intensive and specific support during the startup phase of their innovative business.

INAP Training Path

At the level of training for state agents, the National Commission resumed courses for B1/C1 and A1/A2 careers taught as part of the internship for trainee civil servants in collaboration with the Commission de Surveillance du Secteur Financier (CSSF).

Since 2021, the CNPD has also developed, in cooperation with the Government Commissioner for Data Protection (CGPD) and the National Institute of Public Administration (INAP), a new introductory training path on personal data protection based on the needs of public service agents. An introductory module on the GDPR in the form of asynchronous eLearning was made available on the INAP learning platform in 2022 with the aim of raising awareness among all agents about the basic principles of data protection. Furthermore, more specific training modules on certain relevant themes are being developed and will be implemented during 2023 in blended learning mode or in workshop format.

Awareness for Future IT Security Technicians

In 2022, the CNPD continued to teach courses at Lycée Guillaume Kroll as part of the BTS cybersecurity program, a new 2-year training focused on practice and professional integration. The courses consisted of 5 modules of 2 days each covering the GDPR and data breaches.

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Since 2020, the CNPD has been involved in the development of the program regarding aspects of personal data protection. The courses, conducted primarily by experts from various public and private specialized institutions, began at the start of the school year in autumn 2021, following the accreditation of the BTS by the Ministry of Higher Education and Research in June 2021.

Digital Learning Hub: An introduction to data protection and the GDPR

Finally, experts from the CNPD have led courses on the fundamentals of the GDPR and awareness in terms of cybersecurity at the Digital Learning Hub (DLH), a public learning center established in 2022 as part of the continuing professional training program of the Ministry of National Education, Childhood and Youth. The objective of this course was to communicate to participants from very diverse

professional backgrounds the key principles of data protection so that they adopt the right reflexes and ask the right questions to carry out personal data processing in compliance with the GDPR. The DLH offers continuing education in various pedagogical formats in the fields of digital coding, blockchain technology, Design Thinking, and cybersecurity.

COLLABORATIONS WITH RESEARCH AND INNOVATION ACTORS (RDI)

Digital technologies, cybersecurity, and artificial intelligence are among the main pillars of the innovation ecosystem in Luxembourg. Many private and public actors are involved in this ecosystem, conducting scientific research projects or technology transfer, or implementing commercial solutions based on innovative business models and digital technologies. It is therefore necessary for the CNPD to play an active role in this environment by observing and engaging with actors, particularly regarding large-scale national projects, to promote the development of products and services that respect personal data protection and privacy.

In 2022, the CNPD contributed to the following projects at the level of their expert committee:

- **DECEPTICON:** Interdisciplinary research project of the University of Luxembourg (SnT/IRiSC) with LIST and co-financed by the FNR (2021 - 2024) to analyze deceptive online designs to develop methods and tools for detecting these forms of manipulation present on the Internet and in social media. This project is of particular interest to the CNPD due to the publication by the European Data Protection Board (EDPB) of its guidelines on "deceptive design patterns," for which the University of Luxembourg was a significant contributor during the public consultation phase. Furthermore, the researchers involved in this project also participated in the conference "These cookies harm privacy!" organized by the CNPD on the occasion of the 2022 edition of International Data Protection Day.
- **SMART SCHOOL 2025:** Demonstration project of the University of Luxembourg (SnT) in collaboration with SCRIPT of the Ministry of National Education, Childhood and Youth (MENJE), and Lycée Edward Steichen Clervaux (LESC), co-financed by the FNR (2019-2022). The objective is to spark the interest of students, teachers, and parents around the themes of "artificial intelligence," "big data," and "computer vision" by providing them direct access to these technologies and allowing them to experiment with them while raising awareness about privacy protection.
- **NATIONTWIN:** Project to establish a national center of excellence (NCER) at the University of Luxembourg (SnT), LISER, coordinated by LIST and submitted at the end of 2022 in the NCER funding program of the FNR. The aim of this national project is to create the first prototype of a trusted digital twin at the country level, initially focusing on use cases in the energy sector. The CNPD will provide its expertise in personal data protection and privacy to guide actors in developing solutions compliant with legislation and applying the principle of "Privacy by Design."

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2 RESPONDING TO INFORMATION REQUESTS FROM INDIVIDUALS AND PROFESSIONALS

The CNPD informs and advises individuals and professionals who wish to obtain legal information, information on exercising their rights, or assistance in ensuring compliance of their processing with data protection legislation. A dedicated service responds to inquiries from applicants received by email, phone, or postal mail. The national commission received 589 written information requests in 2022, representing a slight decrease compared to the previous year (-5%). Over the past four years, the number of requests has remained constant, averaging around 600 per year.

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EVOLUTION OF THE NUMBER OF WRITTEN INFORMATION REQUESTS ANNUAL REPORT 2022 CNPD ACTIVITIES IN 2022

In continuity with the year 2021, the beginning of the year 2022 was marked by a significant number of questions related to the processing of personal data concerning the management of the Covid-19 pandemic, particularly around the "CovidCheck" in the workplace.

About two-thirds of the requests for information came from individuals, showing a clear increase compared to 2020. As mentioned above, this trend is particularly explained by the large number of questions related to the Covid-19 pandemic.

Moreover, many requests for information, coming from both employees and employers, concerned surveillance in the workplace, notably cyber-surveillance, management of IT tools, and video surveillance.

Data processing related to the management of condominiums by property managers also received a number of written information requests.

The services of the CNPD were also approached by many actors from the private and public sectors on various topics related to compliance, whether on issues of legality, retention periods, transfers to third countries, and other themes.

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3 INTERVENING IN THE LEGISLATIVE PROCESS

The CNPD advises the Chamber of Deputies, the Government, and other institutions and public bodies through opinions regarding draft laws and regulatory or administrative measures

concerning the processing of personal data that present a particular risk to the privacy of the individuals concerned. In 2022, the National Commission issued 32 opinions in total. 5 of the 32 opinions from the CNPD concerned the processing of personal data in criminal matters, as well as in matters of national security.

These opinions are presented in section II.9.b) specifically dedicated to the role of the National Commission regarding the oversight of data processing carried out by law enforcement authorities or national security authorities.

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EVOLUTION OF THE NUMBER OF OPINIONS

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Among the opinions issued in 2022, the CNPD would like to highlight the following opinions:

PROTECTION OF WHISTLEBLOWERS

The CNPD issued an opinion on draft law n°7945 transposing Directive (UE) 2019/1937 of the European Parliament and the Council of October 23, 2019, on the protection of persons who report violations of Union law.

By transposing the said directive and including the entirety of national law within the material scope of the draft law, it aims, according to the authors of the draft law, to "establish a more clearly defined framework for reporting in cases of violations of Luxembourg law, thus providing greater legal certainty,

both for whistleblowers and for employers."

The CNPD made observations regarding the personal scope of the provisions of the draft law and questioned the limitations of the whistleblower status based on various professional secrets enshrined in the law.

The National Commission then analyzed which legal entities in the public and private sectors must, under the terms of the draft law, establish internal reporting channels. The CNPD notably suggested extending the scope of the draft law by taking into account the demographic and institutional specificities of the Grand Duchy of Luxembourg.

The CNPD examined the articulation of the missions and powers of the reporting office and the competent authorities as well as their role in overseeing the internal reporting channels of entities in the public and private sectors.

The CNPD commented on the provisions related to the security and confidentiality of the processing of personal data arising from the receipt and management of reports, paying particular attention to measures aimed at preserving the identity of whistleblowers from unauthorized disclosures.

Finally, the CNPD analyzed the protection of whistleblowers as provided by the draft law and the interaction with, in particular, the provisions of the general status of state officials, the Labor Code, and the Penal Code.

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NATIONAL REGISTER OF AFFORDABLE HOUSING

The National Commission has issued an opinion regarding Bill No. 7937, which aims to create a national register of affordable housing (hereinafter referred to as the "RENLA") centralizing the data collected and processed in the context of the allocation of affordable housing.

Firstly, the CNPD noted the lack of precision in the provisions of the bill regarding a suitability check in the context of the approval requests submitted by social landlords to the Minister of Housing. More specifically, it found that it is not clearly stated in the bill which individuals will be subject to the suitability check, nor which personal data will be processed in this context.

Secondly, the National Commission highlighted certain inconsistencies contained in the bill that create uncertainties regarding the categories of persons and data that may be included in the RENLA.

Regarding the Minister of Housing's access to data held by other authorities, it warned against a proliferation of access that does not seem, at first glance, to be justified.

Thirdly, the CNPD analyzed the procedure for allocating affordable housing via the RENLA, which, according to its understanding, involves profiling of the individuals concerned and, at least initially, automated decision-making. It emphasized that national legislation may allow automated

decision-making, provided that it also includes appropriate measures to safeguard the rights and freedoms and the legitimate interests of the individual concerned. Furthermore, the principle of transparency underlying the GDPR implies that data controllers must ensure that they clearly and simply explain to the individuals concerned how profiling and the decision-making process work. Finally, the National Commission concluded that Article 96 of the bill, which provides that the Minister of Housing may authorize third parties to access databases held by other bodies for the purposes of studies or scientific inquiries in the field of affordable housing, risks being contrary to the GDPR. Indeed, it should be the responsibility of the data controller to allow, where appropriate, the consultation of the databases it holds, in compliance with the applicable data protection rules.

AUTOMATIC AND MANDATORY EXCHANGE OF INFORMATION REPORTED BY PLATFORM OPERATORS

The CNPD issued an opinion on Bill No. 8029 regarding the automatic and mandatory exchange of information reported by Platform Operators, which aims to transpose into national law Directive (EU) 2021/514 of the Council of March 22, 2021, amending Directive 2011/16/EU on administrative cooperation in the field of taxation.

According to the authors of the bill, this directive imposes on Platform Operators a standardized reporting obligation for a number of data and information concerning service providers active on digital platforms (the sellers) as well as their services. The information thus reported will then be exchanged automatically and mandatorily between tax authorities to enable Member States to ensure better tax control of economic activities carried out through Platform Operators and to correctly determine the income tax and value-added tax (VAT) owed.

Regarding the processing of personal data by Platform Operators, the CNPD made observations concerning the individuals concerned, the processing operations established by the bill (due diligence procedures and reporting obligations), the retention period of personal data, and the rights of the individuals concerned.

The CNPD also analyzed the provisions related to the processing of personal data by tax administrations. The CNPD particularly focused on the lack of precision in the provisions regarding the limitation of the rights to information and access of the individuals concerned. The National Commission regrets the absence of a clear and precise legal basis, the application of which is foreseeable for the individuals concerned, and which provides for the circumstances and conditions under which the scope of the obligations and rights provided in these articles may be limited. The CNPD concluded that these provisions do not meet all the conditions required by Article 23 of the GDPR.

The National Commission also reminded certain elements to consider regarding the transfer of personal data of taxpayers to third countries (within the framework of the amended law of December 18, 2015, relating to the Common Reporting Standard).

Furthermore, the CNPD questioned the allocation of responsibilities between, on the one hand, the Administration of Direct Contributions and, on the other hand, the reporting Platform Operators, the Luxembourg reporting financial institutions, or intermediaries.

Finally, the CNPD examined access to the central electronic data search system extended to tax administrations. The National Commission particularly emphasized the importance of specifying the search modalities by national authorities and self-regulatory bodies.

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DIGITAL ATTESTATIONS OF THE IDENTITY CARD AND DRIVER'S LICENSE

The CNPD adopted 2 opinions regarding draft grand-ducal regulations aimed at equating the presentation of a digital attestation of the identity card or driver's license, within a personal digital wallet application, to the presentation of physical documents.

In its opinions, the National Commission noted that the texts under review do not regulate the personal digital wallet application allowing the download of digital attestations. However, in accordance with Article 6.3 of the GDPR, read together with its paragraph 1, letters c) and e), any processing of personal data carried out by the State through said application must be provided for by Union law or

national law. The CNPD also raised the question of whether the assimilation of the presentation of a digital attestation of the identity card or driver's license to the presentation of physical documents should not be included in a law in the strict sense of the term and not in a grand-ducal regulation. Furthermore, the National Commission questioned the practical functioning of the system and specifically wondered what personal data would be included in the digital attestations. As long as the questions raised in its opinions are not resolved, the CNPD cannot give its consent to the draft grand-ducal regulations.

ORGANIZATION OF THE ELECTRICITY AND NATURAL GAS MARKET

The CNPD issued an opinion on draft law No. 7876 concerning the transposition of Directive (EU) 2019/944 of the European Parliament and of the Council of June 5, 2019, regarding common rules for the internal electricity market and amending Directive 2012/27/EU. In its opinion, the National Commission limited itself to commenting on the provisions related to the national energy data platform, those related to the recording of telephone conversations, and those related to smart metering. Regarding the implementation of the aforementioned platform, the CNPD questioned the motivations that would justify a private company managing such a platform in the public interest rather than the minister responsible for Energy or the Luxembourg Institute of Regulation (ILR). It believes that it would be preferable for the ILR to manage such a platform.

It also expressed regret over the lack of precision in the provisions of the draft law concerning the modalities of data processing implemented via the platform, making it difficult for the CNPD to understand what processing would be envisaged and carried out by which entities and for what purposes. The CNPD specifically expressed its concerns about the lack of clarity regarding what would happen to data from smart meters and whether such data would, if applicable, be used for commercial and advertising purposes.

The National Commission further emphasized the importance of respecting the principle of purpose limitation by the transmission system operator in the context of the processing carried out on said platform, as it, being a private company entrusted with a public interest mission, should not reuse data collected initially for purposes necessary for the execution of a public interest mission for commercial purposes.

Regarding the recording of telephone conversations by electricity network operators, the National Commission expressed its astonishment at the provisions that provide for the recording of telephone conversations in order to "ensure the continuity of public service, the execution of public service obligations, the safety of users and the public, the prevention of accidents, the safety and health of workers, and the protection of the assets of the network operator." These provisions seem, in fact, contrary to the provisions of Article 4 of the law of May 30, 2005, concerning the protection of privacy in the electronic communications sector, as the recordings are not made within the framework of lawful professional uses to provide proof of a commercial transaction or any other commercial communication, as rightly noted in a judgment of May 19, 2016, rendered by the Administrative Court. Finally, regarding the smart metering system, the National Commission expressed its concerns about the retention of data from smart meters and recommends

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to reduce as much as possible the duration of data retention considering the risks of misuse related to the use of such data and the infringement on the privacy of individuals that this represents.

CREATION OF A DATABASE RELATING TO AUTOMOBILE LIABILITY INSURANCE

The CNPD issued an opinion on draft law n°7985 aimed at creating a centralized database that would allow for the obtaining and retention of information regarding automobile liability insurance for road vehicles. In its opinion, the National Commission primarily commented on the

issues raised by the creation of such a database from a data protection perspective. It expressed regret that the draft law does not clearly specify what categories of data would be processed and retained in such a database, nor for what purposes these would be processed, nor what the retention periods for such data would be. Thus, the CNPD recommended that the authors of the draft law address this lack of precision.

It considered that such clarifications are important given that the controller of this database would be the minister responsible for Transport, but this database would be managed by a private company, the SNCA, and would, furthermore, be fed by data collected by private companies, namely the insurance companies of the Grand Duchy of Luxembourg.

Finally, the National Commission reminded of the importance of a number of principles arising from Article 5 of the GDPR, notably the respect for the principle of minimization in the context of access by various actors (including the Grand Ducal Police) to the aforementioned database, as well as the respect for the principle of integrity and confidentiality in the context of access to this database.

INDIVIDUAL HOUSING ASSISTANCE

The National Commission expressed its opinion on draft law n°7938 relating to individual housing assistance as well as on the draft Grand Ducal regulation setting the execution modalities related to this assistance.

In its opinion, the CNPD welcomed the fact that the draft law provides a legal basis for the processing carried out in the context of assistance requests while considering that the texts are not sufficiently precise on certain points. Thus, uncertainties remain regarding the documents and information that the Minister of Housing may require from applicants. Regarding the information that the Minister of Housing may request from other bodies, the CNPD recommended using consistent terminology throughout the draft law and clarifying whether the minister has direct access to data held by other administrations or whether he can only request the transmission of certain personal data on a case-by-case basis. It also reminded of the importance of the principle of data minimization under which the minister may only access data that is strictly necessary for verifying the conditions for granting the requested assistance.

Finally, the National Commission drew the attention of the authors of the draft law to the special protection afforded to so-called “sensitive” data, such as data relating to a disability, under Article 9 of the GDPR.

All opinions can be consulted on the CNPD website at

<https://cnpd.public.lu/fr/publications/rapports.html>

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4 GUIDING PRIVATE AND PUBLIC ACTORS

Private and public sector actors must adopt a preventive and responsible approach regarding the personal data they process. Guiding and directing them in this process is one of the roles of the supervisory authority. This role is assumed by the CNPD by developing recommendations or guidance on specific themes for a well-defined target audience.

COLLECTION OF PERSONAL DATA IN THE CONTEXT OF CORONAVIRUS (COVID-19)

Personal data, particularly health data, are at the heart of the issues related to the Covid-19 health crisis. From the beginning of the pandemic, the CNPD published recommendations to guide

professionals in continuing their activities and to respond to individuals' questions about their rights. In its guidance, the CNPD specifically recalled some rules regarding:

- the security obligation of employers;
- the security obligation of employees/agents;
- the processing of data by employers:
- temperature checks at the entrance of premises;
- conducting tests by the employer and health status questionnaires;
- requests and recommendations from health authorities.

The recommendations were updated on the CNPD's website¹ several times in 2022, taking into account the evolution of legal texts related to the pandemic.

More specifically, the CNPD updated its frequently asked questions (FAQ) on data protection in the context of CovidCheck, following amendments made to the amended law of July 17, 2020, on measures to combat the Covid-19 pandemic. It addresses frequently asked questions regarding, in particular, the use of the CovidCheck.lu application and describes what employers can do in the context of implementing CovidCheck in the workplace.

GUIDELINES ON COOKIES AND OTHER TRACKERS

These guidelines aim to assist operators of websites or applications in complying with the currently applicable rules, as derived from existing legislation and case law.

Operating a website often requires the use of connection cookies (commonly referred to as "cookies") or other similar technologies.

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<https://cnpd.public.lu/fr/actualites/national/2020/03/coronavirus.html>

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These may be specific to the website or may be placed/read by third parties (video platforms, social plugins, advertising agencies, analytical needs, etc.) on the user's device as part of services used by the website.

Cookies and similar technologies can be used for purposes that are more or less intrusive to the privacy of internet users, such as remembering a user's language choice or tracking their browsing behavior on the internet.

In its guidelines, the CNPD analyzes the legal context and makes observations on essential cookies (for which there is no obligation of consent) and non-essential cookies (for which there is an obligation of consent). They also introduce the notion of "dark patterns" in the context of obtaining user consent. Furthermore, the guidelines contain numerous examples of best practices.

The guidelines were supplemented in 2022 by a practical sheet for data processing managers.

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5 DESIGNATION OF DATA PROTECTION OFFICERS

Since the implementation of the GDPR, data controllers and processors must communicate to the CNPD the contact details of the data protection officer (DPO) they have designated, if applicable.

In 2022, 133 data controllers communicated the contact details of their DPO to the national commission. Since May 25, 2018, 1,462 data controllers have completed this process.

In total, 1,155 natural or legal persons have been declared to the CNPD, including 144 in 2022.

To facilitate the communication of this information, the CNPD has made an online form available, as well as a dedicated space on its website that addresses frequently asked questions.

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Natural or legal persons declared to the CNPD as DPO

Data controllers who communicated the contact details of their DPO to the CNPD

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As a reminder, the appointment of a DPO is mandatory in 3 situations:

- the processing is carried out by a public authority or a public body, except for courts acting in their judicial capacity;
- the core activities of the data controller or the processor consist of processing operations that, by their nature, scope, and/or purposes, require regular and systematic monitoring of data subjects on a large scale;
- the core activities of the data controller or the processor consist of large-scale processing of special categories of data referred to in Article 9 or personal data relating to criminal convictions and offenses referred to in Article 10.

Unless it is obvious that an organization is not required to appoint a DPO, the CNPD recommends always documenting the internal analysis conducted to determine whether or not there is a need to appoint a DPO.

Information for municipalities on their obligations regarding the appointment of a data protection officer Under Article 37.1 (a) of the GDPR, any public body, including a municipality, is required to appoint a DPO who can either be a staff member of the municipality or an external person (natural or legal) to the municipality.

In accordance with Article 58 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, a municipality also has the option to choose to appoint the Government Commissioner for Data Protection as DPO.

Based on Article 37.1 of the GDPR, a municipality is also obliged to communicate the contact details of the DPO it has appointed to the CNPD.

However, the CNPD has found that some municipalities had not yet fulfilled the aforementioned obligations until August 2022. It therefore contacted the municipalities that had not yet appointed a DPO, in order to regularize their situation.

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6 SUPPORTING COMPLIANCE

The General Data Protection Regulation has introduced several voluntary enforcement tools to enable organizations to manage their compliance and demonstrate that they comply with the legislation: data protection impact assessments, certifications, codes of conduct, or frameworks for international data transfers.

CERTIFICATION

The establishment of certification mechanisms can promote transparency and compliance with the GDPR and allow data subjects to better assess the level of data protection offered by the products, services, processes, or systems of organizations that process their personal data. A GDPR certification does not certify an organization but rather the processing operations subject to certification.

The practical application framework for certification is developed in consultation with other supervisory authorities at the level of the European Data Protection Board (EDPB) to ensure consistency, but also, at the national level, in collaboration with interested stakeholders from the private sector.

GDPR-CARPA Certification Scheme

The CNPD adopted the GDPR-CARPA certification criteria on May 13, 2022. This is the first certification scheme under the GDPR at both the national and international levels.

Companies, administrations, associations, and other organizations established in Luxembourg have the opportunity to demonstrate that their personal data processing operations comply with the GDPR. GDPR-CARPA thus offers data controllers and processors a high level of compliance with the GDPR for their processing operations subject to certification.

The CNPD was the first European supervisory authority to develop its own certification scheme under the GDPR. As the entity that developed the certification criteria, the CNPD is also the owner of the certification scheme.

The numerous exchanges of the CNPD with audit stakeholders since the application of the GDPR in 2018 have helped to determine the interest and type of certification under the GDPR that could be useful for the Luxembourg ecosystem. In consultation with these stakeholders, it developed a first version of its certification scheme. Subsequently, the certification criteria were reviewed by its European counterparts within the framework of the European consistency mechanism and were subject to an opinion issued by the EDPB.

At the European level, the CNPD has played a driving role in advancing the EDPB's work in the field of certification,

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notably as a rapporteur for
guidances or to enable the EDPB
to issue formal opinions on this new
subject.

European Certification Scheme

“Europrivacy”

The CNPD submitted, as the competent authority, the Europrivacy certification criteria to the EDPB for approval. In its opinion dated October 10, 2022, the EDPB found that the Europrivacy certification criteria are compliant with the GDPR. This resulted in the very first “European Data Protection Label” (in accordance with Article 42, paragraph 5, of the GDPR).

The Europrivacy scheme is managed by the European Center for Certification and Privacy (ECCP) established in Luxembourg. It is a general scheme that targets a wide range of processing operations carried out by data controllers and processors from various sectors. The scheme includes specific criteria that make it flexible and applicable to specific processing operations or sectors.

This approval is an additional step towards greater compliance with the GDPR. Certification under the data protection label is valid in all EU member states. It allows different controllers and processors in different countries to achieve the same level of compliance for similar processing operations.

Certification Scheme as a Transfer Tool

At the end of 2022, the CNPD received an initiative for a certification scheme intended to be used as a transfer tool (Article 46(2)(f) of the GDPR). As with the national certification scheme “GDPR-CARPA” and the previously mentioned European certification scheme “Europrivacy,” the CNPD is a pioneer in the analysis and evaluation of this new type of certification scheme under the GDPR, which it will submit as the lead authority, where applicable, to the EDPB for adoption.

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Certification Bodies

The accreditation aims to certify with the necessary authority the competencies of certification bodies, thereby establishing trust in the certification mechanism.

The CNPD received 3 applications from companies to be accredited as certification bodies in Luxembourg (under the CARPA accreditation criteria of the CNPD).

On October 12, 2022, the CNPD granted accreditation to the limited liability company EY PFS Solutions in the context of the “GDPR-CARPA” certification system developed by the CNPD. This is the very first accreditation awarded by the CNPD to a certification body in Luxembourg and in Europe. EY PFS Solutions, established in Luxembourg, can therefore carry out GDPR certifications based on the “GDPR-CARPA” certification mechanism for the duration of the accreditation, which is 5 years.

The CNPD conducted a preliminary review of the 2 other applications in 2022 and began audits during the same year. These audits were finalized during the year 2023. 3 certification bodies to issue GDPR-CARPA certificates are now operational in Luxembourg. The list of certification bodies is available on the CNPD website.

Work at the European Level

The CNPD is the rapporteur on the guidelines concerning certification criteria at the EDPB. More specifically, this involves an addendum to the guidelines 1/2018 on certification and the identification of certification criteria in accordance with Articles 42 and 43 of the GDPR. The aim of these additional guidelines is to refine the elements of guidelines 1/2018 to assist:

- the stakeholders involved in drafting certification criteria within the framework of GDPR certification and
 - the supervisory authorities and the EDPB to be able to provide consistent assessments in the context of the approval of certification criteria (both for national systems and for EU data protection labels).
- Since the end of 2022, the CNPD has actively participated in organizing an EDPB workshop on GDPR certification that took place in early March 2023 in Madrid. The aim of this workshop, which brought together representatives from all national data protection authorities, was to find solutions to issues encountered in relation to GDPR certification in practice.

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MADAME ANDRES, THE ADOPTION OF THE CERTIFICATION SCHEME WAS ONE OF THE HIGHLIGHTS OF THE YEAR 2022. CAN YOU EXPLAIN TO US WHAT GDPR-CARPA IS?

The “GDPR Certified Assurance Report based Processing Activities” or GDPR-CARPA is the first certification scheme under the GDPR that has been adopted at the national and European level. It is a means for Luxembourgish data controllers and processors to demonstrate that their personal data processing operations comply with the GDPR.

GDPR-CARPA consists of 2 parts that

CHRISTINE ANDRES

Head of the “Compliance” Department

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concerning 2 types of different actors.

First, there are the accreditation criteria that an organization must meet to act as a certification body. The CNPD has adopted accreditation criteria specifically tailored for the GDPR-CARPA certification scheme, and it is also the CNPD that will evaluate whether an organization meets these criteria before making an accreditation decision.

Once accredited, this certification body analyzes the data processing carried out by an organization that wants to demonstrate its compliance with the GDPR. The objective is to determine whether the processing in question meets the GDPR-CARPA certification criteria. These criteria represent the rules that apply to the data processing to be certified as well as the governance system surrounding this processing. The latter is particularly relevant because the focus of GDPR-CARPA is the accountability of data controllers and processors, which also includes the implementation of appropriate technical and organizational measures to protect the data entrusted to them.

THE CNPD IS THE FIRST SUPERVISORY AUTHORITY TO DEVELOP AND ADOPT SUCH A SCHEME UNDER THE GDPR. WHAT HAS BEEN THE DEVELOPMENT WORK FOR THIS CERTIFICATION?

Numerous exchanges between the CNPD and businesses during the preparation phase for the entry into force of the GDPR revealed a particular interest in certification under this new regulation. Taking a proactive approach, the CNPD decided to develop a certification framework based on the international compliance assessment framework ISAE (“International Standard on Assurance Engagements”). This means that the work of certification bodies is governed by the strict rules of the standard in question

and that the evaluation of the GDPR-CARPA certification criteria results in an ISAE3000 report that will form the basis of the certification decision. In the context of certification under the GDPR, this is a completely innovative approach.

In June 2018, we launched a first public consultation on the GDPR-CARPA scheme, which allowed us to incorporate feedback received at the national and European levels. During an informal phase between February 2020 and October 2021, the scheme was then discussed and analyzed at the EDPB sub-group level. Since it was the first certification scheme of its kind to be proposed to the EDPB, the process constituted a learning experience for all parties involved. GDPR-CARPA served as a basis for discussion during the workshops, allowing the sub-group to improve its approach to analyzing a certification scheme.

With the submission for opinion of the scheme in October 2021, the formal phase finally began. After reviewing the certification, the EDPB published its opinion on February 1, 2022. Subsequently, the CNPD made the changes required by the recommendations and encouragements in the opinion and informed the EDPB on February 22. Our work ultimately led to the adoption of the GDPR-CARPA certification scheme on May 13, 2022, by the CNPD.

WHAT IS THE DIFFERENCE BETWEEN GDPR-CARPA AND "EUROPRIVACY"?

GDPR-CARPA is a certification scheme intended for companies, administrations, associations, and other organizations established in Luxembourg. Europrivacy is a European certification scheme developed by the "European Center for Certification and Privacy" (ECCP) in Luxembourg.

Indeed, it is the very first "European data protection label" valid in all Member States of the European Union. It allows different controllers and processors in different member countries to achieve the same level of compliance for similar processing operations. Sharing its expertise, the CNPD advised the scheme owner and, as the lead authority, submitted the certification criteria of the scheme to the EDPB for opinion in September 2022. Europrivacy was approved by the EDPB on October 10, 2022.

NOW THAT THE CERTIFICATION HAS BEEN ADOPTED, WHAT DO THE CERTIFICATION ACTIVITIES WITHIN THE CNPD CONSIST OF?

In Luxembourg, the CNPD's role is to accredit certification bodies. Currently, the CNPD has received a total of 3 applications from companies wishing to obtain accreditation as a certification body for the GDPR-CARPA certification scheme. The company EY PFS Solutions was the first organization to be granted accreditation on October 12, 2022. We conducted the preliminary review of the 2 other applications in 2022 and began the necessary audits during the year 2022.

At the end of 2022, the CNPD received an initiative for a certification scheme intended to be used as a transfer tool. As with the previously mentioned "GDPR-CARPA" and the European certification scheme "Europrivacy," the CNPD is a pioneer in the analysis and evaluation of this new type of certification scheme under the GDPR, which it will submit as the lead authority, if applicable, to the EDPB for adoption.

Speaking of the EDPB, we continue our work within the expert sub-group "Compliance, e-Government, and Health" (CEH), whose objective is, among other things, to better frame the analysis of different types of certification schemes as well as their practical management. We actively participate in discussions regarding the accreditations and approvals of certification bodies, collaboration between supervisory authorities, and other points raised concerning certification activities.

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CODES OF CONDUCT

Codes of conduct are voluntary accountability tools that define specific rules regarding data protection for certain categories of data controllers and processors. They can serve as a useful and effective governance instrument by providing a detailed description of the most appropriate behaviors and incorporating best practices within a given sector. Professional associations or organizations representing a specific professional sector can develop codes to help businesses in that sector comply with the GDPR effectively. In 2022, the CNPD did not receive any new code of conduct initiatives. However, it worked closely with the entity that submitted a code of conduct initiative (applicable at the national level) in 2021. This code evolved following numerous exchanges.

Requirements for Approval of Monitoring Bodies for Codes of Conduct

In 2022, the CNPD submitted to the EDPB its draft decision containing the accreditation conditions for a monitoring body of the code of conduct. In its opinion on this draft, the EDPB recognized that the requirements must work for different types of codes, apply to sectors of various sizes, take into account different interests at stake, and cover processing activities presenting different levels of risk. Following the EDPB's opinion, the CNPD adopted decision 70/2022 of December 19, 2022, approving the accreditation criteria for monitoring bodies of codes of conduct, as well as a related procedure.

DATA PROTECTION IMPACT ASSESSMENT (DPIA)

A DPIA or AIPD in French ("Analyse d'Impact Relative à la Protection des Données") is a tool that helps identify and minimize data protection risks of new projects involving personal data processing processes. It should contribute to the accountability approach advocated by the GDPR, particularly through the concepts of data protection by design and data protection by default, as it helps data controllers identify and address issues at an early stage and contributes to demonstrating their compliance. If an organization has identified personal data processing that may pose high risks to the rights and freedoms of data subjects, it must conduct a DPIA for each of these processing activities.

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The CNPD developed a list of types of processing operations for which it considers a DPIA to be mandatory in all cases.

If, following this risk analysis, it results that the residual risk level remains high, the organization must consult the CNPD, which will provide an opinion on the proposed processing and the associated risks. In this case, the processing cannot be implemented before receiving the CNPD's opinion and, where applicable, the implementation of additional measures. In 2022, no requests for prior opinions were submitted to the CNPD.

INTERNATIONAL TRANSFERS OF PERSONAL DATA

Personal data may flow freely from Luxembourg within the European Economic Area (EEA), as long as the general principles of the GDPR are respected. Transfers of data outside the EU and the EEA are possible, provided that an adequate and appropriate level of data protection is ensured. These transfers must be framed using various legal tools (contractual clauses, binding corporate rules (BCR), codes of conduct, certification mechanisms, or specific guarantees for transfers between authorities or public bodies).

Binding Corporate Rules

Binding Corporate Rules (BCR) ensure an adequate level of protection for data transferred within a corporate group both inside and outside the European Economic Area. This appropriate guarantee is particularly suitable for multinational corporate groups implementing a large number of international data transfers. BCRs constitute a "charter of personal data protection" developed by a corporate group that defines its policy regarding the transfer of personal data. This charter must be binding and respected by all entities in the group, regardless of their country of establishment, as well as by all their employees. Furthermore, it must confer enforceable rights to the data subjects (clients, suppliers, and/or employees) concerning the processing of their personal data. In 2022, the CNPD handled cases concerning Binding Corporate Rules (BCRs, Article 47 of the GDPR), including 7 cases as the Lead Supervisory Authority (SA), meaning for multinational companies whose main establishment in the European Economic Area is located in Luxembourg, and 2 cases as a co-reviewer (i.e., in support of the authority of the primary reviewer).

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The list can be consulted on the CNPD website:

<https://cnpd.public.lu/fr/professionnels/obligations/AIPD.html>

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main control) and 15 files as the concerned authority.

The CNPD also acted as the main authority regarding the renewal of the Administrative Arrangement (AA) between the Financial Sector Supervisory Commission (CSSF) and the Public Company Accounting Oversight Board (PCAOB), related to the supervision of audit firms subject to the

jurisdictions of the two regulators, in accordance with Article 46, paragraph 3, point b) of the GDPR. THE PROJECT "DATA PROTECTION COMPLIANCE SUPPORT TOOLKIT" (PROJECT "ALTO") In October 2022, the project proposal "Data Protection Compliance Support Toolkit" ("ALTO") received co-funding approval from the Commission. This proposal had been submitted to the Commission's call for projects limited to national data protection authorities and aimed at projects intended to reach stakeholders in data protection legislation (ID CERV-2021-DATA). The subsidized project is a joint initiative between the CNPD and the Luxembourg House of Cybersecurity (LHC) aimed at addressing the challenges faced by startups, small and medium-sized enterprises established in the Grand Duchy of Luxembourg in their compliance with the GDPR. The objective is to provide SMEs with a simple, intuitive, and free self-assessment tool that allows them to better understand their level of maturity in data protection and to integrate GDPR obligations into their activities in a more targeted manner. This project is part of the context of the Fit4Cybersecurity and Fit4Privacy tools developed by the LHC and places particular emphasis on operational support for compliance that must be understandable by non-experts in the field.

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7 HANDLING CITIZEN COMPLAINTS

When a data controller does not respond to the exercise of a right conferred by the GDPR or when the data subject believes that data processing is being carried out unlawfully, they may file a complaint with the CNPD. Indeed, the CNPD has, as part of its missions, the duty to investigate complaints from data subjects.

Initially, the CNPD examines whether the complaint is admissible, for example by verifying whether the facts alleged by the complainant regarding personal data processing are likely to constitute a violation of the applicable data protection legislation.

If the complaint is admissible, the CNPD contacts the data controller and asks them to respond and, if necessary, to comply and/or respect the rights of the data subjects.

In managing complaints, and when a disputed data processing is indeed contrary to the legislation, the CNPD strives, in the first instance, to remedy the situation without having to initiate a formal investigation procedure in accordance with Articles 37 to 41 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection.

Moreover, depending on the specific characteristics of each complaint, the CNPD may decide to investigate or not to investigate a complaint, taking into account, in particular, the severity of the alleged facts, the alleged violation, the degree of impact on fundamental rights and freedoms, the degree of priority relative to the number of complaints, and the resources available.

In 2022, the CNPD received a total of 482 complaints:

- 355 complaints were filed directly with the CNPD;
- 127 complaints were processed via the European Cooperation System (IMI).

Indeed, the CNPD is competent to receive complaints from other European supervisory authorities when the data controllers have their main European establishment in Luxembourg (lead authority).

Compared to the previous year, this represents a decrease of 5%. Since the GDPR came into effect in 2018, the CNPD has been handling more than 500 complaints on average per year.

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2022
2021
2020
2019
2018
2017
2016
2015
2014
2013
2012
2011

EVOLUTION OF THE NUMBER OF COMPLAINTS

Request for deletion or rectification not respected (21%)
Legality of processing (15%)
Consultation RNPP (5%)
Video surveillance (8%)
Data breach (8%)
Right to information (5%)
Retention period (2%)
IT security measure (1%)
Right to image (1%)
Cookies (1%)
Others (10%)
Opposition to marketing or complaints against spam (8%)
Refusal to access data (15%)

REASONS FOR COMPLAINTS

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NATIONAL COMPLAINTS

355 complaints were filed with the CNPD.

Requests for deletion or rectification of data account for 21% of the complaints received. These included, among others, requests for account closures with online services/merchants or requests for deletion of personal data (email addresses, reviews, etc.) accessible on websites.

15% of the complaints concern the non-respect of the right of access by data controllers. In some cases, these controllers have refused individuals access to their data, ignored their requests, or failed to provide sufficient information regarding the information to be communicated when exercising a right of access.

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In 15% of cases, complainants requested the CNPD to verify the legality of certain administrative or commercial practices. They specifically challenged:

- the unlawful or excessive collection of data;
- the request for documents such as identity cards or passports for identity verification purposes;
- the publication of personal data online (e.g., on a social network);
- data protection provisions mentioned in general terms and conditions related to online businesses or services;
- the duration of retention of collected data;
- the legality of processing personnel files.

8% of complaints concerned the right to object, particularly in the area of prospecting. The CNPD intervened when unsubscribe links in prospecting emails were not functional or when the data controller did not respond to objections.

Unauthorized transmission of data to third parties also led to a number of complaints (8%). This includes, for example:

- the publication of data (videos, photos, etc.) online without sufficient protection or the use of data for purposes other than those for which they were originally collected;
- the sending of emails to individuals for whom they were not intended or the sending of confidential emails but distributed collectively and visibly to all recipients ("CC" instead of "BCC").

The majority of complaints related to workplace surveillance (8% of complaints) concerned video surveillance.

5% of complaints concerned requests for verification of the legality of consultations conducted by public sector agents in the national register of natural persons (RNPP).

EUROPEAN COMPLAINTS WITHIN THE FRAMEWORK OF THE EUROPEAN COOPERATION AND COHERENCE SYSTEM

127 complaints were processed through the European cooperation system (IMI). The IMI system (Internal Market Information system) is the IT platform of the European Union that ensures the proper implementation of cooperation between supervisory authorities for a wide range of regulations. This tool has also been made available for the GDPR since May 25, 2018, as provided for by the GDPR. The supervisory authorities of the Member States cooperate closely to ensure uniform protection of individuals' rights regarding data protection throughout the EU.

Now more than ever, mutual assistance and coordination of decision-making in cross-border data protection matters are of the utmost importance.

Furthermore, the European Data Protection Board (EDPB) issues opinions and makes binding decisions when national data protection authorities have differing positions in a cross-border case.

With the help of the IMI system, supervisory authorities can notably:

- determine which supervisory authority is the lead authority in a cross-border dispute;
- cooperate to reach a resolution of cross-border disputes;
- request and provide assistance to supervisory authorities of other Member States;

Data erasure and retention periods (37%)

Data rectification (22%)

Legality and security of processing (14%)

Right of access (27%)

REASONS FOR EUROPEAN COMPLAINTS

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- organize joint operations involving supervisory authorities from several Member States;
- consult the EDPB for an opinion or a binding decision.

REQUESTS FOR COMPLIANCE

In 2022, 158 national complaints led to recommendations for compliance measures. These are cases where the CNPD requested the data controller to implement measures to comply with the GDPR (e.g., responding to a request for access, erasure, objection, modification of notices, implementing additional security measures, etc.) without having to initiate a formal investigation procedure.

For complaints at the European level, the CNPD contacted the data controller for a position or compliance in 73 cases.

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MR. WEILAND, YOU ARE HEAD OF THE "EUROPEAN COMPLAINTS" UNIT. WHY IS THERE A NEED FOR SUCH A UNIT WITHIN THE CNPD?

The daily workload of the CNPD is largely defined by the General Data Protection Regulation (GDPR). This regulation determines the rights and obligations concerning the protection of individuals with regard to the processing of personal data as well as the specific missions of the CNPD. However, the GDPR is not limited to Luxembourg territory; it is a regulation of the European Parliament and the Council applicable

GEORGES WEILAND

Complaints Service,
Head of the "European Complaints" Unit
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directly and uniformly in all
Member States of the European Union.
Therefore, given that a
large number of businesses and organizations
carry out cross-border operations
as part of their activities, the
supervisory authorities face data
breaches, inquiries, investigations, etc.
involving necessarily
concerned parties residing in
different countries.

Luxembourg is particularly impacted
by this reality due to the fact that many
multinational companies – particularly those
in the digital market – have
their main establishment in its territory.

WHAT DO THESE COMPLAINTS RELATE TO?

The motivations for European complaints
do not differ significantly
from national complaints since
the alleged violations of rights remain
essentially the same. The majority of
cases concern the right of access, the right
to erasure and data retention periods,
the right to rectification, the
lawfulness of processing, etc. Many
complaints also group together several
subjects. A complainant may, for example,
challenge the lawfulness of the verification of their
identity by identity card, while at the same
time requesting the erasure of all their
data.

YOU USE THE IMI SYSTEM IN HANDLING EUROPEAN COMPLAINTS. WHAT IS IT?

The acronym IMI stands for "Internal Market
Information System," which is the
information system of the internal market. IMI is an
electronic tool provided by the European
Commission to facilitate administrative
cooperation between competent authorities
of Member States as well as between these
authorities and the Commission. This tool is also
used by the CNPD and other
European supervisory authorities to exchange
the necessary information among themselves
in the context of cooperation, that is,
in the context of mutual assistance, joint
operations, or the coherence control mechanism. In the context

of European complaints, the CNPD therefore uses IMI to share information, documents, or decisions with other European supervisory authorities.

WHAT CHALLENGES DO SUPERVISORY AUTHORITIES FACE IN TERMS OF COOPERATION AT THE EUROPEAN LEVEL?

It should be noted that, although the GDPR has allowed for the creation of a uniform standard within the European Union, it is applied at the national level by the various data protection authorities in accordance with their own national administrative procedures. There are still differences in procedures, interpretation, and strategies among Member States. Additionally, there is a significant number of cases, complex administrative procedures, challenges to decisions, etc.

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This is why the EDPB, the body that oversees the national data protection authorities of the EU, held a high-level meeting in Vienna in April 2022. During this meeting, members agreed to strengthen cooperation on strategic cross-border cases and to diversify the range of cooperation methods used. Furthermore, the authorities committed to exchanging information on national enforcement strategies in order to agree on annual priorities in this area at the EDPB level. Since then, significant measures have been decided, such as the creation of a coordinated framework for the enforcement of legislation at the European level and the launch of a pool of experts assisting case handlers. The European Commission, for its part, has made a call for contributions aimed at identifying areas of concern and gathering suggestions for improvements from the supervisory authorities and civil society actors. Finally, the European Commission will adopt a new proposal for a regulation aimed at simplifying cooperation between national authorities responsible for data protection

when applying the GDPR in cross-border cases. To this end, this new regulation will harmonize certain aspects of the administrative procedure that national data protection authorities apply in cross-border cases. These developments raise hopes for improved functioning of cooperation and dispute resolution mechanisms under the GDPR.

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8 ANALYZING DATA BREACHES

2 types of data breaches must be notified to the CNPD:

- data breaches under the General Data Protection Regulation; and
- data breaches in the electronic communications sector (cf. part II.3).

DATA BREACHES UNDER THE GDPR

The GDPR requires that a security breach resulting in the accidental or unlawful destruction, loss, alteration, or unauthorized disclosure of personal data must be managed in accordance with the requirements of Articles 33 and 34 of the GDPR.

Data controllers must notify personal data breaches to the CNPD within 72 hours of becoming aware of the breach if the breach is likely to result in a risk to the rights and freedoms of the data subjects. The CNPD wishes to clarify that the following statistics are based solely on personal data breaches that have been notified to the CNPD. They do not reflect the total number of security incidents related to personal data that occur within organizations and that are difficult to estimate. However, data controllers are required to maintain documentation of all security incidents involving personal data. In 2022, 354 data breaches were reported to the CNPD, an increase of 6% compared to 2021. In total, since the GDPR came into effect on May 25, 2018, the National Commission has received 1,592 data breaches. This corresponds to an average of almost 29 data breach notifications per month.

As in previous years, the CNPD noted:

- that it receives few or no notifications from entities in the banking and insurance sectors, which are significant in size;
- that small and medium-sized enterprises sometimes struggle to understand the notification management process both in terms of incident prevention and management.

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The main cause of personal data breaches remains human error (non-malicious internal act) in 63% of cases.

Most human errors occur:

- when an existing procedure is not followed;
- when an existing security rule is circumvented: this type of case has resulted in incidents with significant consequences;
- when staff are not sufficiently aware of the confidentiality rules to be applied;
- due to a lapse in attention: depending on the context, implementing a control mechanism before data transmission (e.g., the four-eyes principle) would likely have prevented this type of incident.

Malicious external acts account for more than a quarter of reported breaches. This type of incident often has a greater impact on the affected individuals. In many cases, these acts target access to or obtaining data that allows for financial transactions to be carried out without the knowledge of the affected individuals (e.g., interception of credit card data, phishing to obtain login information for a payment service, identity theft to carry out a financial transaction, etc.).

Non-malicious internal act (63%)

Non-malicious external act (5%)

Other (1%)

Malicious external act (26%)

Malicious internal act (5%)

CAUSES OF BREACHES

64 65

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Malicious internal acts primarily occurred during the departure, voluntary or involuntary, of employees from an organization, particularly among management members in medium or small structures: this situation leads individuals to copy data for potential use in their new position. Similarly, situations of business cessation/merger/acquisition are high-risk periods for unauthorized data exfiltration. These acts are often the result of a lack of knowledge of the legal or technical framework and frequently lead to complaints to the public prosecutor's office.

Other scenarios are related to technical bugs that often result in the disclosure of personal data to unauthorized third parties (e.g., implementation or updating of a new online service, unforeseen use of a service, etc.).

Personal data sent to the wrong recipient (28%)

Inadvertent publication (11%)

Technical issue (3%)

Phishing (4%)

Lost or stolen device (8%)

Lost, stolen, or unsecured papers (3%)

Lost or opened mail (3%)

Malware (2%)

Unauthorized verbal communication (1%)

Incorrect destruction of personal data on paper (1%)

Disclosure of personal data of the wrong person (18%)

Hacking (18%)

NATURE OF INCIDENTS

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Confidentiality (89%)

Integrity (6%)

Availability (5%)

Almost all data breaches have an impact related to the loss of confidentiality of the affected data. It is noteworthy that mixed cases have emerged concerning ransomware attacks that combine a loss of availability but also, increasingly regularly, a loss of confidentiality due to the partial or total exfiltration of data. Data controllers are generally struggling with the analysis of this type of incident, mainly due to the insufficient or inadequate level of detail in the available logs.

NATURE OF THE IMPACT

0

100

200

300

400

500

600

101 to 1000

51 to 100

11 to 50

6 to 10

2 to 5

1

NC

NUMBER OF POTENTIALLY IMPACTED PERSONS PER INCIDENT

(NC = number of persons impacted by the breach unknown – this may be the case when data is exfiltrated from a system where logging of access to personal data is poorly adapted or nonexistent)

66 67

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0

100

200

300

400

500

600

700

More than 60 days

31 to 60 days

11 to 30 days

6 to 10 days

2 to 5 days

1

NC

NUMBER OF DAYS BETWEEN THE START OF THE INCIDENT AND THE DETECTION OF THE INCIDENT

(NC = Start date of the incident unknown)

The vast majority of security incidents are detected no later than 5 days after their occurrence.

However, the CNPD has found that nearly 10% of personal data breaches are only detected at least a month after they occurred: these are particularly incidents related to ongoing violations of the organization's security policy (e.g., management staff sending work data to their personal email to work from home, and the personal email is hacked), data used by employees upon leaving an organization, and also data theft related to undetected hacks.

The CNPD also draws the attention of data controllers to the fact that a number of hacking and phishing acts are targeted at the management staff of an organization and their entourage (e.g., management assistant/secretary). These malicious acts often aim to obtain information that allows for fraudulent financial transactions.

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THE PROCEDURE RELATING TO INVESTIGATIONS AND DECISION-MAKING OF THE CNPD

The opening of an investigation may be proposed at any time by a member of the college in accordance with Article 38 of the law of August 1, 2018. He submits this proposal to the college, which approves it within a month by a majority of votes and designates a member of the college, excluding the president, as the investigation leader.

The investigation file is then processed by the investigation leader based on the information, statements, and/or documents collected during the investigation, including through any interviews and/or requests for additional information.

At the end of the investigation, the investigation leader identifies the alleged violations of the GDPR that he intends to formalize in the form of grievances. The grievances are then transmitted to the controlled party, who will be heard according to the principle of contradiction.

These potential exchanges are included in the investigation file, which will be transmitted to the restricted formation. In the event that the investigation leader does not identify or retain any grievances, he transmits a proposal for closure to the restricted formation.

Pursuant to Article 10 2° b) of the Internal Rules of the CNPD adopted by decision No. 3AD/2020 of

January 22, 2020, the National Commission sitting in restricted formation informs the controlled party of the date of the session during which the matter concerning them is listed and of the opportunity they have to be heard. During said session, the investigation leader is heard to present oral observations on the matter and, when present at the session, the controlled party is invited to present oral observations.

Following these sessions, the National Commission sitting in restricted formation deliberates on the matter. The decisions it makes are published anonymously, unless anonymization is not possible or if the CNPD has decided to apply Article 52 of the aforementioned law of August 1, 2018, that is to say, to order the publication of a decision in its entirety and by name.

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9 CONTROLLING AND ADOPTING CORRECTIVE MEASURES

The National Commission has investigative powers to ensure compliance with applicable data protection legislation. In the event of processing contrary to the regulations, the CNPD may adopt corrective measures including financial penalties.

The CNPD may initiate investigations following complaints (reactive approach) or on its own initiative (proactive approach). These investigations can take various forms. When the CNPD wishes to verify compliance with a specific theme of the GDPR, the investigations may notably take the form of audits of a sample of organizations selected based on risk criteria, such as the sector of activity or the size of the organization, the number of individuals concerned, or the type of data processed.

The investigative power allows the CNPD to obtain from the data controller or the processor access to:

- all personal data that is processed and, in general, all information necessary for the exercise of its mission;
- all premises, including any facilities and means of processing.

The CNPD conducted 10 investigations in 2022. It is worth noting that compared to previous years, the number of investigations (controls and audits) was relatively low due to pandemic-related restrictions.

The CNPD conducts proactive on-site visits as part of thematic campaigns (video surveillance, geolocation, etc.) or reactive on-site visits following reported incidents, received complaints, information relayed in the media, or following a previous control. These controls are carried out through unannounced on-site visits. In 2022, the controls conducted focused on analyzing compliance with the GDPR of video surveillance systems in a private establishment and in a school.

With the implementation of the GDPR, the CNPD also established an audit methodology, particularly well-suited for investigations when it comes to verifying compliance with personal data protection legislation in a more complex organizational or technical framework. As with on-site visits, investigations in the form of audits can be organized either reactively in the context of an investigation decided upon following a received complaint, or proactively in the form of a thematic campaign focusing on selected obligations of the regulation.

The beginning of 2022 marked the end of the thematic campaign related to transparency, which was opened in 2020. Indeed, all files were transferred to the restricted formation. The latter made decisions related to this matter in the same year. The end of 2022, on the other hand, marked the opening of investigations regarding the appointment of a data protection officer against 6 municipal administrations. Since the entry into force of the GDPR, the CNPD has demonstrated the importance it places on the role of the data protection officer by choosing this theme for its first campaign in 2018. The 25 organizations selected at that time, targeting both the public and private sectors, did not include any municipal administration. The CNPD continues its efforts to support the function of data protection officers within these administrations, and the corresponding investigative measures will be deployed in the first weeks of 2023.

In addition to these thematic investigations, 2 reactive investigations were opened on themes including data security, cooperation with the supervisory authority, and compliance with response times when an individual exercises one of their rights provided for in Articles 15 to 22 of the GDPR.

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DECISIONS ON THE OUTCOME OF INVESTIGATIONS

As part of its missions, the CNPD has, among other powers, the authority to adopt corrective measures provided for in Article 58.2 of the GDPR (e.g., warning, reprimand, compliance order, temporary/permanent limitation, or prohibition of processing, etc.), including the power to impose administrative fines under Article 83 of the GDPR in addition to or instead of other corrective measures depending on the specific characteristics of each case.

Violations of the GDPR by the data controller may be subject to administrative fines of up to 20 million euros or up to 4% of the total global annual turnover of the previous financial year, with the higher amount being retained. However, the GDPR requires that sanctions be "effective, proportionate, and dissuasive" - this implies that in each specific case, the elements listed in Article 83.2 of the GDPR must be taken into account, such as the nature, gravity, and duration of the violation, the number of affected individuals and the level of damage they have suffered, the categories of personal data concerned by the violation, or whether the violation was committed intentionally or negligently. A corrective measure can only be pronounced by the National Commission sitting in a restricted formation when it makes a decision on the outcome of an investigation in accordance with Article 41 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection.

Before the said restricted formation makes such a decision, a hearing allows it to hear both the head of the investigation and the subject of the investigation, who may present oral observations on the case and respond to any questions from the restricted formation.

The National Commission sitting in a restricted formation adopted 24 decisions on the outcome of investigations in 2022: 3 closure decisions in the absence of established violations and 21 decisions with corrective measures, of which 20 included administrative fines. All cases concerned purely national matters with a total of €48,375 in administrative fines.

Of the 21 cases, 12 decisions concerned the processing of data carried out through a video surveillance system and/or a geolocation device. In the majority of decisions, the National Commission sitting in a restricted formation found that the affected individuals were not sufficiently informed about the processing of their personal data in accordance with the provisions of Article 13 of the GDPR.

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In other of these decisions, a non-compliance with Article 5.1.c) of the GDPR (data minimization principle) was established, as the fields of vision of the cameras installed by the subject of the investigation allowed for continuous and permanent surveillance of the employees' workplace. The National Commission sitting in a restricted formation always emphasizes in its decisions that in order to respect the principle of proportionality, the data controller must use the most privacy-protective means of surveillance by limiting, for example, the fields of vision of the cameras to the only area necessary to achieve the intended purpose(s), without subjecting employees to constant surveillance in the workplace.

In the same vein, the National Commission sitting in a restricted formation found in some of its decisions that the fields of vision of the cameras were disproportionate and in violation of said Article 5.1.c) of the GDPR, as they allowed for the surveillance of surrounding areas or public roads, while it is of the opinion that cameras intended to monitor an access point (entrance and exit, threshold, porch, door, awning, hall, etc.) should have a field of vision limited to the area strictly necessary to visualize individuals preparing to access it. Furthermore, it concluded in 4 decisions that there was a breach of the obligation arising from Article 5.1.e) of the GDPR (data retention limitation principle), as the duration of data retention exceeded what was necessary for the purposes for which the geolocation or video surveillance device was established.

6 decisions were made as part of the thematic investigation campaign.

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on transparency within the e-commerce sector. The objective was to verify whether the selected

organizations were in compliance with the requirements of the GDPR, particularly with Articles 12.1, 13, and 14 of the GDPR regarding the information to be provided to the data subject when personal data is collected either directly from them or from a third party, as well as the transparency obligations regarding the information to be respected. In all decisions, the National Commission sitting in a restricted formation concluded that Article 12.1 of the GDPR was not respected, as the information was not communicated to the data subject in a concise, transparent, comprehensible, easily accessible manner, and in clear and simple terms. Furthermore, a breach of Article 13 of the GDPR was found in 4 decisions, as the organizations involved had not provided users of their website with one or more of the information required therein. 3 decisions of the National Commission sitting in a restricted formation concerned other subjects. For example, in one decision, it was found, among other things, a lack of lawfulness of the processing in question and that consequently Articles 5.1.a) and 6.1 of the GDPR were not respected, while in another, breaches of the obligation to respect the data subject's right of access within the legal deadlines (Articles 12.3 and 15 of the GDPR), as well as the obligation to cooperate with the CNPD in accordance with Article 31 of the GDPR, were noted.

An appeal against the decisions of the CNPD may be filed before the Administrative Court, which rules on the merits of the case. The appeal period is 3 months. However, pursuant to Article 42 of the law of August 1, 2018, concerning the organization of the National Commission for Data Protection and the general regime on data protection, the CNPD is bound by professional secrecy which prevents it from communicating in detail about a specific case.

Furthermore, under Article 52 of the law of August 1, 2018, concerning the organization of the National Commission for Data Protection and the general regime on data protection, the complete and clear publication of the decisions of the CNPD is to be considered as an additional sanction. Said article provides that the CNPD may only order the publication of its decisions if the avenues for appeal against the decision have been exhausted and if the publication does not risk causing disproportionate harm to the parties involved.

The CNPD generally publishes its decisions on its website in an anonymized manner, even before the avenues for appeal have been exhausted, except for decisions for which anonymized publication is not feasible due to the nature of the data controller and the content of the decision.

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ACTIVITIES IN 2022

THE MONITORING OF DATA PROCESSING BY LAW ENFORCEMENT OR NATIONAL SECURITY AUTHORITIES

Pursuant to the law of August 1, 2018, relating to the protection of individuals with regard to the processing of personal data in criminal matters as well as in matters of national security, the CNPD is also competent to monitor data processing carried out by law enforcement authorities or national security authorities, such as the Grand Ducal Police, the State Intelligence Service, the National Security Authority, or the Customs and Excise Administration.

Article 10 of the law of August 1, 2018, concerning the organization of the National Commission for Data Protection and the general regime on data protection, further provides that the annual report of the CNPD must include a list of the types of violations reported and the types of sanctions imposed under the law.

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of August 1, 2018, regarding the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security.

1. ****REQUESTS FOR INFORMATION****

The CNPD processed about thirty written and oral requests for information regarding data processing in the fields of law enforcement and national security.

The majority of the requests for information concerned the modalities of exercising the right of access for the data subjects in criminal matters, considering the specificities of the data processing implemented by law enforcement authorities. Among other topics related to criminal matters or national security, data subjects and data controllers specifically sought guidance from the CNPD regarding the transmission of personal data to the competent authorities in the context of the investigation and

detection of criminal offenses.

Furthermore, the CNPD received several requests for information regarding the installation of surveillance systems in public spaces for the purposes of preventing, investigating, and detecting criminal offenses, notably by municipal administrations. In this context, the CNPD also participated in 2 meetings with the Ministry of Internal Security concerning surveillance in certain security zones established under Article 43bis of the amended law of July 18, 2018, on the Grand Ducal Police.

2. ****OPINIONS****

The CNPD adopted 3 opinions regarding the processing of personal data in criminal matters as well as in matters of national security. The opinions concerned:

- the processing of personal data in the "JU-CHA" application (Bill No. 7882);
- the police and the operation of Luxembourg Airport (Bill No. 7475);
- the State Intelligence Service.

The opinion regarding the processing of personal data in the "JU-CHA" application is summarized below. The second opinion can be consulted on the CNPD website at the address

<https://cnpd.public.lu/fr/decisions-avis/2022/av15-2022-aeroport.html>.

The third opinion of the CNPD relates to the implementation of data protection principles at the State Intelligence Service, issued within the framework of the mission assigned to the CNPD by Article 8, point 3°, of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on the protection of personal data to "advise the Chamber of Deputies, the Government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to the processing of personal data," and in accordance with the power conferred on it by Article 14, point 6°, of the same law, to "issue, on its own initiative or upon request, opinions to the Chamber of Deputies and its Government or other institutions and bodies as well as to the public, on any issue relating to the protection of personal data."

****PROCESSING OF PERSONAL DATA IN THE "JU-CHA" APPLICATION****

The CNPD issued an opinion on Bill No. 7882, which, according to its authors, aims to address the concerns raised by the Judicial Control Authority (ACJ) in the summer of 2020 regarding the processing of personal data carried out by judicial authorities using the JU-CHA application. Indeed, the ACJ, of which the CNPD is a member, took up the issue of the compliance of the JU-CHA application with the applicable legal framework, and the recommendations made at that time highlighted the need for stricter legal regulation.

The second objective pursued by the bill is to regulate the transmission of information in criminal matters by introducing a legal basis in the Code of Criminal Procedure allowing the public prosecutor's office to communicate conviction decisions to administrations, legal entities under public law, or to the competent professional orders responsible for ensuring their execution. The bill also introduces the possibility for the public prosecutor's office to alert public or private entities of a risk of criminal offenses being committed by one of their subordinates.

In its opinion on Bill No. 7882, the CNPD made observations on the proposed modifications regarding the sufficient level of detail concerning the purposes retained by the authors for the processing of personal data by judicial authorities in the JU-CHA application. It also analyzed the provisions related to access control, particularly concerning the obligation that a sufficiently precise reason be generated or inserted for data consultation operations in the JU-CHA application. The CNPD further examined the lack of explanations regarding the choice of the data controller as well as the lack of precision regarding the differences in treatment related to the distinction between different categories of data subjects, referring in particular to the questions raised in this regard by the ACJ in its opinion issued in 2020. Regarding the amendment to the Code of Criminal Procedure aimed at introducing the possibility for the public prosecutor's office to communicate conviction decisions to administrations, legal entities under public law, or to the competent professional orders responsible for ensuring their execution and to alert public entities...

public or private risk of committing an offense by one of their subordinates, the CNPD has taken a position on the necessity of a framework, where applicable legal, for the recipient of such communication who must, among other things, comply with the legal framework regarding data protection concerning the data subject, that is to say, the person whose data is transmitted. In conclusion, the CNPD welcomes the legislative initiative aimed at regulating the processing carried out by judicial authorities based on the JU-CHA application. The CNPD endorses the position of the ACJ from 2020 that it would be preferable to regulate the most intrusive data processing, due to the number of affected individuals and the sensitivity of the processed data, implemented by judicial authorities through legal or regulatory provisions.

3 COMPLAINTS

In 2022, the CNPD received 2 complaints regarding criminal matters and national security, one concerning the lawfulness of the data processing carried out by the data controller and the other regarding the refusal of the data controller to respond to the access request of the data subject.

4 NOTIFICATION OF DATA BREACHES

Data controllers must notify the CNPD of personal data breaches within 72 hours of becoming aware of them, if the breach is likely to result in a risk to the rights and freedoms of the data subjects. In 2022, the CNPD received 3 notifications of personal data breaches in criminal matters, as well as in matters of national security.

5 CONTROLS PROVIDED BY SPECIFIC LEGAL PROVISIONS

In the field of criminal matters and national security, certain national and European legislative provisions require the CNPD to conduct on-site visits and/or specific and regular audits. The CNPD must also carry out data protection audits at the national parts of the European information systems Schengen Information System II (SIS II) and Visa Information System (VIS) as well as reviews of the logs of these information systems. In 2022, the CNPD continued recurring audits for these 2 systems.

6 EUROPEAN COOPERATION

The coordinated supervision of data processing in EU information systems and by European bodies, offices, and agencies will gradually be transferred from coordination groups (such as the SIS II Coordination Control Group or the VIS Coordination Control Group) to the Coordinated Supervision Committee (CSC), established in December 2019 and operating since under the auspices of the European Data Protection Committee (EDPB).

The CSC brings together the supervisory authorities of the EU, the European Data Protection Supervisor (EDPS), as well as the supervisory authorities of the Schengen member states that are not EU members when EU law provides for it.

The main objective of the CSC is to ensure coordinated oversight of EU information systems and EU bodies, offices, and agencies in the areas of borders, asylum, and migration (EES, ETIAS, and VIS), police and judicial cooperation (SIS, European Public Prosecutor's Office, Eurojust, ECRIS-TCN), and the internal market (IMI).

The tasks of the CSC include, among others, providing support to supervisory authorities in conducting audits and inspections, developing work on the interpretation or application of the relevant EU legal acts and proposals for harmonized solutions, studying issues related to the exercise of independent oversight or the exercise and promotion of the rights of data subjects.

The Committee published its work program for the period from 2020 to 2022 with planned activities:

- promoting the rights of data subjects;
- examining difficulties in interpreting or applying community and national law;
- exchanging information;
- conducting joint audits or coordinated inspections;
- preparing for oversight at the start of the activities of the European Public Prosecutor's Office and other EU bodies and information systems that will fall under the scope of the CSC in the future.

In 2022, the CNPD participated in 2 CSC meetings and initiated a coordinated action among European supervisory authorities regarding reports concerning individuals or objects for the purposes of discreet

control or specific monitoring.

7 SCHENGEN EVALUATION OF LUXEMBOURG FOR THE "DATA PROTECTION" COMPONENT

The Schengen evaluation and control mechanism verifies the implementation of the Schengen acquis — a common set of Schengen rules that apply to all member states. The objective of the

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The mechanism aims to ensure an effective, consistent, rapid, and transparent application of the Schengen rules by the Schengen member states, while maintaining a high level of mutual trust among the member states.

In 2022, in the context of the "data protection" aspect of the Schengen evaluation and monitoring mechanism, Luxembourg hosted for one week national experts and representatives from the European Commission, as well as an observer expert from the European Data Protection Supervisor (EDPS). The CNPD coordinated the visit and actively contributed, together with the Passport, Visa and Legalization Office, the State IT Center, the Government Commissioner for Data Protection, and the Grand Ducal Police, to provide all necessary information to demonstrate the effective, consistent, rapid, and transparent application of the Schengen rules in Luxembourg.

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ACTIVITIES IN 2022

THE PROTECTION OF PRIVACY IN THE ELECTRONIC COMMUNICATIONS SECTOR

The National Commission is also responsible for ensuring the application of the provisions of the amended law of May 30, 2005, concerning the protection of privacy in the electronic communications sector and its implementing regulations.

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1 DATA BREACHES IN THE ELECTRONIC COMMUNICATIONS SECTOR

In accordance with Regulation (EU) No. 611/2013 of the European Commission of June 24, 2013, providers of publicly accessible electronic communications services, such as fixed/mobile telephony companies or Internet service providers, must notify the CNPD within 24 hours of becoming aware of a security breach and confidentiality of personal data. Furthermore, they are required to inform their subscribers if the incident is likely to adversely affect the level of protection of their privacy and the data concerning them.

To assist electronic communications service providers, the National Commission offers a security breach notification form available on its website. This form includes all relevant questions that providers must answer in such a situation.

In 2022, no data breaches in the electronic communications sector were reported to the CNPD.

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ACTIVITIES IN 2022

INTERNATIONAL WORK IN THE FIELD OF DATA PROTECTION

The activity of the National Commission was marked by strong participation in European work, dominated by complex and technical files. The National Commission contributed in 2022 to the work of numerous bodies at the European and international levels. This included:

- the European Data Protection Board (EDPB), which brings together all European authorities as well as the European Data Protection Supervisor (EDPS);
- the International Conference of Data Protection and Privacy Commissioners (Global Privacy Assembly or GPA);
- the "Berlin Group," dedicated to data protection in the electronic communications sector;
- the French-speaking Association of Personal Data Protection Authorities (AFAPDP); and
- the Spring Conference with its seminar "European Case Handling Workshop."

1 EUROPEAN DATA PROTECTION BOARD

The European Data Protection Board (EDPB) is an independent European body established by the GDPR, tasked with ensuring the consistent application of data protection rules within the European

Union (EU). The EDPB achieves this goal by promoting cooperation among national supervisory authorities and publishing general guidelines at the EU level on the interpretation and application of data protection rules.

The EDPB is composed of the heads of the supervisory authorities of the EU and the European Data Protection Supervisor (EDPS). The supervisory authorities of EEA countries outside the EU (Iceland, Liechtenstein, and Norway) are also members of the EDPB but do not have voting rights. The European Commission and, regarding GDPR-related matters, the Authority of...

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Surveillance of the European Free Trade Association has the right to participate in the activities and meetings of the EDPB.

The headquarters of the EDPB is located in Brussels.

The EDPB has a secretariat, which is provided by the EDPS. A memorandum of understanding sets out the terms of cooperation between the EDPB and the EDPS.

It may adopt general guidance documents to clarify the provisions of European legislative acts regarding data protection and, in this way, provide the relevant stakeholders with a coherent interpretation of their rights and obligations.

The GDPR also entrusts it with the task of adopting binding decisions towards national supervisory authorities to ensure a consistent application of its provisions.

PLENARY MEETINGS AND REPRESENTATION WITHIN WORKING SUBGROUPS

In 2022, the EDPB organized 15 plenary meetings, including 3 ad-hoc meetings dedicated to dispute resolution. 4 meetings took place in Brussels, in person, and 11 remotely. The CNPD, represented each time by one of its commissioners, participated in all these plenary meetings.

The CNPD participated in April 2022 in a high-level meeting organized by the Committee in Vienna. The objective of the meeting was to discuss and exchange ideas on ways to strengthen cooperation among data protection authorities on strategic issues and to diversify the range of cooperation methods used. Since this meeting, several measures have been implemented to contribute to better cooperation among European data protection authorities.

Apart from its regular participation in the plenary meetings of the EDPB, the CNPD also ensured its representation within the 11 thematic working subgroups and the 3 taskforces established to carry out specific missions of the Committee. Thus, throughout the year, the CNPD participated in 118 meetings of the working subgroups and 23 meetings of the taskforces, not counting the numerous drafting team meetings.

The CNPD was part of the co-rapporteurs for the following draft documents, which are still under development:

- Guidelines on "blockchain";
- Guidelines on the rights of data subjects;
- Guidelines on legitimate interest;
- Guidelines on the assessment of certification criteria.

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ACTIVITIES IN 2022

DOCUMENTS ADOPTED IN 2022

The EDPB adopted numerous working documents, guidance, and letters. Some of these documents are summarized below. They can all be downloaded in their complete version online.

- Guidelines 01/2022 on the rights of data subjects – right of access
- Guidelines 02/2022 on the application of Article 60 of the GDPR
- Guidelines 03/2022 on "dark patterns" in social media platform interfaces: how to recognize and avoid them
- Guidelines 04/2022 on the calculation of administrative fines under the GDPR
- Guidelines 05/2022 on the use of facial recognition technology
- Guidelines 06/2022 on the practical implementation of amicable settlements
- Guidelines 07/2022 on certification as a transfer tool

- Guidelines 08/2022 on identifying a lead supervisory authority for the data controller or processor
- Guidelines 9/2022 on the notification of personal data breaches under the GDPR
- Joint Opinion 01/2022 EDPB/EDPS on the extension of the regulation on the Covid-19 certificate
- Joint Opinion 02/2022 EDPB/EDPS on the proposal from the European Parliament and Council regarding harmonized rules on fair access and use of data (Data Act)
- Joint Opinion 03/2022 EDPB/EDPS of the CEPD on the proposal for a regulation on the European Health Data Space
- Joint Opinion 04/2022 EDPB/EDPS on the "Proposal for a regulation of the European Parliament and of the Council establishing rules to prevent and combat sexual abuse of children"
- Recommendations 01/2022 on the request for approval and on the elements and principles included in the binding corporate rules of the controller (Article 47 of the GDPR)
- Statement 01/2022 on the announcement of a principle agreement on a new transatlantic data protection framework
- Statement 02/2022 on cooperation in law enforcement
- Statement 03/2022 on the European Code of Police Cooperation
- Statement 04/2022 on the implications of the C-817/19 judgment of the CJEU on the use of PNR data in Member States

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https://edpb.europa.eu/our-work-tools/consistency-findings/binding-decisions_en

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Dispute Resolution Procedures of the Committee

In 2022, the Committee issued 5 binding decisions based on Articles 65 or 65 (1) (a) of the GDPR, in order to ensure the consistent application of the GDPR by national supervisory authorities. The CNPD actively contributed to the drafting of Decision 5/2022, which required participation in numerous meetings and intense exchanges with our counterparts.

2 GLOBAL PRIVACY ASSEMBLY

The "Global Privacy Assembly (GPA)" is a global forum for exchanging information on data protection, where 130 members share best practices and adopt common positions. Established in 1979, the assembly was known as the "International Conference of Data Protection and Privacy Commissioners (ICDPPC)" until 2019.

In October 2022, the 44th annual meeting of GPA members, including the CNPD, took place in Istanbul, Turkey. Two important resolutions were adopted during this meeting. The first relates to strengthening international cooperation capacities in cybersecurity, and the second concerns principles and expectations regarding facial recognition.

As part of its participation in the GPA, the CNPD contributed to the work of the following working groups:

- Working group on the digital economy;
- Working group on digital education;
- Working group on the role of personal data protection in international development aid, humanitarian international aid, and crisis management.

THE "DIGITAL EDUCATION WORKING GROUP"

The priority of this working group is to raise awareness among children, adolescents, teachers, and adults regarding data protection issues, as this enhances their ability to assert their rights to data protection in the digital world. An electronic library tool allows for the sharing of educational materials on privacy protection available among data protection authorities (DPAs) worldwide, as well as other online resources from both authorities and other stakeholders. The CIRCABC platform of the European Commission hosts this online tool created in 2015.

In line with these objectives, the CNIL, responsible for the working group, and the CNPD, as the technical lead for CIRCABC, continued to reorganize the resource platform to update and improve the quality of the online library content while adhering to a new classification by types of teaching and training materials and adding supplementary sections to meet current expectations.

This includes interactive learning tools, lesson plans/scenarios, guides, memos, FAQs, security measures, videos, and tips on citizens' privacy protection, comics, and online games. These materials are intended for various audiences, namely teachers and educational staff, parents, children, and youth by age groups.

To accelerate renewal and to familiarize new users with the platform, a specific training video tutorial, in English with French subtitles, has been designed, and an adapted PowerPoint presentation has been made available.

Furthermore, a qualitative study project is being prepared regarding the key role of education professionals in raising awareness and training their students on data protection. This study will survey teachers at all class levels on:

- Their perception of their knowledge and interest in data protection-related topics, and awareness of responsible digital usage among their students in their classes;
- Their expectations for better addressing these topics.

3 SPRING CONFERENCE OF EUROPEAN DATA PROTECTION AUTHORITIES

The CNPD participated in the 30th edition of the Spring Conference of European Data Protection Authorities, which took place in Cavtat, Croatia, from May 19 to 20, 2022. The rich discussions among representatives of the authorities from 40 states focused, among other things, on new challenges related to the development of artificial intelligence, digitalization, mass surveillance through facial recognition, transfers of personal data following the so-called Schrems II ruling, the European Union's approach to "dark patterns," and lessons learned from the Covid-19 pandemic.

Two resolutions were adopted during the Spring Conference, namely:

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- the "Resolution on the Need for a Rapid Ratification of Convention 108+", which is a modernized version of the Council of Europe's Convention 108 on data protection; and
- the "Resolution on the Vision, Mission, and Steering of the Spring Conference".

The conference was an exceptional and unique opportunity for authorities to discuss best practices, strategies, and the issues they encounter. In 2023, the spring conference will be organized by the Hungarian authority in Budapest.

4 CASE HANDLING WORKSHOP

The "European Case Handling Workshop" seminar took place on November 16 and 17, 2022, online, organized by the Gibraltar supervisory authority. The seminar focused on interesting themes, including case managers from supervisory authorities and allowed for interactive exchanges on the management of complaints, conducting investigations, and sanctions policies.

5 BERLIN GROUP

Two meetings of the International Working Group on Data Protection in Telecommunications (referred to as the "Berlin Group") were organized in 2022.

The first meeting took place in Tel Aviv, Israel, in June 2022. Technical discussions focused on data protection and privacy elements of smart cities and facial recognition, as well as telemetry and diagnostic data. Members of the Berlin Group also addressed the possibility of cooperation with other networks focused on data protection. It was decided to establish a

discussion platform on emerging technologies, particularly by scanning the horizon for anything related to new or emerging technologies and services.

The second meeting of the Berlin Group was held in London at the end of November 2022.

The fruitful discussions led to the adoption of two documents related to smart cities and facial recognition.

6 FRENCH-SPEAKING MEETINGS ON PERSONAL DATA PROTECTION

Representatives of the 23 member authorities of the Francophone Association of Personal Data Protection Authorities (AFAPDP), including the CNPD, met in Tunis, Tunisia, in October 2022, on the occasion of the 14th annual conference.

The exchanges focused on various significant current issues, namely the protection of personal data in international aid, cooperation between supervisory authorities, and the concept of identity.

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2022
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1 HUMAN RESOURCES

Average age: 38.3 years

Average seniority at the CNPD: 4 years

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COLLEGE

Tine A. LARSEN,
President

Thierry LALLEMANG,
Commissioner

Marc LEMMER,

Commissioner
Alain HERRMANN,
Commissioner
ALTERNATE MEMBERS
Michèle BRAM,
Deputy Director of the
Luxembourg Institute of Regulation (ILR)
Martine KRAUS,
Vice-President at the District Court of Luxembourg
Marc HEMMERLING,
Master's degree and Master in Computer Science
François THILL,
Director of E-commerce
and Information Security,
Ministry of Economy
GENERAL SECRETARIAT
OF THE COLLEGE
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Lawyer - Secretary of the College
"Plenary Session"
Claudia FETZ,
Lawyer - Deputy Secretary of the College
"Restricted Session"
Kathrin KRAEMER,
Lawyer, Secretary of the College
"Restricted Session"
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Lawyer, Responsible for European
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Thierry RIES,
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Head of Unit "External Communication"
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Marc MOSTERT,
Investigator, Controls
Bao-Khanh NGUYEN TRUNG,
Investigator, Controls
François RICHALET,
Investigator, Audits
Patrizia ROSA,
Investigator, Modeling
Maximilian WELSCH,
Investigator, Controls

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RESOURCES, STRUCTURES AND OPERATIONS
2 ORGANIZATION OF THE CNPD

At the end of 2019, the CNPD reorganized its services and adapted its organizational chart in order to better fulfill its missions and to facilitate the readability of its activities and its organization.

The organizational chart below (established on April 1, 2022) provides an overview of the CNPD's organization in 2022.

COLLEGE OF THE NATIONAL COMMISSION
FOR DATA PROTECTION
ADMINISTRATION

External Communication
Training
Legal &
Technological Monitoring

Collaborations
Research & Innovation
Legal Opinions
Information Requests
Thematic Hotlines
Transfers to
Third Countries
Impact Assessments
Certifications
& Codes of
Conduct
Data Breach
Notifications
National Claims
European Claims
Controls
Audits
Follow-up on
Corrective Measures
Reception
& Secretariat
Human Resources
Accounting
& Finance
Internal IT
& Logistics
Data Protection Officer
Secretary(s) of the College
of the National Commission
In charge of European
and International Relations
AWARENESS
GUIDANCE
COMPLIANCE
CLAIMS
INVESTIGATIONS
Units
Services
Litigation

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3 MANAGEMENT REPORT ON THE ACCOUNTS FOR THE 2022 FINANCIAL YEAR

Positioned at the end of the reference period covered by the document titled "Strategy and Work Program 2020-2022" adopted in May 2020 by the National Commission for Data Protection (CNPD), the year 2022 was mainly marked by the gradual resumption of activities under normal "post Covid-19" conditions.

Several awareness-raising actions were once again organized, including the conference on cookies and the one accompanying the launch of the "GDPR-CARPA" certification scheme,

the first GDPR certification scheme valid throughout the European Union approved by the European Data Protection Committee (EDPB). In October 2022, the CNPD also issued the first accreditation to a Luxembourg certification body. Regarding the training offered by the CNPD, it is worth noting the one organized as part of a new training program in the field of cybersecurity for higher vocational education at the BTS level, as well as those that took place within the Digital Learning Hub, respectively in collaboration with the Luxembourg Chamber of Employees. Having opted not to strengthen its staff during the budget proposals for the 2022 financial year, but also in view of replacing several maternity leaves, respectively parental leaves, the CNPD had to resort to several agents hired under fixed-term contracts, in order to ensure the proper functioning of its services. These recruitments have obviously generated significant additional expenses.

THE BUDGET

The budget of the CNPD amounted to €8,284,314 for the 2022 financial year, representing an increase of 15.06% compared to the budget of the previous year. The increase of €1,084,314 compared to 2021 is mainly due to the fact that the budget forecasts relating to personnel costs, provided during the preparation of the 2021 budget by the Personnel Management and State Organization Center (CGPO), were significantly below the costs that were to be expected. Starting from 2022, the budget proposals now take into account the remuneration of personnel based on individual career simulations (up to the last grade and step) carried out by the "Administration" service for all CNPD agents.

Then, considering the explosion of legal fees that the public establishment has faced

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RESOURCES, STRUCTURES AND OPERATIONS

In 2021, an additional allocation of €375,000 was granted for the 2022 fiscal year.

EXPENSES

During the 2022 fiscal year, the total expenses of the public establishment amounted to €8,606,420 compared to €7,458,052 in 2021, representing an increase of 15.40%. This increase is primarily due to several additional recruitments planned in the 2021 budget but carried out only during the 2022 fiscal year. Additionally, there are the salaries of employees hired on fixed-term contracts to replace several maternity and parental leaves.

1. Fixed Assets

In accordance with Article 46 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, which states that "the accounts of the CNPD are kept according to the rules of commercial accounting," expenses related to the acquisition of furniture, software, and computer equipment have been recorded in the balance sheet of the public establishment, with their depreciation being recorded among operating expenses.

Expenses for the acquisition of new computer equipment amounted to €39,058, while in 2021, the related costs were €4,405. This increase is notably explained by the gradual replacement of laptops at a rate of 25 units per year.

2. Operating Expenses

Operating expenses amounting to €1,165,279 remained constant compared to those of the 2021 fiscal year, which amounted to €1,188,318.

2.1. General Expenses

Representing 54.76% of general expenses, rent and related charges amounting to €638,059 saw a slight increase compared to 2021. Additionally, there are the costs for renting meeting rooms and the costs for external storage of archives, totaling €6,298.

If the negative result of the 2021 fiscal year was mainly due to legal fees related to three appeals filed against decisions accompanied by financial sanctions imposed by the CNPD in 2021, the related costs for 2022, amounting to €142,027, remained well below forecasts.

Cleaning expenses for the CNPD premises, including cleaning products, amounted to €52,056 compared to €45,727 in 2021. This increase partly reflects the rise in the price index, along with a higher consumption of sanitary products compared to 2021 due to the resumption of in-person work "post Covid-19." Maintenance of the premises incurred an expense of €10,576 compared to €41,181 in the previous fiscal year.

Expenses related to office equipment and supplies, documentation costs, as well as postage and telecommunications costs amounting to €12,299, €9,548, and €10,208 respectively, remained at the same level as in 2021.

As for the fees, they include, in addition to the aforementioned legal fees, expenses related to the audit of accounts, which amounted to €6,570.

Other general charges amounting to €34,421, including costs related to the organization of conferences, as well as representation costs and expenses for insurance, electricity, and security, amounting to €13,673, €11,370, €4,298, and €4,743 respectively, saw a slight increase due to the resumption of awareness activities under "post Covid-19" conditions.

2.2. Communication and Public Relations

During the health crisis in 2021, all meetings and conferences abroad were systematically replaced by videoconferences, resulting in travel, representation, and public relations expenses amounting to only €2,751.

Following the gradual resumption of activities under "post Covid-19" conditions, these expenses, amounting to €34,358, saw a significant increase while remaining below the estimated budget forecasts of €40,000.

Communication and publication expenses increased by 56.79% compared to 2021 and include the costs for publishing the 2021 annual report amounting to €12,333, the publication of job vacancies amounting to €19,147, along with various other purchases of advertising services totaling €2,929. The increase in expenses in this category is primarily due to the increased number of announcements placed in the local press for staff reinforcement.

2.3. IT Expenses

IT expenses amounted to €112,118 in 2022 compared to €117,465 in 2021 and mainly consist of the fee owed to the State's Information Technology Center for the provision of software licenses, telephone devices, and other equipment, which amounted to €88,888.

Additionally, there are costs for the rental and maintenance of printers amounting to €7,227, as well as contributions to the annual maintenance costs of SPAMBEE extensions amounting to €11,667.

Regarding the maintenance of equipment and other IT expenses, it should be noted that the related expenses amounting to €4,336 remained stable compared to those of the 2021 fiscal year.

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RESOURCES, STRUCTURES AND OPERATIONS

3. Personnel Expenses

Personnel remuneration amounted to €6,964,623 in 2022 compared to €6,199,267 in 2021, this

increase being due to the strengthening of staff planned in 2021 and implemented during the 2022 fiscal year. Additionally, there are the remunerations of employees hired under fixed-term contracts to replace several maternity and parental leaves.

In addition to the 4 commissioners, the permanent staff framework included as of December 31, 2022:

- 44 agents in the A1 salary group, including 21 civil servants,
- 1 employee in the A2 salary group, and
- 5 agents in the B1 salary group, including 4 civil servants.

Apart from remuneration, personnel expenses also include an amount of €11,533 representing training expenses for staff, which is a decrease of €7,705 compared to 2021. The reduction in related expenses is mainly due to the significant strengthening of staff carried out at the end of 2020 and during 2021, which resulted in a high training need for new recruits in 2021.

4. Other Expenses

This primarily includes expenses incurred by the service vehicle amounting to €6,441.

Next, the depreciation of furniture and computer equipment accounted for an amount of €41,981, following the investments made, and shows a slight decrease compared to €44,024 in 2021, mainly due to the fact that the depreciation of part of the fixed assets had reached its maximum in 2021.

Additionally, there are bank fees and similar charges amounting to €855 as well as negative interest of €5,026.

Finally, expenses related to the festivities for the 20th anniversary of the CNPD amounted to €45,525.

5. Provisions

In the context of an appeal against a decision of the CNPD, the legal fees incurred during the 2021 fiscal year have so far and in first instance amounted to €145,956. Given the developments in this case, a referral to the CJEU and an appeal against the subsequent decision of the Administrative Court are expected. The case, after returning on the preliminary questions posed to the CJEU, will therefore proceed to second instance, so it is necessary to provide for a provision for legal fees corresponding to the expenses incurred in 2021, namely €146,000 to cover both the services of the lawyer expected to defend the CNPD at the end of the first instance and those for the second instance.

6. Deferred Income

In December 2022, the CNPD launched, in collaboration with the Luxembourg House of Cybersecurity, the ALTO project (DATA Protection Compliance Support TOOLkit) which aims to address the challenges faced by startups and small and medium-sized enterprises established in the Grand Duchy of Luxembourg in the context of their compliance with the GDPR. As part of the co-financing of 90% of the costs of this project by the European Commission, the CNPD received an advance of €188,209. Considering that the expenses related to this project were limited in 2022 to an expenditure of €2,417, the balance of the said advance amounting to €186,033 has been accounted for as deferred income.

REVENUES

Although the CNPD does not have revenues in the strict sense of the term, it can nonetheless, under Article 47 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection, impose fees within the framework of its authorization and consultation powers.

Thus, revenues were limited to the rent related to the sub-leasing of parking spaces included in the lease for the headquarters located in the basement of the NAOS building, amounting to €22,141.

Additionally, there is an amount of €14,000 received under Article 3 of Regulation No. 7/2020 of April 3, 2020, of the National Commission for Data Protection setting the amount and payment terms of fees within the framework of its authorization and consultation powers, for the analysis of a request for prior approval.

Interest on bank accounts amounted to €10,327.

OPERATING RESULT

Considering the annual allocation of €8,284,314, which the National Commission for Data Protection benefited from the State under Article 47 of the aforementioned law of August 1, 2018, the positive operating result of the public establishment as of December 31, 2022, amounts to €9,544.09.

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2.0.

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swearing-in of experts, translators, and interpreters; 4° the amended law of December 9, 1976 regarding the organization of notaries; 5° the amended law of April 20, 1977 on games of chance and sports betting; 6° the amended law of March 7, 1980 on judicial organization; 7° the amended law of November 7, 1996 regarding the organization of administrative courts; 8° the law of December 30, 1981 regarding compensation in cases of ineffective preventive detention; 9° the amended law of March 15, 1983 on arms and ammunition; 10° the amended law of March 2, 1984 regarding compensation for certain victims of bodily harm resulting from an offense and the repression of fraudulent insolvency; 11° the amended law of December 4, 1990 regarding the organization of the bailiff service; 12° the law of January 31, 1998 regarding the approval of adoption services and defining the obligations incumbent upon them; 13° the law of May 6, 1999 regarding penal mediation and amending various provisions a) of the amended law of March 7, 1980 on judicial organization, b) of the social security code; 14° the law of November 12, 2002 regarding private security and surveillance activities; 15° the amended law of June 7, 2012 on judicial attachés

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- Supplementary Opinion on Bill No. 7863A on judicial referendums and amending 1° the modified law of March 7, 1980 on judicial organization; 2° the modified law of November 7, 1996 on the organization of administrative courts; 3° the modified law of July 27, 1997 on the organization of the Constitutional Court; 4° the modified law of June 7, 2012 on judicial attachés; 5° the modified law of April 16, 1979 establishing the general status of state civil servants; 6° the modified law of March 8, 2017 on Luxembourg nationality

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- Opinion on Bill No. 7985 amending 1° the modified law of February 14, 1955 on traffic regulations on all public roads;

2° the modified law of June 5, 2009 on initial qualification and continuing education of drivers of certain road vehicles used for the transport of goods or passengers; 3° the modified law of July 25, 2015 establishing the system of automated control and sanctions; 4° the modified law of April 16, 2003 on mandatory civil liability insurance for motor vehicles; 5° the modified law of December 19, 2014 facilitating the cross-border exchange of information regarding road safety violations; 6° the modified law of July 18, 2018 on the Grand-Ducal Police and the Grand-Ducal regulation amending the modified Grand-Ducal order of November 23, 1955 on traffic regulations on all public roads and other Grand-Ducal regulations (Deliberation No. 69/AV31/2022 of December 19, 2022)

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Opinion of the National Commission for Data Protection regarding the consultation debate on the analysis of the opportunity to introduce a sectoral or universal vaccination obligation (Deliberation No. 1/AV1/2022 of January 17, 2022)

In accordance with Article 57, paragraph 1, letter (c) of Regulation (EU) No. 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), which is referenced in Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures related to the protection of the rights and freedoms of natural persons with regard to processing."

By letter dated January 13, 2022, the Minister of Justice invited the National Commission to express its opinion on the summary note related to the consultation debate on the analysis of the opportunity to introduce a sectoral or universal vaccination obligation.

This summary note was drafted by the services of the Ministries of Justice, Health, State, Foreign and European Affairs, and representatives of the judicial authorities at the request of the Prime Minister, in order to allow the Deputies to become aware of the factual and legal elements related to the question of introducing a vaccination obligation (sectoral or general).

The authors of the summary note list a series of questions to be resolved in the event that the introduction of mandatory vaccination for the purpose of combating the Covid-19 pandemic is justified. Indeed, in this case, "it will be necessary to determine its framework, in particular its scope, the sanctions and the control mechanism, the implementation procedure, and the processing of data."

In this regard, the National Commission notes with satisfaction that attention has been paid to questions related to data processing. Indeed, it understands that the practical implementation of such a vaccination obligation, whether sectoral or universal, will inevitably involve the processing of personal data, and more specifically, special categories of personal data (within the meaning of Article 9 of the GDPR), both in terms of the invitations to be sent, the monitoring of the vaccination status of

the individuals concerned, and the management of the associated sanctions. In this case, it would therefore be necessary to strictly regulate data processing in compliance with the GDPR and all applicable legislation on the protection of personal data.

However, at this stage and in the absence of a draft or a grand-ducal bill or regulation, the CNPD is not in a position to identify more specific questions to which it could already contribute. It remains at the disposal of the Chamber of Deputies or the Government in the event that such a draft or project should come to fruition. In accordance with the aforementioned Article 57, paragraph 1, letter (c) of the GDPR, it would indeed have the mission to advise on such texts, insofar as they relate to issues concerning the protection of the rights and freedoms of natural persons with regard to the processing of personal data.

Thus decided in Belvaux on January 17, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Alain Herrmann

Commissioner

Marc Lemmer

Commissioner

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Opinion of the National Commission for Data Protection regarding the draft law no. 7872 amending 1° the amended law of December 19, 2008 concerning interadministrative and judicial cooperation and the strengthening of the means of the Administration of Direct Contributions, the Administration of Registration and Domains, and the Administration of Customs and Excise, and amending the amended law of February 12, 1979 concerning value-added tax; the general tax law ("Abgabenordnung"); the amended law of April 17, 1964 reorganizing the Administration of Direct Contributions; the amended law of March 20, 1970 reorganizing the Administration of Registration and Domains; the amended law of November 27, 1933 concerning the collection of direct contributions and social security contributions; 2° the amended law of December 27, 1817 on the collection of inheritance tax; 3° the amended law of August 7, 1920 increasing registration, stamp, inheritance duties, etc.

(Deliberation no. 2/AV2/2022 of March 4, 2022)

In accordance with Article 57, paragraph (1), letter (c) of Regulation no. 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

By letter dated August 17, 2021, the Minister of Finance invited the National Commission to express its opinion on the draft law amending 1° the amended law of December 19, 2008 concerning interadministrative and judicial cooperation and the strengthening of the means of the Administration of Direct Contributions, the Administration of Registration and Domains, and the Administration of Customs and Excise, and amending certain other laws (hereinafter referred to as the "draft law").

According to the explanatory memorandum, the draft law aims "to specifically extend the scope of the amended law of December 19, 2008 concerning interadministrative and judicial cooperation and the strengthening of the means of the Administration of Direct Contributions (hereinafter referred to as the "ACD"), the Administration of Registration and Domains (hereinafter referred to as the "AED"), and the

Administration of Customs and Excise. Indeed, the proposed provisions establish strengthened means to respond to the needs of interadministrative cooperation of the Administration of Registration, Domains, and VAT. The needs for VAT control, subscription tax, and effective management of state property will, indeed,

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beyond the provisions currently in force.”

It is further specified that “[i]n order for the AED to best fulfill its legal missions, namely the correct establishment of various taxes and duties, the fight against tax fraud, and the guarantee of the principle of equality of citizens and businesses before tax, it is indeed necessary to complement and broaden the scope of information exchange with the relevant state actors. Thus, the draft law enshrines the principle of close cooperation and creates the legal framework concerning the exchange of information between the AED and the Common Social Security Centre (CCSS), the minister responsible for Transport, the minister responsible for establishment authorizations, the Financial Sector Supervisory Commission (CSSF), and the Agency for the Development of Employment (ADEM). Indeed, these institutions hold the necessary information for the correct establishment and collection of the various taxes and duties under the jurisdiction of the AED.”

This opinion will limit its observations to issues concerning data protection aspects.

1. Preliminary Remarks

In accordance with Article 5, paragraph (1), letter b), of the GDPR, personal data must be collected for specified, explicit, and legitimate purposes, and not be processed subsequently in a manner incompatible with those purposes.

Recital 50 of the GDPR states that “[t]he processing of personal data for purposes other than those for which the personal data were initially collected should only be permitted if it is compatible with the purposes for which the personal data were initially collected. In this case, no legal basis distinct from that which allowed for the collection of the personal data is required. If the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller, Union law or the law of a Member State may determine and specify the tasks and purposes for which further processing should be considered compatible and lawful. (...) The legal basis provided by Union law or the law of a Member State regarding the processing of personal data may also constitute the legal basis for further processing. In order to establish whether the purposes of further processing are compatible with those for which the personal data were initially collected, the data controller, after having complied with all the requirements related to the lawfulness of the initial processing, should take into account, among other things: any link between these purposes and the purposes of the intended further processing; the context in which the personal data were collected, in particular the reasonable expectations of the data subjects based on their relationship with the data controller regarding the further use of such data; the nature of the personal data; the consequences for the data subjects of the intended further processing; and the existence of...

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appropriate safeguards both in the context of the initial processing and the subsequent processing provided for. ».

Regarding the conditions to be met in the context of processing for a purpose other than that for which the data was collected, these are set out in Article 6, paragraph (4), of the GDPR, which states that “[...] when the processing for a purpose other than that for which the data was collected is not based on the consent of the data subject or on Union law or the law of a Member State that constitutes a necessary and proportionate measure in a democratic society to safeguard the objectives referred to in Article 23, paragraph 1, the data controller, in order to determine whether the processing for another purpose is compatible with the purpose for which the personal data was initially collected, takes into account, among other things:

- a. the possible existence of a link between the purposes for which the personal data was collected and the purposes of the intended further processing;
- b. the context in which the personal data was collected, in particular regarding the relationship

between the data subjects and the data controller;

c. the nature of the personal data, in particular whether the processing concerns special categories of personal data, under Article 9, or whether personal data relating to criminal convictions and offenses are processed, under Article 10;

d. the possible consequences of the intended further processing for the data subjects;

e. the existence of appropriate safeguards, which may include encryption or pseudonymization."

As rightly recalled by the Council of State in its opinion of February 1, 2022, regarding the draft law¹ "[...] insofar as, in the context of the project under review, personal data will be transferred to a public authority other than the initial data controller for a purpose different from that for which the data was collected, this authority must verify the alternative conditions of Article 6, paragraph 4, of the GDPR that allow for the further processing of the data². The transfer of data

¹ Parliamentary document No. 7872/04 of February 1, 2022

² Cf. Opinion of the Council of State No. 53.126 of June 11, 2019, on the draft law concerning the limitation of the scope of certain rights and obligations in the context of the General Data Protection Regulation and concerning: 1. the implementation, in the area of financial sector and insurance supervision, of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation); 2. the amendment of the amended law of December 23, 1998, establishing a financial sector supervisory commission; and 3. the amendment of the amended law of December 7, 2015, on the insurance sector (parl. doc. No. 73733, p. 4); Opinion No. 60.001 of April 27, 2021, on the draft law relating to competition (parl. doc. No. 74798, p. 14).

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between public authorities may be legitimate if the subsequent processing is based on a legal provision that constitutes a necessary and proportionate measure in a democratic society to ensure one of the objectives referred to in Article 23, paragraph 1, of the GDPR." Furthermore, "[i]n accordance with Article 11, paragraph 3, of the Constitution, which establishes that exceptions to the guarantee by the State of the protection of privacy are reserved for law, the conditions under which data may be processed for a purpose other than that for which they were collected must be subject to a law, at least regarding the essential elements of the matter."

Moreover, as noted by the Council of State in its aforementioned opinion of February 1, 2022, the purpose pursued by the state actors concerned by the draft law could constitute "a necessary and proportionate measure in a democratic society to guarantee the objectives referred to in Article 23, paragraph 1, of the GDPR." Indeed, as recalled by the Council of State in this opinion, "the Court of Justice of the European Union has recognized that 'contributing to the fight against international fraud and tax evasion [...] constitutes a general interest objective for the Union.'"

Thus, while it is appropriate to commend the authors of the draft law for specifying the legal provisions aimed at regulating "the exchange of information with the concerned state actors" by the draft law, it should nevertheless be noted that certain clarifications would merit being provided. The National Commission will detail these points in its developments below.

2. On Article 1 of the draft law

Article 1 of the draft law aims to replace Article 10 of the amended law of December 19, 2008, concerning inter-administrative and judicial cooperation and the strengthening of the means of the ACD, the AED, and the Customs and Excise Administration (hereinafter the "amended law of December 19, 2008").

The provisions of Article 10, as replaced by the draft law, provide for the transmission of the record of self-employed workers affiliated with the CCSS by electronic means to the ACD and the AED "with a view to the correct establishment of direct taxes and [VAT] on income and turnover from the exercise of an agricultural, liberal, artisanal, or commercial profession."

The authors of the draft law justify such communication because the current means of the ACD and the AED are not "sufficient to identify all self-employed workers who carry out an activity in Luxembourg."

The article specifies that the data communicated by the CCSS to the ACD and the AED would be "the record of self-employed workers affiliated with their name,

3 In this sense, see M. Besch, "Processing of personal data in the public sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.472, n°619.

4 CJEU, C-245/19 and C-246/19, Luxembourg State, October 6, 2020, §86-87

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first name, address, registration number, gender, and place of activity".

It is appropriate to congratulate the authors of the draft law for specifying which personal data would be communicated as well as the purposes for which they would be transmitted.

Regarding the communication of the national identification number, the National Commission understands that it would be communicated based on Article 2, paragraph (2) of the law of June 19, 2013, relating to the identification of natural persons.

3. On Article 2 of the draft law

Article 2 of the draft law aims to introduce a new Article 10bis into the amended law of December 19, 2018, the provisions of which aim to establish the legal basis for the communication by the CCSS electronically to the AED of the "total number of employees per company as well as the total payroll per company on an annual basis" for the purpose of verifying the accurate collection of VAT.

According to the commentary on the articles, no personal data would be communicated. Therefore, in such a case, the GDPR would not apply.

4. On Article 3 of the draft law

Article 3 of the draft law aims to introduce a new paragraph (2) to Article 14 of the amended law of December 19, 2018.

This article states that "[i]n view of verifying the accurate collection of value-added tax, the ministry responsible for Transport shall electronically transmit to the Administration of Registration, Domains, and VAT the following data relating to vehicles subject to registration and held by VAT taxpayers:

1. The name of the holder of the vehicle registration certificate or, where applicable, the names of the owners or holders of the vehicle, provided that they are registered in the national database of motor vehicles, as well as their national registration number;

2. The chassis number, registration number, make and model of the vehicle, vehicle category, body type, dates of first registration and de-registration, the date of first registration, the date of registration in the Grand Duchy of Luxembourg, as well as the exemptions from value-added tax concerning vehicles.

The conditions, criteria, and modalities for the exchange between the ministry responsible for Transport and the Administration of Registration, Domains, and VAT are determined by grand-ducal regulation."

It is appropriate to congratulate the authors of the draft law for specifying which personal data would be transmitted for the purpose of verifying the accurate collection of VAT by the minister responsible for Transport to the AED.

However, it is regrettable that the draft grand-ducal regulation, which aims to set the conditions, criteria, and modalities for the exchange, was not transmitted to the CNPD at the same time as the draft law to assess whether it would raise issues from a data protection perspective.

5. On Article 4 of the draft law

Article 4 of the draft law aims to introduce 4 new articles following Article 15 of the aforementioned amended law of December 19, 2008, namely the new articles 15bis (A), 15ter (B), 15quater (C), and 15quinquies (D).

A. On Article 15bis

Article 15bis aims to provide direct access to the AED "through a computer system, to the business register of the minister responsible for establishment authorizations" for the purpose of verifying the accurate collection of VAT.

According to the aforementioned opinion of the Council of State, this would involve access to the

register of establishment authorizations “which, moreover, is already accessible to the public via the Guichet.lu website.”

Insofar as the terminology used by the Council of State differs from that used by the authors of the draft law, it is appropriate to question which register is actually referred to in the text under review. The National Commission wonders whether it might not be the business register referred to in Article 32, paragraph (1) of the amended law of September 2, 2011, regulating access to the professions of craftsman, merchant, industrialist, as well as certain liberal professions?

In any case, it is regrettable that the modalities for accessing such a register are not specified by the authors of the draft law.

Finally, it should be recalled that under the principle of data minimization, only personal data that are necessary for achieving the purposes pursued by the data controller, namely the verification of the accurate collection of VAT, should be consulted.

B. On Article 15ter

Article 15ter aims to provide for the communication by the ADEM to the AED of the “information and documents relating to abuses identified in the area of undeclared work carried out by beneficiaries of unemployment benefits” and the communication by the AED to the ADEM “of the violations identified in the area of VAT by beneficiaries of unemployment benefits.”

The authors of the draft law specify in the commentary on the articles that “it is created...

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between the two administrations a targeted “bidirectional exchange of information” and that “this provision introduces the possibility of a limited exchange of information between competent services, allowing for more effective action against these competitive distortions concerning the relevant economic sectors and securing the interests of the Treasury regarding VAT to be collected, on the one hand, and unemployment benefits to be reimbursed, on the other hand.”

Furthermore, they also specify that the Minister of Labor and the ADEM already have direct access “to the databases related to VAT” as provided for in Article L.621-3 of the Labor Code “without reciprocity, however.”

While it is appropriate to commend the authors of the bill for providing the principle of such an exchange of personal data, it is regrettable, as noted by the Council of State, that the provisions under review do not specify what the purposes for which the data would be communicated would be, nor what categories of data are concerned.

Indeed, regarding the categories of data that would be subject to such an exchange, the bill indicates that it would involve “information and documents related to abuses identified in the area of undeclared work” and “offenses identified in the area of VAT by beneficiaries of unemployment benefits.”

However, in the absence of clarifications on this matter in the commentary on the articles, and insofar as these provisions are formulated too vaguely, it is necessary to question what categories of data would actually be targeted by such provisions.

Moreover, it should be noted that while the purposes of such a data exchange are specified in the commentary on the articles, they do not appear in the text of the bill.

It is important to recall that in order to meet the requirements of clarity, precision, and predictability that a legal text must fulfill, and in accordance with the jurisprudence of the Court of Justice of the European Union and the European Court of Human Rights, the authors of the bill should provide such clarifications in the text under review.

In the absence of such clarifications, the National Commission is therefore not in a position to assess whether the principle of data minimization would be respected in this case.

C. On Article 15quater

Article 15quater aims to provide that the CSSF shall provide, upon request from the AED.

7 In this regard, see M. Besch, “Processing of personal data in the public sector,” *Standards and Legislation in Luxembourg Public Law*, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; See, among others, ECtHR, *Zakharov v. Russia* [GCL n°47413/06], § 228-229, December 4, 2015, ECtHR, *Vavřicka and others v. Czech Republic* (applications n°47621/13 and 5 others), § 276 to 293, April 8,

2021.

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"all information, acts, and documents in its possession and concerning the entities subject to its supervision, provided that these information, acts, and documents are necessary for the [AED] in the context of the strict exercise of its legal mission for the verification of the accurate collection of value-added tax and subscription tax."

The provisions further stipulate that the information obtained may only be used for the purposes for which it was communicated. Finally, the article under review specifies that when the information comes from foreign authorities, its transmission by the CSSF to the AED can only occur with the explicit agreement of said authorities.

While it is appropriate to commend the authors of the draft law for such clarifications, the CNPD wishes to make the following observations.

Regarding the exchange of information for the purpose of verifying the accurate collection of VAT, it appears from the commentary on the articles that the information, acts, and documents that would be transmitted to the AED would be those referred to by "the provisions of the Grand-Ducal Regulation of December 14, 2011, determining the procedure for filing the accounting bundle, Article 8 of the Commercial Code, and Article 75 of the amended law of December 19, 2002, concerning the trade and companies register as well as the accounting and annual accounts of companies, the entities subject to the supervision of the CSSF (with the exception of support PSFs) that are exempt from preparing and filing their balance sheets, income statements, and their chart of accounts on the eCDF basis, that is to say, in a standardized manner."

It should be recalled that the GDPR will only apply if the exchange as provided for in the draft law involves the processing of personal data.

In this regard, it should be specified that Article 4 of the GDPR defines personal data as

"any information relating to an identified or identifiable natural person (hereinafter referred to as the 'data subject'); an 'identifiable natural person' is one who can be identified, directly or

indirectly, particularly by reference to an identifier, such as a name, an identification number, location data, an online identifier, or to one or more specific elements related to their physical, physiological, genetic, mental, economic, cultural, or social identity."

Furthermore, Recital 14 of the GDPR states that "[t]his regulation does not cover the processing of personal data concerning legal persons, and in particular companies with legal personality, including the name, legal form, and contact details of the legal person." However, information relating to legal persons may, where appropriate, concern natural persons and thus be considered as personal data.

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Indeed, the "Article 29" working group in its opinion 4/2007 on the concept of personal data dated June 20, 2007, WP 136, states that "information relating to legal entities may also be considered as 'concerning' natural persons as such (...). This may be the case when the name of the legal entity is derived from that of a natural person. Another scenario is that of an email address of a company that is normally used by an employee, or information concerning a small business (from a legal perspective, an 'object' rather than a legal entity) that may eventually describe the behavior of its owner."

Furthermore, the "Guidelines on the Regulation concerning a framework applicable to the free flow of non-personal data in the European Union," COM(2019) 250 final of May 29, 2019, also specify under which circumstances data relating to legal entities may constitute personal data.

However, in the event that personal data would be processed and to the extent that the text under review does not specify the information that would be communicated by the CSSF to the AED, it is difficult to assess whether the principle of data minimization would be respected.

Moreover, it is appropriate to commend the authors of the draft law for having specified in the commentary on the articles that "[t]he regulatory framework concerning the cooperation of the CSSF and the AED is to be regarded as an exception to the obligation of professional secrecy of these two authorities. It should be recalled that this professional secrecy is 'reinforced,' in that its violations are punishable by the criminal sanctions provided for in Article 458 of the Penal Code. It follows from this criminal context that exceptions to secrecy must be provided for by law and are to be interpreted strictly, and that consequently, the framework allowing the exchange of information must be established by law to ensure an adequate level of legal security. The AED being subject to tax secrecy, the information that will be transmitted by the CSSF under this draft law will benefit from at least equivalent protection regarding professional secrecy as that referred to in Article 16 of the amended law of December 23, 1998, establishing a commission for the supervision of the financial sector."

D. On Article 15quinquies

Article 15quinquies aims to provide that "ministries, administrations, services, and public establishments of the State shall, upon request, provide the [AED] with all information, acts, and documents in their possession, necessary for the purpose of using automated or non-automated processes."

8 The "Article 29" working group was an advisory body that advised the Commission on data protection issues and contributed to the development of harmonized data protection policies in the EU. After the implementation of the GDPR on May 25, 2018, the European Data Protection Board succeeded this working group.

the exercise of its powers in the field of property”.

In the absence of clarifications in the draft law and in the commentary on the articles regarding the information, acts, and documents that would, if applicable, be transmitted to the AED, and to the extent that the provisions are formulated vaguely, it is difficult to assess whether the principle of data minimization would be respected in this case.

In this regard, it should be recalled that only the data necessary for the AED in the context of the exercise of its powers in the field of property should be processed.

6. On the right to information

It appears from the draft law that the data subject to the exchanges referred to in the draft law will be collected indirectly, as they will be transmitted not directly by the data subjects but by an administration.

Therefore, the data controllers should, in principle, provide all the information required by Article 14 of the GDPR within the time limits set out in Article 14, paragraph (3), of the GDPR.

However, pursuant to Article 14, paragraph (5), of the GDPR, the obligation of prior information does not apply when “the obtaining or communication of the information is expressly provided for by Union law or the law of the Member State to which the data controller is subject and which provides for appropriate measures to protect the legitimate interests of the data subject.”

Thus, while it is commendable that the authors of the draft provide for such communications in a legal text, it should be noted that the text under review remains silent on the aforementioned appropriate measures that would, if applicable, be provided.

It would be advisable to ensure that such measures are implemented and are also included in the draft legal text.

7. On the security of processing

In accordance with Article 5, paragraph (1), letter f), of the GDPR, personal data must be “processed in a manner that ensures appropriate security of personal data, including protection against unauthorized or unlawful processing and against accidental loss, destruction, or damage, using appropriate technical or organizational measures (integrity and confidentiality).”

Article 32 of the GDPR further states that “the data controller and the processor implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk.” Such measures must be implemented to avoid, in particular, unauthorized access to data, data breaches, or unwanted modifications.

Thus, in the context of implementing data exchanges between different administrations via computer means, or through automated or non-automated processes, such security measures should be implemented by the various data controllers to ensure the confidentiality and security of the data.

In this context, it is strongly recommended to define an access management policy to be able to identify from the outset the person or service within each concerned administration and to which specific data this person or service would have access.

Furthermore, it is necessary to provide for an access logging system. In this regard, the CNPD recommends that logging data be retained for a period of five years from their recording, after which they are deleted, unless they are subject to a control procedure.

The CNPD also emphasizes the importance of proactively conducting internal audits. To this end, it is necessary, in accordance with Article 32, paragraph (1), letter d) of the GDPR, to implement a procedure “to regularly test, analyze, and evaluate the effectiveness of the technical and organizational measures to ensure the security of processing.”

Thus decided in Belvaux on March 4, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Alain Herrmann

Commissioner

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Notice from the National Commission for Data Protection regarding Bill No. 7955 amending 1° the amended law of August 3, 2005 concerning sports and 2° the amended law of July 31, 2006 introducing a Labor Code (Deliberation No. 3/AV3/2022 of March 4, 2022)

In accordance with Article 57, paragraph (1), letter (c) of Regulation No. 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 concerning the organization of the National Commission for Data Protection and the general regime on the protection of personal data refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPd") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures related to the protection of the rights and freedoms of natural persons with regard to processing."

By letter dated January 19, 2022, the Minister of Sports invited the National Commission to express its opinion on the bill amending 1° the amended law of August 3, 2005 concerning sports and 2° the amended law of July 31, 2006 introducing a Labor Code (hereinafter referred to as the "bill"). According to the explanatory memorandum, the bill aims to reform the provisions related to sports leave.

This opinion will limit its observations to issues concerning data protection aspects, particularly raised by Article 1, 4° of the bill.

This article aims to introduce Article 15-7 into the amended law of August 3, 2005 concerning sports. The provisions of the new Article 15-7 provide for the creation of an electronic register whose "purposes are the management and administrative follow-up of requests for sports leave as well as the reimbursement of allowances to employers and the compensation of individuals engaged in self-employed activities."

It is further specified that the "minister responsible for sports has the status of data controller within the meaning of Regulation (EU) 2016/679."

It is appropriate to commend the authors of the bill for having provided for the principle of creating a register maintained by the minister responsible for sports (hereinafter referred to as the "minister"), as well as the purposes of such a register in accordance with Article 6, paragraph (3) of the GDPR. Indeed, this article provides for a particular constraint related to the lawfulness of data processing necessary for compliance with a legal obligation or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller. In these two scenarios, the basis and the

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The purposes of data processing must be specifically defined either by European Union law or by the law of the Member State to which the data controller is subject.

Furthermore, Recital (45) of the GDPR specifies that it should "[...] belong to the law of the Union or the law of a Member State to determine the purpose of the processing. Moreover, this law could specify the general conditions of this regulation governing the lawfulness of the processing of personal data, establish the specifications aimed at determining the data controller, the type of personal data subject to processing, the data subjects, the entities to which the personal data may be communicated, the limitations of purpose, the retention period, and other measures aimed at ensuring lawful and fair processing. [...]"

Under the aforementioned provisions, these legal bases should establish specific provisions aimed at determining, among other things, the types of data processed, the data subjects, the entities to which the data may be communicated and for what purposes, the data retention periods, as well as the operations and procedures for processing.

Thus, although the provisions of the new Article 15-7 already provide for the principle of creating a register maintained by the minister, these should be supplemented by the aforementioned elements. It should also be recalled that the minister must respect all the principles set out in Article 5 of the

GDPR.

The latter, in accordance with the principle of data minimization, must in particular ensure that only data that is adequate, relevant, and necessary for the management, administrative follow-up of sports leave requests, as well as for the reimbursement of allowances to employers and the compensation of individuals engaged in professional activities, is collected.

In the absence of clarifications regarding the categories of data that would be collected by the minister, the national commission is not in a position to assess whether the principle of data minimization would be respected.

Furthermore, the CNPD also draws the attention of the authors of the draft law to the principle of data retention limitation. Under this principle, data must not be retained longer than necessary for the purposes for which it is collected and processed.

In the absence of clarifications on this matter in the draft law and in the commentary on the articles, the national commission is not in a position to assess whether, in this case, the principle of limited data retention is respected.

Finally, the provisions of paragraph 2 of the new Article 15-7 of the amended law of August 3, 2005, concerning sports, which provide that data processing is subject to the GDPR, may be superfluous since the GDPR, as a European regulation, is mandatory in all its elements and directly applicable in Luxembourg.

Thus decided in Belvaux on March 4, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

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Opinion of the National Commission for Data Protection regarding the draft law no. 7892 amending 1° the modified municipal law of December 13, 1988; 2° the modified law of July 10, 2011 concerning the organization of the National Institute of Statistics and Economic Studies and amending the modified law of June 22, 1963 establishing the regime for the processing of state officials; 3° the modified law of June 19, 2013 relating to the identification of natural persons.

(Deliberation no. 4/AV4/2022 of March 4, 2022)

In accordance with Article 57, paragraph (1), letter (c) of Regulation no. 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

By letter dated September 20, 2021, the Minister of the Interior invited the National Commission to express its opinion on the draft law amending 1° the modified municipal law of December 13, 1988; 2° the modified law of July 10, 2011 concerning the organization of the National Institute of Statistics and Economic Studies and amending the modified law of June 22, 1963 establishing the regime for the processing of state officials; 3° the modified law of June 19, 2013 relating to the identification of natural persons (hereinafter referred to as the "draft law").

According to the explanatory memorandum, the draft law aims in particular to allow the determination of the number of councilors and aldermen of the various municipalities not based on the decennial population censuses but according to the number of inhabitants registered in the national register of natural persons (hereinafter referred to as the "RNPP") and clarifies the "role of municipalities during

population censuses (decennial)."

1. On Articles 3 and 5 of the Draft Law

Article 3 of the draft law aims to replace Article 5ter of the modified municipal law of December 13, 1988 with a new Article 5ter which provides in particular that "[t]he number of members of the municipal council allocated to each municipality, taking into account the actual population, is determined based on the national register of natural persons."

Article 5 of the draft law also introduces the same modalities for determining the number of aldermen to be allocated to each municipality.

According to the explanatory memorandum, the authors of the draft law indicate in this regard that "the data will either be made available by

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the Centre for Information Technology of the State in Article 4, Paragraph 1, Point 2 of the amended law of June 19, 2013, relating to the identification of natural persons, shall be made available on the Luxembourg data platform "data.public.lu" at the end of each quarter. If necessary, the data will be provided by STATEC.

Article 4, Paragraph 1, Point 2 of the amended law of June 19, 2013, relating to the identification of natural persons states that "[a] national register is established for the purposes of (...) making data of natural persons available to the data controllers of public bodies within the limits of the legal missions of these bodies or, provided that the data is anonymized, for statistical purposes."

The authors of the bill specify that the determination of the number of members of the municipal council as well as that of the aldermen will be based on the RNPP and in accordance with the aforementioned provisions of the amended law of June 19, 2013, relating to the identification of natural persons.

The authors of the bill further provide that the determination of the number of members of the municipal council and the aldermen could alternatively be based on "data" that would be provided by STATEC. Such an alternative is mentioned in the explanatory memorandum but is not provided for in the text under review.

In the absence of clarifications on this matter in the bill and in the interest of data quality, one must question the reasons for such an alternative when the authors of the bill intend to "replace the general population census as the database with the national register of natural persons" in order to obtain, in particular, "more current" figures.

The CNPD thus wonders what the "added value" of such an alternative would be, especially if the data obtained by STATEC is based on the RNPP? What would also be the interest of such communication if the data obtained by STATEC is based on the general population census when the authors of the bill intend to abandon such a mechanism? Furthermore, regarding the origin of the data that would be obtained by STATEC, reference is made to the observations made by the CNPD in its opinion on the draft Grand-Ducal regulation prescribing a general population census, housing, and buildings of the Grand Duchy as of June 1, 2021, according to which the provisions of Article 13 of the amended law of July 10, 2011, concerning the organization of STATEC, are drafted vaguely and do not meet the criteria of precision and clarity that a legal text must comply with.

In any case, if the intention of the authors of the bill is to provide that STATEC transmits to the municipalities data serving as a basis for determining the number of members of the municipal council and the aldermen, then this should be expressly reflected in the bill, in order to respect the principle of predictability and precision that any legal or regulatory text must meet.

2. On Article 6 of the Bill

According to the commentary on the articles, Article 6 of the bill "aims to take into account, in the text of the law, that general population censuses are carried out with the collaboration of the municipalities, the exact modalities of which are set by Grand-Ducal regulation."

The authors of the bill thus propose to amend Article 2, Point 5, of the amended law of July 10, 2011, concerning the organization of the National Institute of Statistics and Economic Studies and amending the amended law of June 22, 1963, establishing the regime of remuneration of State officials.

While such clarifications are to be welcomed, the CNPD would like to refer to its observations made in its opinion on the draft Grand-Ducal regulation prescribing a general population census, housing, and buildings of the Grand Duchy as of June 1, 2021, regarding the role of municipalities in the implementation of the general population census from a data protection perspective.

Thus decided in Belvaux
on March 4, 2022.
The National Commission
for Data Protection

Tine A. Larsen
President
Thierry Lallemand

Commissioner
Alain Herrmann
Commissioner

11 In this sense, see M. Besch, "Processing of Personal Data in the Public Sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; see, among others, ECtHR, Zakharov v. Russia [GCL n°47413/06], § 228-229, December 4, 2015.

12 Deliberation n°23/AV18/2021 of June 1, 2021.

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Supplementary Opinion of the National Commission for Data Protection
Regarding Bill No. 7763

1. Introducing a works fund;
2. Amending the amended law of May 16, 1975, on the status of co-ownership of built properties (Deliberation No. 5/AV5/2022 of March 4, 2022)

In accordance with Article 57, paragraph 1, letter (c) of Regulation No. 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, on the organization of the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPd") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures concerning the protection of the rights and freedoms of natural persons with regard to processing."

On May 14, 2021, the National Commission notified its opinion on Bill No. 7763

1. Introducing a works fund;
2. Amending the amended law of May 16, 1975, on the status of co-ownership of built properties (hereinafter referred to as the "Bill").

On November 30, 2021, the Minister of Housing invited the CNPD to express its opinion on the governmental amendments to the Bill, which was approved by the Government Council in its session of November 26, 2021 (hereinafter referred to as the "governmental amendments").

After analyzing the governmental amendments, the CNPD could not identify any new issues regarding the protection of the rights and freedoms of natural persons with regard to the processing of personal data other than those already raised in its previous opinion.

Nevertheless, it should be noted that the governmental amendments do not address the concerns raised by the CNPD in its opinion of May 14, 2021, regarding the issues it faces in processing requests for information and complaints concerning the transparency of information provided by the property manager to the co-owners.

Therefore, the National Commission wishes to reiterate its observations made in its aforementioned opinion, in which it considers that "it might be useful to clarify in the provisions of the Grand-Ducal Regulation of June 13, 1975, prescribing the implementing measures of the law of May 16, 1975, on

the status of co-ownership of built properties, and in particular in Article 5 thereof, whether and under what conditions the transmission by the property manager of the detailed individual accounting situation of a co-owner to the other co-owners (respectively to the members of the co-ownership council) is possible. Indeed, outside of such a legal provision, the National Commission does not see what other condition of lawfulness within the meaning of Article 6 of the GDPR would serve to legitimize such transmission of data by the property manager to third parties."

Thus decided in Belvaux on March 4, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

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Alain Herrmann

Commissioner

to collect and process personal data as part of the national screening mechanism for foreign direct investments. The Commission emphasizes the importance of ensuring that any processing of personal data complies with the principles set out in the General Data Protection Regulation (GDPR).

1. ****Legal Basis for Data Processing****

The Commission notes that the legal basis for processing personal data must be clearly defined in the proposed legislation. It is essential to specify the purposes for which personal data will be collected and processed, as well as the categories of data subjects involved.

2. ****Data Minimization Principle****

The Commission stresses the necessity of adhering to the principle of data minimization. Only data that is strictly necessary for the purposes of the screening process should be collected. This principle is crucial to protect the privacy of individuals whose data may be processed.

3. ****Transparency and Information to Data Subjects****

The Commission highlights the need for transparency regarding the processing of personal data. Data subjects should be informed about the collection and processing of their data, including their rights under the GDPR. This includes the right to access their data and the right to request rectification or erasure.

4. ****Data Retention Period****

The Commission recommends that the proposed legislation specify a clear data retention period for personal data collected during the screening process. Data should not be retained longer than necessary for the purposes for which it was collected.

5. ****Data Security Measures****

The Commission emphasizes the importance of implementing appropriate technical and organizational measures to ensure the security of personal data. This includes protecting data against unauthorized access, loss, or destruction.

6. ****International Data Transfers****

If the screening mechanism involves the transfer of personal data to third countries, the Commission advises that the proposed legislation must comply with the requirements set out in the GDPR regarding international data transfers.

In conclusion, the Commission national for the protection of data urges the legislators to take into account the observations made regarding the processing of personal data within the framework of the national screening mechanism for foreign direct investments. The protection of individuals' privacy and personal data must be a priority in the implementation of this legislation.

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to collect and process information

in the context of notifications regarding foreign direct investments submitted to it.¹⁴ Indeed, the draft law specifies that a foreign investor wishing to make an investment of any kind and "which serves to create or maintain lasting and direct relationships between the foreign investor and the Luxembourg legal entity to which these funds are intended, thus enabling the foreign investor to effectively participate in the control of this entity with a view to carrying out an activity in the Grand-Duchy of Luxembourg listed in Article 2 of this law"¹⁵ is subject to mandatory notification to the minister responsible for the Economy before making such an investment. In the context of this notification, the foreign investor must provide a certain number of information, which are included in Article 6, paragraph 1 of the aforementioned draft law. This information will be communicated by the minister responsible for Foreign and European Affairs to other Member States as well as to the European Commission if it concerns an investment for which a filtering procedure is initiated.¹⁶

The National Commission notes that the collection and transmission of certain information listed in Article 6, paragraph 1 of the draft law would be subject to the principles and obligations of the GDPR in the event that this information concerns natural persons who can be identified, directly or indirectly, and thus constitute personal data within the meaning of Article 4 (1) of the GDPR. Thus, the collection of information on the beneficial owner (Article 6, paragraph 1 (1) of the draft law) constitutes processing of personal data since it concerns a natural person, in accordance with the definition of the beneficial owner in Article 1, paragraph 7, of the amended law of November 12, 2004, on the fight against money laundering and against the financing of terrorism, and capital participation.

Conversely, other information relating to legal entities and without direct or indirect links to a natural person would not be subject to the principles and obligations of the GDPR. Indeed, recital 14 of the GDPR specifies that the GDPR "(...) does not cover the processing

of personal data concerning legal persons, and in particular companies with legal personality, including the name, the legal form, and the contact details of the legal person." However, it should be noted that information relating to legal entities may, where applicable, also concern natural persons (for example: if they include the name of the manager).

14 Article 5, paragraph 1 of the draft law

15 Definition in Article 3, paragraph 2 of the draft law

16 Article 15, paragraph 1 of the draft law

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of the company) and should therefore be considered as personal data.

In this context, it is important to note that regarding the collection of additional information, it is difficult for the National Commission to know whether personal data would actually be requested. Indeed, no specifics are provided regarding this information in the draft law.

In the event that data processing is carried out in the context of implementing the draft law, it should be recalled that the processing of personal data must be based on a lawful basis as per Article 6 of the GDPR. Among these lawful bases is Article 6(1)(c) of the GDPR, which states that "the processing is necessary for compliance with a legal obligation to which the controller is subject."

In accordance with Article 6(3) of the GDPR, this legal obligation must define the purposes of the processing and may contain "specific provisions to adapt the application of the rules of this regulation, including: the general conditions governing the lawfulness of processing by the controller; the types of data subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and the processing operations and procedures, including measures to ensure lawful and fair processing, such as those provided for in other specific processing situations as set out in Chapter IX [of the GDPR]."

Recital 41 of the GDPR further specifies that this legislative measure should be clear and precise and its application should be foreseeable for the individuals concerned, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights.

However, the CNPD questions the compliance with these conditions regarding the categories of personal data that are subject to processing and the retention period of this data.

a) On the categories of personal data

Article 6(1) of the draft law lists the information that the foreign investor must communicate, including information on the beneficial owner. However, the draft law does not specify the categories of data that must be submitted in the context of this notification.

Article 6(3) of the draft law further specifies that "If the information...

17 In this sense, see M. Besch, "Processing of personal data in the public sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.470, n°619. See among others ECtHR, Zakharov v. Russia [GCL n°47413/061, § 228-229, December 4, 2015, ECtHR, Vavrieka and others v. Czech Republic (applications n°47621/13 and 5 others), § 276 to 293, April 8, 20i.

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obtained from the foreign investor do not allow for a decision regarding the initiation of the screening procedure; a request for any additional information beyond that referred to in paragraph 1 of this article will be addressed to the foreign investor." Article 8 also provides in its paragraph 2 for the possibility for ministers to request additional information beyond that referred to in Article 6 of the said draft law, and this throughout the duration of the screening procedure. In the absence of precision regarding the types of additional information and data on the beneficial owners that may be requested from the

foreign investor by the ministers, the CNPD believes that the draft law under review does not meet the requirements of clarity, precision, and predictability that a legal text must fulfill, in accordance with the jurisprudence of the Court of Justice of the European Union and the European Court of Human Rights. To address this legal uncertainty regarding this interpretation and to ensure the compliance of the Luxembourg legal framework with the GDPR and European jurisprudence, the CNPD suggests to the authors of the draft law to clarify the type of personal data that foreign investors should communicate. Furthermore, the National Commission notes that illegal or criminal investor activities and participation in activities that undermine security or public order in a Member State are included in the list of screening factors that may be taken into account for the decision in the screening procedure. Therefore, the National Commission wishes to remind that the processing of personal data related to criminal convictions and offenses can only be carried out under the control of a public authority, or if the processing is authorized by Union law or by the law of a Member State that provides appropriate safeguards for the rights and freedoms of the data subjects.

b) On the retention period

According to Article 5 paragraph (1), letter e) of the GDPR, personal data must not be kept longer than necessary for the purposes for which they are collected and processed.

In accordance with Article 13 paragraph 2 of the draft law, "Personal data related to the implementation of this law shall be kept in a form that permits identification of the data subjects for a period not exceeding that necessary in relation to the purposes for which they are processed."

18 In this sense, see M. Besch, "Processing of personal data in the public sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; See among others ECtHR, *Zakharov v. Russia* [GCL n°47413/06], § 228-229, December 4, 2015.

19 Article 9 paragraph 2 (2) and (3) of the draft law.

20 Article 10 of the GDPR.

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Even though this article refers to the principle of data retention limitation already provided for in the GDPR, the National Commission regrets that the authors of the draft law did not specify more precisely the retention periods for data processed in the context of notification and filtering procedures. Indeed, without being able to concretely assess this duration, it is unable to determine whether, in this instance, this principle is respected in concreto. It would be appropriate to establish a duration equal to that of the filtering procedure or to stipulate that they are retained for a short period predetermined by law, after the filtering procedure. In the event that it is impossible to determine a precise retention period in the draft law, it should at a minimum specify the criteria that would be taken into account or used to determine the retention period of personal data. Furthermore, the CNPD wishes to remind that, in any case, the data controller is required to inform the data subject of the specific retention period of personal data as part of its prior information obligations in accordance with Articles 12 and 13 of the GDPR.

Moreover, it seems from reading this article that personal data other than that communicated by the foreign investor in accordance with Article 6 paragraphs 1 and 3 or Article 8 paragraph 2 of the draft law may be retained. In this context, the National Commission reminds that the draft law cannot constitute a legal basis for the processing of personal data that is not collected from the foreign investor, as it does not mention the processing of such data. Therefore, the National Commission suggests that the authors of the draft law include a reference to the personal data collected in accordance with Articles 6 paragraph 1 and 3 or Article 8 paragraph 2 of the draft law instead of mentioning "the personal data related to the implementation of the law," in order to clarify precisely which categories of data are retained.

II. On the definition of data controllers

According to Article 13 paragraph 1 of the draft law, "[t]he ministers are the joint controllers of the data processing carried out under this law, except for data processing made available by the State Intelligence Service for which the State Intelligence Service remains the data controller." This article defines the ministers as "joint controllers of the data processing under this law," without specifying the related data processing.

a) On the notion of joint controllers of processing

It should be noted in this regard that Article 26 of the GDPR provides that joint controllers of data processing "shall transparently define their respective obligations in order to ensure compliance with the requirements of the [GDPR], in particular concerning the exercise of the rights of the data subject, and their respective obligations regarding the communication of the

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information referred to in Articles 13 and 14, by way of agreement between them unless, and to the extent that, their respective obligations are defined by Union law or by the law of the Member State to which the data controllers are subject." However, the CNPD notes that the distribution of the aforementioned obligations is not reflected in the text under review.

The National Commission also notes that the definition of "ministers" is not found in the draft law but in Article 1, paragraph 2 of the draft Grand-Ducal regulation titled "Interministerial Committee for Investment Screening." This results in a difficulty for the concerned parties to identify the data controllers in order to exercise their rights. The inclusion of a definition of data controllers in the draft law is all the more desirable given the number of different actors involved in the implementation of the procedures described in the draft law.

b) On the separate designation of the State Intelligence Service as data controller

According to Article 13 of the draft law under review, the State Intelligence Service (hereinafter "SRE") "remains the data controller for the data processing made available by the State Intelligence Service." Unfortunately, it is not clear from this wording whether the SRE should be considered the sole data controller, or rather as a joint controller with the ministers for the processing of this type of data. However, the CNPD understands from the commentary on Article 13, paragraph 1 of the draft law that the SRE should be the sole data controller for the personal data it makes available to the interministerial committee.

However, the National Commission questions the designation of different data controllers for the processing carried out in the context of the interministerial committee, depending on the origin of the data.

Although according to Article 4 (7) of the GDPR it is possible for the national legislator to designate one or more data controllers when the purposes and means of a processing are specified in a legislative act, this designation must reflect the reality of the decision-making power of the body designated as the data controller.

Indeed, in accordance with Article 4 (7) of the GDPR, the data controller is the one who "determines the purposes and means of the processing." According to the guidelines 7/2020 of the European Data Protection Board (EDPB) on the concepts of controller and processor in the GDPR, the data controller is the entity that decides on essential questions of processing. However, the CNPD does not
21 Page 11, section 20, 2.1.2 "Determines" in the guidelines 7/2020 on the concepts of controller and processor in the GDPR of the European Data Protection Board (EDPB), available in English at the following address: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-072020-concepts-controller-and-processor-gdpr_en.

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does not see why decision-making powers would, in one case, jointly fall under different ministries, and in other cases under the SRE, depending on the origin of the processed data. Therefore, the designation of the SRE as the sole data controller for the processing of data made available by the SRE and the ministers for other types of data seems artificial to him.

The CNPD understands from reading the commentary on Article 13 of the draft law that the authors of the draft law actually intended to clarify that the processing of data made available by the SRE would remain subject to the law of August 1, 2018, relating to data processing in criminal matters.

It is true that, according to its Article 1, paragraph 1, this "law applies to the processing of personal data carried out for the purposes of preventing and detecting criminal offenses, investigations and prosecutions in this area, or the enforcement of criminal sanctions, including protection against threats to public safety and the prevention of such threats, by any competent public authority or any other

body or entity to which the exercise of public authority and public power prerogatives has been entrusted for these same purposes, hereinafter referred to as 'competent authority'." Therefore, data processing falls under the scope of the law of August 1, 2018, relating to data processing in criminal matters to the extent that it is carried out for the purposes specified above by a competent authority in accordance with Article 2, paragraph 1, point 7 of said law.

However, in the eyes of the CNPD, the processing of personal data carried out within the framework of notification and authorization procedures could not be considered as data processing "for the purposes of preventing and detecting criminal offenses, investigations and prosecutions in this area, or the enforcement of criminal sanctions." Indeed, although the object of the draft law in question is, according to Article 1, to establish a national screening mechanism for foreign direct investments that may threaten security or public order and to set up a cooperation mechanism among the Member States of the European Union, the National Commission understands that the processing aims to enable decision-making in administrative procedures and does not pursue the prevention or protection against threats to public safety.

In light of these observations, an application of the law of August 1, 2018, relating to data processing in criminal matters does not seem possible for the processing of personal data within the framework of the procedures described in the draft law under review, regardless of the origin of the processed personal data. The necessity to introduce a distinct responsibility for the processing of data made available by the SRE therefore seems inappropriate if the sole objective of the authors of the text is to clarify the application of the law of August 1, 2018, relating to data processing in criminal matters, beyond the fact that this distinct responsibility seems artificial to him, as developed above.

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Furthermore, if another objective of introducing the responsibility of the SRE is to limit the rights of the data subject concerning the personal data transmitted by the SRE, it should be noted that Article 23 of the GDPR opens the possibility of limiting this right of access by adding a provision in the text as explained in part IV of this opinion titled "On the Rights of Data Subjects."

However, if the authors of the draft law intend to maintain this differentiation based on the origin of the data, it should be noted that Article 4, paragraph 7 of the GDPR as well as Article 2, paragraph 1, point 8 of the Law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters and in matters of national security (hereinafter the "Law of August 1, 2018, on Data Processing in Criminal Matters") provide for the possibility of designating the data controller in the law of a Member State, provided that the purposes and means of this processing are determined therein. However, the CNPD notes that the draft law under review does not specify what the purposes and means of data processing specifically made available by the SRE would be.

III. On the Qualification of the Recipients of the Data in the Context of the Notification and Filtering Procedure

Furthermore, the National Commission questions the qualification of the various actors involved in the implementation of the law. According to the draft law, the inter-ministerial committee is tasked with examining notifications, preparing and proposing opinions on the decision to initiate proceedings and that of filtering. As indicated in the draft Grand-Ducal Regulation, a representative of the minister responsible for Foreign and European Affairs as well as a representative of the minister responsible for the State Intelligence Service are part of this inter-ministerial committee, which could, in certain cases, be supplemented by representatives from other ministries. According to the draft law, the inter-ministerial committee is supported in its missions by a group of experts, composed of representatives from the ministries in the inter-ministerial committee and by representatives from other ministries when direct investment falls within their competence. It follows from these provisions that representatives from other ministries will have access to personal data and will be involved in their processing.

In light of these provisions and due to the lack of legal personality of the inter-ministerial committee, the Commission wonders whether these actors, who are independent of the structure of the data controllers defined in

22 Article 4 paragraph 1 of the draft law

23 Article 1 paragraph 1 of the draft Grand-Ducal Regulation

24 Article 4 paragraph 2 of the draft law

25 Article 1 paragraph 7 of the draft Grand-Ducal Regulation

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Article 13 paragraph 1 of the draft law, would they be considered as subcontractors of the "ministers," or conversely as third parties? It should be noted that in the case of subcontracting, the establishment of a contract or another legal act under Union law or the law of a Member State between the data controller and the subcontractor is required by Article 28 paragraph 2 of the GDPR, which provides for a number of conditions to be included in this legal act. In this context, the National Commission nonetheless welcomes the inclusion of the confidentiality obligation for these actors in Article 3 paragraph 2 of the draft Grand-Ducal regulation.

IV. On the rights of data subjects

According to Article 5 paragraph (1) letter (a) of the GDPR, personal data must be processed lawfully, fairly, and transparently concerning the data subject (principle of lawfulness, fairness, transparency). This principle implies that data controllers must comply with the provisions of Article 13 of the GDPR for data collected directly from the data subject, or otherwise those of Article 14 of the GDPR when the personal data has not been collected from the data subject themselves, for example, data collected indirectly from the SRE.

Under these articles, the data controller must provide the data subject with information regarding the processing of personal data concerning them, notably to ensure fair and transparent processing. It should be specified that in cases where Article 14 of the GDPR would apply, this information must be provided to the data subject no later than one month after the data controller has obtained the data.

Furthermore, according to Article 15 of the GDPR, data subjects have the right to receive certain information regarding the personal data processed by the data controller (right of access).

Therefore, it is necessary to draw the attention of the authors of the draft law to the fact that without an explicit derogation in the draft law, these rights are all fully applicable. The CNPD understands that derogations respecting the conditions of Article 23 of the GDPR may be necessary when the information obtained in the context of the filtering procedure concerns ongoing criminal investigations or instructions or information transmitted by the SRE. If this were the case, then the details of the limitations, as well as their duration, should be provided in the draft law in accordance with Article 23 of the GDPR.

Thus decided in Belvaux on March 4, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Alain Herrmann

Commissioner

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Supplementary Opinion of the National Commission for Data Protection regarding draft law No. 7872 amending 1° the amended law of December 19, 2008 concerning inter-administrative and judicial cooperation and strengthening the means of the Administration of Direct Contributions, the Administration of Registration and Domains, and the Administration of Customs and Excise, and amending the amended law of February 12, 1979 concerning Value Added Tax; the General Tax Law ("Abgabenordnung"); the amended law of April 17, 1964 reorganizing the Administration of Direct Contributions; the amended law of March 20, 1970 reorganizing the Administration of Registration and Domains; the amended law of November 27, 1933 concerning the collection of direct contributions and social security contributions; 2° the amended law of December 27, 1817 on the collection of inheritance tax; 3° the amended law of August 7, 1920 increasing registration, stamp, inheritance

duties, etc.

(Deliberation No. 16/AV8/2022 of May 13, 2022)

In accordance with Article 57, paragraph 1, letter (c) of Regulation No. 2016/679 of April 27, 2016 on the protection of individuals with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter "National Commission" or "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of individuals with regard to processing."

On March 4, 2022, the National Commission notified draft law No. 7872 amending the amended law of December 19, 2008 concerning inter-administrative and judicial cooperation and strengthening the means of the Administration of Direct Contributions, the Administration of Registration and Domains, and the Administration of Customs and Excise, and amending certain other laws (hereinafter the "draft law").

On May 3, 2022, the Minister of Finance invited the CNPD to express its opinion on two parliamentary amendments to the draft law that were approved by the Finance and Budget Commission during its meeting on May 3, 2022 (hereinafter the "parliamentary amendments").

26 Deliberation No. 2/AV2/2022 of March 4, 2022.

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1. Amendment 1 concerning the new Article 15bis

In its opinion dated March 4, 2022, regarding the new Article 15bis, as introduced by the draft law, the CNPD questioned whether access to the "business register of the minister responsible for establishment authorizations within his remit," for the purpose of verifying the accurate collection of VAT, referred to the business register as defined in Article 32, paragraph (1) of the amended law of September 2, 2011, regulating access to the professions of artisan, merchant, industrialist, as well as certain liberal professions.

It is appropriate to commend the authors of the parliamentary amendments for clarifying that it indeed pertains to the business register referred to in Article 32, paragraph (1), of the aforementioned amended law of September 2, 2011.

However, although the register for which access is granted has been specified, it is regrettable that the modalities of access to such a register are not detailed. This is particularly concerning given that Article 15bis provides for direct access by the Administration of Registration, Domains, and VAT to such a register.

Thus, it is necessary to question whether this access pertains to all data that would be processed in this register, namely the data listed in Article 1, paragraph (2), of the Grand-Ducal Regulation of April 28, 2015, establishing the processing of personal data necessary for the execution of Article 32 of the law of September 2, 2011, regulating access to the professions of artisan, merchant, industry, as well as certain liberal professions²⁷.

In the absence of such clarifications, the National Commission reiterates its observations made in its aforementioned opinion, reminding that "under the principle of data minimization, only personal data that are necessary for achieving the purposes pursued by the data controller, namely the verification of the accurate collection of VAT, should be consulted."

2. Amendment 2 concerning the new Article 15ter

It is appropriate to congratulate the authors of the parliamentary amendments for having specified the purposes of the processing envisaged in the new Article 15ter, as suggested by the Council of State in its opinion dated February 1, 2022, regarding the draft law²⁸ and by the CNPD in its aforementioned opinion.

This amendment further aims to specify the categories of data that would be covered by the said provisions following the observations made by the National Commission in its aforementioned opinion. Thus, a paragraph (3) is introduced in the new Article 15ter stating that "for the purposes of this

provision, only the information contained in the minutes or reports drawn up by the public authorities mentioned in paragraphs 1 and 2 is covered, namely the name, first name, address, registration number, date of birth, economic activity, and place of exercise of this activity."

The CNPD understands, therefore, that the minutes and reports themselves, which would be drawn up by the Agency for Employment Development or by the Administration of Registration, Domains, and VAT, would not be transmitted.

Furthermore, the National Commission wishes to reiterate its observations made in its opinion dated March 4, 2022, and more specifically those relating to the provisions of Article 15^{quater}²⁹ as well as all its developments relating to the right to information³⁰ and the security of processing³¹.

Thus decided in Belvaux on May 13, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Alain Herrmann

Commissioner

28 Parliamentary document No. 7872/04.

29 Page 9, Point 5, C. titled "On Article 14^{quater}," Deliberation No. 2/AV2/2022 of March 4, 2022.

30 Page 11, Point 6, titled "On the Right to Information," Deliberation No. 2/AV2/2022 of March 4, 2022.

31 Page 11, Point 7, titled "On the Security of Processing," Deliberation No. 2/AV2/2022 of March 4, 2022.

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Supplementary Opinion of the National Commission for Data Protection

Regarding Bill No. 7524 on the Quality of Services for Elderly Persons and Amending 1° the amended law of May 16, 1975 on the status of co-ownership of built properties; 2° the amended law of September 8, 1998 regulating relations between the State and organizations operating in the social, family, and therapeutic fields

(Deliberation No. 17/AV9/2022 of May 20, 2022)

In accordance with Article 57, paragraph 1, letter (c) of Regulation (EU) No. 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

On July 22, 2020, the CNPD was notified of Bill No. 7524 on the Quality of Services for Elderly Persons and amending 1° the amended law of May 16, 1975 on the status of co-ownership of built properties; 2° the amended law of September 8, 1998 regulating relations between the State and organizations operating in the social, family, and therapeutic fields as well as the draft Grand-Ducal regulation on the quality of services for elderly persons (hereinafter referred to as the "draft bill").

On September 27, 2021, the Minister of Family, Integration, and the Greater Region invited the National Commission to advise on the governmental amendments to the draft bill, approved by the Government Council in its meeting of September 29, 2021 (hereinafter referred to as the "amendments" or "governmental amendments").

This opinion will be limited to issues related to the aspects of personal data protection raised by the governmental amendments.

I. On the processing of personal data carried out by managing organizations

1. On the creation of an individual file

a. On the purposes of processing, categories of personal data, and the data controller

The National Commission congratulates the authors of the draft bill for having followed its observations made in its opinion of July 22, 2020. Indeed, clarifications are provided regarding the purposes of processing and the categories of personal data that would be processed within the framework of each of the individual files referred to in the draft bill.

Thus, the amendments specify for each individual file that the managing organization is to be qualified as the data controller, the purposes of processing related to the establishment and management of the individual file, and enumerate with greater precision the categories of personal data that would be collected as well as the recipients of the data included in the individual file.

The amendments further provide that each individual file includes "a structured health care individual file containing all data, assessments, and information of any kind concerning the health status of the resident and its evolution. A Grand-Ducal regulation specifies its content."

However, it is regrettable that this draft Grand-Ducal regulation was not communicated at the same time as the amendments to the draft bill, so that the CNPD is not in a position to assess whether it may raise issues from a data protection perspective.

b. On access to data

The National Commission regrets that the governmental amendments did not address the question of whether access to the data contained in the individual file by residents or users, and, where applicable, by their legal representative, was similar to that provided for in Article 15 of the GDPR.

The CNPD therefore wishes to reiterate its observations made in its aforementioned opinion, in which it suggests that if this access is similar to that provided for in Article 15 of the GDPR, "the legal provisions stipulating that the resident or user, where applicable, their legal representative, may access their individual file or only the data concerning them for the legal representative, [should be] under the conditions and in accordance with Article 15 of the GDPR."

c. On the retention period of data

The draft bill provides for each individual file a duration of
33 Deliberation No. 19/2020 of July 22, 2020, see point II.2.

34 Namely the following amendments: amendment 28 which modifies Article 12 of the draft bill, amendment 53 which inserts a new Article 27 paragraph 1 for home care and assistance services, amendment 72 which inserts a new Article 42 for day centers for elderly persons, amendment 128 which inserts a new Article 87 for tele-alarm services.

35 Deliberation No. 19/2020 of July 22, 2020.

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retention for 10 years from the
end of the hosting contract³⁶, the
care contract³⁷, or the
services contract³⁸ "for statistical,
research, and continuous improvement
of the managing organization" and that "at the
end of this period, the data must
be irretrievably destroyed or
anonymized."

As for the criteria that would justify such
duration, the authors of the bill merely state that the said provisions
are inspired by "a formulation provided in
the amended law of March 8, 2018, relating
to hospital establishments and hospital
planning"³⁹. Indeed, Article 38, paragraph (6), point 5 of said law provides
that the medical documentation service
is tasked with retaining the data
produced for a period of 10 years.
However, clarifications would be warranted

regarding the criteria that would justify that such duration is also relevant and necessary in this case, under the principle of data retention limitation established by Article 5.1.e) of the GDPR.

Furthermore, regarding the retention for statistical and research purposes of specific categories of personal data, as defined in Article 9, paragraph 1 of the GDPR, in this case, health data, it should be noted that such retention for such purposes constitutes a processing of personal data.

Therefore, it is important to recall that paragraph 2, letter j), of Article 9 of the GDPR states that when processing is necessary "for scientific or historical research or for statistical purposes, in accordance with Article 89, paragraph 1, based on Union law or the law of a Member State, it must be proportionate to the objective pursued, respect the essence of the right to data protection, and provide appropriate and specific measures for safeguarding the fundamental rights and interests of the data subject."

Moreover, Article 64 of the law of August 1, 2018, regarding the organization of the National Commission for Data Protection and the general regime on data protection specifies that such processing of specific categories of data may be implemented by the data controller if it meets the conditions of Article 65 of the aforementioned law. This article enumerates the additional appropriate measures that should be implemented for such processing.

Therefore, attention should be drawn to the authors of the bill regarding the necessity of implementing such additional appropriate measures in the context of the envisaged processing.

36 Last paragraph of paragraph (2) of Article 12.

37 Last paragraph of paragraph (2) of Article 26 and paragraph (3) of Article 40.

38 Paragraph (3) of Article 81.

39 Ad amendment 29, page 14 of parliamentary document No. 7524/09.

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2. On the processing of personal data related to the professional honorability condition of directors and supervisory staff

The National Commission regrets that the observations regarding the lack of precision concerning the criteria to be considered for assessing the professional honorability of directors and supervisory staff have not been taken into account by the authors of the draft law.

Thus, the CNPD wishes to reiterate its comments made in its opinion of July 22, 2020, in which it stated that “if the condition of professional honorability is assessed based on criminal records, the CNPD understands that this will be done in accordance with the legal provisions of Article 8-5 of the law of July 23, 2016 amending 1) the law of March 29, 2013 on the organization of the criminal record, 2) the Code of Criminal Procedure, 3) the Penal Code. If this is the case, it suggests clarifying in the text of the draft law the term ‘judicial’ immediately after the term ‘records’. Furthermore, it would be important to specify what degree of severity of criminal records would be taken into account by the managing bodies in order to assess the professional honorability of the director and supervisory staff. The CNPD wonders in particular whether any entry in the criminal record automatically leads to a negative assessment regarding professional honorability or whether, on the contrary, the entries must reach a certain level of severity. If this condition of professional honorability is not limited to criminal records alone, the National Commission recommends specifying in the draft law the elements to be considered for assessing professional honorability.”

Regarding the CNPD's observations concerning criminal records, it should be noted that the Council of State shares such observations in that it considered, in its aforementioned opinion of April 1, 2022, that “if the proof regarding the linguistic requirements and qualifications required seems easily reportable with the help of certificates or diplomas, it is otherwise concerning the condition of honorability, to the extent that the text under review does not precisely determine under what conditions this honorability is lacking nor by what means this honorability can be proven. In light of the observations made by the Council of State regarding Articles 4, paragraph 8, and 5, paragraph 4 relating to the notion of ‘honorability’ and the means to document it, the Council of State requests, in the interest of legal certainty and under penalty of formal opposition, to refer to ‘criminal records’.”

40 Deliberation No. 19/2020 of July 22, 2020, see point II.1).

41 Parliamentary document No. 7524/13, opinion of the Council of State of April 1, 2022, p. 21.

II. On the processing of personal data carried out by the Minister in the context of the accreditation requests addressed to him

It is appropriate to congratulate the authors of the draft law for having followed the observations made by the CNPD in its aforementioned opinion regarding the maintenance of a register of accreditation files by the Minister.

Indeed, the governmental amendments intend to introduce a new Article 16 entitled “Management of Accreditation Files,” which establishes the principle of creating a register maintained by the Minister and which concerns the management, administrative follow-up, control of accreditation requests, as well as the management of accreditation files and granted accreditations, in accordance with Article 6, paragraph 3, of the GDPR.

Regarding the provisions of paragraph (5) of Article 16 concerning the processing of data for scientific or historical research purposes or for statistical purposes, it should be recalled that the provisions of Articles 89 of the GDPR and 65 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime apply in such cases.

These measures notably provide that the data controller must implement additional appropriate measures. The data controller must therefore ensure compliance with these.

Finally, paragraph (6) of Article 16 of the draft law states that “[t]he data processed are irreversibly anonymized or destroyed no later than five years after the end of the accreditation or, in the event that the accreditation request has been refused, after the refusal decision. In the case where data from the accreditation file are replaced by new data, the data to be replaced are irreversibly anonymized or destroyed no later than five years from their replacement.”

While it is appropriate to congratulate the authors of the draft law for having provided such a duration, it is regrettable that the criteria justifying such a duration have not been specified in the commentary on the articles, so that the CNPD is unable to assess whether the principle of data retention limitation would be respected.

Moreover, the CNPD reiterates its observations in which it considered that the following provisions “[t]he Minister may request any other document or information necessary for the establishment of the accreditation request file” would merit clarification if they concern personal data.

42 Deliberation No. 19/2020 of July 22, 2020, see point I.2).

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III. On the creation of an ethics committee

The governmental amendments aim to introduce new provisions that provide for the establishment of an ethics committee set up by one or more (in association) managing organizations, which "has the right to obtain communication of medical elements, aids, and care as well as the individual file of the resident concerned that it needs to make an informed decision"⁴³ within the framework of the missions conferred upon it by the bill⁴⁴.

The authors of the bill specify regarding these provisions that "to ensure the proper functioning of the ethics committees, it is specified that the managing organization must ensure that all necessary means are made available to them, that they have the right to obtain communication of medical elements, aids, and care and the individual file of the resident"⁴⁵.

Furthermore, if the individuals composing the ethics committee are not health professionals subject to professional secrecy, the CNPD wonders whether they should not be subject to it, particularly in the context of certain of their missions⁴⁶, although the decision rendered by the ethics committee is confidential, given the nature of such data (i.e., special categories of data within the meaning of Article 9 of the GDPR and more specifically the health data of residents or users).

Finally, it should be noted that the consultation by the ethics committee of the "medical elements, aids, and care and the individual file" of the resident or user, when this is brought to the attention of the director or staff of a managing organization, constitutes an indirect collection of data by the ethics committee. In such a case, care must be taken to comply with the provisions of Article 14 of the GDPR. Under this article, the data controller must provide the data subject with information regarding the processing concerning them, notably to ensure fair and transparent processing. This information must be provided to the data subject no later than one month after the data controller, in this case, the ethics committee, has obtained the data.

Thus decided in Belvaux on May 20, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

⁴³ See Articles 7, 22, 37 of the bill.

⁴⁴ Articles 7, paragraph (3), Article 22 paragraph (3), and Article 37, paragraph (3) of the bill.

⁴⁵ Ad amendment 19, page 9 of parliamentary document no. 7524/09.

⁴⁶ The missions referred to in points 1° and 2° of paragraph (3) of Articles 7, 22, and 37 of the bill.

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Notice from the National Commission for Data Protection regarding draft law no. 8005 on specific transport services and amending Articles 1 and 12 of the amended law of February 5, 2021, on public transport, as well as the draft Grand-Ducal regulation determining the conditions for the implementation of the provisions of the law of xxx on specific transport services.

(Deliberation no. 26/AV10/2022 of July 1, 2022)

In accordance with Article 57, paragraph 1, letter (c) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), which is referenced in Article 7 of the law of August 1, 2018, establishing the National Commission for Data Protection and the general regime on data protection,

the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPDP") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

By letter dated May 6, 2022, Mr. the Minister of Mobility and Public Works invited the National Commission to express its opinion on draft law no. 8005 on specific transport services and amending Articles 1 and 12 of the amended law of February 5, 2021, on public transport (hereinafter referred to as the "draft law"), as well as on the draft Grand-Ducal regulation determining the conditions for the implementation of the provisions of the law of xxx on specific transport services (hereinafter referred to as the "draft Grand-Ducal regulation").

According to the explanatory memorandum, the government program 2018-2023 already included a reform of specific transport services, and on October 23, 2019, the Government in Council decided to redefine access to the service, to establish a centralized and optimized planning system, to create a national evaluation commission that will make decisions regarding access to the service, and to grant the beneficiary free transport. According to the authors of the draft law, this "reform fits perfectly within the objectives of the government program which pursues a policy of social cohesion and promotes an 'inclusive and welcoming society supporting equity, individual freedom, and mutual respect'."

Thus, the purpose of the draft law is precisely "to introduce a legislative framework dedicated to specific transport services organized by the minister responsible for Transport."

The National Commission congratulates the authors from the outset for having included in the draft law a Chapter 5 specifically dedicated to the processing of personal data, especially since it concerns processing related to special categories of personal data governed by Article 9 of the GDPR, referred to as "sensitive data," and

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more specifically health data concerning beneficiaries of one of the specific transport services as defined in Article 1 point 1° of the draft law. It will therefore limit, except for two preliminary remarks, its observations to Chapter 5, that is to say to Articles 17 to 20 of the draft law under review, and it will conclude with a few comments on the draft Grand-Ducal regulation.

Preliminary Remarks

First of all, the CNPD notes that Article 5 of the draft law provides that in the event that the evaluation unit decides that the verification of eligibility conditions for the specific transport service upon request requires a medical examination conducted by a physician-member of said unit, it is the responsibility of the minister in charge of Transport (hereinafter: "the minister") to send the applicant a summons for such an examination.

On the other hand, if in the context of a re-examination of the decision regarding the refusal of access to the specific transport service, the re-examination commission decides

that the verification of eligibility conditions for said service requires a medical examination conducted by a physician-member of said commission, it is not the minister, but the president of the re-examination commission who is responsible for sending the applicant a summons for such an examination in accordance with Article 16.2 of the draft law. In order to respect the parallelism of forms and considering that Article 20 point 4 of the draft law expressly provides that the minister does not have the right to access the results of medical examinations, ordered if necessary as mentioned above by the evaluation unit or the re-examination commission, the CNPD recommends that the authors of the draft law provide that the president of the evaluation unit must send the applicant the summons for the medical examination to be conducted by a physician-member of said unit.

Next, based on the explanatory memorandum and the commentary on Article 10 of the draft law, the CNPD understands that currently the so-called CAPABS (Complementary Accessibility Transport for Persons with Specific Needs), that is to say for the structures listed in Article 10.1 of the draft law (hereinafter: "the structures"), are governed by operating contracts whose expiration has been postponed to mid-2022.

Article 11 of the draft law provides that said structures sign an agreement with the State represented by the minister, which determines "1° the form and deadlines for the transport request; 2° the terms of organization and execution of this specific regular specialized transport service for the structures; 3° the terms of cooperation between the contracting parties; 4° the exchange of data necessary for the transport request of the beneficiaries and to ensure their safety during transport."

Thus, unlike the regular specialized specific transport services provided for in Articles 9, 12, and 13 of the draft law for which it is provided that the form, the content of the request, and the operating conditions are established by regulation.

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Grand-ducal,⁴⁷ the framework for the transport service to the structures will be regulated by an agreement. The authors of the draft law specify in this context that the "form of the transport request

made by the structures for the applicants, the modalities of organization and execution of the transports included in this chapter are to be established rather between the State and the served structures; thus, and similarly to the organizations benefiting from financial participation from the State, it is proposed to establish a standard agreement and to conclude such an agreement with each served structure, also to ensure compliance with the general regulation on data protection in the context of data exchange."⁴⁸

Nevertheless, without prejudice to the possibility of concluding a specific agreement with each structure, the CNPD recommends providing for the four aforementioned points currently listed in the draft law in Article 11 within the body of the draft Grand-ducal regulation. Moreover, as in this specific case the transport request is not made by the applicant, but by the structures themselves as provided for by Article 10.3 of the draft law, clarifications in the draft Grand-ducal regulation on the exchange of personal data between the structures and the minister are necessary. This regulatory framework would be a guarantee of the principle of legal security for the benefit of the persons concerned, namely persons with reduced mobility who are traveling to one of the structures as determined in Article 10 of the draft law.

As for Chapter 5 of the draft law - Processing of personal data

According to the authors of the draft law, it is "essential to process health data in the context of the request for access to specific transport, particularly to verify the eligibility criteria for the services."⁴⁹ The CNPD can only align with the commentary on Article 20 of the draft law by considering that in this case, the "request for explicit consent under Article 9, paragraph 2 of the general regulation on data protection hardly constitutes an appropriate solution, as consent must be given freely and must be specific, informed, unambiguous, clear, and without power imbalance. If the applicant does not give their consent, they cannot access the transport service. Consent cannot therefore be considered a reliable and solid basis for the processing of health data."

Furthermore, the authors of the draft law specify that to eliminate the legal uncertainty regarding the processing of health data, it is necessary to introduce a

⁴⁷ As provided for by Articles 9, paragraph 3, 12, paragraph 2, and 13, paragraph 3 of the draft law.

⁴⁸ See commentary on Article 11 of the draft law.

⁴⁹ See commentary on Article 20 of the draft law.

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legal provision at the national level based on Article 9.2 letter g) of the GDPR, as they consider that the "organization of specific transport contributes to a public interest mission since it promotes the inclusion of persons with disabilities in society and remedies the total inaccessibility of the public transport network." The National Commission wishes to emphasize that this legal basis under Luxembourg law must, in accordance with Article 9.2 letter g) of the GDPR, be proportionate to the objective pursued, respect the essence of the right to data protection, and provide appropriate and specific measures for the safeguarding of the fundamental rights and interests of the data subject. It notes that such measures are enumerated in Article 20 of the draft law and commends the authors for this.

However, the fact that the list of measures to be implemented is preceded by the words "such as" could be interpreted as meaning that this list is exemplary in nature and that the minister can simply choose without justification which measures he wants to implement. Such an interpretation would contradict the purpose of this list, which is to enumerate additional guarantees to be provided by the minister in addition to the legal guarantees and technical or organizational measures usually required in accordance with the state of the art, as required by Article 9.2 letter g) of the GDPR.

The CNPD further notes that the wording of Article 20 of the draft law under review is inspired by Article 65 of the law of August 1, 2018, on the organization of the National Commission for Data Protection and the general regime on data protection and concerning the processing of special categories of personal data implemented for scientific or historical research purposes. However, unlike Article 20 of the draft law, the aforementioned Article 65 provides that the data controller must document and justify for each research project the exclusion, if applicable, of one of the measures listed therein. Subject to its comments under "1. On the relationship between the minister and the

Public Transport Administration," the CNPD therefore recommends that the authors of the draft law provide in the body of the text that this list of measures is mandatory and that the minister, in his capacity as the controller of "personal data strictly necessary for the organization of specific transport services," can only deviate from it if he can argue and document it.

Finally, the National Commission notes that Article 20 point 4° of the draft law imposes a prohibition on the minister from accessing additional medical certificates and results of the 50 As provided by Article 17 of the draft law under review.

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medical examinations requested by the evaluation cell or the review commission.⁵¹

On the other hand, even though Article 3 of the draft law specifies that the medical certificate which must accompany the request for access to specific transport upon request is to be sent to the physician-member of the evaluation cell in a sealed envelope, the CNPD recommends adding to the aforementioned point 4° a prohibition for the minister to access said medical certificates.

On the relationship between the minister and the Public Transport Administration

According to Article 17 of the draft law under review, the minister is designated as the data controller for personal data necessary for the organization of specific transport services. However, Article 21 of the draft law provides that the "minister delegates responsibility to the Public Transport Administration, within the framework of its missions defined in Article 6 of the amended law of February 5, 2021, on public transport, to execute all or part of the obligations incumbent upon him under this law." Article 5 of the amended law of February 5, 2021, on public transport indeed provides for the creation of the Public Transport Administration (hereinafter: "ATP") under the authority of the minister, while Article 6 of said law enumerates its various missions.

The CNPD notes in this context that the commentary on Article 21 of the draft law specifies that the ATP may be entrusted with "the management of personal data processing for the purposes provided for in Article 17" as part of its mission of organizational, administrative, technical, financial, and accounting management, as well as the control of specific public transport services.⁵² The explanatory memorandum mentions in this regard that the ATP "obviously keeps a register of the rights holders of specific transport and must regularly ensure its update. This data processing is essential for the organization and proper execution of transport."

However, even though the ATP is subject to the authority of the minister, the CNPD wonders whether, since the ATP has its own management and staff,⁵³ it constitutes a single data controller or two distinct data controllers. Thus, in the absence of precision in the text of the draft law, it is not evident to identify the exact role of the ATP in the management of the personal data in question. The question of defining the data controller is nonetheless essential for the individuals concerned, as it is with said controller that they must exercise their various rights provided for in Articles 15 to 22 of the GDPR.

Three different hypotheses appear conceivable:

- One could consider that the ATP acts as a subcontractor⁵⁴ of the minister. In

⁵¹ As provided by Article 4.5, points 1° and 2° and by Article 16.1 points 1° and 2° of the draft law.

⁵² As provided by Article 6, point 8 of the amended law of February 5, 2021, on public transport.

⁵³ See Articles 7 to 9 of the amended law of February 5, 2021, on public transport.

⁵⁴ See the definition of subcontractor in Article 4, Point 8 of the GDPR: "subcontractor": the natural or legal person, public authority, service, or other body that processes personal data on behalf of the data controller."

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In this case, it is important that the processing of personal data carried out by the ATP on behalf of the minister is governed by a contract or another legal act in accordance with Article 28 of the GDPR.

On the other hand, if the minister considers that the ATP is an integral part of his ministry and that by entrusting the management of personal data processing to the ATP he is merely using his own resources as the data controller within his organization, in this case, there is no subcontractor. The European Data Protection Board (hereinafter: "EDPB") specifies in this context in its guidelines regarding the concepts of data controller and processor that "employees and other persons acting

under the direct authority of the data controller, such as temporary staff, are not considered as processors since they process personal data within the entity of the data controller. In accordance with Article 29, they are also required to follow the instructions of the data controller."⁵⁵

- The concept of "joint responsibility" introduced by Article 26 of the GDPR could also be taken into account in this context. The National Commission believes that it could, if applicable, emerge from the overall economy of the draft law under review, as well as from the amended law of February 5, 2021, on public transport, that the minister, on one side, and the ATP, on the other side, jointly participate in achieving the purposes and means of the processing of personal data carried out within the framework of the organization of specific transport services.

- As the quality of data controller or processor must be assessed in relation to each set of data or processing operations, it is also conceivable that the minister and the ATP are independent data controllers depending on the processing of personal data in question. The EDPB specifies in this regard that it "may also happen that various actors successively process the same personal data in a chain of processing operations, each of these actors having independent purposes and means in their part of the chain. In the absence of joint participation in determining the purposes and means of the same processing operation or a set of operations, joint responsibility for processing should be excluded, and the different actors should be considered as independent and successive data controllers."⁵⁶

The identification of the data controller is also important in order to know who must

55 Guidelines 07/2020 on the concepts of data controller and processor in the GDPR, Version 2.0, Adopted on July 7, 2021, point 78.

56 Guidelines 07/2020 on the concepts of data controller and processor in the GDPR, Version 2.0, Adopted on July 7, 2021, point 72.

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provide the information required by Articles 13 and 14 of the GDPR to the data subject.

The commentary on Article 18 of the draft law mentions in this regard that "personal data is collected either directly from the applicant through a form, or from the relevant structures through a data exchange as provided for in Article 11."

The National Commission therefore wishes to emphasize that in the first case, it is a direct collection of personal data, and the minister (subject to the comments above on the role of the ATP) must provide individuals who request to benefit from specific transport services, at the time when the data in question is obtained, with all the information listed in Article 13 of the GDPR.

On the other hand, in the second case, that is to say the obtaining by the minister through the structures of personal data of individuals who have access to one of the aforementioned services, we are dealing with an indirect collection of personal data, and the minister must provide the data subjects with the information required by Article 14 of the GDPR within the timeframes set out in Article 14.3 of the GDPR.

Finally, regarding the role of the structures,

the CNPD notes that they submit transport requests to the minister on behalf of and for the accounts of individuals who go to such a structure in accordance with Article 10.3 of the draft law, and they consequently must necessarily transmit to the minister personal data concerning those individuals. In this case, and unless further explanations are provided by the authors of the draft law, the CNPD believes that the structures should be considered as independent data controllers from the minister. The EDPS specifically mentions in this context that “the exchange of the same data or sets of data between two entities without them jointly determining the purposes or means of processing should be considered as a communication of data between distinct data controllers.”⁵⁷

On the quality of subcontractor of service providers

Article 18 of the draft law provides that “to the extent necessary to ensure the management, organization, and security of specific transport services, the personal data in question is transmitted to the service providers in question who process them as subcontractors.” The commentary on Article 18 does not contain any explanation in this regard. The CNPD wonders in this context who is specifically referred to by these “service providers.” Does it refer to the suppliers implementing the software solution behind the register of rights holders of

⁵⁷ Guidelines 07/2020 on the concepts of data controller and processor in the GDPR, Version 2.0, Adopted on July 7, 2021, point 70.

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specific transports⁵⁸ or rather companies that handle transporting beneficiaries of

various services from A to B? In this latter case, the explanatory memorandum specifies that “the driver to whom a journey is assigned must be aware of a certain number of pieces of information about their passenger, not only regarding the technical assistance used by the passenger, but also about blindness or visual impairment, or any special attention that may need to be provided to the passenger related to their disability; the information is even more important in the event of an incident or road accident.”

As this involves specific transports, the National Commission can understand that, as mentioned above, the driver needs to know certain information about their passengers. Nevertheless, it wishes to emphasize in this context the importance of the principle of data minimization enshrined in Article 5.1. c) of the GDPR, meaning that the minister can only transfer the data that is absolutely necessary for the purposes of management, organization, and security of specific transport services.

Furthermore, it refers again to the aforementioned guidelines of the EDPB which remind that “all service providers who process personal data in the context of providing a service are not

'subcontractors' within the meaning of the GDPR. The role of subcontractor does not arise from the nature of the entity processing the data, but from its concrete activities in a specific context. [...] In practice, when the service provided does not specifically aim at the processing of personal data or when this processing does not constitute an essential element of the service, the service provider may be able to independently determine the purposes and means of the processing necessary for the provision of the service. In this case, the service provider should be considered a distinct data controller and not a subcontractor. However, a case-by-case analysis remains necessary to determine the actual degree of influence of each entity on the determination of the purposes and means of processing." On the other hand, a "service provider can still act as a subcontractor even if the processing of personal data is not the primary or main object of the service, provided that the client of the service always determines the purposes and means of processing in practice."⁵⁹

In conclusion, due to the lack of precision in the current text, the CNPD recommends that the authors of the draft law specify for legal certainty who these service providers are and verify on a case-by-case basis whether they are truly acting as subcontractors of the minister or whether, on the contrary, they should be considered as distinct data controllers.

58 The explanatory memorandum mentions the following: "The software solution implemented by the ATP already provides for the processing and sharing of a certain number of data, and it is understood that the related supply contract contains the necessary provisions regarding the protection of personal data, particularly the definition of the obligations of the subcontracting supplier in this regard."

59 Guidelines 07/2020 on the concepts of data controller and processor in the GDPR, Version 2.0, Adopted on July 7, 2021, points 82 and 83.

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Regarding the draft Grand-Ducal regulation

First of all, the CNPD wishes to congratulate the authors of the draft Grand-Ducal regulation for explicitly mentioning on the medical certificate form, as provided for in Article 3 second paragraph of the draft law, that said certificate is "to be attached to the application in a sealed envelope addressed to the physician-member of the evaluation cell."

It then notes that according to Article 2 fourth paragraph of the draft Grand-Ducal regulation, the members and the secretariat of the evaluation cell "are subject to professional secrecy and may not disclose to third parties information they have obtained in the performance of their mission," while Article 6 of said draft provides the following: "Members of the evaluation cell, members of the review commission, members of the secretariat, and experts are bound to confidentiality regarding the files submitted to them."

For reasons of consistency, it recommends that the authors of the draft Grand-Ducal regulation provide that all persons involved mentioned in the aforementioned Article 6 are subject to professional secrecy under the conditions and penalties provided for in Article 458 of the Penal Code.

Finally, the CNPD noted that the form for requesting a specialized regular specific transport service for students, as provided for in Article 12 of the draft law, is missing from the draft Grand-Ducal regulation. Thus decided in Belvaux on July 1, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

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Opinion of the National Commission for Data Protection regarding the draft law no. 7876 amending 1° the amended law of August 1, 2007 concerning the organization of the electricity market; 2° the

amended law of August 1, 2007 concerning the organization of the natural gas market (Deliberation no. 27/AV11/2022 of July 1, 2022)

In accordance with Article 57, paragraph (1), letter (c) of Regulation No. 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing." By letter dated October 25, 2021, Mr. Minister of Energy and Spatial Planning Claude Turmes invited the National Commission to express its opinion on the draft law amending 1° the amended law of August 1, 2007 concerning the organization of the electricity market; 2° the amended law of August 1, 2007 concerning the organization of the natural gas market (hereinafter referred to as the "draft law"). According to the explanatory memorandum, the draft law aims to transpose Directive (EU) 2019/944 of the European Parliament and of the Council of June 5, 2019 concerning common rules for the internal market for electricity and amending Directive 2012/27/EU (hereinafter referred to as the "Directive"), which repeals Directive 2009/72/EC that had "constituted until then the European framework for the Internal Electricity Market."

It appears from the explanatory memorandum that the Directive "sets out the rules applicable to the generation, transmission, distribution, supply, and storage of electricity. It also addresses aspects related to consumer protection, in order to create within the European Union integrated, competitive, consumer-focused, flexible, fair, and transparent electricity markets."

Furthermore, it should be noted that certain provisions of the draft law address aspects related to privacy and the protection of personal data. These are the provisions related to the national energy data IT platform (I), those related to the recording of telephone conversations (II), and those related to smart metering (III).

I. On the implementation of a national energy data IT platform

It must be noted that the principle of establishing a national energy data IT platform

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The national energy data platform is already provided for by Article 27, paragraph (15) of the amended law of August 1, 2007, concerning the organization of the electricity market. According to the explanatory memorandum, the bill under review "provides for an adaptation of the existing provisions for the implementation of a national energy data IT platform. Thus, it stipulates that it must be implemented by the transmission system operator due to its central role and neutrality in the Luxembourg market. It specifies the purposes of the platform, the modalities of application, the data to be entered, data protection, as well as the access rules to the platform and provides, among other things, that market communication is managed by this platform."

However, it is necessary to question the motivations that would justify a private company managing such a platform in the public interest, rather than the minister responsible for energy or the Luxembourg Institute of Regulation (hereinafter "the ILR")? Indeed, entrusting the management of a national platform in the public interest and the related data processing by law to a private company would set a precedent. Would it not, for example, be preferable, considering the missions of the ILR, as referred to in Article 54, paragraph (2) of the amended law of August 1, 2007, concerning the organization of the electricity market, as amended by the bill, that the ILR, as the regulator in the electricity sector, manage the platform envisaged by the bill?

Article 21 of the bill intends to introduce a new Article 27ter which specifies the legal basis for the implementation of said platform and states that it "is deployed by the transmission system operator, which also ensures, within the limits provided for in paragraph 2 of this paragraph, the role of data controller referred to in Article 4, point 7, of the [GDPR]."

The National Commission understands that this platform will also aim to centralize all data collected by

the actors in the electricity market and will ensure the preservation of said data "for archival purposes, for scientific or historical research, or for statistical purposes." The commentary on the articles specifies, in this regard, that this platform which "serves as a central reference repository for energy data" will allow for a "centralized archiving of energy data, thus avoiding a multiplication of data among different actors and will serve as a basis for data to be made available for research purposes and to the general public (open data)."

60 This provision was introduced by the law of February 3, 2021, amending the amended law of August 1, 2007, concerning the organization of the electricity market, for which the opinion of the CNPD does not appear to have been requested.

61 Article 1, (42) of the amended law of August 1, 2007, concerning the organization of the electricity market.

62 Article 27ter, paragraph (2), letter a) of the bill.

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If the introduction of such provisions is necessary in light of the provisions of Article 6, paragraph (3), of the GDPR, it must be noted that the said provisions are not drafted with sufficient precision.

The CNPD will return to this matter in more detail in the developments below.

A. On the principle of lawfulness of the processing referred to in Article 27ter

It is appropriate to congratulate the authors of the draft law on the fact that, from a legal certainty perspective, the draft law establishes a legal basis for the implementation of such a national data computing platform in accordance with Article 6, paragraph (3), of the GDPR.

Indeed, when the processing of personal data is "necessary for compliance with a legal obligation to which the data controller is subject" or "is necessary for the performance of a task carried out in the public interest," then the basis for such processing is defined, in particular, by "the law of the Member State to which the data controller is subject" in accordance with Article 6, paragraph (3), of the GDPR. Article 6, paragraph (3), of the GDPR states that "[t]he basis for the processing referred to in paragraph 1, points c) and e), is defined by:

a. the law of the Union; or

b. the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, with regard to the processing referred to in paragraph 1, point e), are necessary for the performance of a task carried out in the public interest or concerning the exercise of official authority vested in the data controller.

This legal basis may contain specific provisions to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of processing by the data controller; the types of data that are subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and the processing operations and procedures, including measures to ensure lawful and fair processing, such as those provided for in other specific processing situations as provided for in Chapter IX."

This article provides a particular constraint related to the lawfulness of processing data necessary for compliance with a legal obligation or for the performance of a task carried out in the public interest or concerning the exercise of official authority.

63 Article 6, paragraph (1), letter c) of the GDPR

64 Article 6, paragraph (1), letter e) of the GDPR

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public in which the data controller is invested. In these two scenarios, the basis and purposes of data processing must specifically be defined either by European Union law or by the law of the Member State to which the data controller is subject.

Furthermore, Recital (45) of the GDPR specifies that it should " (...) be for Union law or the law of a Member State to determine the purpose of the processing. Moreover, this law could specify the general conditions of this regulation governing the lawfulness of the processing of personal data,

establish the specifications aimed at determining the data controller, the type of personal data being processed, the data subjects, the entities to which the personal data may be communicated, the limitations of purpose, the retention period, and other measures aimed at ensuring lawful and fair processing (...)".

Recital (41) of the GDPR further states that "[w]hen this regulation refers to a legal basis or legislative measure, this does not necessarily mean that the adoption of a legislative act by a parliament is required, without prejudice to the obligations laid down under the constitutional order of the Member State concerned. However, this legal basis or legislative measure should be clear and precise, and its application should be foreseeable for individuals, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights."

Under the aforementioned provisions, these legal bases should establish specific provisions aimed at determining, among other things, the types of data processed, the data subjects, the entities to which the data may be communicated and for what purposes, the data retention periods, or the operations and processing procedures.

However, it must be noted that some of these elements are not included or are not detailed with sufficient precision by Article 27ter. The CNPD will return to this in its developments below.

Moreover, the National Commission must emphasize the fundamental importance of the principle of lawfulness of personal data processing, which must be read in light of Article 8(2) of the European Convention on Human Rights concerning the right to respect for private life, as well as Article 52(1) and (2) of the Charter of Fundamental Rights of the European Union.

In essence, these two articles, together with the consistent case law of the European Court of Human Rights, hold that any limitation on the exercise of the right to the protection of personal data, such as data processing, is only permissible if this interference or limitation can be justified provided that it:

- is provided for by a law accessible to the data subjects and foreseeable as to its effects, that is to say, formulated with sufficient precision;
- respects the essential content of the right to data protection;

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- as necessary in a democratic society, subject to the principle of proportionality;
- effectively respond to objectives of general interest or the need to protect the rights and freedoms of others.

Insofar as certain legal provisions of the draft law do not meet the requirements of clarity, precision, and predictability that a legal text must satisfy, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights⁶⁵, the National Commission will pay particular attention to the first aforementioned condition.

Thus, according to the case law of the European Court of Human Rights, domestic legislation must be "accessible to the persons concerned and predictable as to its repercussions"⁶⁶. A rule is predictable "if it is formulated with sufficient precision to allow any person – possibly benefiting from appropriate assistance – to adapt their behavior"⁶⁷ as well as "[t]he degree of precision required of the 'law' in this regard will depend on the subject matter in question"⁶⁸.

This legal framework would also be a guarantee of the principle of legal certainty in favor of the persons concerned. Legal certainty constitutes a general principle of European Union law, requiring in particular that a regulation leading to adverse consequences for individuals be clear and precise and its application predictable for those subject to it. The regulation must allow those concerned to know precisely the extent of the obligations it imposes on them, must allow them to know unambiguously their rights and obligations, and must enable them to make arrangements accordingly⁶⁹.

This is why the European Court of Human Rights, within its case law, asserts that "domestic law must offer some protection against arbitrary interference by public authorities with the rights guaranteed by Article 8 paragraph 1"⁷⁰. Consequently, domestic legislation "must define the scope and modalities of the exercise of power with sufficient clarity – taking into account..."

65 In this sense, see M. Besch, "Processing of Personal Data in the Public Sector," Standards and

Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; See, among others, ECtHR, Zakharov v. Russia [GCL n°47413/06], §§ 228-229, December 4, 2015, ECtHR, Vavříčka and Others v. Czech Republic (applications n°47621/13 and 5 others), §§ 276 to 293, April 8, 2021.

66 ECtHR, Amann v. Switzerland [GC], n° 27798/95, February 16, 2000, para. 50; See also ECtHR, Kopp v. Switzerland, n° 23224/94, March 25, 1998, para. 55 and ECtHR, Iordachi and Others v. Moldova, n° 25198/02, February 10, 2009, para. 50.

67 ECtHR, Amann v. Switzerland [GC], n° 27798/95, February 16, 2000, para. 56; See also ECtHR, Malone v. United Kingdom, n° 8691/79, April 26, 1985, para. 66; ECtHR, Silver and Others v. United Kingdom, n° 5947/72, 6205/73, 7052/75, 7061/75, 7107/75, 7113/75, March 25, 1983, para. 88.

68 ECtHR, The Sunday Times v. United Kingdom, n° 6538/74, April 26, 1979, para. 49; See also ECtHR, Silver and Others v. United Kingdom, n° 5947/72, 6205/73, 7052/75, 7061/75, 7107/75, 7113/75, March 25, 1983, para. 88.

69 See, for example, ECtHR, Aurubis Bulgaria of March 31, 2011, C-546/09, points 42-43; Judgment, Alfamicro v. Commission of November 14, 2017, T-831/14, points 155-157.

70 ECtHR, Amann v. Switzerland [GC], n°27798/95 para 56.

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of the legitimate purpose pursued – to provide the individual with adequate protection against arbitrariness. The Court of Justice of the European Union considers that in the event of a limitation of the protection of personal data or the right to respect for private life, a legal text "must provide clear and precise rules governing the scope and application of the measure in question and imposing a minimum of requirements so that individuals whose data has been retained have sufficient guarantees to effectively protect their personal data against the risks of abuse as well as against any unlawful access and use of such data."

In this case, the legal provisions intended to provide for the processing of personal data via the electronic platform are not drafted with sufficient precision, making it difficult to understand what processing would be envisaged and carried out by which entities and for what purposes. Such precision is necessary in order to analyze whether the principles referred to in Article 5, paragraph (1), of the GDPR would be respected, and more particularly the principles of purpose limitation and data minimization.

Furthermore, the National Commission is all the more concerned by the absence of such precision as it questions what would happen to the data from smart meters retained by the transmission network operator in the "central reference directory."

It should be recalled that the European Data Protection Supervisor (hereinafter "EDPS") in its opinion on the European Commission's recommendation regarding the preparation for the introduction of smart metering systems considered that "without the adoption of adequate measures ensuring that only authorized third parties can access the data and process it for clearly specified purposes and in compliance with applicable data protection legislation, the deployment of smart metering systems could lead to the monitoring of individuals' daily lives in their own homes and the establishment of a detailed profile of all individuals based on their domestic activities. Given the sheer volume of information gathered by these smart meters, the ubiquitous availability of data from other sources, and advancements in data mining technology, the potential for extensive data mining is considerable. Consumption behaviors can be observed in each household, but also across multiple households; when gathered, aggregated, and sorted by region, demographics, etc."

71 Ibidem. See also ECtHR, Malone v. United Kingdom, Series A No. 82, August 2, 1984, pp. 31-32, para. 66; ECtHR, Fernández Martínez v. Spain CE:ECHR:2014:0612JUD005603007, June 12, 2014, para. 117; ECtHR, Liberty and Others v. United Kingdom, No. 58243/00, July 1, 2008, paras. 62 and 63; ECtHR, Rotaru v. Romania, App. No. 28341/95, May 4, 2000, paras. 57 to 59; and ECtHR, S and Marper v. United Kingdom, Applications No. 30562/04 and 30566/04, December 4, 2008, para. 99; Dimitrov-Kazakov v. Bulgaria No. 11379/03, February 10, 2011.

72 Judgment of April 8, 2014, Digital Rights Ireland e.a. C-293/12 and C-594/12, EU:C:2014:238, para. 54.

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to establish profiles and then apply them to households or to members of those households.⁷³

The EDPS also emphasized that consumer behaviors that could be derived from data from smart meters could, furthermore, "prove very useful for analyzing our energy consumption for energy conservation purposes. On the other hand, trends and profiles can be used for many other purposes, and notably – this may be the most important point – for commercial and advertising purposes."⁷⁴ It concluded that "[i]n light of the risks to data protection, ensuring a high level of protection of personal data is one of the main prerequisites for the deployment of smart metering systems."⁷⁵

However, in the current formulation of the draft law, it is difficult to understand, if applicable, whether data from smart meters would be processed for purposes different from those for which they were initially collected.

Furthermore, the provisions of the draft law clearly do not allow for an analysis of whether such processing would generate risks and abuses for the individuals concerned, and notably whether such data would, if applicable, be used for commercial and advertising purposes.

In light of the developments mentioned above, it is therefore essential that the provisions of Article 27ter be drafted with sufficient precision to address the concerns raised previously.

B. On the actors of the platform

Under the provisions of Article 27ter, paragraph (1), of the draft law, the transmission system operator would have the "role of data controller" within the meaning of Article 4, point 7, of the GDPR.

These provisions further specify that "[t]he transmission system operator is only responsible for the processing of data on the platform. When an electricity or natural gas company carries out processing using the platform, it is responsible for the truthfulness and accuracy of the data.

Nevertheless, the transmission system operator must provide a procedure that allows for the verification of the truthfulness and accuracy of the data on the platform, to delete or rectify inaccurate data without delay following a request for rectification, and to notify any

rectification in accordance with Article 19 of the aforementioned EU Regulation 2016/679 of April 27, 2016, to the recipients of the rectified data."

73. Point 18

74. Point 19

75. Point 22

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According to the commentary on the articles, paragraph (1) of Article 27ter of the draft law "assigns the transmission network manager the task of establishing such a platform and specifies that the latter is responsible for the processing of data on the platform. Therefore, it is responsible for the implementation and proper functioning of the platform. On the other hand, electricity and natural gas companies, as users of the platform, bear responsibility for the truthfulness and accuracy of the data they enter or modify on the platform. This is explained by the fact that certain data processing on the platform occurs between market actors without the transmission network manager being directly involved."

However, neither the legal provisions set out in the draft law nor the explanations provided by the authors of the draft law clearly determine the respective roles of the transmission network manager and the electricity or gas companies from a data protection perspective.

It is also important to alert the authors of the draft law to the fact that "[t]here may be joint controllers of processing when more than one actor is involved in the processing. The GDPR introduces specific rules for joint controllers of processing and establishes a framework that governs their relationship.

The essential criterion for joint responsibility for processing is the joint participation of two or more entities in determining the purposes and means of a processing operation. Joint participation may take the form of a common decision made by two or more entities or arise from converging decisions adopted by two or more entities when the decisions complement each other and are necessary for the execution of the processing in such a way that they have a concrete effect on the determination of the purposes and means of the processing."⁷⁶

Furthermore, "[j]oint responsibility for processing also requires that two or more entities have exercised influence over the means of processing. This does not mean that, for joint responsibility for processing to exist, each entity involved must in all cases determine all the means of processing. Indeed, as clarified by the CJEU, different entities may be involved at different stages of the processing and to varying degrees. Consequently, different joint controllers of processing may define the means of processing to a varying extent, depending on who is actually able to do so."⁷⁷

It should also be noted that the processor is "the natural or legal person, public authority, service, or other body that processes personal data on behalf of the controller."⁷⁶

⁷⁶ Guidelines 07/2020 on the concepts of controller and processor in the GDPR, adopted on July 7, 2021, by the European Data Protection Board, page 3

⁷⁷ Guidelines 07/2020 on the concepts of controller and processor in the GDPR, adopted on July 7, 2021, by the European Data Protection Board, §63, page 24.

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personnel on behalf of the data controller. There are two basic conditions to be considered as a processor: it must be a distinct entity from the data controller and it must process personal data on behalf of the data controller. Insofar as the provisions under review aim to target a plurality of processing for different purposes, which, according to the understanding of the CNPD, would be carried out by different actors, the role of all users of this platform should be determined in light of the aforementioned developments.

Indeed, one must question the role of the transport network manager if they are only responsible for providing the platform. Furthermore, what would their role be if they are required to maintain the "central reference directory" and retain the data collected by market actors? What would be the role of electricity and gas companies if "certain data processing on the platform occurs between market actors

without the transport network manager being directly involved"?

Moreover, the determination of the data controller is crucial as it is upon them that the compliance with all the principles set out in Article 5 of the GDPR rests. Article 24 of the GDPR further states that "the data controller implements appropriate technical and organizational measures to ensure and be able to demonstrate that processing is performed in accordance with this regulation."

However, in this case and given the current wording of the draft law, it is impossible to know which actor would bear such obligations or whether they would be respected.

Finally, the provisions under review should not relieve the data controller(s) of the obligations incumbent upon them under the GDPR. Thus, if the transport network manager were to be the data controller, then the provisions of Article 27ter, paragraph (1), of the draft law should not exclude their responsibility regarding "the accuracy and correctness of the data" that would be used via the platform. In any case, for a better understanding of the text under review and in order to respect the principle of predictability to which any legal or regulatory text must adhere, the CNPD deems it essential to clarify, in light of the previous developments, the role of the different actors in the context of Article 27ter of the draft law.

The National Commission also wishes to reiterate its observations.

78 Guidelines 07/2020 on the concepts of data controller and processor in the GDPR, adopted on July 7, 2021, by the European Data Protection Board, page 4.

79 In this sense, see M. Besch, "Processing of personal data in the public sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; see also ECtHR, Zakharov v. Russia [GCL n°47413/06], § 228-229, December 4, 2015.

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formulated under point I of this notice in that it questions which entity should be responsible for the management of such a platform.

C. On the "objectives" pursued by the platform

It should be noted that paragraph (2) of Article 27ter enumerates the "objectives" of the platform, which are as follows:

- "to serve as a central reference directory"⁸⁰: it is specified in the commentary on the articles that this central reference directory "will ensure efficient, user-friendly, and secure access for electricity and natural gas companies"⁸¹;
- to ensure "the preservation of data for archival purposes, for scientific or historical research, or for statistical purposes"⁸²;
- to ensure "a centralized management of market communication"⁸³ (market communication is defined as "an exchange, through electronic and standardized communication, between network managers⁸⁴ and market participants, of all data and information referred to in Article 27ter, paragraph (3), first subparagraph, point c)");
- to ensure "the effective execution of contracts as well as legal obligations and to enable stakeholders to adapt to market developments in terms of flexibility"⁸⁵;
- "to allow the development and provision of statistics and anonymized data for monitoring, transparency, and research purposes"⁸⁶.

While the effort to enumerate the pursued objectives is commendable, it must be noted that some of these provisions do not meet the requirements of clarity, precision, and predictability to which a legal text must adhere, in accordance with the jurisprudence of the Court of Justice of the European Union and the European Court of Human Rights⁸⁷.

This difficulty of understanding is further exacerbated, given that the

⁸⁰ Article 27ter, paragraph (2), letter a) of the draft law.

⁸¹ See AD Article 21, commentary on the articles

⁸² Article 27ter, paragraph (2), letter a) of the draft law.

⁸³ Article 27ter, paragraph (2), letter b), i) of the draft law.

⁸⁴ Article 1, paragraph (25) of the law of August 1, 2007, on the organization of the electricity market, coordinated text, which states that a network manager is "indifferently a transmission network manager or a distribution network manager or a manager of an industrial network or a manager of a direct line."

85 Article 27ter, paragraph (2), letter b), i) of the draft law.

86 Article 27ter, paragraph (2), letter c) of the draft law.

87 In this sense, see M. Besch, "Processing of personal data in the public sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; See among others ECtHR, Zakharov v. Russia [GCL n°47413/06], § 228-229, December 4, 2015, ECtHR, Vavříčka and others v. Czech Republic (applications n°47621/13 and 5 others), § 276 to 293, April 8, 2021.

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data appears to be processed for a variety of different purposes. Furthermore, the CNPD questions whether the data that would be collected via the platform would be for subsequent purposes that are different from those for which they were initially collected.

On this principle, it is important to recall that in accordance with the principle of purpose limitation⁸⁸, data must be collected for specified, explicit, and legitimate purposes, and must not, in principle, be processed for purposes "incompatible" with those original purposes.

It should be noted that the EDPS, in its opinion on the Commission's proposal amending Directive (EU) 2015/849 and Directive 2009/101/EC titled "Access to information on beneficial owners and consequences for data protection"⁸⁹, emphasized the importance of such a principle.

The EDPS indeed believes that the provision of the GDPR relating to the principle of purpose limitation is "particularly important in relation to public order interference in the protection of personal data, as the proportionality of their processing must be assessed in light of the political objective defined by the legislator.

In this regard, we consider that legislative instruments allowing for the multiple and/or simultaneous processing of personal data by different data controllers and for incompatible purposes, without specifying for what purpose each data processing is carried out, risks causing significant confusion regarding the application of the principle of proportionality.

That is why compliance with the principle of purpose limitation is essential, particularly in cases where legislation allows two categories of controllers to process data, a task they do not necessarily perform for the same purposes.

In cases where the purposes of data processing are defined by general or vague terms, or where the various data controllers have a completely different relationship with the pursued purpose both in terms of structure or resources and the ability of each controller to comply with the rules in

certain given circumstances, the principle of purpose limitation is formally and substantially compromised and, consequently, the principle of proportionality will not be duly applied either⁹⁰.

To the extent that the national Commission believes that such observations are relevant given the legal provisions under review, it is necessary to question the compliance with the principle of purpose limitation in this case.

88 Article 5, paragraph (1), letter b) of the GDPR.

89 Opinion 1/2017 of the EDPS, on the Commission's proposal amending Directive (EU) 2015/849 and Directive 2009/101/EC – access to information on beneficial owners and consequences for data protection.

90 Opinion 1/2017 of the EDPS, on the Commission's proposal amending Directive (EU) 2015/849 and Directive 2009/101/EC – access to information on beneficial owners and consequences for data protection.

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Furthermore, it should be recalled that if personal data were to be collected for purposes different from those for which they were initially collected, then the provisions of Article 6, paragraph (4), of the GDPR would apply.

Thus, Article 6, paragraph (4), of the GDPR states that “when the processing for a purpose other than that for which the data have been collected is not based on the consent of the data subject or on Union law or the law of a Member State which constitutes a necessary and proportionate measure in a democratic society to safeguard the objectives referred to in Article 23, paragraph (1)⁹¹, the controller, in order to determine whether the processing for another purpose is compatible with the purpose for which the personal data were initially collected, shall take into account, inter alia:

- a) the possible existence of a link between the purposes for which the personal data have been collected and the purposes of the intended further processing;
- b) the context in which the personal data have been collected, in particular regarding the relationship between the data subjects and the controller;
- c) the nature of the personal data, in particular if the processing concerns special categories of personal data under Article 9, or if personal data relating to criminal convictions and offenses are processed under Article 10;
- d) the possible consequences of the intended further processing for the data subjects;
- e) the existence of appropriate safeguards, which may include encryption or pseudonymization.”

91 Article 23, paragraph (1), of the GDPR states that “the law of the Union or the law of the Member State to which the controller or the processor is subject may, by legislative measures, limit the scope of the obligations and rights provided for in Articles 12 to 22 and Article 34, as well as Article 5 in so far as the provisions of the law in question correspond to the rights and obligations provided for in Articles 12 to 22, when such limitation respects the essence of fundamental freedoms and rights and constitutes a necessary and proportionate measure in a democratic society to safeguard:

- a) national security;
- b) national defense;
- c) public security;
- d) the prevention and detection of criminal offenses, as well as investigations and prosecutions in this regard or the execution of criminal sanctions, including protection against threats to public security and the prevention of such threats;
- e) other important objectives of general public interest of the Union or a Member State, including an important economic or financial interest of the Union or a Member State, including in the areas of monetary, budgetary and fiscal policy, public health, and social security;
- f) the protection of the independence of the judiciary and judicial proceedings;

- g) the prevention and detection of breaches of professional ethics in regulated professions, as well as investigations and prosecutions in this regard;
- h) a mission of control, inspection, or regulation related, even occasionally, to the exercise of public authority, in the cases referred to in points a) to e) and g);
- i) the protection of the data subject or the rights and freedoms of others;
- j) the execution of civil law requests."

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Therefore, in the event that data is collected for purposes different from those for which it was initially collected, the aforementioned provisions will apply.

Finally, it is particularly important to draw the attention of the authors of the draft law to the respect of the principle of purpose limitation by the transport network manager if it is required to maintain a central reference directory. Indeed, if this is a private company entrusted with a public interest mission, it is important to ensure that the data contained in this central directory, which would be initially collected for purposes necessary for the execution of a public interest mission, is not subsequently reused by the network manager for commercial purposes.

Regarding the appropriateness of designating a private company as the manager of such a platform, reference is made to the observations made in point I of this opinion.

D. On the categories of personal data "stored on the platform"

Article 27ter paragraph (3) states that:

"The platform includes the following data:

- a) the names, addresses, contact details, and the unique identifier provided for in paragraph (6) of the users of the network and the connection takers referred to in this law as well as by Article 1, paragraphs (41) and (33bis), of the amended law of August 1, 2007, relating to the organization of the natural gas market, and, to the extent that the aforementioned persons are legal entities, the names, addresses, and contact details of the contact person designated by them;
- b) the data collected during the metering referred to in Article 29 of this law as well as in Article 35 of the amended law of August 1, 2007, relating to the organization of the natural gas market;
- c) the data and information necessary for the proper functioning of the electricity and natural gas markets as well as interconnected networks as defined by regulation by the regulator after a consultation procedure organized in accordance with Article 59; the National Commission for Data Protection being requested for its opinion;
- d) the data referred to in Article 17, paragraph (1);
- e) all other data necessary for the proper functioning of the electricity and natural gas markets that are not personal data."

While it is commendable to enumerate the categories of data that would be collected, it should be noted, considering the plurality of the intended processing, that it would have been preferable, for a better understanding of the provisions, for the text under review to specify the purposes for which each of these categories of data would be collected.

Furthermore, it is regrettable that the categories of data referred to by the letter

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c) the aforementioned provisions are not specified. If it is indicated that a draft Grand-Ducal regulation would specify such data and information, it is regrettable that such a draft Grand-Ducal regulation has not been transmitted simultaneously with the draft law.

As for the provisions stating that "the National Commission for Data Protection is to be consulted for its opinion," it should be clarified that its missions are established by the law of August 1, 2018, on the organization of the National Commission for Data Protection and the general regime on data protection. Thus, it "advises the Chamber of Deputies, the Government, and other institutions and bodies regarding legislative and administrative measures related to the protection of the rights and freedoms of individuals concerning the processing of personal data."⁹² Therefore, if the provisions under review stipulate that the National Commission is to be consulted for its opinion in accordance with the provisions of Article 8, point 4° of the aforementioned law of August 1, 2018, the CNPD

considers that such provisions are superfluous.

Nevertheless, if the text under review intends to provide for a specific consultation of the CNPD, not covered by the law of August 1, 2018, on the organization of the National Commission for Data Protection and the general regime on data protection, it should be recalled that since the implementation of the GDPR, the CNPD does not have the mission to validate a priori the processing of categories of data (principle of accountability).

E. On processing for archival purposes, scientific or historical research, or statistical purposes and the availability of data to the general public

It follows from the commentary on the articles that the central directory "will also allow for centralized archiving of energy data, thus avoiding a multiplication of data among different actors and will serve as a basis for data to be made available for research purposes and to the general public (open data)" and that "the platform will allow for the provision of statistics and data serving to monitor the sector, ensure sufficient transparency, and for research purposes."

Regarding processing for scientific, historical, or statistical research purposes, it should be recalled that Article 89, paragraph (1), of the GDPR states that "[p]rocessing for archival purposes in the public interest, for scientific or historical research purposes, or for statistical purposes is subject, in accordance with this regulation, to appropriate safeguards for the rights and freedoms of the data subject."

92 Article 8, point 4° of the law of August 1, 2018, on the organization of the National Commission for Data Protection and the general regime on data protection.

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guarantees ensure the implementation of technical and organizational measures, in particular to ensure compliance with the principle of data minimization. These measures may include pseudonymization, to the extent that these purposes can be achieved in this manner. Each time these purposes can be achieved by subsequent processing that does not allow or no longer allows the identification of the data subjects, it should be done in this manner."

Furthermore, Article 65 of the law of August 1, 2018 organizing the National Commission for Data Protection states that "taking into account the nature, scope, context, and purposes of the processing as well as the risks, whose degree of probability and severity varies, for the rights and freedoms of natural persons, the controller of a processing operation carried out for scientific or historical research purposes, or for statistical purposes, must implement the following additional appropriate measures:

- 1° the designation of a data protection officer;
- 2° the conduct of an impact assessment of the envisaged processing operations on the protection of personal data;
- 3° anonymization, pseudonymization as defined in Article 4, paragraph 5, of Regulation (EU) 2016/679 or other functional separation measures ensuring that the data collected for scientific or historical

research purposes, or for statistical purposes, cannot be used to make decisions or take actions regarding the data subjects;

4° the use of a trusted third party functionally independent of the data controller for the anonymization or pseudonymization of the data;

5° the encryption of personal data in transit and at rest, as well as key management in accordance with the state of the art;

6° the use of technologies enhancing the privacy protection of the data subjects;

7° the establishment of access restrictions to personal data within the data controller;

8° logging files that allow for the establishment of the reason, date, and time of the consultation and the identification of the person who collected, modified, or deleted the personal data;

9° the training of staff participating in the processing of personal data and in professional secrecy;

10° the regular evaluation of the effectiveness of the technical and organizational measures implemented through an independent audit;

11° the prior establishment of a data management plan;

12° the adoption of sectoral codes of conduct as provided for in Article 40 of Regulation (EU) 2016/679 approved by the European Commission under Article 40, paragraph 9, of Regulation (EU) 2016/679.

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The data controller must document and justify for each project for scientific or historical research purposes or for statistical purposes the exclusion, where applicable, of one or more of the measures listed in this article."

Consequently, the CNPD considers it essential that the data controller ensures compliance with the aforementioned provisions and ensures, in particular, the implementation of additional appropriate safeguards referred to in Article 65 of the law of August 1, 2018, organizing the National Commission for Data Protection.

Furthermore, it is also evident from the commentary on the articles that "[t]his directory will also allow for centralized archiving of energy data, thus avoiding a multiplication of data among different actors and will serve as a basis for data to be made available for research purposes and to the general public (open data)."

In the absence of further details on this matter and to the extent that the draft law is not written with sufficient precision, the CNPD cannot assess the issues from a data protection perspective that may, if applicable, arise.

It is also necessary to draw the attention of the authors of the draft law to the fact that the legal provisions of the law of July 25, 2015, relating to electronic archiving or those of the amended law of August 17, 2018, relating to archiving may, if applicable, be relevant.

Finally, the authors of the draft law should ensure proper alignment with the provisions of the law of November 29, 2021, on open data and the reuse of public sector information, if it is intended to apply.

Moreover, although a Grand-Ducal regulation is mentioned in paragraph (8) of Article 27ter and aims to define "the frequency of publication and the minimum extent" of data on the electricity and natural gas sectors according to the principles of open public data, it is regrettable that such a draft Grand-Ducal regulation has not been submitted simultaneously with the draft law.

F. On Security Measures

In accordance with Article 5, paragraph (1), letter f), of the GDPR, personal data must be "processed in a manner that ensures appropriate security of personal data, including protection against unauthorized or unlawful processing and against accidental loss, destruction, or damage, using appropriate technical or organizational measures (integrity and confidentiality)."

Article 32 of the GDPR further states that "the data controller and the processor implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk." Such measures must be implemented to avoid, in particular, unauthorized access to data, data leaks, or unwanted modifications.

It should be emphasized that it is strongly recommended to define an access management policy in order to be able to identify

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from the outset the person or service, within each concerned entity, and to which specific data this person or service would have access.

Furthermore, it is necessary to provide for an access logging system. In this regard, the CNPD recommends that the logging data be retained for a period of five years from their recording, after which they are deleted, unless they are subject to a control procedure.

The CNPD also emphasizes the importance of proactively conducting internal controls. To this end, it is necessary, in accordance with Article 32, paragraph (1), letter d) of the GDPR, to implement a procedure "aimed at regularly testing, analyzing, and evaluating the effectiveness of technical and organizational measures to ensure the security of processing."

Thus, in the context of implementing data exchanges via the platform referred to in the draft law, such security measures should be implemented by the different data controller(s) to ensure the confidentiality and security of the data.

The implementation of these measures should take into account the specificities of each access envisaged by the draft law.

Indeed, it should be noted that different accesses via this platform would be envisaged:

- An access by electricity and natural gas companies, as referred to in paragraph (5) of Article 27ter;
- An "individual and secure" access to the platform for the persons referred to in paragraph (3), first subparagraph, point a) of Article 27ter, as referred to in paragraph (6) of Article 27ter;
- An access "via a standardized interface to extracts and information to the minister, the regulator, the Government Commissioner for Energy, or the National Institute of Statistics and Economic Studies who request it for the execution of their respective missions," as referred to in paragraph (7) of Article 27ter.

Moreover, within the framework of the different accesses envisaged by the draft law, the principle of minimization should be respected, so that only data that is adequate, relevant, and limited to what is necessary in relation to the purposes for which it would be processed is communicated.

Finally, it should be noted that a Grand-Ducal regulation referred to in paragraph (14) of Article 27ter would "specify the functionalities, technical and organizational specifications, and the modalities related to data accessibility." However, it is regrettable that such a draft Grand-Ducal regulation was not transmitted at the same time as the draft law.

G. On the retention of data

According to Article 5, paragraph (1), letter e) of the GDPR, personal data must not be kept longer than necessary for the purposes for which they are collected and processed.

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The draft law does not provide details regarding the retention period for the categories of data collected through the use of the platform referred to in Article 27ter. In the absence of such details, the

National Commission is unable to assess whether, in this case, the principle of limited data retention would be respected concerning the collection of this data.

Furthermore, insofar as the data collected, in the context of the implementation of the platform, is for different purposes, it would be appropriate to specify an adequate retention period for each category of personal data.

Moreover, the collected data must be deleted or anonymized as soon as their retention is no longer necessary for the purposes for which they are collected and processed.

Therefore, even if the retention periods are not defined in the draft law, it should at a minimum specify the criteria that would be taken into account to determine what the proportionate retention period is for each category of personal data that would be collected under the draft law.

II. Regarding the recording of telephone conversations by electricity network managers

It should be noted that the provisions of Article 27, paragraph (6), of the amended law of August 1, 2007, concerning the organization of the electricity market, were introduced by draft law No. 7266 amending the amended law of August 1, 2007, concerning the organization of the electricity market. Insofar as the National Commission has not been consulted to advise on this draft law, it nevertheless allows itself to comment on such provisions, within the framework of its review of the draft law under consideration.

Article 27, paragraph (6), states that “[w]ithout prejudice to the implementation of any other legally permitted processing, the manager of an electricity network, holder of a concession within the meaning of Article 24 of this law, may, in the context of fulfilling its public service mission, executing public service obligations, and work relations, in particular implement processing within the meaning of the [GDPR], in the form of recording telephone conversations, even without the consent of the persons concerned. This recording must relate to telephone conversations aimed at ensuring the flow of electrical energy on the networks, or reporting to the network manager a failure, malfunction, or any other anomaly generally affecting the networks, or concerning all maneuvers and technical operations related to the networks.

The persons concerned by this processing are the representatives and interlocutors of other network managers and suppliers, individuals reporting a failure, malfunction, or any other anomaly affecting the networks, and the individuals and employees involved in

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the maneuvers and technical operations related to networks.

The purpose of this processing is to ensure the continuity of public service, the execution of public service obligations, the safety of users and the public, the prevention of accidents, the safety and health of workers, and the protection of the assets of the network manager.

The retention period for the data is limited to one month, except in the case of judicial proceedings.

In this case, the data may be retained until the final closure of the proceeding.

It follows from the commentary on the articles of bill no. 7266 that "the network manager, holding a concession, may implement processing in the form of recording telephone conversations necessary for the execution of a public service mission or for the execution

of public service obligations. The [GDPR] expressly admits in its article 6 that Member States may take specific provisions regarding processing necessary for the execution of a public interest mission. Furthermore, according to article 88 of the same regulation, Member States may provide for more specific rules regarding data processing in the context of employment relationships."

While it is true that article 6, paragraph (1), letters c) and e) provides that the legality of processing may rely on "a legal obligation to which the data controller is subject" or is "necessary for the execution of a public interest mission or falls within the exercise of public authority vested in the data controller," it must also be ensured that these bases of legality meet the conditions referred to in paragraph (3) of article 6 of the GDPR.

These bases of legality defined by the law of Member States must in particular respond to "a public interest objective and [be] proportionate to the legitimate objective pursued."

The CNPD thus wonders whether the legal provisions set out in article 27, paragraph (6) of the amended law of August 1, 2007, regarding the organization of the electricity market, meet a public interest objective and are proportionate to the legitimate objective pursued.

Regarding article 88 of the GDPR, it should be noted that the current legal provisions, which provide for more specific rules regarding data processing in the context of employment relationships, are currently referenced in article L.261-1 of the Labor Code.

Therefore, it is necessary to question the articulation of the provisions set out in article 27, paragraph (6) of the amended law of August 1, 2007, regarding the organization of the electricity market with those of article L.261-1 of the Labor Code.

Furthermore, to what extent do the provisions of article 27, paragraph (6), of the amended law of August 1, 2007, regarding the organization of the electricity market, interact with the provisions of the amended law of May 30, 2005, concerning the protection of privacy in the electronic communications sector?

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Indeed, it should be noted that the recordings of telephone conversations fall within the scope of the amended law of May 30, 2005, concerning the protection of privacy in the electronic communications

sector.

Article 4, paragraph (2), of the aforementioned law states that "[i]t is prohibited for any person other than the concerned user to listen to, intercept, store communications and data related to the traffic thereof, or to subject them to any other means of interception or surveillance without the consent of the concerned user."

Paragraph (3), letter d) of the same law specifies that the aforementioned paragraph (2) "does not affect the recording of communications and data related to the traffic thereof, when it is carried out within the framework of lawful professional uses, in order to provide proof of a commercial transaction or any other commercial communication. The parties to the transactions or any other commercial communications are informed in advance that recordings may be made, of the reasons for which the communications are recorded, and of the maximum retention period of the recordings. The recorded communications must be deleted as soon as the purpose is achieved, and in any case, upon the expiration of the legal period for appeal against the transaction."

While it may be conceivable that some of the recordings referred to in Article 27, paragraph (16) could be possible, subject to concerning the exception referred to in paragraph (3), letter d), of Article 4 of the amended law of May 30, 2005, concerning the protection of privacy in the electronic communications sector, it is appropriate to question the articulation of the provisions of Article 27, paragraph (16), of the amended law of August 1, 2007, relating to the organization of the electricity market, with those of Article 4, paragraph (2) of the aforementioned amended law of May 30, 2005, which establishes the principle of the prohibition of telephone recordings without the consent of the concerned user?

Finally, it should be noted that a company active in the field of gas and electricity network management had filed an appeal against a decision of the CNPD which had refused the data processing envisaged by the article of the aforementioned draft law.

Following an appeal lodged by said company against the decision, the position of the National Commission had indeed been confirmed by a judgment of May 19, 2016, rendered by the Administrative Court of Luxembourg.⁹³

⁹³ Administrative Court of the Grand Duchy of Luxembourg dated May 19, 2016, 2nd chamber, number 35399 of the roll.

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The judges thus considered that the implementation, by a gas and electricity transport and distribution company, "of a system for telephone tapping and recording of calls made to the Dispatching Center from which all national electricity and gas networks would be managed in practice, which would necessitate carrying out certain cuts during interventions to be performed on the ground, such as network maintenance, repair of defective parts on an electricity pylon, or a gas pipeline," violates the special provisions of Article 4 of the law of May 30, 2005, insofar as the recordings are not made within the framework of lawful professional uses to provide evidence of a commercial transaction or any other commercial communication.

Consequently, it is at least surprising to note that the provisions of Article 27, paragraph (16), of the amended law of August 1, 2007, relating to the organization of the electricity market, derogate from the provisions of the aforementioned amended law of May 30, 2005, by providing that the recording of telephone conversations referred to by these provisions would be permitted in order to "ensure the continuity of public service, the execution of public service obligations, the safety of users and the public, the prevention of accidents, the safety and health of workers, and the protection of the assets of the network manager."

III. On the smart metering system

The draft law introduces new provisions in paragraph (7) of Article 29 of the amended law of August 1, 2007, relating to the organization of the electricity market.

These provisions aim to transpose Article 20, point a), of the directive "taking into account the definition of 'quasi-real time' provided for in Article 2, point 26, of the Directive. Access to this quasi-real time data is provided via an interface located on the user's smart meter."

Thus, as provided for by the draft law, final customers can access "the unvalidated data related to their

consumption in quasi-real time, that is to say, a short period not usually exceeding a few seconds or at most reaching the period of settlement of imbalances in the electricity market. Access to this data is provided securely, at no additional cost, via a standardized interface on the meter, in order to promote automated energy efficiency improvement programs, active demand participation, and other services." It is further specified that "network managers may offer, if applicable for a fee, a device to network users that allows remote access to this data."

Regarding remote access, the CNPD wonders whether this is a correct transposition of the directive, as Article 20, point a), states that "[f]inal customers must also be able to easily access unvalidated data related to consumption in quasi-real time and in a secure manner, at no additional cost, via...

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a standardized interface or via remote access."

Finally, the National Commission understands that access to this data, which would be encrypted, would only be possible through an electronic key that would be provided upon request by the network manager. The establishment of such a system should be commended.

Furthermore, regarding the smart metering system, the National Commission reiterates its concerns expressed in its opinion on the draft Grand-Ducal regulation concerning the modalities of measuring electricity and natural gas regarding the retention of data from smart meters, as it had estimated that "retention of data on a 'quarter-hourly' basis for electricity and 'hourly' for natural gas for a period of fifteen years allows for an extremely detailed profiling of individuals' habits, such that the interests and rights and freedoms of the individual concerned prevail over the interests of network managers and suppliers. Moreover, as the National Commission has already expressed in this opinion, the risks of misuse related to the use of the data thus collected are detrimental to individuals' privacy, so it is necessary to minimize the duration of data retention as much as possible."⁹⁴

Additionally, it should also be emphasized that the EDPS, in its opinion on the Commission's recommendation regarding the preparation for the introduction of smart metering systems, had pointed out that the legal basis for the deployment of smart metering systems "is not sufficiently specific in itself to be considered a 'legal obligation' within the meaning of Article 7, point c), of Directive 95/46/EC. To ensure legal certainty, the EDPS therefore recommends making a clear distinction between the purposes i) for which energy consumption data can be processed for reasons of public interest (Article 7, point e)) or for other legitimate interests (Article 7, point f)) without the customer's consent, on the one hand, and ii) the purposes for which the customer's consent is required, on the other hand."⁹⁵ It also recommended that "the applicable model or legislation clearly specify that i) monitoring energy consumption (for purposes other than the basic objectives described in the previous paragraph), ii) monitoring individuals (except for the detection of cases of fraud consisting of unpaid consumption of supplied energy), iii) targeted advertising, iv) value-added services, and v) further transfer of data for such purposes require specific and distinct consent."⁹⁶

⁹⁴ Deliberation No. 566/2013 of December 13, 2013.

⁹⁵ Point 45 of the opinion of the European Data Protection Supervisor on the Commission's recommendation regarding the preparation for the introduction of smart metering systems dated June 8, 2012.

⁹⁶ Point 46 of the opinion of the European Data Protection Supervisor on the Commission's recommendation regarding the preparation for the introduction of smart metering systems dated June 8, 2012.

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However, to the extent that data from smart meters would be processed for other purposes, as seems to be contemplated through the use of the said platform, the CNPD can only share such observations and questions the guarantees that would be implemented to limit the risks and abuses related to the use of the collected data.

Thus decided in Belvaux on July 1, 2022.

The National Commission for Data Protection

Tine A. Larsen
President
Thierry Lallemand
Commissioner
Marc Lemmer
Commissioner
Alain Herrmann
Commissioner

the election day. The proposed amendment would allow citizens to request a copy of the electoral lists starting from the day following their provisional approval, during the period when the electoral lists are open for public inspection, which runs from the 54th to the 47th day before the election day.

The Commission notes that this change raises concerns regarding the protection of personal data, as it would allow for the dissemination of electoral lists containing personal information of citizens at an earlier stage than currently permitted. The Commission emphasizes that the data contained in these lists must be handled in accordance with the principles set out in the GDPR, particularly regarding the lawful basis for processing personal data and the rights of individuals.

In light of the above, the Commission recommends that the legislative body carefully consider the implications of this amendment on data protection and ensure that adequate safeguards are in place to protect the personal data of citizens. The Commission also suggests that further clarification be provided on how the data will be managed and what measures will be implemented to prevent misuse.

The Commission remains at the disposal of the legislative body for any further discussions or clarifications regarding this matter.

Done in Luxembourg, on July 1, 2022.

For the National Commission for Data Protection,
[Signature]
[Name]
[Title]

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the elections. Thus, it would have been possible to inspect and obtain a copy of the provisional electoral lists during the period from the 54th to the 47th day, and then in a second phase, to inspect and obtain a copy of the updated electoral lists from the 44th to the 30th day before the elections. The parliamentary amendments aim to remove the right of citizens to request, in the context of inspecting the electoral lists, the issuance of a copy of the lists. The commentary on the articles specifies in this regard that “[t]he issuance of copies of the electoral lists constitutes in our country a long-standing tradition that is an integral part of our electoral system and has been maintained to this day. As the electoral law limits the use of personal data contained in the electoral lists to purely electoral purposes, it has in fact served the interests of political parties for use in political prospecting during electoral periods. However, in light of the applicable rules regarding general data protection and the general trend increasingly towards strengthening the protection of personal data, maintaining the right for any citizen to request a complete copy of the electoral lists is no longer appropriate today. It is therefore proposed to abolish it since the right for the citizen to inspect the electoral list at the municipal secretariat, which is maintained, already satisfies the electoral purpose pursued.” In its opinion regarding bill no. 5859 amending the modified electoral law of February 18, 2003, the National Commission had already warned against the risk that the data from the electoral lists, after being communicated to citizens, could be processed subsequently in a manner incompatible with their electoral purpose. More recently, the CNPD published a communication regarding the use of electoral lists for electoral prospecting as well as guidelines aimed at raising awareness among political actors about the risks particularly related to the collection and processing of personal data of voters for electoral purposes. It is also worth noting that the CNPD has previously received complaints related to

the use of personal data contained in copies of the electoral lists.

The purpose of maintaining the electoral lists consists notably in establishing the voter status of individuals meeting the conditions set forth by the modified electoral law of February 18, 2003. The National Commission believes that the right to inspect the electoral lists falls within this purpose, particularly for the purpose of verifying the accuracy of the electoral lists, without it being necessarily required to also provide a right to obtain a copy. By removing the possibility of requesting a copy of the electoral lists, the risk of subsequent processing incompatible with the electoral purpose is reduced.

The National Commission therefore welcomes the parliamentary amendments.

Thus decided in Belvaux on July 1, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

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Opinion of the National Commission for Data Protection regarding draft law no. 7882 introducing specific provisions for the processing of personal data in the "JU-CHA" application, and amending the Code of Criminal Procedure

(Deliberation no. 29/AV13/2022 of 01/07/2022)

In accordance with Article 8 of the law of August 1, 2018 on the organization of the National Commission for Data Protection and the general regime on data protection (hereinafter the "law of August 1, 2018 on the organization of the CNPD"), transposing Article 46, paragraph 1, letter (c) of Directive (EU) 2016/680 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data by competent authorities for the purposes of preventing, investigating, and prosecuting criminal offenses, and executing criminal sanctions, and on the free movement of such data, and repealing Framework Decision 2008/977/JAI of the Council (hereinafter the "Directive"), the National Commission for Data Protection (hereinafter the "National Commission" or the "CNPD") "advises the Chamber of Deputies, the Government, and other institutions and bodies regarding legislative and administrative measures related to the protection of the rights and freedoms of natural persons with regard to the processing of personal data."

By letter dated August 20, 2021, the Minister of Justice invited the National Commission to express its opinion on the draft law introducing specific provisions for the processing of personal data in the "JU-CHA" application, and amending the Code of Criminal Procedure (hereinafter the "draft law").

It should be noted that well before the submission of the draft law for opinion, the judicial control authority (hereinafter the "ACJ"), established by Article 40 of the law of August 1, 2018 concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, in which the CNPD is a member, had already published an opinion on the JU-CHA application on July 31, 2020 (hereinafter the "ACJ opinion of 2020").

In this opinion, the ACJ notably stated that "since the entry into force of the law of August 1, 2018 in criminal matters as well as in matters of national security, the JUCHA application and the processing of personal data implemented by law enforcement authorities are governed by this framework law [the law of August 1, 2018 in criminal matters as well as in matters of national security], without containing specific provisions concerning the processing of data implemented by the various competent authorities referred to in said law," and that "there is no doubt that the processing of data carried out by the competent authorities in criminal matters as well as in matters of national security constitutes an interference with the right to respect for private life and the right to data protection, and that the

criminal provisions, particularly the Penal Code and the Code of Criminal Procedure, constitute a sufficient legal basis for the collection of personal data in the execution of the essential missions of the public prosecutor's office and the judicial courts."

In its 2020 opinion, the ACJ analyzed "whether the JUCHA application does not constitute a distinct processing of data, and furthermore, processing of data beyond that based on the criminal procedures described above, in that it facilitates the exploitation and linking of information based on distinct judicial procedures and allows for connections between these different data processing activities with related purposes, such that the conditions and modalities of this 'JUCHA' data processing should be provided for in the law in order to confer greater legal certainty to the parties involved," as well as "whether the provisions of said law are sufficiently precise regarding the requirements, particularly of Article 11, paragraph 3, read in light of Article 32, paragraph 3, of the Constitution, Article 8, paragraph 2, of the European Convention on Human Rights, Article 52, paragraphs 1 and 2, of the Charter of Fundamental Rights of the European Union, and the case law referring to it."

The analyses of the ACJ led to the conclusion that "[n]otwithstanding a management of JUCHA rooted in internal procedures, which overall meets the requirements of the law of August 1, 2018 in criminal matters as well as in matters of national security, and notwithstanding the fact that the majority of data processing related to paper files revolves around the main missions of law enforcement jurisdictions, it appears that neither the provisions of the Code of Criminal Procedure nor other legal provisions explicitly govern all the characteristics of the processing covered by the JUCHA application." As a conclusion, the ACJ further stated that "[g]iven that the JUCHA application groups various purposes by ultimately linking these different data processing activities, it could be considered to adopt a general provision defining the essential elements of the data processing carried out based on the JUCHA application. Such an approach could enhance the accessibility and predictability of the law.

Furthermore, in order for this approach to take into account..."

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fully meet the constitutional and conventional requirements arising from the European Convention on Human Rights and the Charter of Fundamental Rights of the European Union and the case law cited at the beginning of this opinion, the conditions and modalities of said processing should be defined in a legal basis specifically dedicated. According to the explanatory memorandum, the draft law under review aims to address the concerns raised by the ACJ, notably in that it states that "an interference with the right to respect for private life or with the right to data protection may be justified provided that it 1) is provided for by a law accessible to the persons concerned and predictable in its effects, that is to say formulated with sufficient precision; 2) is necessary in a democratic society, subject to the principle of proportionality; 3) respects the essential content of the right to data protection; 4) effectively responds to objectives of general interest or to the need to protect the rights and freedoms of others." The draft law therefore intends to meet these obligations and balance, on the one hand, the necessity of equipping judicial authorities with the essential tools for the proper functioning of Justice and, on the other hand, ensuring respect for the right to privacy and more specifically the right to the protection of personal data. Furthermore, the objective of the draft law is to "regulate the processing of personal data carried out by judicial authorities using the JU-CHA application, allowing the management of criminal cases from the first act of procedure to the execution of court decisions, in accordance with the provisions of European and international law, the Penal Code, the Code of Criminal Procedure, and other applicable special laws." According to the explanatory memorandum, the draft law also aims to make "amendments to the Code of Criminal Procedure in order to regulate the transmission of information in criminal matters, notably by providing an unequivocal legal basis for the communication by the Public Prosecutor's Office of conviction decisions to administrations, legal persons under public law, or to the competent professional orders responsible for ensuring their execution. The text also introduces the possibility for the Public Prosecutor's Office to alert public or private persons of a risk of commission of an offense by one of their subordinates." In general, the National Commission welcomes the legislative initiative aimed at regulating the processing carried out.

by the judicial authorities based on the JU-CHA application, which claims to fill the absence of a specific legal basis defining the essential elements of the processing carried out by the judicial authorities based on the JU-CHA application.

Taking into account the opinion of the ACJ from 2020, to which the members of the ACJ from the CNPD actively contributed, the draft law nevertheless raises observations and questions that the National Commission wishes to address in this opinion.

Regarding the introduction of specific provisions for the processing of personal data in the JU-CHA application

On the purposes of personal data processing

The CNPD notes that Article 1 of the draft law aims to establish the purposes pursued by the processing of personal data in the JU-CHA application as recommended by the ACJ in its 2020 opinion.

It observes that the commentary on the articles describes certain purposes pursued, while noting that it does not claim to be exhaustive. However, the description of the purposes in Article 1 of the draft law remains more than vague.

The CNPD recalls that Article 3, paragraph 1, letter b) of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, transposing the Directive into national law, requires that personal data be "collected for specified, explicit, and legitimate purposes and not processed in a manner incompatible with those purposes." Thus, the CNPD believes that the draft law under review must determine these purposes with a sufficient degree of detail to be compatible with the aforementioned provision.

It considers that the current wording of the provision does not sufficiently specify the purposes in detail to meet this requirement. In this context, the National Commission raises that the ACJ's 2020 opinion identified four main categories of processing purposes, and wonders whether the draft law should at least contain these main categories of purposes.

103 See ACJ opinion of 2020, p.27

104 ACJ opinion of 2020, pp. 2 and 3: "The JUCHA application covers the entire process of a criminal case, from the communication of the fact to the public prosecutor's office to the final decision on public action, including the registration in the criminal record. It also covers the enforcement of sentences.

Furthermore, the JUCHA application integrates the management of files from the Central Social Assistance Service (hereinafter 'SCAS'), probation, guardianship, youth protection, victim assistance, and requests for clemency.

[...]

Given the interconnection of multiple data processing within the JUCHA application, largely relying on the same collected personal data, this analysis must be conducted by distinguishing the purposes.

Four main categories of purposes have been identified:

A. Management of the criminal trial

- a. Ensure the management of criminal files from the first act of procedure to the execution of judicial decisions,
- b. Allow the computerized management of criminal cases opened within the public prosecutor's offices,
- c. Enable state prosecutors to assess the appropriateness of prosecutions,
- d. Allow for the tracing of a case in the event of the discovery of new elements,

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The CNPD notes that the draft law as well as the explanations provided by the commentary on the articles reflect the current structure of the JU-CHA application. However, it questions whether the draft law should already take into account the future development of the JU-CHA application, particularly regarding the dematerialization of files as envisaged by the "e-justice" project. Specifically, one may wonder whether the terms "processing of procedures" and "including digital" in paragraph 1 of the

current provision are sufficient to cover a potential evolution of the JU-CHA application in light of the implementation of the "e-justice" project. Referring again to what was raised by the ACJ in its 2020 opinion, the CNPD wonders whether the draft law should be supplemented by a category of purposes covering this aspect.

On the designation of the data controller

The National Commission notes that Article 2 of the draft law designates the Attorney General as the data controller for the processing of personal data carried out in the JU-CHA application.

However, it regrets that the authors of the draft law did not justify their choice in the commentary on the articles.

As a reminder, it emerges from the ACJ's 2020 opinion that despite the input and use of the JU-CHA application by numerous judicial authorities, the Public Prosecutor's Office believes that the role of data controller falls to it. In the same opinion, the ACJ nonetheless raised a question regarding this assertion, asking "whether the different jurisdictions should not be considered as joint data controllers, at least for certain parts of the processing included in the JU-CHA application."

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- e. Allow for the management of hearings of a repressive nature,
- f. Allow for the management of criminal records with the various extracts,
- g. Manage the files of the Central Social Assistance Service (hereinafter "SCAS") (SCAS module).

B. The protection of youth

C. International cooperation in criminal and judicial matters

- a. Manage and keep track of European arrest warrants and other European mutual recognition instruments addressed to Luxembourg,
- b. Manage and keep track of letters rogatory with coercive measures addressed to Luxembourg.

D. Other missions of the public prosecutor's offices

- a. Allow for the restitution of found objects,
- b. Allow state prosecutors to assess the morality and respectability of a person,
- c. Keep a record of paper files sent to archives,
- d. Interactions outside of an ongoing judicial procedure of the prosecutor's office with natural or legal persons.

105 Opinion of the ACJ of 2020, p. 2: "In addition to the processes already dematerialized included in the JU-CHA application, it appears that it is set to evolve, gradually integrating more dematerialized files related to the implementation of 'e-justice.' If it is envisaged to ultimately integrate a dematerialized version of paper files into the JU-CHA application, the rules concerning said application must also cover this new reality."

106 See ACJ opinion of 2020, p. 10.

107 Idem.

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The CNPD regrets that the authors of the draft law did not seize the opportunity to respond to the inquiry of the ACJ, particularly by providing explanations as to why the qualification of joint data controllers did not seem applicable in the present context.

On the maximum access period to data in the 'criminal records' module

According to Article 5 of the draft law, access to the data contained in the 'criminal records' module can occur "within a maximum period of two years for contraventions, five years for offenses, and ten years for crimes from the last entry in the system."

The CNPD wonders whether it would be useful to clarify what the triggering element of the period, namely the "last entry," exactly means. The commentary on the articles does not provide any precision in this regard; nevertheless, the National Commission believes that this clarification will contribute to transparency for the individuals concerned. Furthermore, an explanation would allow for a precise determination of whether a simple consultation could extend the period.

On the reform of youth protection

In order to ensure the coherence of the draft laws currently in legislative procedure, it should be raised that the 'youth protection' module should, if necessary, be adapted based on developments that will occur when the related draft laws are finalized.

On the maximum access period to data in the 'Central Social Assistance Service' module

According to Article 9 of the draft law, access to the data contained in the 'Central Social Assistance Service' module "is no longer possible no later than five years from the closure of the file."

The CNPD wonders whether it would be useful to clarify what the triggering element of the period, namely the "closure of the file," exactly means. The commentary on the articles does not provide any precision in this regard; it believes that this clarification would contribute to transparency for the individuals concerned.

On the 'access control' module

The National Commission notes that the 'access control' module provided for in Article 10 of the draft law "contains the logs of processing operations carried out by the users of the application."

108 Draft law No. 7991 introducing a criminal law for minors and amending: 1° the Code of Criminal Procedure; 2° the amended law of March 7, 1980, on judicial organization; 3° the amended law of March 17, 2004, relating to the European arrest warrant and the procedures for surrender between Member States of the European Union; 4° the law of July 20, 2018, reforming the prison administration and draft law No. 7992 relating to the rights of minor victims and witnesses in the context of criminal proceedings and amending: 1° the Penal Code; 2° the Code of Criminal Procedure; 3° the amended law of August 10, 1991, on the legal profession.

109 See Article 10, paragraph 1, of the draft law.

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In this regard, it is important to recall Article 24 of the law of August 1, 2018, relating to the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, transposing the Directive into national law:

"(1) Logs are established at least for the following processing operations in automated processing systems: collection, modification, consultation, communication, including transfers, interconnection, and deletion. The logs of consultation and communication operations allow for the establishment of the reason, date, and time of these operations and the identification of the person who consulted or communicated the personal data, as well as the identity of the recipients of this personal data."

Furthermore, it should be emphasized that the conclusions of the ACJ in its 2020 opinion state that "the logging mechanism should be updated to require users to specify the reason for a consultation and/or modification" and that "it would be recommended that the legislator adopt specific provision(s) specifying: [...] logging and retention periods for logs."

However, upon reading Article 10, paragraph 2, of the draft law, the National Commission notes that the logs "must at a minimum provide the identity, where applicable through a digital identifier, of the users as well as the nature of the information consulted and the date and time of the consultation," and this provision does not explicitly require that the logs contain a "reason for a consultation and/or modification" as recommended by the ACJ in its 2020 opinion and as required by Article 24 of the law of August 1, 2018, relating to the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security.

The commentary on the articles does not provide explanations on this subject, and the CNPD therefore wonders why they did not follow the recommendation of the ACJ.

It should be recalled that "logs are used solely for the purposes of verifying the lawfulness of processing, self-monitoring, ensuring the integrity and security of personal data, and for criminal proceedings." In light of the significant number of consultations in the JU-CHA application, the question arises as to how the data controller can effectively use the logs for self-monitoring in the context of regular log reviews to search for and detect, where applicable, unlawful consultations in the JU-CHA application. The CNPD believes in

110 See ACJ opinion of 2020, p.26.

111 See ACJ opinion of 2020, p.27.

In this context, it is necessary to mandatorily provide a reason for consultation, in order to allow for a sufficiently precise tracing of the reason and legitimacy of access to the data. It should therefore be necessary to adapt Article 10, paragraph 2, of the draft law, in order to provide that a sufficiently precise reason is generated or inserted so that the "logs of consultation and communication operations allow for the establishment of the reason."

On the distinction between different categories of concerned persons

The CNPD notes with satisfaction that Article 11 of the draft law lists the categories of data that may be processed and that the "file must distinguish between different categories of persons, according to the nature of their involvement in the matter concerned."

While the ACJ had already concluded in its 2020 opinion that "the JUCHA application seems to comply with this provision, in that it makes the distinction [...]," it is nonetheless important to recall that the ACJ also believed that "it is necessary to clarify what differences in treatment are attached to this distinction, particularly regarding the possibility of conducting a search on said persons and the information displayed based on the different categories of persons."

The CNPD therefore regrets that the authors of the draft law have not provided clarifications on this point in the draft law under review.

Regarding the amendment of the Code of Criminal Procedure

Article 12 of the draft law intends to introduce three new articles into the Code of Criminal Procedure aimed at providing a legal basis for the transmission of information by the Public Prosecutor's Office, particularly to public or private persons in order to alert them that one of their subordinates may commit an offense.

The CNPD intends to limit its observations to issues related to data protection and privacy protection. Thus, it questions the consequences of transmitting this type of information to employers. Indeed, this draft law does not specify how the employer should react to this type of information, considering the principle of the presumption of innocence, a possible dismissal of the criminal case, or an acquittal decision. What guarantees surround the processing of this type of information by the employer (accuracy and updating of data, retention period, etc.)? The draft law remains silent on this matter. It should be noted that the transmission of information from the Attorney General or/and the State Prosecutor to the employer will result in a change in the applicable legal data protection regime. Indeed, the employer is not a competent authority under the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security. The GDPR is therefore applicable to the processing of personal data it carries out, including the processing it performs to store, consult, or destroy such personal data. In this context, the CNPD wishes to remind that the legal data protection regime applicable to competent authorities under the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security allows, if necessary, to restrict the scope of transparency obligations incumbent on the data controller as well as the rights of concerned persons.

This would no longer be the case if personal data were transmitted to the employer, who would have to apply the GDPR. The authors of the draft law limit themselves to indicating in the commentary on the articles that it is unnecessary to provide a right to additional information regarding the transmission of their data to the concerned person, given that this information will be notified to them.

However, the question arises as to whether it should not be necessary to limit the rights of the concerned person/the presumed author, based on Article 23 of the GDPR and following the guidelines of the European Data Protection Board. The draft law under review remains silent on this matter.

Thus, in order not to allow for a circumvention of the rules normally applicable to personal data processed during an investigation, inquiry, or ongoing trial, it would be advisable to provide for restrictions, if necessary temporary, on the rights of concerned persons (notably the right to information, the right to erasure, and the right of access) under Article 23 of the GDPR and taking into account the guidelines of the EDPB in this regard.

Thus decided in Belvaux on July 1, 2022.
The National Commission for Data Protection
Tine A. Larsen
President
Thierry Lallemand
Commissioner
Marc Lemmer
Commissioner
Alain Herrmann
Commissioner
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Notice from the National Commission for Data Protection regarding Bill No. 7880 on the organization of the Luxembourg Army and amending: 1° the amended municipal law of December 13, 1988; 2° the amended law of July 27, 1992 concerning the participation of the Grand Duchy of Luxembourg in peacekeeping operations and prevention operations, as well as crisis management; 3° the amended law of December 9, 2005 determining the conditions and modalities for the appointment of certain officials holding managerial positions in the administrations and services of the State; 4° the amended law of March 25, 2015 establishing the salary regime and the conditions and modalities for the advancement of State officials and repealing the amended law of July 23, 1952 concerning military organization

(Deliberation No. 30/AV14/2022 of July 21, 2022)

In accordance with Article 57, paragraph 1, letter (c) of Regulation (EU) No. 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 on the organization of the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPd") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

By letter dated September 6, 2021, the Minister of Defense invited the National Commission to express its opinion on Bill No. 7880 on the organization of the Luxembourg Army and amending: 1° the amended municipal law of December 13, 1988; 2° the amended law of July 27, 1992 concerning the participation of the Grand Duchy of Luxembourg in peacekeeping operations and prevention operations, as well as crisis management; 3° the amended law of December 9, 2005 determining the conditions and modalities for the appointment of certain officials holding managerial positions in the administrations and services of the State; 4° the amended law of March 25, 2015 establishing the salary regime and the conditions and modalities for the advancement of State officials and repealing the amended law of July 23, 1952 concerning military organization (hereinafter referred to as the "bill").

According to the explanatory memorandum, "the bill aims to

- strengthen the operational capability and responsiveness of the Army,
- update the organization of the Army,
- modernize and expand military careers."

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The explanatory memorandum further states that

"through this means, the Army aims to meet the current and future challenges, the most important of which lies in recruiting a sufficient number of military and civilian personnel in order to successfully carry out an increasing range of missions within its traditional area of action (land component), but also in more recent areas of action, such as space and cyber domains, to name just a few. The

modernization, expansion, and diversification of military careers should notably contribute to increasing the attractiveness of the Army.”

The National Commission intends to limit its observations to the issues raised by the provisions of the draft law and the draft Grand-Ducal regulation under review that address aspects related to respect for privacy and the protection of personal data, namely Articles 17 and 18.

Article 17 aims to establish a legal basis for access by Army personnel to the national register of natural persons (hereinafter “RNPP”) and to the file relating to the affiliations of employees, self-employed individuals, and employers (managed by the Joint Social Security Centre, hereinafter “CCSS”), in the context of recruitment and personnel management of the Army.

Article 18, for its part, aims to set up a background check that is carried out on each candidate wishing to join the Luxembourg Army, necessary for the execution of the functions of Army personnel.

I. Regarding Article 17

a. Paragraph 1

According to the commentary on the articles, this article constitutes the legal basis for access by Army personnel to the RNPP and to the file managed by the CCSS in the context of recruitment and personnel management of the Army.

The authors of the draft law explain that this article is inspired by Article 43 of the amended law of July 18, 2018, on the Grand-Ducal Police. However, while this latter article provides for access to the RNPP, the file managed by the CCSS, and other files for members of the Grand-Ducal Police who hold the status of judicial police officer or administrative police officer in the context of their judicial and administrative police missions, it should be noted that access to such files by Army personnel would not occur in the same context but rather in the context of recruitment and personnel management of the Army.

However, while the CNPD can understand access to these files for the purposes of judicial and administrative police missions, it does not see the need to access these files for human resources management purposes.

Indeed, regarding the file managed by the CCSS, the National Commission understands that candidates must, in any case, provide the necessary data to allow the Army (like any employer hiring personnel in the public sector) to make an entry declaration.

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to the CCSS¹¹⁵. It therefore does not understand why the Army should have access to the file managed by the CCSS.

It also does not understand the need for the Army to access the RNPP for recruitment and human resource management purposes.

In the event that the authors of the bill still intend to maintain this provision, the CNPD recalls, as it had already noted in its opinion regarding bill No. 7543 amending the modified law of July 18, 2018, on the Grand Ducal Police¹¹⁶, that access to the RNPP should in any case be carried out in accordance with the procedure provided for by Article 10 of the modified law of June 19, 2013, relating to the identification of natural persons, as well as Articles 5 to 7 of the Grand Ducal Regulation of November 28, 2013, setting the modalities for the application of the aforementioned law.

b. Paragraph 2

According to the commentary on the articles, "paragraph 2 aims at the conditions and limits within which the Army's computer system must be arranged to ensure compliance with the legal provisions regarding the processing of personal data."

In the event that the first paragraph of this Article 17 is maintained despite the CNPD's view that there is no necessity for access to the RNPP and the file managed by the CCSS for recruitment and personnel management purposes, such conditions and limits would then appear to be essential. It further notes that the list of administrations that have consulted personal data in the RNPP over the last 6 months can in any case be consulted in the private space of the MyGuichet.lu site, to which each user has access.

Paragraph (2), first subparagraph, 1° establishes a procedure for tracking access, which helps to avoid unauthorized access to data, data leaks, or unwanted modifications. Such a procedure constitutes a

guarantee with respect to the principle of integrity and confidentiality, enshrined in Article 5, paragraph (1), letter (f), and the obligation of security of processing detailed in Article 32 of the GDPR. It consists of ensuring that only those who need access to the necessary data for recruitment and personnel management purposes in the exercise of their functions and professional tasks are authorized to do so.

Paragraph (2), first subparagraph, 2° provides for a logging system for access. Thus, it will be possible to trace any unjustified or disproportionate access to the data by members of the Army's personnel. In this context, the CNPD emphasizes

115 As indicated on the CCSS website, on the following page:

<https://ccss.public.lu/fr/employeurs/secteur-public/engager-personnel.html>.

116 Parliamentary document 7543/4.

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the importance of proactively conducting internal controls. To this end, it is necessary, in accordance with Article 32, paragraph (1), letter d) of the GDPR, to implement a procedure "aimed at testing, analyzing, and regularly evaluating the effectiveness of technical and organizational measures to ensure the security of processing."

The second paragraph refers to the principles of necessity and proportionality, in connection with the principle of data minimization established in Article 5, paragraph (1), letter (c) of the GDPR.

Finally, the third paragraph provides that the National Commission for Data Protection monitors and supervises compliance with the access conditions set out in the article under review. In its view, this provision appears to be superfluous, as it falls within its missions in accordance with Article 57 of the GDPR.

Furthermore, although the CNPD understands that this indeed falls within its competencies, it questions why the authors referred to Article 2, paragraph 1, point 15, letter a, of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security. Indeed, concerning the processing of data for recruitment and human resources management purposes, this falls under the "general" missions of the CNPD, detailed in Article 12 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, which refers to Article 58 of the GDPR.

Moreover, it should be recalled that based on the principle of accountability provided for in Article 5, paragraph (2) of the GDPR, it is primarily the responsibility of the data controller itself, namely the Luxembourg Army, to ensure compliance with the principles of the GDPR, particularly those mentioned above (namely the principles of integrity and confidentiality, necessity, and proportionality).

In this context, the CNPD considers it necessary for the Army to conduct regular monitoring of the data accessed through access tracing, in order to identify and remedy any unnecessary or disproportionate access, if necessary by communicating any potential data breach to the affected individuals or to the CNPD, in accordance with Articles 33 and 34 of the GDPR. It is only a posteriori that the National Commission will be led to exercise its investigative power or to adopt corrective measures, in accordance with Article 58, paragraph (2) of the GDPR.

In this regard, the National Commission questions the added value of dedicating a specific part related to the execution of its monitoring mission that will be exercised under the article under review, within the framework of its report submitted annually to the minister responsible for data protection in its attributions, in execution of Article 10 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection. Indeed, as mentioned above, this falls in any case under the general missions of the CNPD. Furthermore, it does not seem logical to dedicate a specific section.

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regarding its power to control the security and confidentiality measures put in place by the Army, while other administrations are nonetheless bound by

the same principles of security and confidentiality.

II. Concerning Article 18

a. Paragraph 1

According to the commentary on the articles, "Article 18 establishes a suitability investigation that is conducted for each candidate wishing to join the Luxembourg Army, regardless of the status they wish to attain, aimed at verifying that the candidate for a position in one of the categories of remuneration and compensation of military and civilian personnel or in voluntary service does not pose a threat to themselves or others, or even to national security." Regarding the concept of suitability investigation, the National Commission refers to its opinion on draft law No. 7691117.

The CNPD welcomes that this article, from a legal security perspective, constitutes the legal basis for the suitability investigation conducted by the Luxembourg Army in this context, in accordance with Article 6, paragraph (3) of the GDPR.

The second paragraph of paragraph 1 lists the elements to be considered during this suitability investigation, "for reasons of transparency and clarity regarding the criteria verified," according to the commentary on the articles. However, among these criteria, some raise questions.

Thus, the third criterion (which falls under the competence of the State Intelligence Service, according to the commentary on the articles), namely "the relationship of the individual with persons suspected of acting on behalf of or obeying the orders of a foreign secret service and who may threaten national security," would benefit from clarification, in order to understand more precisely what is meant by "relationship."

Furthermore, the fifth criterion ("indictment in judicial matters") raises questions concerning the principle of the presumption of innocence. Indeed, as noted by the Council of State in its supplementary opinion of December 19, 2020, regarding draft law No. 7425 on weapons and ammunition, it is important to draw the attention of the authors of the draft law to the fact that "a report or a document is not equivalent to a judicial decision that has detained a person in the context of preventive measures and that the principle of the presumption of innocence must prevail."

Moreover, the terms "judicial matters" lack precision in the eyes of the CNPD: does it refer to an indictment regarding any contravention, offense, and/or crime? Is the seriousness of the criminal offense taken into account? From what stage...

117 Parliamentary document 7691/3, point I.1, page 3.

118 See supplementary opinion of the Council of State of December 19, 2020, regarding draft law No. 7425 on weapons and ammunition, parliamentary document No. 7425/08, developments under "Amendment 14."

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of the criminal investigation, will such an indictment be taken into account in the evaluation of the candidate?

Similarly, the sixth criterion ("the existence of one or more disciplinary records of the individual") is quite vague, whereas this notion could encompass a variety of facts of very different severities. Does it refer to disciplinary sanctions imposed by the Army, by other administrations, and/or by private employers, in Luxembourg or abroad? Is the severity of these disciplinary sanctions taken into account, and if so, whether they could constitute criminal offenses under Luxembourg law? What if these disciplinary sanctions have been contested, possibly before the administrative court or the Labor Court? What would be the scope of the secrecy of the investigation in relation to the rules of non-contentious and contentious administrative procedures?

For these reasons, the National Commission wonders whether the criteria referred to in paragraph (1), second subparagraph, 3°, 5°, and 6° are not too vague and consequently, whether they respect the principle of predictability and precision to which any legal or regulatory text must adhere.

Finally, the last subparagraph of paragraph 1 provides that a candidate lacking the required honorability may be refused admission to the position in question. However, without prejudging the in concreto assessment that would be made in this matter, it is regrettable that neither the draft law under review nor the comments on the articles specify what criteria or what degree of severity of the records are taken into account by the Chief of Staff of the Army to assess the honorability of the individuals

concerned. In the absence of such clarifications, it is difficult to assess whether the principle of data minimization would be respected. It should be recalled that under this principle, only personal data that are strictly necessary for achieving the intended purposes may be processed.

b. Paragraph 2

The commentary on the articles explains that "the research and gathering of information within the framework of the honorability investigation are not carried out by the Army itself. Indeed, paragraph 2 provides that the information is gathered by the Grand Ducal Police, at the request of the Chief of Staff of the Army, who has the legal bases allowing him to access the databases, provided that this consultation is necessary in relation to the intended purpose."

The National Commission welcomes the establishment of such a mechanism, which prevents Army personnel from obtaining direct and unrestricted access.

119 See in this sense, the supplementary opinion of the Council of State dated December 19, 2020, regarding draft law N°7425 on arms and ammunition, parliamentary document n°7425/08, developments under "Amendment 14."

120 See in this regard M. Besch, "Processing of personal data in the public sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.469, n°619.

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for the purposes of determining the honorability as defined in paragraph 1.

Nevertheless, it should be noted in this regard the bill No. 7741 amending

1° the amended law of July 18, 2018, on the Grand Ducal Police, 2° the amended law of July 5, 2016, on the reorganization of the SRE, and 3° the Penal Code, submitted on December 30, 2020. The said bill aims in particular to regulate the processing of personal data carried out in the files of the Grand Ducal Police, and more specifically in the central file. Special attention should be paid to access to the passive part of the central file. Its access is, in fact, strictly limited to the purposes listed in paragraph (19) of article 43-2 of bill No. 7741 (administrative investigations are not included) and is subject to the agreement of the Attorney General. Therefore, the authors of the bill should ensure the proper coherence and articulation between the two proposed texts.

In the commentary on the articles, the authors of the bill specify that "the authority conducting this administrative investigation based on its assignment must guarantee respect for privacy in the sense of article 11 of the Constitution and article 8 of the Convention for the Protection of Human Rights and Fundamental Freedoms on the one hand, and the national and European provisions regarding the processing of personal data on the other"¹²¹.

As already mentioned above¹²², regarding the indictment in judicial matters, as well as the existence of one or more disciplinary records of the person concerned, the authors

of the bill should also pay particular attention to the secrecy of the investigation.

The National Commission, however, welcomes that the first paragraph temporally frames the facts to which the information provided by the Grand Ducal Police relates, in that it provides maximum time limits between the commission of a fact, which may be taken into account in the context of the honorability investigation, and the moment it can be considered.

The second paragraph of paragraph 2 refers to the principle of purpose limitation, provided for in article 5, paragraph (1), letter b of the GDPR, which would be applicable in this case to the Grand Ducal Police. The National Commission understands that the Police would act in this context as a subcontractor within the meaning of the GDPR, while the Chief of Staff of the Army will remain responsible for the processing and, in this capacity, also subject to the principle of purpose limitation. Finally, paragraph 3 states that "[t]he information concerning the facts referred to in paragraph 1 is communicated to the chief

121 Commentary on the articles, ad article 18, page 67.
122 Ad article 18, paragraph 1.

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of the Army General Staff in the form of the entirety or excerpts of minutes or police reports, or any other document or procedural act containing the relevant information." Let us recall that Article 10 of the GDPR states that "[t]he processing of personal data related to criminal convictions and offenses or related security measures based on Article 6, paragraph 1, may only be carried out under the control of a public authority, or if the processing is authorized by Union law or by the law of a Member State that provides appropriate safeguards for the rights and freedoms of the data subjects." The said article further specifies that "[a] complete register of criminal convictions may only be kept under the control of a public authority."

In this context, it is essential that safeguards are provided in the draft law, particularly in the case of the transmission of such data in the form of the entirety of minutes or police reports. Otherwise,

the individuals concerned (candidates and members of the Army staff) would see a duplication of their data related to criminal convictions or indictments in the hands of multiple authorities. The collection of such data during the administrative investigation could lead to the establishment of a sort of new “criminal record” by the Chief of the Army General Staff. He would have, if applicable, at the end of the investigation, a copy of the entirety or excerpts of police reports, minutes, judgments, or other information that would be necessary provided by the SRE (as referred to in paragraph 5 of the same article).

Furthermore, there is still a need to question the issue of the accuracy and updating of the data that would be transmitted by the Grand Ducal Police or by the SRE to the Chief of Staff, while the proposed system does not provide for feedback from these authorities to the Army. For example, this issue could arise in the event that data transmitted by the Grand Ducal Police or the SRE, relating to facts concerning a candidate, would lead to a decision of non-suit, or a dismissal without further action.^{123 124} The CNPD therefore considers it essential that safeguards be provided by the authors of the draft law, similar to those referred to in paragraph 7, second sentence of the same article. The transmission of a detailed opinion from the Grand Ducal Police instead of the transmissions of the entirety or excerpts of minutes, currently provided for by the draft law, could constitute an alternative.¹²⁵

c. Paragraph 3

According to the commentary on the articles, this paragraph has the consequence of making
¹²³ Cf. *infra*, point i.

¹²⁴ See in this sense, the supplementary opinion of the Council of State dated December 19, 2020, regarding draft law No. 7425 on weapons and ammunition, parliamentary document No. 7425/08, developments under “Amendment 14,” p.6.

¹²⁵ As proposed by the Council of State in its supplementary opinion dated December 19, 2020, regarding draft law No. 7425 on weapons and ammunition, parliamentary document No. 7425/08, developments under “Amendment 14,” p.8.

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so that the Grand Ducal Police does not communicate data that goes beyond the elements considered by the Army in its investigation of honorability. The National Commission welcomes the introduction of

this paragraph, in connection with the principle of purpose limitation enshrined in Article 5, paragraph (1), letter b of the GDPR. For further details, it refers to its developments in paragraph 2.

d. Paragraph 4

Paragraph 4 grants the Minister and the Chief of Staff of the Army the possibility to request the issuance of an extract from Bulletin No. 2, in accordance with Articles 8 and 8-1 of the amended law of March 29, 2013, concerning the organization of the criminal record.

It is worth questioning the added value of this paragraph, other than repeating the aforementioned provisions. Indeed, Article 1 of the amended Grand Ducal Regulation of July 23, 2016, establishing the list of administrations and legal entities under public law that may request Bulletin No. 2 or No. 3 of the criminal record with the written or electronic consent of the person concerned, point 15 states that “[t]he Bulletin No. 2 may be issued upon request and with the express consent in writing or electronically of the person concerned (...) to the minister responsible for Defense for the processing of employment applications for military and civilian careers and applications for voluntary service in the Army.”

Furthermore, Article 8-1 concerns Bulletin No. 3, and the National Commission wonders why paragraph 4 of the draft law under review only refers to Bulletin No. 2.

e. Paragraph 5

This paragraph should be read in conjunction with paragraph 1, subparagraph 2, points 2 and 3, which concern two criteria taken into consideration to verify whether the candidate possesses the necessary honorability to perform the functions of Army personnel, namely the affiliation of the individual to a group that could be considered terrorist or extremist, on the one hand, and the individual's relationships with persons suspected of acting on behalf of or obeying the orders of a foreign secret service, on the other hand.

In addition to the considerations expressed above regarding the notion of “relationships”¹²⁶, it is necessary to question how personal data will be transmitted in practice, as paragraph 5 simply provides that they will be exchanged “upon request or spontaneously.”

Moreover, the National Commission wonders whether this collaboration with the State Intelligence Service falls within the framework of cooperation with administrations, as referred to in Article 9 of the amended law of July 5, 2016, reorganizing the State Intelligence Service. If this is the case, it could be useful to reference this in this paragraph of the draft law.

f. Paragraph 7

According to the commentary on the articles, paragraph 7 aims to “establish a legal basis allowing the Chief of Staff of the Army to conduct an honorability investigation in case there is an indication that a member of the Army personnel may constitute such a threat.” However, it is regrettable that neither the text of the draft law nor the commentary on the articles specifies what could be the “information likely to cast doubt on the honorability of a military or civilian personnel member.”

Nevertheless, the commentary on the articles explains that “the honorability investigation conducted by the Chief of Staff during the engagement of a member of the Army personnel will be subject to the authorization of the Minister, preceded by a reasoned request from the Chief of Staff,” which, according to the authors of the draft law, would “limit, or even avoid, abuses.” The CNPD welcomes the establishment of such a guarantee, even if it believes that no abuse can be definitively ruled out. The second subparagraph of paragraph 7 provides for the possibility for the Chief of Staff of the Army to receive necessary information from the Attorney General regarding any preliminary investigations or preparatory instructions related to the facts referred to in paragraph 1.

The authors of the draft law acknowledge that this is a “rather delicate situation, as this information generally falls under the secrecy of the investigation.” Nevertheless, they justify this exception to the principle of investigation secrecy by stating that “it would be contrary to the purpose of this honorability investigation not to be able to rely on this information, as it is important to avoid a person against whom a preparatory instruction or preliminary investigation is ongoing due to a recent fact from occupying a position within the Army.” Furthermore, they indicate that this exception “will be strictly framed and limited to what is strictly necessary, particularly concerning the information that the Attorney General will transmit to the Chief of Staff of the Army.” Thus, the personal data that may be transmitted to the Army staff during the period when the facts in question are covered by the secrecy of

the investigation are exhaustively listed in the second subparagraph of paragraph 7.

The CNPD refers to its developments regarding the secrecy of the investigation¹²⁷. It considers it essential that

127 Cf. above, point b.

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guarantees are provided by the authors of the bill. In this regard, it welcomes the fact that the integrity investigation conducted by the Chief of Staff during the engagement of a member of the Army is subject to the authorization of the Minister, preceded by a reasoned request from the Chief of Staff. Furthermore, it notes with satisfaction that, contrary to the procedure applicable to new candidates referred to in paragraph 2 of the same article, the Chief of Staff will not receive the entirety or excerpts of minutes or police reports, but only the name, first name, national identification number, as well as the legal qualification of the facts attributed to them and which are incriminated by the legal provisions referred to in paragraph 3. However, it questions why these guarantees are not provided in the context of the recruitment outlined in paragraph 2 of the same article, with regard to new candidates. In any case, particular attention should be paid to the respect of the principles of data retention limitation, as well as accuracy and updating of data, detailed in the following paragraphs of this opinion.

g. On the principle of data retention limitation

According to Article 5, paragraph (1), letter e) of the GDPR, personal data must not be kept longer than necessary for the purposes for which they are collected and processed. Beyond that, the data must be deleted or anonymized.

However, Article 18 of the bill does not indicate how long the data that would be collected by the Army or transmitted to the Chief of Staff would be retained. Therefore, the National Commission is not in a position to assess whether, in this case, the principle of limited data retention would be respected. It is essential that clarifications on this matter be provided, especially considering the nature of the personal data involved. Thus, the retention period should be defined in the bill or, at a minimum, it should specify the criteria that would be taken into account to determine what the proportionate retention period is for each category of personal data that would be collected during administrative investigations.

h. On the principle of data accuracy

In accordance with Article 5, paragraph (1), letter d) of the GDPR, personal data must be “accurate and, where necessary, kept up to date; all reasonable measures must be taken to ensure that personal data which are inaccurate, in relation to the purposes for which they are processed, are erased or rectified without delay.”

However, it should be noted that the device under review does not provide any provisions regarding the updating of data obtained in the context of administrative investigations. Given the data collected, it is important to draw the attention of the authors of the bill to the significant risk that data relating to a person whose case has been dismissed or who has since been acquitted of an offense they were accused of may still be present in the administration's files, without any relevant update or rectification, especially since no retention period is currently provided in the bill under review.

Thus decided in Belvaux on July 21, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

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Supplementary Opinion of the National Commission for Data Protection Regarding Bill No. 7475

Amending the Amended Law of July 26, 2002 on the Police and the Operation of Luxembourg Airport

as well as the Construction of a New Terminal; Regarding the Grand-Ducal Regulation on Civil Aviation Security and Access Conditions to Luxembourg Airport (Deliberation No. 31/AV15/2022 of July 21, 2022)

1. In accordance with Article 57, paragraph 1, letter c), of European Regulation 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (hereinafter referred to as the "GDPR"), as well as Article 46, paragraph 1, letter c), of Directive (EU) 2016/680 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data by competent authorities for the purposes of the prevention of criminal offenses, investigations, and prosecutions in this area or the execution of criminal sanctions, and on the free movement of such data, and repealing Framework Decision 2008/977/JAI of the Council (hereinafter referred to as "Directive 2016/680"), each supervisory authority has the mission to advise "in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

2. Article 7 of the law of August 1, 2018 on the organization of the National Commission for Data Protection and the general regime on data protection specifically provides that the National Commission for Data Protection (hereinafter referred to as the "National Commission" or "CNPd") carries out the missions conferred upon it under Article 57 of the GDPR, while Article 8, point 3°, of the aforementioned law of August 1, 2018 is based on Article 46, paragraph 1, letter c), of the aforementioned Directive 2016/680, providing that the CNPD "advises the Chamber of Deputies, the Government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to the processing of personal data."

3. On December 17, 2019, the National Commission notified the Bill No. 7475 amending the amended law of July 26, 2002 on the police and the operation of Luxembourg Airport as well as the construction of a new terminal (hereinafter referred to as the "Bill"), on the one hand, and the Grand-Ducal Regulation on civil aviation security and access conditions to Luxembourg Airport (hereinafter referred to as the "Grand-Ducal Regulation"), on the other hand.¹³⁰

¹³⁰ See deliberation No. 59/2019 of December 17, 2019, of the National Commission for Data Protection, doc. parl. No. 7475/01.

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4. On October 20, 2021, the Government Council adopted a series of governmental amendments related to the Bill and the Grand-Ducal Regulation.

5. Insofar as the amended provisions have been commented on by the National Commission in its previous opinion and that the latter has not been consulted for further opinion, it takes the initiative to share its observations below.

I. General Remarks

1. On the Compliance of the Legal Provisions of the Grand-Ducal Regulation with the Constitution

6. While the Bill specifies the data controller, the Grand-Ducal Regulation appears to frame the modalities of the processing of personal data that would be implemented through background checks.

The Grand-Ducal Regulation intends to provide, in particular, the elements on which the background check requests would be based as well as the "considered information and decision criteria"¹³¹ related to said requests.

7. It is necessary to question whether the normative framework, as provided by the texts under review, is likely to be compliant with the Constitution. Indeed, it should be noted that Article 11, paragraph 3, of the Constitution establishes as a matter reserved for law the exceptions to the State's guarantee of the

protection of privacy¹³².

Moreover, Article 32, paragraph 3, of the Constitution states that "[i]n matters reserved for law by the Constitution, the Grand Duke may only issue regulations and orders by virtue of a specific legal provision that sets the objective of the implementing measures and, where applicable, the conditions to which they are subject."

Since the revision of October 18, 2016 of said article, "the Constitutional Court considers that in reserved matters, essential elements are within the domain of law, while less essential elements may be relegated to regulations and orders issued by the Grand Duke. It thus adopts the position of the constituent, shared by the Council of State, which consists of ensuring the executive power the ability to regulate the details of reserved matters, the principles and essential points remaining within the domain of law. According to the constituent, simple framework laws establishing a few major principles and leaving the essential rules of substance and form to implementing regulations do not meet these constitutional requirements. If essential elements are within the domain of law, the measures

131 Article 14 new of the Grand-Ducal Regulation.

132 See in this sense M. Besch, Norms and Legislation in Luxembourg Public Law, Promoculture Larcier, 2019, No. 619.

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execution, that is to say more technical elements and details, may fall within the scope of the grand-ducal regulatory power.¹³³

8. Furthermore, it follows from judgment No. 114/14 of November 28, 2014, of the Constitutional Court, that essential elements do not need to be exclusively included in national law but may also arise complementarily from a European or international standard. Nevertheless, the National Commission believes that the provisions of Implementing Regulation (EU) 2019/103 of January 23, 2019, amending Regulation (EU) 2015/1998 regarding the clarification, harmonization, and simplification as well as the strengthening of certain specific aviation security measures, concerning background checks, would not be sufficiently precise. Indeed, the aforementioned implementing regulation specifies:

- concerning ordinary background checks, that it must at least "a) establish the identity of the person based on documents; b) take into account the criminal record in all states of residence over the past five years; c) take into account employment, studies, and interruptions over the past five years."¹³⁴
- concerning enhanced background checks, that it must at least take into account the aforementioned elements as well as "consider information from intelligence services and any other relevant information that the competent national authorities have and deem may be of interest to assess a person's suitability to perform a function that requires enhanced background checks."¹³⁵

9. It should be noted that the draft grand-ducal regulation intends, in particular, to provide for data to be collected for purposes different from those of origin, and that access, where applicable, to the Grand-Ducal Police's own files should be provided for in the context of background checks.

Thus, should such elements not be provided for in a law rather than in a grand-ducal regulation?

10. Therefore, it is necessary to ask whether the draft grand-ducal regulation is likely to be inconsistent with the aforementioned constitutional framework. Should we not ensure the application of the principles of normative framing¹³⁶ regarding the distinction between what must, by essence, fall under the law in the strict sense and what can be subject to normative regulation by a regulatory text?

2. On the articulation between the provisions of the GDPR and the law of August 1, 2018, regarding the protection of natural persons concerning the processing of personal data in criminal matters as well as in matters of national security

11. It is appropriate to question the articulation of the provisions of the GDPR and those of the law of August 1, 2018, regarding the protection of natural persons concerning the processing of personal data in criminal matters as well as in matters of national security, given that certain personal data processing operations implemented by the texts under review may initially be subject to the provisions of the aforementioned law of August 1, 2018, and then subsequently to the provisions of the GDPR.

12. However, this issue does not arise for the processing that would be carried out by the Grand-Ducal Police within the framework of the draft law and the draft grand-ducal regulation. Indeed, it follows from

Article 1, paragraph 2, letter a), of the law of August 1, 2018, regarding the protection of natural persons concerning the processing of personal data in criminal matters as well as in matters of national security, that the processing carried out by the Grand-Ducal Police, in the context of background checks, falls within the scope of said law.

13. This issue seems to arise for the processing of personal data carried out by the minister as well as by the commission established by Article 1 of the draft law.

Indeed, it follows from the commentary on the articles concerning the exchange of information between the Grand-Ducal Police and the minister responsible for the Grand-Ducal Police (hereinafter referred to as the "minister") that it is "an exchange of data in police matters for the purpose of an administrative decision," thus, the GDPR would apply to the minister for the processing carried out in this context.

14. Furthermore, regarding the commission established by Article 1 of the draft law, it is to be seized by the minister so that it issues a "reasoned opinion for the minister" and it could "take into account any information communicated to the minister responsible for the Police." Thus, the processing carried out in this context¹³⁶.

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would be brought within the scope of the GDPR while the conditions referred to in Article 1 of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security do not seem to apply.

15. Therefore, it must be noted that data initially collected for the purposes of preventing and detecting criminal offenses, investigations, and prosecutions in this area or for the enforcement of criminal sanctions would subsequently be subject to the GDPR in the context of the processing carried out by the minister and the aforementioned commission.

16. Consequently, in such a context, it is necessary to question the articulation of the provisions of the GDPR with those of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security.

3. On the principle of the lawfulness of personal data processing

a. On the data processing carried out by the Grand Ducal Police

17. As noted by the CNPD in its aforementioned opinion, it should be recalled that "Directive 2016/680 states that for processing to be lawful, it must be necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller, correspond to the purposes for which it was established, but also and above all, it must be provided for either by Union law or by the law of a Member State¹³⁷. Furthermore, Directive 2016/680 specifies that the national provision regulating such processing must at least specify: the objectives of the processing, the personal data to be processed, and the purposes of the processing¹³⁸. It follows from this provision that these three elements constitute the minimum threshold that a national provision regulating processing falling within the scope of Directive 2016/680 must respect. The CNPD wishes to refer to its observations made in this regard in its opinion concerning the central file of the Grand Ducal Police in light of the data protection legislation issued on September 13, 2019¹³⁹."¹⁴⁰

18. Moreover, it should also be noted that the provisions of paragraph 2 of Article 3 of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, state that "[t]he processing carried out by the same or another controller, for one of the purposes stated in Article 1 other than those for which the data were collected, is permitted if it is necessary and proportionate to that purpose, subject to compliance with the provisions set out in this chapter and in Chapters IV and V."

19. It also follows from the commentary on the articles of draft law No. 7168, which became the aforementioned law of August 1, 2018, regarding the provisions that led to the aforementioned provisions, that paragraph 2 of the aforementioned Article 3 "sets out the conditions to be met for a controller to use personal data for a purpose of Article 1 that is not the purpose of Article 1 for which the data were collected, namely that (a) this processing of personal data is provided for by a national or European legal provision, and that (b) this other processing of personal data is necessary and

proportionate to that purpose."

20. Thus, it follows from the above that the provisions under review should specify the modalities of the processing of personal data that would be implemented in the context of background checks by the Grand Ducal Police.

21. However, certain clarifications should be provided, particularly regarding the categories of personal data that would be collected as well as clarifications regarding the origin of such data. Therefore, it is essential that legal provisions expressly provide for such clarifications. The CNPD will return to this point below in its opinion.

b. On the data processing carried out by the minister and the commission

22. Article 6 of the GDPR defines the various conditions of lawfulness under which processing is possible. In other words, the controller must first determine the applicable condition of lawfulness for each processing of personal data.

On this point, the CNPD would like to reiterate its observations made in point 1 of its opinion of December 17, 2019, regarding draft law No. 7475141.

On Article 8 of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security.

141 Deliberation No. 59/2019 of December 17, 2019, of the National Commission for Data Protection, parl. doc. No. 7475/01.

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23. Article 8, paragraph 1, of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, states that "[p]ersonal data collected by the competent authorities for the purposes set out in Article 1 may not be processed for purposes other than those stated therein, unless such processing is authorized by European Union law or by a provision of Luxembourg law."

24. The National Commission understands that both the minister and the commission could have access "to all information accessible to the Police in the context of background checks"¹⁴² for the minister and "to any information communicated to the minister"¹⁴³ for the commission.

Thus, the minister and the commission could be required to process data originating from the State Intelligence Service (hereinafter "SRE") and from the Financial Intelligence Unit (hereinafter "CRF") as well as data originating from files held by the Grand Ducal Police.

25. In accordance with the aforementioned legal provisions, if the authors of the bill consider that the data processed by the minister and the commission would be processed for different subsequent purposes, then this should be more clearly reflected in the text under review. Indeed, such data would initially be collected by the aforementioned authorities for the purposes of preventing and detecting criminal offenses, conducting investigations and prosecutions in this area, or enforcing criminal sanctions, and would then, within the framework of the texts under review, be processed, if applicable, for different subsequent purposes.

c. On the provisions of Chapter 2, Section 2, of the law of February 22, 2018, on the exchange of personal data and information in police matters

26. Attention should be drawn to the authors of the bill and the draft Grand Ducal regulation regarding Article 8, paragraph 3, of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, which states that "[w]hen European Union law or a provision of Luxembourg law applicable to the competent authority transmitting the data subjects their processing to specific conditions, the competent authority transmitting the data informs the recipient of these personal data of these conditions and the obligation to comply with them."

27. Thus, it should be noted that the transmission of information directly available or directly accessible by the Grand Ducal Police to the minister or to the commission, referred to in paragraph 3, Article 1 of the draft law, is subject to the conditions set forth in Chapter 2, Section 2, of the law of February 22, 2018, on the exchange of personal data and information in police matters. Article 24 of said law states in particular that such transmission is subject to the following cumulative conditions:

- “1) it must be necessary for the execution of a public service mission for which the recipient administration of the transmission is responsible under the law;
- 2) the reasons why the transmitted data and information are considered necessary for the execution of the mission of the recipient administration must be part of the documentation referred to in Article 25, paragraph 2;
- 3) it may only include data and information that are necessary, relevant, and proportionate in relation to the concerned mission of the recipient administration;
- 4) when it concerns data and information originating from an ongoing investigation or preparatory instruction, the written authorization referred to in Article 20, paragraph 2, is required prior to transmission;
- 5) when it concerns data and information that have been communicated to the persons referred to in Article 18, paragraph 1, previously by an entity referred to in Article 1, the written consent of that entity is required prior to transmission;
- 6) none of the reasons referred to in Article 7, paragraph 1, oppose it.”

28. The authors of the bill and the draft Grand Ducal regulation must, therefore, ensure the proper articulation between the provisions under review and those referred to in the aforementioned law of February 22, 2018, which is prior to the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security.

II. On the government amendment related to the draft law

29. This government amendment aims to amend the sole article of the draft law. The authors of the draft law specify in the commentary on the amendment that these new provisions aim in particular to clarify the background checks and “in particular regarding the respective roles of the minister responsible for the Police and that of the Police in this context.”

30. Thus, a new paragraph 3 is introduced in Article 1 of the draft law. This paragraph addresses “exclusively [the] background checks.”

The authors of the draft law specify that in this new paragraph 3, “it is proposed to insert a first sub-paragraph that specifies

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that the background check is carried out in accordance with the European regulatory framework as a preventive measure against threats to public security. The government proposes this amendment in light of the opinion dated December 17, 2019, from the National Commission for Data Protection (CNPd), which raised the issue of the data protection regime. This particularly clarifies the purpose of the processing and that the data processed falls under the scope of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security.

The authors of the bill should be commended for providing such clarifications.

1. On the controllers of personal data processing

31. As raised in its aforementioned opinion dated December 17, 2019, the CNPD had deemed that clarifications needed to be provided regarding the determination of the data controller and any potential subcontractor, or even joint responsibility in the context of processing background check requests.

The authors of the bill specify in this regard, in the commentary on the amendments, that “[w]ith respect to the CNPD's inquiry regarding the data controller, it should be noted that the minister responsible for the Police makes the final decision without having access to all the information available to the Police in the context of the background check. Consequently, it becomes evident that there is a separation of responsibility for the respective processing.”

They further specify that paragraph 2 of section 3 of article 1 of the bill “assigns the decision-making power for background checks to the minister responsible for the Police. This decision is based on the opinion of the Police, which may be supplemented by the opinion of the commission.”

32. It follows from the above that the minister would, therefore, be considered the data controller for the data processing carried out in the context of the final decision, while the Grand Ducal Police would be classified as the data controller for the data processing carried out in the context of the actual background check.

33. However, although the authors of the bill respond in the commentary on the amendment to the questions raised by the CNPD, this is not explicitly reflected in the text under review. Indeed, paragraph 2, section 3, of article 1 states that “[t]he minister responsible for the Police makes decisions regarding background checks based on the opinion of the Police and on the opinion of the commission established in paragraph 4 in the event of a referral.”

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Paragraph 3 of the aforementioned section states that “[t]he Police is responsible for the verification of backgrounds. To this end, it issues a reasoned opinion based on an assessment of the reliability of the applicant, which it transmits to the minister responsible for the Police.”

34. Therefore, the CNPD reiterates its observations made in its opinion of December 17, 2019, in which it recommended to the authors of the draft law to “specify in the body of the text of the draft law who has the quality of data controller and, where applicable, of processor, in matters of background checks.”

35. Furthermore, it is important to recall in this regard that Article 2, paragraph 1, point 8) of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, states that “when the purposes and means of this processing are determined by European Union law or Luxembourg law, the data controller or the specific criteria applicable to its designation may be provided for by European Union law or Luxembourg law.”

2. On the consultation of the special register

36. Paragraph 3 of paragraph 3 of Article 1 of the draft law states that “[w]hen the applicant is under the age of twenty-three at the time of submitting the application, the Police is authorized to consult the special register provided for in Article 15 of the amended law of August 10, 1992, concerning the protection of youth.” Access to the special register would be justified, according to the authors of the draft law, in order “to best ensure airport security.”

37. Article 15 of the amended law of August 10, 1992, concerning the protection of youth, states that decisions and convictions recorded in the special register “may also be communicated to administrative authorities in cases where this information is essential for the application of a legal or regulatory provision, as well as to injured third parties, if they request it.”

38. Without prejudging the assessment in concreto that would be made by the Grand Ducal Police in the context of a background check, it should be recalled that according to the principle of data minimization, only personal data necessary for the achievement of the purposes should be processed, taking into account the risk that the processing poses to the privacy of the individuals concerned.

39. Furthermore, it should be noted that Recital 50 of Directive 2016/680 states that “[i]t is particularly important that the data controller is required to implement appropriate and effective measures and is able to demonstrate that the processing activities comply with this directive. These measures should take into account the nature, scope, context, and purposes of the processing as well as the risks that they present to the rights and freedoms of natural persons. The measures taken by the data controller should include the establishment and implementation of specific safeguards intended for the processing of personal data relating to vulnerable natural persons such as children.” Therefore, such safeguards should be implemented when processing such data by the Grand Ducal Police.

40. Moreover, attention should be drawn to the authors of the draft law regarding draft law No. 7991 introducing a criminal law for minors and amending other laws, which notably provides for the repeal of the amended law of August 10, 1992, concerning the protection of youth.

Article 60 of the aforementioned draft law provides for new provisions regarding the special register. Paragraph 4 of that article lists the authorities, with the authorization of the Attorney General, that could access the information contained in the special register. However, it should be noted that these new provisions do not provide for the Grand Ducal Police to access the information recorded in the special register.

41. Thus, in order to ensure better coherence between the two texts, should it not be expressly provided that the Grand Ducal Police may consult the special register referred to in Article 60 of draft law No. 7991?

3. On the opinion issued by the Grand Ducal Police in the context of the background check

42. Paragraph 3 of paragraph 3 of Article 1 of the draft law states that in the context of the background check, the Grand Ducal Police "issues a reasoned opinion based on an assessment of the reliability of the applicant, which it transmits to the minister responsible for the Police."

43. It follows from the new Article 15 of the draft Grand Ducal regulation that "the minister responsible for the Grand Ducal Police will have access to [a centralized computer system for managing background check requests] to consult the opinion of the Grand Ducal Police and, upon request, to consult the entirety of a concerned file."

Thus, it is necessary to question the articulation of the aforementioned provisions with the clarifications provided by the authors of the draft law, in the commentary on the governmental amendment, insofar as they specify that "the minister responsible for the Police makes the final decision without having access to all the information available to the Police in the context of the background check."

Therefore, in the absence of clarifications, what would be the elements justifying

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that the minister may have access to all information accessible to the Grand-Ducal Police in the context of background checks?

44. In order to respect the principle of predictability and precision to which any legal or regulatory text must adhere¹⁴⁴, the criteria specifying under what conditions the minister would, if applicable, have access to the information accessible by the Grand-Ducal Police should be clearly reflected in the provisions of the draft law and the draft Grand-Ducal regulation. Likewise, should it not be specified what the content of the "reasoned opinion" issued by the Grand-Ducal Police and transmitted to the minister in the context of the background check would be?

45. In any case, would it not be preferable to provide that the Grand-Ducal Police communicate to the minister a detailed opinion referring only to the relevant elements to which the Grand-Ducal Police would have access? Such a system would indeed avoid duplication of data concerning the criminal background of the person concerned, in the hands of the minister, while allowing the minister to obtain the necessary and relevant information to enable him to make a decision.

4. On the establishment of a commission created by Article 1 of the draft law

46. It appears from the draft law that in the event of a negative opinion from the Grand-Ducal Police in the context of the enhanced background check, the minister will be communicated an opinion by the commission referred to in paragraph 4 of paragraph 3 of Article 1 of the draft law.

Paragraph 4 of paragraph 3 of Article 1 of the draft law provides for the creation of a commission that would be responsible for "issuing an opinion to the minister in charge of the Police upon referral by the latter. This commission is inspired by the model of the commission provided for in draft law n°6961."

Paragraph 5 of paragraph 3 of Article 1 of the draft law states that when referred to by the minister, the commission could "take into consideration any information communicated to the minister in charge of the Police."

It is specified in the commentary of the amendment that "given the sensitive nature of the information discussed, it is proposed that every member of the commission possess a security clearance

corresponding to at least the level of 'secret'" and that "[l]ike the aforementioned draft law n°6961, 144 In this sense, see M. Besch, Standards and Legislation in Luxembourg Public Law, Promoculture Larcier, 2019, n°619; see among others European Court of Human Rights, Zakharov v. Russia [GCL n°47413/06], §§ 228-229, December 4, 2015.

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Paragraph 6 provides the modalities for accessing the file in the event of a negative decision, in order to allow the applicant to follow the elements that led to the refusal.

47. It is appropriate to congratulate the authors of the bill for having stipulated that the members of this commission must hold a security clearance corresponding to at least the "secret" level. Nevertheless, it is regrettable that the content of the opinion issued by this commission is not detailed in the bill. As indicated above, it is preferable that a detailed opinion be communicated to the minister.

48. Furthermore, in order to respect the principle of predictability and precision to which any legal or regulatory text must adhere, the content of such an opinion should be clearly reflected in the provisions of the bill.

49. Finally, it emerges from the commentary on the government amendment that "[p]aragraph 5 assigns the necessary access rights to the commission, which has access to any information communicated to the minister having the Police in its attributions in the context of the request. Consequently, any request for authorization addressed to the State Prosecutor in this context includes the indication that said commission is also a recipient of the relevant information." It is appropriate to question the authorization of the State Prosecutor referred to in the commentary on the government amendment; is it the one referred to in Article 24 of the law of February 22, 2018, relating to the exchange of personal data and information in police matters?

5. Final Remarks

50. It should be noted that paragraph 3 of subsection 3 of Article 1 of the bill states that "[t]he Police is responsible for background checks. To this end, it issues a..."

145 In this sense, see M. Besch, Normes et légistique en droit public luxembourgeois, Promoculture Larcier, 2019, n°619; see among others European Court of Human Rights, Zakharov v. Russia [GCL n°47413/06], § 228-229, December 4, 2015.

146 Article 24 of the law of February 22, 2018, relating to the exchange of personal data and information in police matters states that "[t]he transmission referred to in Article 23, which may occur upon request or spontaneously, is subject to the following cumulative conditions:

- 1) it must be necessary for the execution of a public service mission for which the recipient administration of the transmission is responsible under the law;
- 2) the reasons why the transmitted data and information are considered necessary for the execution of the mission of the recipient administration must be part of the documentation referred to in Article 25, paragraph 2;
- 3) it may only include the data and information that are necessary, relevant, and proportionate in relation to the concerned mission of the recipient administration;
- 4) when it involves data and information that come from an ongoing investigation or preparatory instruction, the written authorization referred to in Article 20, paragraph 2, is required prior to the transmission;
- 5) when it involves data and information that have been communicated to the persons referred to in Article 18, paragraph 1, beforehand by an entity referred to in Article 1, the written agreement of that entity is required prior to the transmission;
- 6) none of the reasons referred to in Article 7, paragraph 1, oppose it."

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reasoned opinion based on an assessment of the reliability of the applicant, which it transmits to the minister responsible for the Police. The analysis of the reliability of the applicant consists of a global

assessment of the individual situation.

However, the use of the terms "reliability of the applicant" or "global assessment of the individual situation" is general and imprecise and could potentially increase the risk of confusion in the reader's mind regarding what the background checks might entail. This is all the more so as the articles of the draft Grand-Ducal regulation aim to detail such checks and do not use similar terminology.

Thus, it is necessary to question the coherence and articulation of such provisions with those of the draft Grand-Ducal regulation.

51. Furthermore, the National Commission refers to its considerations developed in paragraphs 17 to 21 of this opinion regarding the elements that should be included in the draft law and in the draft Grand-Ducal regulation.

III. On government amendments related to the draft Grand-Ducal regulation

1. On the "Daily Pass"

52. Amendment 1 of the draft Grand-Ducal regulation aims to modify Article 6 of the draft Grand-Ducal regulation titled "The Daily Pass." It should be noted that the provisions regarding the issuance of an identity document remain unchanged.

53. Therefore, the CNPD reiterates its observations made in its opinion of December 17, 2019, in which it stated that "in view of the principle of data minimization, it appears excessive to retain the document for the duration of the person's presence in the airport area, given that lux-Airport is not able to verify whether the identity document is, if applicable, falsified, and that it would be sufficient, after verifying the identity of the person using the identity document, to add the number of the identity document in the aforementioned directory next to the entry of the holder of the pass."

2. On the provisions of Article 7 of the draft Grand-Ducal regulation

54. Amendment 2 aims to modify Article 7 of the draft Grand-Ducal regulation titled "Visitors and the Press." The authors of the draft Grand-Ducal regulation specify in the commentary of the amendment that "in view of the National Commission for Data Protection's commentary regarding the decision-making criteria of the Grand-Ducal Police for the visits and press referred to in Article 7, the Government proposes to amend Article 7 to clarify the assessment of this decision by the Grand-Ducal Police."

Thus, at the end of the paragraph of the aforementioned article, the following terms have been added: "based on an assessment of security conditions."

The authors of the draft Grand-Ducal regulation further specify that "this specific prior authorization from the Grand-Ducal Police may only be granted if it does not hinder airport security. This particularly implies compliance with escort conditions and consideration of any other constraints on airport security."

55. While the efforts of the authors of the draft Grand-Ducal regulation to clarify are commendable, such clarifications do not address the concerns raised by the CNPD in its opinion of December 17, 2019.

56. Thus, the National Commission reiterates its inquiries regarding the criteria on which the issuance, or non-issuance, of an authorization by the Grand-Ducal Police would be based and, if applicable, which national files or information systems of the European Union Agency for Law Enforcement Cooperation (Europol) or the International Criminal Police Organization (INTERPOL) would be consulted.

3. On the request for background checks

57. Amendment 3 aims to modify Article 13 of the draft Grand-Ducal regulation titled "Request for Background Checks." It should be noted that following the amendments, part of the provisions of Article 13 have been removed and introduced into a new Article 14 titled "Considered Information and Decision Criteria."

58. Paragraph 2 of subsection 1 of Article 13 of the draft Grand-Ducal regulation enumerates in twelve points what elements a request for background checks must contain as well as the documents that must be submitted to the Grand-Ducal Police in support of this request.

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The amendments provide certain clarifications regarding the documents listed in paragraph 1 of subsection 2 of Article 13 of the draft Grand-Ducal regulation, which must be submitted to the Grand-Ducal Police upon such a request.

a. On Article 13, paragraph 1, point 3°

59. Article 13, paragraph 1, point 3, of the draft Grand-Ducal regulation states that "the written declaration of the applicant containing the authorization to proceed with a background check and to request any information related to the application available and directly accessible to the competent national authorities, or any equivalent document from the authorities of the countries of residence for the last five years or of which he holds nationality" (new provisions underlined).

In this case, it is necessary to question the relevance of conditioning such processing of personal data on "the authorization to proceed with a background check" from the applicant, whereas according to Article 7, paragraph 1, of the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, it states that "[t]he processing is lawful only if and to the extent that it is necessary for the performance of the tasks of the competent authority defined in Article 2, paragraph 1, point 7°, for one of the purposes set out in Article 1 and when this task is carried out in accordance with legislative provisions governing the competent authority referred to."

Thus, the background check should not be based on the prior consent of the applicant as seems to be provided for by the aforementioned provisions of the draft Grand-Ducal regulation.

60. In any case, such provisions are formulated too vaguely so that they are not likely to comply with the principle of predictability and precision to which any legal or regulatory text must adhere. To avoid any risk of confusion in the mind of the reader, it is recommended that the authors of the draft Grand-Ducal regulation omit the aforementioned provisions.

b. On Article 13, paragraph 1, point 5°

61. Article 13, paragraph 1, point 5°, of the draft Grand-Ducal regulation states that the request for verification must contain "an extract from the criminal record of the countries mentioned in point 3, with the exception of Luxembourg, dated less than three months ago."

It follows from the commentary on the articles that "[t]he point 5 is adapted based on the modification of point 3. In order to simplify administrative procedures, it is provided that a Luxembourg criminal record is not required."

62. Point 6° of the said article specifies that the request for verification must contain "the agreement of the applicant that the bulletin No. 2 of the criminal record may be issued directly to the Grand-Ducal Police."

The authors of the draft Grand-Ducal regulation, in order to simplify administrative procedures, therefore intend to provide the possibility for the Grand-Ducal Police to be issued a bulletin No. 2 directly when the applicant (Luxembourg resident) has given his consent.

63. It is worth commending the introduction of such provisions, whereas such a possibility does not currently seem to be provided for by Article 8, paragraph 1, of the amended law of March 29, 2013, concerning the organization of the criminal record, which specifies that the bulletin No. 2 of a natural person is issued upon request "to the state administrations, municipal administrations, and legal persons of public law involved, within the framework of their legal missions, of a request made by the concerned natural or legal person, which has given its consent in writing or electronically so that the bulletin No. 2 is issued directly to the administration or to the legal person of public law. The list of administrations and legal persons of public law and the reasons for a request for issuance are set by Grand-Ducal regulation." The said regulation does not indeed foresee such a hypothesis.

c. On Article 13, paragraph 1, point 12°

64. It should be noted that the provisions of Article 13, paragraph 1, point 12°, of the draft Grand-Ducal

regulation remain unchanged by the amendments.

It follows from the commentary on the articles that the authors of the draft Grand-Ducal regulation specify in amendment 3 on this matter that "[i]n view of the commentary from the National Commission for Data Protection regarding the content of the biographical questionnaire, it is appropriate to clarify that the said questionnaire lists the elements referred to in Articles 13 paragraph 1 and 14 paragraph 3 in relation to the applicant."

The authors of the draft Grand-Ducal regulation should be commended for providing such clarifications.

65. Furthermore, it is appropriate to question the relevance of referring to the elements that would be referred to in paragraph 3 of the new Article 14 of the draft Grand-Ducal regulation, whereas the CNPD understands that such data would be obtained indirectly by the Grand-Ducal Police and not collected directly from the applicant.

4. On the information considered and the decision criteria in the context of a background check
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66. It follows from the commentary on amendment 4 that "the Government proposes to insert a new article 14 to respond to the request of the National Commission for Data Protection to clarify the decision-making criteria, the information considered, and the competent authorities." While it is appropriate to commend the Government's efforts in this regard, it is regrettable that some of the considerations expressed by the CNPD in its aforementioned opinion have not been taken into account.

a. On paragraph 1 of the new article 14

67. Article 14, paragraph 1, of the draft Grand-Ducal regulation states that "the Grand Ducal Police consults foreign police authorities and national judicial authorities. The Grand Ducal Police may also consult any employer or any current or former educational institution to verify the authenticity of the information provided. As part of the enhanced background check, the Grand Ducal Police also consults the State Intelligence Service and the Financial Intelligence Unit."

68. While it is commendable that the authors of the draft law specified that the SRE and the CRF would be consulted as part of the enhanced background check, it is regrettable that the text under review does not specify which foreign and national judicial authorities would be consulted. Indeed, are these criminal and/or civil judicial authorities?

69. On this point, the National Commission wishes to reiterate its observations made in its aforementioned opinion, in which it noted that "[i]t seems essential for the CNPD that the text specifies which entities are referred to by the aforementioned terms 'the competent national authorities.' Indeed, there should be no difficulties in identifying the competent authorities in this context. By way of comparison, the German law concerning aviation security ('Luftsicherheitsgesetz') enumerates in its section 7, paragraph (3), which national authorities the aviation security administration ('Luftsicherheitsbehörde') may contact as part of a background check, provided that this is necessary for the assessment of the reliability of the person concerned."

Based on section 2 of the amended law of February 22, 2018, concerning the exchange of personal data and information in police matters, the transmission of personal data and information from the Police

151 These are the following authorities: "Polizeivollzugs- und den Verfassungsschutzbehörden der Länder sowie, soweit im Einzelfall erforderlich, dem Bundeskriminalamt, dem Zollkriminalamt, dem Bundesamt für Verfassungsschutz, dem Bundesnachrichtendienst, dem Militärischen Abschirmdienst und der Bundesbeauftragten für die Unterlagen des Staatssicherheitsdienstes der ehemaligen Deutschen Demokratischen Republik."

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The transfer of data from the Grand Ducal Police to other state administrations is possible if a law authorizes this transfer and if the other conditions cumulatively provided for in Article 24 of said law are

respected. However, it is not clearly evident from Article 13, paragraph (4) of the draft Grand Ducal regulation whether it indeed aims at the transmission of data from the Grand Ducal Police to these competent national authorities, or rather the opposite, that is, the transfer of data from said authorities to the Grand Ducal Police. In the governmental amendments of August 1, 2017, the authors of Bill No. 6976, which became the law of February 22, 2018, clarified that Section 2 only concerns "one-way transmissions," meaning from the Grand Ducal Police to state administrations – the transmission of data and information in the other direction is already provided for by Article 23, paragraph 2, of the Code of Criminal Procedure. However, since the competent authorities will not be aware if a specific person has submitted a request for a background check to the Grand Ducal Police, the latter will have to contact them on its own initiative. Thus, it seems necessary to include in the draft Grand Ducal regulation a list that determines the authorities that the Grand Ducal Police must systematically contact in the event of receiving a request for a background check.

70. Furthermore, it is regrettable that said provisions do not specify:

- what information would be communicated by the "foreign police and national judicial authorities," nor by the SRE or the CRF; does it concern the information listed in paragraph 3 of the new Article 14 of the Grand Ducal regulation?;
- nor in what form said information would be communicated to the Grand Ducal Police? Will the information be transmitted in its entirety, in the form of an extract, or is a notice sent to the Grand Ducal Police by said authorities?

71. For better readability and understanding of the text, it would be preferable to indicate what information would be communicated by which authority and in what form it would be communicated to the Grand Ducal Police.

72. Moreover, it is also regrettable that the text does not specify which national files would be accessible by the Grand Ducal Police, if applicable.

On this point, it is appropriate to reiterate the observations made by the National Commission in its aforementioned opinion, in which it noted that "[i]t is not clearly evident from the draft regulatory text under review whether the Police...

152 See observations made under the point "Ad. Art. 13 Request for Background Check," deliberation No. 59/2019 of December 17, 2019, of the National Commission for Data Protection, parliamentary doc. No. 7475/01.

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The Grand-Ducal Police intends, as part of a request for enhanced background checks, to access personal data contained in its own files or national data processing systems (numbering 62,153), such as the so-called "central" file,¹⁵⁴ the "drug file"¹⁵⁵ the "file of taxed warnings"¹⁵⁶, etc., as well as data from European and international information systems such as the aforementioned Schengen, Europol, or INTERPOL information systems. In light of recent concerns from citizens regarding the respect for public freedoms and the protection of their personal data in the police and judicial fields, it is all the more important that clarifications regarding access to the aforementioned files and systems are found at the level of the law in the formal sense, thus in draft law no. 7475 also under review, especially considering the statement from July 22, 2019, from the ministry responsible for the Grand-Ducal Police regarding the complete overhaul of national legislation related to background checks at Luxembourg Airport, which specifies the following: "Given the complexity of the matter, many questions arise and must be resolved, particularly in the context of access to the central police file and data retention."¹⁵⁷

In France, Articles L. 6342-2 and L. 6342-3 of the Transport Code specify that access to regulated security zones of an aerodrome is subject to authorization, which is preceded by an administrative investigation that may, where appropriate, involve consultation of the criminal record bulletin no. 2 and automated personal data processing managed by the national police and gendarmerie services under the provisions of Article 31 of Law No. 78-17 of January 6, 1978.

153 As revealed in a news article titled "62 TYPES OF FILES" published on November 7, 2019, on the Chamber of Deputies website: <https://www.chd.lu/wps/portal/public/Accueil/Actualite/ALaUne/?current=true&urile;=wcm%3Apath%3Aactualite.public.chd.lu/ST-www.chd.lu/sa-actualites/3532ef0a-6f63-45c>

6-9894-186e876dd120 (last accessed on December 5, 2019).

154 According to the joint response from Mr. François BAUSCH, Minister responsible for the Grand-Ducal Police, and Mr. Félix BRAZ, Minister of Justice, to parliamentary question no. 752 of June 4, 2019, the "so-called 'central' file contains all the reports and documents drafted by judicial police officers and agents in the context of their judicial police mission."

155 According to the response from the Minister responsible for the Grand-Ducal Police to question no. 1190 of September 10, 2019, regarding the drug file with the Grand-Ducal Police, it contains "relevant information regarding the fight against the illicit trafficking of drugs that may or may not be personal data."

156 According to the response from Mr. François BAUSCH, Minister responsible for the Grand-Ducal Police, to parliamentary question no. 1068 of August 16, 2019, the "file of taxed warnings (AT) was created under the Grand-Ducal Regulation of December 21, 2004, authorizing the creation of a file of persons who have received a taxed warning in traffic matters and amending the Grand-Ducal Regulation of June 7, 1979, determining the acts, documents, and files authorized to use the identity number of natural and legal persons."

157 Communicated by the ministry responsible for the Grand-Ducal Police on July 22, 2019, available on the government website: https://gouvernement.lu/fr/actualites/toutes_actualites/articles/2019/07-juillet/22-bausch-legislation-aeroport.html (last accessed on October 17, 2019).

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regarding computing, files, and freedoms, with the exception of identification files. According to the aforementioned article, the processing of personal data implemented on behalf of the State that either concerns national security, defense, or public safety, or aims at the prevention, investigation, detection, or prosecution of criminal offenses or the execution of criminal sentences or security measures, including the processing carried out by national police and gendarmerie services, must be authorized by an order from the competent minister(s), taken after the publication of a reasoned opinion from the National Commission for Computing and Freedoms (the French counterpart of the CNPD). Such processing is thus all legally framed, such as the criminal record file¹⁵⁸, the serial analysis file¹⁵⁹, or the wanted persons file¹⁶⁰.

Furthermore, regarding the files held by the Grand Ducal Police, it is necessary to draw the attention of the authors of the bill to Bill No. 7741 amending 1° the amended law of July 18, 2018, on the Grand Ducal Police, 2° the amended law of July 5, 2016, reorganizing the SRE, and 3° the Penal Code, which was submitted on December 30, 2020. The said bill aims in particular to frame the processing of personal data carried out in the files of the Grand Ducal Police, and more specifically in the central file. Therefore, the authors of the bill should ensure good coherence and articulation between the two texts. 73. In any case, the current wording of Article 14, paragraph 1, of the Grand Ducal regulation is too vague such that the principle of predictability and precision to which any legal or regulatory text¹⁶² must conform would not be likely to be respected.

b. On the new Article 14, paragraph 2

74. This article states that "[a]ll information provided in the context of a request for a background check, as well as all information received from the authorities and actors referred to in the first paragraph or collected during previous background checks, are taken into account for the final decision regarding the background check."

158 Provided for by Articles 230-6 to 11 of the French Code of Criminal Procedure.

159 Provided for by Articles 230-12 to 18 of the French Code of Criminal Procedure.

160 Provided for by Article 230-19 of the French Code of Criminal Procedure.

161 See observations made under the point "Ad. Art. 13 Request for Background Check," deliberation No. 59/2019 of December 17, 2019, of the National Commission for Data Protection, doc. parl. No. 7475/01.

162 In this sense, see M. Besch, Standards and Legislation in Luxembourg Public Law, Promoculture Larcier, 2019, No. 619; see also European Court of Human Rights, Zakharov v. Russia [GCL No. 47413/06], §§ 228-229, December 4, 2015.

Clarifications regarding what is meant by the notion of "previous background checks" should be provided by the authors of the draft Grand-Ducal regulation, as it is not clearly evident from reading the aforementioned provisions what the authors of the draft Grand-Ducal regulation intend to cover by this notion.

c. On the new Article 14, paragraph 3

75. It should be noted that paragraph 3 of the new Article 14 enumerates the criteria on which the Grand Ducal Police bases its assessment of background check requests.

76. It follows from the commentary on the government amendments that the first subparagraph of paragraph 3 of the aforementioned new Article 14 states that it "sets out several binding exclusion criteria. Thus, an applicant fails the background check if they have committed, attempted to commit, or if there are real and consistent indications to believe that they have committed or attempted to commit the offenses referred to in Directive (EU) 2017/541 of the European Parliament and of the Council of March 15, 2017, on combating terrorism and replacing Framework Decision 2002/475/JHA of the Council and amending Decision 2005/671/JHA of the Council, as well as if they make false statements in their application," while the third subparagraph "adds a non-exhaustive enumeration of non-binding evaluation criteria. For the final decision, all elements of the file are taken into account, each file is assessed individually, as stipulated in the aforementioned draft bill No. 7475. In particular, it is taken into account whether the applicant has committed, attempted to commit, or if there are real and consistent indications to believe that they have committed or attempted to commit the offenses referred to in Directive (EU) 2016/681 of the European Parliament and of the Council of April 27, 2016, on the use of passenger name record (PNR) data for the prevention and detection of terrorist offenses and serious forms of crime, as well as for investigations and prosecutions in this matter."

While such clarifications are commendable, it is regrettable that certain details have not been provided.

77. Indeed, the following questions remain:

- How will the Grand Ducal Police obtain the information listed in paragraph 3 of the new Article 14 through access to its own files, via the SRE, the CRF, or other national or foreign authorities?
- What information would be obtained? Are these final and/or non-final court decisions? Police reports or minutes?
- What about the information that would be obtained in the context of an investigation, and what measures would be taken, if applicable, to respect the confidentiality of the investigation?
- How will the Grand Ducal Police verify the authenticity of the information provided by the applicant and listed in Article 13 of the draft Grand-Ducal regulation?

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78. Furthermore, regarding the obtaining of indicators "related to alcoholism, drug addiction, medication dependency, or the regular abuse of these substances," attention should be drawn to the authors of the grand-ducal regulation project concerning the provisions of Article 9 of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, which would apply in this case. Indeed, such indicators relate to a state of health insofar as they provide information about a potential addiction of the person subject to a background check. The collected indicators are therefore likely to constitute special categories of data within the meaning of the aforementioned Article 9.

79. Furthermore, it is also important to recall Article 6, paragraph 1, of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, which states that "[p]ersonal data based on facts are, as far as possible, distinguished from those based on personal assessments." The Grand Ducal Police should therefore ensure compliance with these provisions.

80. In any case, the National Commission believes that the grand-ducal regulation project should specify the origin of the data, which categories of data would be collected, and by what means these would be obtained.

5. On the new Article 15 of the project entitled "Processing and Retention Period of Personal Data"

81. This new article introduced by amendment 4 aims to define "the framework for the processing of personal data and the retention period of data for background checks."

a. On the establishment of a centralized computer system

82. It follows from paragraph 1 of the new Article 15 of the grand-ducal regulation project that "[t]he Grand Ducal Police establishes a centralized computer system for the management of background check requests. For decision-making purposes, the minister responsible for the Grand Ducal Police will have access to this system to consult the opinion of the Grand Ducal Police and, upon request, to consult the entirety of a concerned file."

The authors of the grand-ducal regulation project specify in this regard that "[i]n order to clarify the interactions between the Grand Ducal Police and its minister, in paragraph 1 the Grand Ducal Police establishes a computer system to which the minister has access. However, the access rights of the minister responsible for the Police are restricted, and a request is required for access to the entire file."

83. It is not clearly stated in these provisions whether a file, in the context of the background check, ANNUAL REPORT 2022 CNPD

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would be maintained by the Police or whether it would be a computer tool facilitating the administrative management of background check requests. If a file were to be maintained by the Grand Ducal Police, this should be expressly reflected in the draft law.

84. Furthermore, as previously indicated, what would be the criteria justifying, if applicable, access to the entire file by the minister? It is regrettable that the text under review remains silent on such details.

b. On the retention period of data collected by the Grand Ducal Police in the context of background checks

85. In accordance with the principle of data retention limitation, personal data is retained "in a form that permits identification of the data subjects for no longer than is necessary for the purposes for which the data are processed."

86. Furthermore, in accordance with Article 4 of Directive 2016/680, "personal data shall be accurate and, where necessary, kept up to date; all reasonable measures must be taken to ensure that personal data that are inaccurate, with regard to the purposes for which they are processed, are erased or rectified without delay."

87. It is also worth recalling the recommendation made by the CNPD in its opinion regarding the central file of the Grand Ducal Police, in which it states that "the retention periods or at least the criteria applicable to determine the retention period as well as the procedures allowing for regular verification of the necessity of said periods should be specified by the legislator in order to limit as much as possible the discretion of the data controller and to ensure the transparency, accessibility, and proportionality of said periods."

88. Paragraph 2 of the aforementioned article aims to specify the retention period of data collected by the Grand Ducal Police in the context of background checks, and paragraph 3 specifies the period after which the data would be erased. The effort of the authors of the draft Grand Ducal regulation to provide for retention periods, as suggested by the CNPD in its aforementioned opinion, should be commended.

89. Thus, paragraph 2 of the new Article 15 sets a duration of one year for data collected in the context of background checks "in the event of a positive decision," and it is further specified that this duration is extended in the case of renewals.

Moreover, the same duration of one year is set for "incomplete requests or those withdrawn by the applicant or the entity to which they belong." The Government specifies in the commentary on the amendments that this duration was proposed "in order to simplify the administrative process in the event of a subsequent resubmission of the concerned request."

Finally, a retention period of 30 days for the data is established in the event of a failed background check request.

90. Furthermore, paragraph 3 of Article 15 provides that the data would be erased at the end of each of the aforementioned periods, but a brief record "will be kept for a period of five years" and that this

record would contain the information listed in that paragraph.

91. Attention should also be drawn to the authors of the draft Grand Ducal regulation regarding Article 6, paragraph 2, of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, which states that "[t]he competent authorities take all reasonable measures to ensure that personal data that are inaccurate, incomplete, or no longer up to date are not transmitted or made available."

92. Finally, in the absence of precision on this subject in the texts under review, there is reason to question the retention periods of the opinions as well as the information that would be communicated to the minister and the commission. Such details should be provided.

6. Final Remarks

93. In its initial opinion regarding the draft law and the draft Grand Ducal regulation, the National Commission wondered by what means the Grand Ducal Police would carry out an "equivalent" background check for non-resident workers. It had indeed noted that "[a] priori, as the Grand Ducal Police do not have access to the corresponding files of foreign countries, this control may seem less effective and less intrusive than that for resident workers."

It now seems that this hypothesis is provided for in Article 14, paragraph 1, of the draft Grand Ducal regulation, as it expressly states.

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the possibility for the Grand-Ducal Police
to consult foreign police and
judicial authorities.

IV. On the rights of the data subjects

1. On the processing of personal data carried out by the Grand-Ducal Police

94. Attention should be drawn to the authors of the draft law and the draft Grand-Ducal regulation regarding Article 14 of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security, which states that "[t]he data controller may limit, either wholly or partially, the right of access of the data subject, as long as such partial or complete limitation constitutes a necessary and proportionate measure in a democratic society, having regard to the purpose of the processing concerned, and duly taking into account the fundamental rights and legitimate interests of the data subject, in order to:

a) avoid hindering investigations,
research, or official or judicial
proceedings;

b) avoid harming the prevention or
detection of criminal offenses,
investigations or prosecutions in this
matter, or the enforcement of criminal
sanctions;

c) protect public security;

d) protect national security and

defense; or

e) protect the rights and freedoms of others.”

If this is indeed the intention of the authors of the texts under review, then legal provisions should specify the limitation of the rights of the data subjects in accordance with the provisions of the aforementioned Article 14.

95. Finally, it should also be noted that Article 17 of the aforementioned law may apply when the Grand-Ducal Police may be required to process personal data related to facts that are the subject of a preliminary investigation or preparatory instruction.

2. On the processing of personal data carried out by the minister or the commission

96. As indicated in paragraphs 11 to 16 of this opinion, the GDPR may apply to the processing that would be carried out by the minister or the commission.

97. According to Article 5(1)(a) of the GDPR, personal data must be processed lawfully, fairly, and transparently concerning the data subject (principle of lawfulness, fairness, transparency).

98. This principle implies, in particular, that data controllers must comply with the provisions of Article 13 of the GDPR for data collected directly from the data subject, or otherwise those of Article 14 of the GDPR when the personal data has not been collected from the data subject itself, for example, data collected indirectly from the Grand-Ducal Police.

Under these articles, the data controller must provide the data subject with information regarding the processing of personal data concerning them, in order to ensure fair and transparent processing. In cases where Article 14 of the GDPR applies, this information must be provided to the data subject no later than one month after the data controller has obtained the data.

99. Furthermore, according to Article 15 of the GDPR, data subjects have the right to receive certain information regarding the personal data processed by the data controller (right of access).

100. Attention should be drawn to the authors of the draft law that without an explicit derogation in the draft law, these rights would all be fully applicable. However, it seems that the authors of the draft law intend to derogate from these rights as they provide in Article 1, paragraph 3, subparagraph 6, of the draft law that “[t]he person who has failed the background check may, upon written request and within thirty days from the date of notification of the refusal or withdrawal, request from the minister responsible for the Police access to the Police's opinion on which the decision is based, subject to legal limitations. The opinion issued by the commission is not communicated to them.”

Therefore, in such cases and in accordance with Article 23 of the GDPR, the details of the limitations, as well as their duration, should be provided in the draft law.

Thus decided in Belvaux
on July 21, 2022.

The National Commission
for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

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Opinion of the National Commission for Data Protection regarding the draft law no. 7937 on affordable housing and amending 1° the amended law of February 25, 1979 concerning housing assistance; 2° the amended law of July 19, 2004 concerning municipal planning and urban development; 3° the amended law of March 25, 2020 concerning the Special Fund for Housing Development Support; 4° the law of July 30, 2021 regarding the Housing Pact 2.0.

(Deliberation no. 33/AV16/2022 of July 21, 2022)

In accordance with Article 57, paragraph 1, letter c), of Regulation (EU) 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), which is referenced in Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing." By letter dated February 8, 2022, the Minister of Housing invited the National Commission to express its opinion on the draft law concerning affordable housing and amending 1° the amended law of February 25, 1979 concerning housing assistance; 2° the amended law of July 19, 2004 concerning

municipal planning and urban development; 3° the amended law of March 25, 2020 concerning the Special Fund for Housing Development Support; 4° the law of July 30, 2021 regarding the Housing Pact 2.0. (hereinafter referred to as the "draft law").

According to the explanatory memorandum, the draft law aims to lay the foundations for an ambitious development of affordable housing that thereby strengthens equity in society. Indeed, the rising housing prices are increasingly becoming a factor leading to the exclusion of a part of the population. The draft law aims to realize the right to housing, as it is intended to be inserted into the Constitution in the proposed revision, particularly by promoting the harmonized and equitable allocation of housing intended for affordable rental through a national register of affordable housing.

The CNPD recognizes the major challenge posed by the fight against the shortage of affordable housing for our country. However, it is important to ensure that the proposed measures are balanced with another fundamental right of constitutional value, namely the respect for privacy and the protection of personal data.

I. Preliminary Remarks

The draft law notably provides for the creation of a centralized file of data collected and processed in the context of the allocation of affordable housing, to

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knowing the national register of affordable housing (hereinafter referred to as the "RENLA"). The maintenance of such a file must be based on a legal foundation, in accordance with Article 6, paragraph 3, of the GDPR¹⁶⁷.

This article provides a specific constraint related to the lawfulness of data processing necessary for compliance with a legal obligation or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller. In both cases, the basis and purposes of data processing must be specifically defined either by European Union law or by the law of the Member State to which the data controller is subject.

Furthermore, Recital (45) of the GDPR specifies that it should "... be for Union law or the law of a Member State to determine the purpose of the processing. Moreover, this law could specify the general conditions of this regulation governing the lawfulness of the processing of personal data, establish the specifications aimed at determining the data controller, the type of personal data being processed, the data subjects, the entities to which personal data may be communicated, the limitations of purpose, the duration of retention, and other measures aimed at ensuring lawful and fair processing. [...]".

Recital (41) of the GDPR further states that "[w]hen this regulation refers to a legal basis or a legislative measure, it does not necessarily mean that the adoption of a legislative act by a parliament is required, without prejudice to the obligations laid down under the constitutional order of the Member State concerned. However, this legal basis or legislative measure should be clear and precise, and its application should be foreseeable for those subject to it, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights."

Although the draft law provides a legal basis for the processing carried out through the RENLA by specifying a number of elements, such as the identity of the data controllers, certain points are not sufficiently clarified in the text of the draft law, such as the data subjects whose data are

¹⁶⁷ Article 3, paragraph 3, of the GDPR states that "[t]he basis for processing referred to in paragraph 1, points (c) and (e), is defined by:

a) Union law; or

b) the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, in the case of processing referred to in paragraph 1, point (e), are necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller. This legal basis may contain specific provisions to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of processing by the data controller; the types of data that are subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and

the processing operations and procedures, including measures aimed at ensuring lawful and fair processing, such as those provided for in other specific processing situations as provided for in Chapter IX. Union law or the law of the Member States serves a public interest objective and is proportionate to the legitimate aim pursued.

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processed or the retention periods.

The CNPD will revisit this point later, which is also applicable to the processing of personal data carried out in the context of requests for approval as a social landlord.

II. On the assessment of honorability conducted in the context of approval requests

According to Article 30 of the draft law, the social landlord is the organization responsible for the rental management of housing intended for affordable rental. Given the importance of the role of the social landlord, it must have approval from the minister responsible for Housing (hereinafter referred to as the "minister").

In the context of the approval requests addressed to it, the minister is required to collect and process personal data. Indeed, Article 36, paragraph 2, of the draft law enumerates the personal data that must be mentioned in the approval request.

Paragraph 3 further specifies that the request is accompanied by all information and documents intended to establish that the conditions required under Article 34, particularly those relating to professional qualifications, are met.

Even though professional honorability is not among the approval conditions of Article 34 of the draft law, it follows from Article 35 that an assessment of honorability is conducted:

"Professional honorability is assessed based on the criminal records of the responsible parties, information obtained from the Public Prosecutor's Office, all elements provided by the administrative investigation as long as they concern facts not older than ten years, and all elements likely to establish a good reputation of the responsible parties and that they present all guarantees of impeccable activity."

This article also provides for the production of an extract from the criminal record bulletin No. 3. While it is appropriate to commend the authors of the draft for establishing a legal basis providing for the principle of an honorability investigation, in accordance with Article 6, paragraph 3, of the GDPR, these provisions are, however, not sufficiently precise.

Thus, it is not clearly stated in the text who will carry out the honorability assessment, nor which person(s) will be subject to the honorability assessment. Indeed, Article 35, paragraph 1, of the draft law refers to the...

168 Article 36, paragraph 2, of the draft law: "If the applicant is a private legal entity, the request mentions its name, address, and legal form as well as the names, first names, professions, and addresses of its managers, directors, or other leading or responsible persons in charge of the tasks enumerated in Article 30.

If the applicant is a public legal entity, the request mentions its name and address as well as the names, first names, addresses, and titles of the persons responsible for the tasks enumerated in Article 30."

169 Regarding the notion of "honorability," reference is made to the observations made by the CNPD on this subject in its opinion regarding draft law No. 7691 (Deliberation No. 3/AV3/2021 of February 10, 2021; Parl. Doc. 7691/03, point I.1, page 3).

****6. Criminal Background of the "Responsible Persons"*****

Whereas it follows from the subsequent paragraphs of the draft law that the "responsible persons" and "service staff members" must provide an extract from the criminal record. Furthermore, it is necessary to question what is encompassed by the notion of "criminal background." The CNPD understands that the minister would not rely solely on entries in the criminal record but could also obtain "information" from the Public Prosecutor's Office. However, these "information" details are not specified in the draft

law nor in the commentary on the articles. Do these refer to information contained in police reports or minutes? Do they pertain to facts that are the subject of ongoing investigations or proceedings? What types of criminal offenses would the information relate to?

Particular attention should be paid to the fact that these are data initially collected by the Public Prosecutor's Office for the purposes of preventing and detecting criminal offenses, conducting investigations and prosecutions in this matter, or enforcing criminal sanctions, which are subject, in this regard, to the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security. These data would be processed, within the framework of this draft law, for administrative purposes for different subsequent purposes and thus subject to the GDPR. The CNPD refers to its observations made in its opinion regarding draft law No. 7691 aimed at clarifying the various procedures for assessing honorability currently provided for in several legal texts under the jurisdiction of the Minister of Justice.

Moreover, the assessment of professional honorability does not seem to be limited to criminal backgrounds, as it would also be based on "all elements provided by the administrative instruction insofar as they concern facts not older than ten years and all elements likely to establish a good reputation of the responsible persons and that they present all guarantees of impeccable activity." However, it is necessary to question the categories of personal data that would be collected within the framework of the administrative instruction or during the assessment of "the good reputation of the responsible persons" or the "guarantees of impeccable activity" of said responsible persons, in the absence of clarifications on this matter in the draft law.

****170**** Deliberation No. 3/AV3/2021 of February 10, 2021; Parl. Doc. 7691/03, point III.

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In light of the above, the CNPD believes that the draft law does not meet the requirements of predictability and precision that any legal text providing for an interference with the right to respect for private life or limiting the exercise of the right to the protection of personal data must fulfill¹⁷¹. Finally, it is regrettable that it is not specified which criteria or what degree of severity of past records would be taken into account by the minister in assessing professional honorability. For example, the question arises whether any entry in the criminal record automatically leads to a negative assessment regarding professional honorability or whether, on the contrary, the entries must reach a certain level of severity.

However, in the absence of such clarifications and given that it is not clearly stated in the text of the draft law which personal data would be collected in the context of the honorability check, the National Commission finds itself unable to assess whether this data is adequate, relevant, and limited to what is necessary in relation to the purposes for which it is processed, in accordance with the principle of data minimization provided for in Article 5, paragraph 1, letter c), of the GDPR.

Regarding the production of an extract from the criminal record, it follows from Article 35 of the draft law that the persons concerned must provide an extract from the criminal record of the country of which they are nationals. It is worth questioning whether it would not be more relevant to draw inspiration from the system provided for in terms of establishment authorization, which emphasizes the country of residence. Thus, Article 2, paragraph 4, first sentence, of the Grand-Ducal Regulation of December 1, 2011, determining the modalities of the administrative procedure provided for in Article 28 of the Law of September 2, 2011, regulating access to the professions of craftsman, merchant, industrialist, as well as certain liberal professions, states that "[w]hen they have not resided in the Grand Duchy of Luxembourg continuously for at least 10 years, the manager referred to in Article 4 of the law, as well as the persons referred to in Article 6(2) of the law, shall provide an extract from the criminal record or a certificate of good conduct issued by the State(s) where they have resided during the 10 years preceding the date of their application. If the State of residence does not issue an extract from the criminal record or a certificate of good conduct, a document that can be considered equivalent or an affidavit shall replace this document."

III. On Professional Secrecy

According to Article 39 of the draft law, “[t]he responsible parties of the social landlord as well as their staff are bound by professional secrecy for any information they have come to know in the context of their missions.”

171 In this sense, see M. Besch, “Processing of Personal Data in the Public Sector,” *Standards and Legislation in Luxembourg Public Law*, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; see also European Court of Human Rights, *Zakharov v. Russia* [GCL n°47413/06], § 228-229, December 4, 2015.

See also Deliberation n°3/AV3/2021 of February 10, 2021; Doc. parl. 7691/03, point II.

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The commentary on the articles specifies that

“[t]he professional secrecy is particularly important in the field of activities of the social landlord. It specifically deals with the personal data of tenants. Even if this provision may be perceived as superfluous within the framework of this law, the authors chose to include it to emphasize the importance of professional secrecy for the social landlord. In case of violation, criminal law applies.” Despite these explanations, it could be indicated to expressly refer to Article 458 of the Penal Code regarding the sanctions incurred in case of non-compliance with professional secrecy. The authors of the draft law could particularly draw inspiration from Article 42 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, under which “[...] all persons exercising or having exercised an activity for the CNPD are bound by professional secrecy and are liable to the penalties provided for in Article 458 of the Penal Code in case of violation of this secrecy. [...]”.

IV. On the National Register of Affordable Housing (RENLA)

Among the flagship measures that the draft law intends to introduce to implement the affordable housing policy is the creation of the national register of affordable housing¹⁷². It is commendable that the authors of the draft law have provided specific provisions regarding the protection of personal data. Nevertheless, a number of points require clarification.

1. On the purposes

The notion of “purpose,” that is to say, the objective pursued by the processing, occupies a central place within the GDPR. According to Article 5, paragraph 1, letter b), of the GDPR, personal data must be collected for determined, explicit, and legitimate purposes, and not be processed subsequently in a manner incompatible with those purposes. Furthermore, other principles provided by the GDPR, such as the principles of data minimization¹⁷³ or storage limitation¹⁷⁴, are assessed in light of the purposes for which the data are processed. Therefore, it is important that the purposes of the RENLA are clearly defined in the draft law.

It follows from Article 1, point 4°, of the draft law that this register aims to ensure “the harmonized and equitable allocation of housing intended for affordable rental,” notably through the allocation procedure detailed in Article 60 of the draft law. It is regrettable that this purpose is not expressly included in Article 76,

172 Chapter 6 of the draft law

173 Article 5, paragraph 1, letter c), of the GDPR

174 Article 5, paragraph 1, letter e), of the GDPR

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paragraph 3, penultimate paragraph, of the draft law which particularly addresses the purposes of the RENLA. According to this provision, “[p]ersonal data are processed and controlled for the purposes of instruction, management, and administrative follow-up of the files of applicant-tenants, candidate-tenants, and tenants, according to the modalities of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection.”

The CNPD questions the usefulness of this reference to the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection.

In general, Article 76, paragraph 3, penultimate paragraph, of the draft law remains quite vague regarding the purposes pursued by the RENLA. The commentary on the articles provides much more detail that should be included in the text of the draft law¹⁷⁵:

“The National Register of Affordable Housing (RENLA) is a computer platform made available by the Ministry of Housing and has the following missions:

- a. At the level of managing housing requests:
 - a. the collection and processing of files of applicant-tenants;
 - b. the determination of the eligibility of a request;
 - c. the ranking of applications according to priority criteria, objective and measurable;
- b. At the level of managing affordable housing:
 - a. the collection of data relating to affordable housing for which any operating deficits are covered based on an agreement with the social landlord;
- c. At the level of tenant follow-up:
 - a. the provision of a rent calculation platform for social landlords through which social landlords will manage rent adjustments based on the evolution of the situation of tenant domestic communities.”

2. On the persons and housing that may be included in the RENLA

In view of the purposes of the RENLA as described in the draft law, it appears that only housing intended for affordable rental is concerned, excluding housing intended for affordable sale or sale at moderate cost. However, it would be useful to clarify whether the RENLA only targets housing intended for affordable rental in the sense of Article 11 of the draft law or whether, conversely, housing intended for affordable rental for applicants for international protection, refugees, and persons who may benefit from subsidiary protection, and students are also included.

175 Doc. parl. 7373/00, p. 71

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in the sense of Article 12 as well as the housing intended for social rental management in the sense of Article 50 of the draft law.

However, Article 76, paragraph 1, of the draft law defines the RENLA as a "national register that can list affordable housing, buyers and occupants of such housing, tenant applicants, prospective tenants, tenants, and members of their household community, as well as social landlords [...]". The commentary on the articles specifies in this regard that "[t]he register serves to manage both (1) affordable housing, thus a 'stone' aspect, (2) buyers and occupants, tenant applicants, prospective tenants, tenants, and members of their household community, thus a 'human' or 'non-professional client' aspect, and (3) social landlords, thus a 'professional client' aspect."

This provision therefore suggests that all affordable housing as defined in Article 3, point 7°, of the draft law is included in the RENLA, namely any housing intended:

- for affordable sale as defined in Article 4;
- for moderately priced sale as defined in Article 5;
- for affordable rental as defined in Article 11;
- for affordable rental to applicants for international protection, refugees, and persons who may benefit from subsidiary protection, and students as defined in Article 12;
- for social rental management as defined in Article 50.

Furthermore, Article 76, paragraph 2, of the draft law enumerates the housing that is registered in the national register of affordable housing. According to the commentary on the articles, "[t]he main principle is that all housing that has benefited from financial participation under this law is registered in the register."

It therefore seems that there is some inconsistency between the various provisions of the draft law, an inconsistency that is amplified by the explanations provided in the commentary on the articles. The draft law should indicate exhaustively and unequivocally the purposes pursued by the RENLA. Under the principle of minimization, only those individuals whose processing of personal data is necessary in light of the purposes of the RENLA may have their data collected and processed.

3. On the categories of personal data

Article 77 of the draft law enumerates the categories of data processed concerning tenant applicants, prospective tenants, tenants, and members of their household community, namely data relating to:

1° their identification;

2° nationality¹⁷⁶;

3° any guardianship, custody, or other protection measures for adults;

¹⁷⁶ The draft law specifies that data relating to nationality may only be processed for statistical purposes.

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4° their socio-economic situation;

5° their place of work and employer;

6° their current housing;

7° the affordable housing allocated.

It should be noted that this article does not determine the categories of data that would be processed for buyers and occupants of affordable housing, as referred to in Article 76, paragraph 1, of the draft law. However, if the data of these individuals were to be processed through the RENLA, the draft law should indicate the purposes of the processing as well as the categories of data processed.

According to the commentary on the articles, the data listed in Article 77 of the draft law would be necessary for assessing eligibility and allocation conditions for affordable housing, as well as for calculating the rent of such housing. Regarding data related to current housing, it is specified that this data would include, in particular, data related to the lease agreement (termination, eviction, etc.) and health standards (based on a certificate from the competent authority).

It is commendable that the authors of the draft law have enumerated the categories of data processed within the RENLA. However, it should be noted that Articles 57 and 58 of the draft law mention in more detail the socio-economic criteria as well as the criteria related to vacant housing based on which housing is allocated via the register¹⁷⁷. It would be preferable for Article 77 to enumerate the categories of data processed with at least the same degree of precision.

Moreover, the enumeration in Article 77 of the draft law seems incomplete. For example, it appears from Article 57, paragraph 1, point 6°, of the draft law that data relating to any disability would be processed within the RENLA without this category of data being mentioned in Article 77 of the draft law. Additionally, data relating to a disability is to be classified as special categories of data referred to as "sensitive data" under Article 9 of the GDPR as they concern the health of a natural person. The processing of such data requires specific protection and is subject to stricter requirements.

In the same vein, it is regrettable that Article 77 of the draft law does not mention the data to which the minister may have access under Article 78 of the draft law. According to the understanding of the CNPD, this data is also likely to be included in the RENLA.

4. On the data controller(s)

The concept of data controller plays an important role in the application of

¹⁷⁷ Cf. Point V of this opinion.

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GDPR insofar as it determines who is responsible for the various rules regarding data protection as well as how the data subjects can exercise their rights¹⁷⁸.

Article 76, paragraph 3, of the draft law specifies that the minister and the social landlord are joint controllers of the processing of personal data within the framework of the register.

Article 26 of the GDPR provides specific rules for joint controllers of processing. Thus, they must transparently define their respective obligations in order to ensure compliance with the obligations imposed on them by the GDPR through an agreement between them, unless, and to the extent that, their respective obligations are defined by Union law or by the law of the Member State to which the controllers are subject. The determination of their respective responsibilities must particularly address the exercise of the rights of data subjects and the obligation to inform¹⁷⁹.

It should also be noted that the concept of (joint) controller is a functional notion in that it aims to

allocate responsibilities based on the actual roles played by the parties. Thus, it relies on a factual rather than formal analysis¹⁸⁰. Given the multitude of processing activities carried out through the RENLA, the question arises whether it is necessary to differentiate according to the different processing activities. It is conceivable that the minister and the social landlord are joint controllers for a specific processing activity while only the minister is responsible for the processing of another activity. In this case, it is difficult to assess whether the qualification retained by the draft law corresponds to reality, as the draft law remains vague on many points. For example, the draft law does not clearly specify whether it is the minister or the social landlord who will evaluate the eligibility criteria through the RENLA.

Article 76, paragraph 3, of the draft law further states that the minister may delegate, under his responsibility, all or part of the obligations incumbent upon him under this law to an agent of his ministry based on the duties of that agent. The same provision is made for the social landlord. The CNPD questions the meaning to be given to this provision. In matters of data protection, it is generally the organization itself, and not an individual within it, that acts as the controller in the sense of the GDPR. By designating the minister as the (joint) controller of processing, the CNPD understands that the authors of the draft law do not intend to refer to the minister personally but to the administrative authority that the minister represents. Even if, in practice, a particular natural person is designated

¹⁷⁸ See in this sense: European Data Protection Board (EDPB), Guidelines 07/2020 on the concepts of controller and processor in the GDPR, p. 3, available at: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-072020-concepts-controller-and-processor-gdpr_fr

¹⁷⁹ Ibid., p.4

¹⁸⁰ Ibid., p.3 and 12

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to ensure compliance with data protection rules, this person will not be the data controller but will act on behalf of the organization¹⁸¹. It follows that this provision may be omitted from a data protection perspective.

5. On the retention period

According to Article 5, paragraph 1, letter e), of the GDPR, personal data must not be kept longer than necessary for the purposes for which they are collected and processed. Beyond this, the data must be deleted or anonymized.

While Article 76, paragraph 2, of the draft law determines the duration for which housing is registered in the RENLA, it is regrettable that no similar provision exists regarding personal data. In the absence of clarifications on this matter in the draft law and in the commentary on the articles, the National Commission is unable to assess whether, in this case, the principle of data retention limitation would be respected.

Even if the retention period does not necessarily have to be defined in the draft law, it should at a minimum specify the criteria that would be taken into account to determine what the proportionate retention period for personal data collected by the minister would be.

6. On the minister's access to data held by other authorities

Article 78 of the draft law provides for the minister's access to the files of several administrations. The commentary on the articles specifies that this access is designed in the interest of administrative simplification and in compliance with data protection.

Article 78, paragraph 1, is drafted as follows:

“(1) By signing the special declaration contained in the registration form, the applicant-tenant and any adult and capable person in their household give their explicit consent for the minister to have access, for each member of the household, to the information from the files and databases of other state authorities, and to obtain the transmission of the information and data necessary for processing the application for affordable housing and for the review of this application.

In this case, the minister may, in order to verify whether the conditions for allocating affordable housing are met and to check the accuracy and authenticity of the data and documents provided by the applicant-tenants, candidate-tenants, and tenants, request, for each member of their household:

¹⁸¹ European Data Protection Board (EDPB), Guidelines 07/2020 on the concepts of controller and

processor in the GDPR, p. 3., available at: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-072020-concepts-controller-and-processor-gdpr_fr, p. 11

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1° to the Administration of Direct Contributions the transmission of the following data for a given fiscal year:

- a) the name, first name, national identification number, and address;
- b) an indication of whether the person concerned is the owner or usufructuary of one or more residences according to the information recorded by the real estate assessment service of the Administration of Direct Contributions;
- c) the amounts of net income by category of income listed in Article 10 of the amended law of December 4, 1967, concerning income tax, the exempt income incorporated by category of income into a fictitious taxable base according to Article 134 of the amended law of December 4, 1967, concerning income tax;

2° to the Cadastre and Topography Administration the transmission of the following data:

- a) an indication of whether the person concerned is the owner or usufructuary of one or more residences, including their origin;
- b) the title of ownership of the residence;
- c) the technical data of the residence;

3° to the Administration of Registration, Domains, and VAT the transmission of the following data:

- a) an indication of whether the person concerned is the owner or usufructuary of one or more residences;
- b) the title of ownership of the residence;
- c) the technical data of the residence;

4° to the Common Social Security Center based on Article 413 of the Social Security Code the transmission of the following data:

- a) the name, first name, national identification number, and address;
- b) the date and duration of affiliation;
- c) the weekly working duration;
- d) the name, first name, and contact details of the employer;
- e) affiliations with previous employers;

5° to the National Solidarity Fund the transmission of the following data:

- a) the name, first name, national identification number, and address;
- b) the beneficiaries of the social inclusion income, and their amount;
- c) the beneficiaries of the income for severely disabled persons, and their amount;
- d) the beneficiaries of the increase in social inclusion income, and their amount;
- e) the beneficiaries of the increase in income for severely disabled persons, and their amount;
- f) the beneficiaries of an advance on alimony, and their amount;
- g) the beneficiaries of the education allowance, and their amount;

6° to the Fund for the Future of Children the transmission of the following data: an indication of whether the person concerned is entitled to a family allowance for one or more children living in the household of the applicant or beneficiary of the aid, and their amount;

7° to the Agency for Employment Development the transmission of the following data: the beneficiaries of unemployment benefits and their amount;

8° to the minister responsible for Immigration the transmission of the following data: an indication of whether the person concerned is an applicant for family reunification based on Article

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69, paragraph 3 of the amended law of August 29, 2008, on the free movement of persons and immigration.

A. On the terminology used

It should be noted that the terms used in Article 78 of the draft law are not consistent, leading to

uncertainties regarding the practical modalities of the minister's access to data held by other authorities.

The title of Article 78, namely "Communication of information from other authorities," suggests that the minister does not have access to the files of other authorities but is instead provided with data. The recurring use of the term "transmission" seems to support this interpretation. However, this article states elsewhere that "the minister has access [...] to the information from the files and databases of other state authorities." Article 79 also refers to the minister's "access" to information. Furthermore, the draft law speaks of "information from the files and databases" or "information and data."

For greater legal certainty, it would be advisable to use consistent terminology throughout the draft law and to clarify whether the minister has direct access to data held by other authorities or if he can only request the transmission of certain data related to the individuals concerned, namely, according to the understanding of the CNPD, the applicant-tenants, candidate-tenants, tenants, and members of their household. For the purposes of this opinion, it is assumed that this refers to direct access.

B. On the basis of lawfulness

Article 78, paragraph 1, of the draft law states that "[b]y signing the special declaration contained in the registration form, the applicant-tenant and any adult and capable person in their household give their explicit consent for the minister to have access, for each member of the household, to the information from the files and databases of other state authorities, and to obtain the transmission of the information and data necessary for processing the application for affordable housing and for the review of this application."

According to the commentary on the articles, the minister's access to the files of certain administrations "can only be exercised if all adult members of the applicant-tenant's household have expressly given their consent."

Consent is one of the six legal bases, as enumerated in Article 6 of the GDPR, that allows for the processing of personal data. Article 4, point 11, of the GDPR defines consent as "any manifestation of will, free, specific, informed, and unambiguous, by which the data subject agrees, by a statement or by a clear affirmative action, to the processing of personal data concerning them." It follows from Recital (43) of the GDPR that it is not...

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It is unlikely that public authorities can rely on consent for the processing of personal data, given that in cases where the data controller is a public authority, there is often a manifest imbalance of power between the data controller and the data subject, such that consent is not freely given. The GDPR does not entirely exclude the use of consent as a legal basis for data processing by public authorities, but there are often other legal bases that are more suitable for the activities of public authorities.

In this case, Article 78, paragraph 1, of the draft law enumerates the data that the minister could consult in the files of the respective administrations in the event that the data subjects have given their consent, "in order to verify whether the conditions for the allocation of affordable housing are met and to check the accuracy and authenticity of the data and documents provided by the applicant-tenants, candidate-tenants, and tenants." It follows that the minister's access to data held by other administrations serves two distinct purposes: on the one hand, the verification of the conditions for the allocation of affordable housing, and on the other hand, the verification of the accuracy and authenticity of the data and documents provided by the data subjects.

Regarding the first purpose, namely the verification of the conditions for the allocation of affordable housing, it appears that consent does not constitute the appropriate legal basis. In this case, the data subjects often find themselves in a difficult financial and personal situation that amplifies the imbalance of power in relation to the minister. The National Commission therefore considers that the processing in question should rather be based on Article 6, paragraph 1, letter c), of the GDPR, insofar as it is necessary for compliance with a legal obligation to which the data controller is subject. The minister could thus, according to the conditions set out in the draft law, access the data strictly necessary for verifying the criteria for the allocation of affordable housing. Thus, the applicant-tenants would not need to provide all the required data themselves, which would considerably reduce their administrative

burden.

As for the second purpose, namely the verification of the accuracy and authenticity of the data and documents provided by the data subjects, the CNPD believes that consent is, in any case, not the appropriate legal basis. Indeed, in the event of refusal of consent, what alternative means would the minister implement? This processing would find its legal basis rather in Article 6, paragraph 1, letter c), of the GDPR, insofar as it is necessary for compliance with a legal obligation.

182 See in this sense: European Data Protection Board (EDPB), Guidelines 5/2020 on consent under Regulation (EU) 2016/679 of the European Data Protection Board, points 16 et seq., available at: http://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-052020-consent-under-regulation-2016679_fr

183 According to the understanding of the CNPD, this also involves verifying the eligibility conditions defined in Article 55 of the draft law. It is therefore necessary to specify this in the text of the draft law.

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to which the data controller is subject. Furthermore, the National Commission considers that the verification of the accuracy and authenticity of the data would be superfluous if the minister himself accesses the data held by other state authorities.

C. On the categories of data

Article 78, paragraph 1, of the draft law enumerates the administrations whose files the minister may access, as well as, for each administration, the categories of data that may be consulted. First of all, it should be noted that the draft law provides that the minister can access the files of a significant number of authorities¹⁸⁴ and that the data he can access often overlaps. For example, regarding the name, first name, national identification number, and address, the minister can access data from three administrations, namely the Administration of Direct Contributions, the Common Social Security Centre, and the National Solidarity Fund, while having the right to consult this data in the national register of natural persons. The National Commission views this proliferation of access critically, which does not seem, at first glance, to be justified.

Next, for a certain number of data, it is not clear from the text of the draft law or the commentary on the articles why it would be necessary for the minister to access them in the context of verifying the conditions for the allocation of affordable housing. According to the understanding of the CNPD, the control should be carried out with regard to the eligibility and allocation criteria defined by Articles 55 and following of the draft law. For example, the question arises as to why it would be necessary to have access to the "technical data" or the "title of ownership" of the housing of which the concerned person is the owner or usufructuary, given that simply being the owner or usufructuary of a housing is an exclusion criterion for eligibility. Thus, it should, in principle, be sufficient to know whether the concerned person is the owner or usufructuary of a housing. The National Commission recalls the importance of the principle of minimization enshrined in Article 5, paragraph 1, point c), of the GDPR, under which the minister may only access data that is strictly necessary for verifying the eligibility and allocation conditions.

D. On the minister's access to the national register of natural persons

Article 78, paragraph 2, of the draft law states that "[t]he minister has the right to receive information from the national register as defined by the amended law of June 19, 2013, relating to the identification of natural persons and the general directory."

184 Namely 1° the Administration of Direct Contributions; 2° the Administration of Cadastre and Topography; 3° the Administration of Registration, Domains, and VAT; 4° the Common Social Security Centre; 5° the National Solidarity Fund; 6° the Fund for the Future of Children; 7° the Agency for Employment Development; 8° the minister responsible for Immigration. Furthermore, the minister has the right to receive information from the national register of natural persons.

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within the meaning of the amended law of March 30, 1979 organizing the digital identification of natural

and legal persons to verify for an applicant-tenant, a candidate-tenant, and a tenant or any other member of the household community, the following personal data:

1° the last name and first names;

2° nationality;

3° national identification number;

4° sex;

5° date and place of birth;

6° date of death;

7° marital status;

8° domicile and usual residence, mentioning the locality, street, and building number, if applicable, the order number established in execution of the amended law of March 19, 1988 on property publicity in matters of co-ownership or any additional details regarding the building in which the housing is located, as well as the history concerning the duration of residence or changes of residence in order to control compliance with the conditions related to the principal and permanent residence or the occupation of the housing by the tenant."

Regarding the reference to the general directory within the meaning of the amended law of March 30, 1979 organizing the digital identification of natural and legal persons, it should be noted that pursuant to Article 45 of the amended law of June 19, 2013 concerning the identification of natural persons, the amended law of March 30, 1979 organizing the digital identification of natural and legal persons no longer applies to natural persons.

As for the national register of natural persons, as provided by the amended law of June 19, 2013 concerning the identification of natural persons, the modalities of access and transmission are defined by the aforementioned law of June 19, 2013 as well as by the Grand-Ducal regulation of November 28, 2013 setting the modalities for the application of the law of June 19, 2013 concerning the identification of natural persons.

Even though the term "communication" is used¹⁸⁵, it is assumed that the minister will have access to this register, as provided by the aforementioned texts.

E. On the practical modalities of access by the minister to data held by other administrations

Article 79, paragraph 1, of the draft law specifies that access "takes the form of a data exchange upon request triggered by the computer system at the initiative of a case manager." In this regard, it should be noted that the term "exchange" implies reciprocity. However, the minister's access to data from other authorities is in principle unilateral in that the other authorities do not have access to the data contained in the RENLA. It is therefore preferable to adapt the terminology used by employing the term "communication."

¹⁸⁵ Cf. Point IV .6. A. of this opinion

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Article 79, paragraph 2, of the draft law states that "[...] [t]he access of agents of a social landlord is limited to the data of applicant-tenants, candidate-tenants, and tenants that meet the specific needs covered by its area of intervention and relevant for the allocation of housing to the individuals among whom the choice is made. The social landlord has access to the data of the housing it manages and to the data of its tenants in the context of exercising its activity as a social landlord." According to the commentary on the articles, "[t]his implies that the social landlord has access not only to the data of applicant-tenants, candidate-tenants, and tenants who have chosen it as a landlord, but also to those of other social landlords, in order to work effectively."

The commentary on the articles does not provide further explanations on the reasons why social landlords would need to access the data of all applicant-tenants, candidate-tenants, and tenants.

Furthermore, the question arises as to what the utility would be for applicant-tenants to choose the social landlord in charge of their case¹⁸⁶ if, ultimately, all social landlords have access to their data. The fact that social landlords can access the data of concerned individuals whose cases they do not manage may be contrary to the principle of minimization enshrined in Article 5, paragraph 1, letter c), of the GDPR.

According to the terms of Article 79, paragraph 3, of the draft law, "[o]nly personal data having a direct link to the reason for consultation may be consulted," which is in accordance with the aforementioned principle of minimization. However, it is suggested to use the same terminology as that used in Article 79, paragraph 5, of the draft law, namely that any consultation may only take place for a specific reason.

According to Article 79, paragraph 4, of the draft law, "[a]pplicant-tenants, candidate-tenants, and tenants have access to the data concerning them." The National Commission understands that this refers to the right of access as provided in Article 15 of the GDPR.

Article 79, paragraph 4, of the draft law states that "[b]y applying as an applicant-tenant or candidate-tenant, as well as by signing a lease for affordable housing, applicant-tenants, candidate-tenants, and tenants consent to their data being processed in accordance with the above, of which they are informed at the time of their application and the signing of a lease. Their opposition to the collection or processing of their data results in the automatic withdrawal of¹⁸⁶."

¹⁸⁶ Article 55, paragraph 4, of the draft law

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of their request or termination of the lease, if this opposition is maintained after a special notification of the consequences of maintaining their opposition." It is evident that the collection and processing of a certain number of personal data are essential within the framework of the bill under review and that the opposition of the concerned individuals may render the processing of their request or the maintenance of the lease impossible. However, it is regrettable that this provision, by referring to the consent given by the concerned individuals, creates some confusion regarding the legal basis on which the data processing is based. The CNPD believes that these processes should be based on Article 6, paragraph 1, letter c), of the GDPR insofar as the processing is necessary for compliance with a legal obligation to which the data controller is subject. As explained under point IV.6.B. of this opinion, consent constitutes an appropriate legal basis only if the consent is genuinely free, which does not seem to be the case here. Article 79, paragraph 4, of the bill can therefore be omitted.

Article 79, paragraph 5, of the bill provides clarifications regarding the operation of the computer system by stating the following:

"The computer system through which access to or processing of personal data is carried out is arranged as follows:

1° access to the information is secured through strong authentication;

2° any processing of data included in the databases and files of personal data managed by the minister or information to which the minister has access, as well as any consultation of this data, may only take place for a specific reason; the date and time of any processing or consultation, the link to an ongoing file, as well as the identity of the person who carried it out can be traced in the established computer system; logging data is retained for a period of 3 years from their recording, after which they are deleted."

The National Commission welcomes that the bill provides for the principle of access control to data through logging. However, it suggests extending the retention period of logging data to five years, which also corresponds to the limitation period for offenses such as the violation of professional secrecy provided for in Article 458 of the Penal Code.

V. On the allocation of affordable housing via the RENLA

According to Article 1, point 1°, of the bill, the RENLA aims to ensure "the harmonized and equitable allocation of housing intended for affordable rental." Article 31 of the bill, titled "Allocation of Housing," states the following:

"(1) The social landlord allocates the vacant affordable housing in its housing stock to eligible tenant candidates ranked in a useful order within the meaning of Article 58 in accordance with the allocation criteria referred to in Article 59 based on the social survey, unless the social landlord is required to apply other priority criteria due to legal obligations."

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(2) The social landlord appoints a consultative committee that provides an opinion before the allocation

of a housing unit or a relocation. The composition and functioning of the committee are determined by grand-ducal regulation.

(3) The Housing Fund may conduct social investigations on behalf of another social landlord.

Article 60 of the draft law details the procedure for allocating housing via the register:

"The social landlord wishing to allocate an affordable housing unit submits a request to the register using the computer tool provided by the State. The register generates a reduced list of candidate tenants who meet the allocation conditions set out in Articles 57 and 58 in an order of priority established based on the information provided to the register. The social landlord offers the vacant housing unit to one of the candidate tenants from the reduced list based on an assessment through a social investigation of the criteria set out in Article 59. [...]"

Subsequently, Article 60 enumerates the scenarios in which the social landlord is not obliged to choose from the candidate tenants on the reduced list, in order to ensure a certain social mix of tenants.

In the explanatory memorandum, the authors of the draft law explain that "[...] in order not to unnecessarily burden the administrative workload of social landlords, easily measurable criteria are initially applied for any candidate tenant. These criteria are related, for example, to the current housing of the household, the title of occupation of that housing, and the socio-economic situation.

In order to take into account a correspondence between the composition of the candidate tenant's household and the potentially vacant housing unit, as well as geographical preferences, or even the current living environment of the candidate tenant, this initial set of criteria is supplemented by an additional automated assessment of the candidate in relation to a given housing unit, based on its typology and geographical situation.

Based on a "short-list" of candidate tenants, the social landlord can then choose the tenant whose priority has been confirmed during a social investigation and whom they consider to be the best fit for the actually vacant housing unit. It is during this third phase, which focuses on the members of the household, that the evaluation of the human factor is most pronounced. Consequently, it necessarily involves a social investigation."

1. On profiling and automated decision-making

According to the understanding of the National Commission, the procedure for allocating affordable housing via the RENLA involves profiling of the individuals concerned and, at least initially, automated decision-making. While it is true that profiling and automated decision-making can offer advantages, such as increased efficiency and resource savings, they can also pose significant risks to the rights and freedoms of individuals that require appropriate safeguards. Indeed, profiling can perpetuate existing stereotypes and the

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social segregation or even lead to a denial of services and goods as well as to unjustified discrimination¹⁸⁷.

Article 4, point 4, of the GDPR defines profiling as "any form of automated processing of personal data consisting of the use of personal data to evaluate certain personal aspects relating to a natural person, in particular to analyze or predict aspects concerning the performance at work, economic situation, health, personal preferences, interests, reliability, behavior, location, or movements of that natural person."

Thus, profiling consists of three elements, namely:

- it must be a form of automated processing;
- it must be carried out on personal data; and
- the purpose of profiling must be to evaluate the personal aspects of a natural person¹⁸⁸.

According to the explanatory memorandum, read in conjunction with the commentary on the articles, the easily measurable criteria listed in Article 57 of the draft are initially assessed for every prospective tenant by the computer tool of the registry. In a second phase, "this first set of criteria is supplemented by an additional automated assessment of the candidate in relation to a given housing, based on its typology and geographical location," that is to say, in relation to the allocation criteria listed in Article 58 of the draft law. In a third phase, the social landlord will be able to choose, based on a reduced list of

prospective tenants generated by the RENLA, the tenant whose priority has been confirmed during a social survey provided for in Article 59 of the draft law.

As a result, prospective tenants who are not included in the reduced list and who, therefore, will not be allocated affordable housing are subject to an individual decision based exclusively on automated processing. Indeed, it is only during the social survey that the intervention of a human being is foreseen. However, Article 22, paragraph 1, of the GDPR states that "[t]he data subject has the right not to be subject to a decision based solely on automated processing, including profiling, which produces legal effects concerning him or her or similarly significantly affects him or her." Article 22, paragraph 2, of the GDPR lists the exceptions in which the prohibition on making decisions based solely on automated processing does not apply. Under Article 22, paragraph 2, letter b), of the GDPR, the prohibition does not apply "when the decision is authorized by Union law or the law of the Member State to which the controller is subject."

187 Group of Article 29 Working Party on Data Protection, Guidelines on Automated Individual Decision-Making and Profiling for the Purposes of Regulation (EU) 2016/679 (WP251rev.01), p.6, approved by the European Data Protection Board (EDPB) on May 25, 2018, available at: <https://ec.europa.eu/newsroom/article29/items/612053/en>

188 Ibid., p.7

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submitted and which also provides for appropriate measures for the safeguarding of the rights and freedoms and the legitimate interests of the data subject." Thus, the legislation of a Member State may allow for automated decision-making, provided that it also includes appropriate measures to safeguard the rights and freedoms and the legitimate interests of the data subject.

According to Recital (71) of the GDPR, "[i]n any event, such processing should be accompanied by appropriate safeguards, which should include specific information for the data subject as well as the right to obtain human intervention, to express their point of view, to obtain an explanation regarding the decision taken following such assessment, and to contest the decision."

Regarding the tenant candidates on the reduced list, they are not subject to an individual decision based solely on automated processing, but it remains a decision based on profiling.

The principle of transparency underlying the GDPR implies that data controllers must ensure that they clearly and simply explain to the data subjects how profiling and the decision-making process work. Furthermore, the National Commission recommends that the methods of assessment and weighting of the attribution criteria, as well as the procedures for attribution, be specified by a Grand-Ducal regulation, this possibility being provided for in the draft law. In this regard, it is regrettable that the drafts of Grand-Ducal regulations were not communicated at the same time as the draft law.

Finally, attention should be drawn to the authors of the draft law regarding Article 35, paragraph 3, letter a), of the GDPR, which states that a data protection impact assessment is required, in particular when it involves a "systematic and comprehensive evaluation of personal aspects concerning natural persons, based on automated processing, including profiling, and on the basis of which decisions are made that produce legal effects concerning a natural person or similarly significantly affect them."

2. On the social investigation

Pursuant to Article 59 of the draft law, "[i]n the context of a comprehensive analysis and based on a social investigation, the following attribution criteria are assessed concerning the tenant candidate and members of their household:

1° the socio-family situation;

2° the socio-economic situation;

189 For more details: Article 29 Working Party on Data Protection, Guidelines on Data Protection Impact Assessment (DPIA) and how to determine whether processing is "likely to result in a high risk" for the purposes of Regulation (EU) 2016/679 (WP 248 rev. 01), approved by the European Data Protection Board (EDPB) on May 25, 2018, available at:

<https://ec.europa.eu/newsroom/article29/items/611236/en>

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3° the financial situation;

4° the state of the current housing and the situation of housing insecurity;

5° if applicable, the specific needs referred to by the social purpose of the social landlord;

6° if applicable, a particular emergency situation.

A Grand-Ducal regulation may specify the modalities for evaluating and weighting the categories of criteria listed in paragraph 1.

It follows from the commentary on the articles that “[t]he competent agents of the social landlord, or if applicable, an external service provider, conduct a comprehensive analysis of the situation of the tenant candidates, following a detailed anamnesis, a home visit, and, if applicable, the opinion of other professionals. They base their analysis on criteria grouped into four main categories, namely (1) the socio-family situation, (2) education and professional occupation, (3) the financial situation, (4) the state of the current housing and the situation of housing insecurity. The duration for which a tenant candidate has been waiting for the allocation of housing is only taken into account if, in addition, they find themselves in an *ex aequo* situation with another tenant candidate.” The CNPD wonders whether the Housing Fund is referred to by the term “external service provider.” Indeed, Article 31, paragraph 3, of the draft law states: “The Housing Fund may conduct social surveys on behalf of another social landlord.” In any case, particular attention should be paid, during the implementation of the draft law, to the determination of the responsible party(ies) for processing, and, if applicable, subcontractors.

The commentary on the articles continues: “If the social landlord, in accordance with its social purpose, also offers targeted services to its tenants, it further assesses the specific needs of the tenant candidate. The specific needs may be of various natures and be adapted according to the evolution of society, so it is impossible to list them exhaustively in the law. Social landlords who accommodate tenants facing a particular emergency situation, such as an emergency situation caused by an eviction measure, also assess these situations.”

It is regrettable that the text of the draft law remains very vague regarding the content of the social survey, which may constitute a significant intrusion into private life. Thus, Article 59 of the draft uses fairly general terms, such as “socio-family situation” or “socio-economic situation” without specifying the allocation criteria that would be grouped within these categories. It follows from the commentary on the articles that the social survey would not be limited to an examination of the information provided by the tenant candidate or communicated by other authorities under Article 78 of the draft law, but that social workers could notably conduct a home visit and seek the opinion of other professionals. The draft law should clearly define the investigations that could be carried out as part of a social survey. In this regard, it should be noted that Article 83 of the draft law expressly states that agents under the authority of the minister could conduct visits to the housing. However, such a provision is not provided for social surveys.

As for the opinion of other professionals, reference is made to Article 458 of the Penal Code, under which “[d]octors, surgeons, health officers, pharmacists, midwives, and all other persons entrusted, by status or profession, with secrets confided to them, who, except in cases where they are called to testify in court and where the law obliges them to disclose these secrets, have revealed them, shall be punished by imprisonment for eight days to six months and a fine of 500 euros to 5,000 euros.” Should the draft law not provide for a provision allowing professionals to derogate from this confidentiality?

VI. On the transitional and final provisions

Article 93 of the draft law relates to the transitional regime for the lists of tenant candidates and tenants of the social landlord, stating that “[w]ithin a period of twelve months from the entry into force of the law, every social developer and every social landlord shall submit to the register the lists of their tenant candidates and tenants. The lists shall include all personal data listed by this law.” According to the understanding of the CNPD, these are the personal data listed in Article 77 of the draft law. It would therefore be appropriate to specify this.

Article 95 of the draft law, for its part, relates to the transitional regime for the registration of housing in the register. This provision seems to contain a material error in that it refers to “all the housing referred to in Article 74, paragraph 2.”

Article 96 of the draft law states the following: “Consultation of the databases of administrations, social developers, social landlords, and organizations exercising social rental management for the purposes

of studies or scientific surveys in the field of affordable housing may be authorized by the minister upon duly justified request, who sets the conditions and limits under which this consultation may be carried out."

The commentary on the articles specifies in this regard that "[t]o be able to define its priorities and fields of action, the policy...

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Housing depends closely on the lessons learned from scientific studies and surveys. These studies and surveys only gain in utility if researchers have access to the databases of all actors involved directly and indirectly, namely various administrations, social developers, social landlords, and organizations engaged in social rental management. It goes without saying that this data is processed for scientific purposes and in compliance with data protection regulations.

It is surprising to note that the draft law intends to grant the minister the power to authorize third parties to access databases held by other organizations. It should be the responsibility of the data controller to allow, where appropriate, the consultation of the databases they hold, in compliance with the applicable data protection rules. The GDPR as well as the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection govern the further processing of personal data for scientific purposes. According to Article 5, paragraph 1, letter b) of the GDPR, personal data must be collected for specified, explicit, and legitimate purposes, and not further processed in a manner incompatible with those purposes. However, this provision specifies that further processing for scientific research purposes is not considered, in accordance with Article 89, paragraph 1, to be incompatible with the initial purposes. Article 89, paragraph 1, of the GDPR relates to the appropriate safeguards that must be implemented to ensure the rights and freedoms of the data subjects, particularly to ensure compliance with the principle of data minimization. Article 65 of the aforementioned law of August 1, 2018, which implements Article 89 of the GDPR, further specifies the additional appropriate measures that the data controller must implement.

The National Commission therefore requests the authors of the draft law to review Article 96 of the draft law, which risks being contrary to the GDPR.

Thus decided in Belvaux on July 21, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

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Opinion of the National Commission for Data Protection regarding draft law no. 7977 1° relating to the right to education and compulsory schooling; 2° amending the amended law of March 18, 2013, relating to the processing of personal data; and 3° repealing the amended law of February 6, 2009, relating to compulsory schooling.

(Deliberation no. 34/AV17/2022 of August 5, 2022)

In accordance with Article 57, paragraph 1, letter (c) of Regulation (EU) No. 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

By letter dated February 24, 2022, Mr. Minister of National Education, Childhood, and Youth invited the National Commission to express its opinion on draft law no. 7977 1° relating to the right to education and compulsory schooling; 2° amending the amended law of March 18, 2013, relating to the processing of personal data; and 3° repealing the amended law of February 6, 2009, relating to compulsory schooling (hereinafter referred to as the "draft law").

According to the explanatory memorandum, the draft law "aims to establish general standards applicable to all forms of education. The interest of a law applicable generally to all forms of education is twofold. Firstly, it is to remind that, regardless of the form of education chosen by parents for their children, the general education of youth, made compulsory by the State, has as its primary objective to train citizens and thus contribute to the cohesion of society. Secondly, on the strict level of the articulation of the different norms relating to education, it aims to go beyond the specific scopes of each of the laws pertaining to each mode, respectively to each order of education."

The authors of the draft law further specify that over the last decade, four new elements leading to the necessity of drafting a new text have gradually emerged, including the expansion of computer means used to monitor compliance with compulsory schooling. They specify that this monitoring "is carried out only once a year by the municipalities. Given the size of the current population, one can easily question the effectiveness of these annual checks."

192 See doc. parl. 7977/00, explanatory memorandum, p. 15.

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One of the key points of the reform initiated in 2021 was therefore to take new measures "in this area to strengthen the control of compulsory schooling in a centralized manner." More specifically, under the bill under review, the control of compliance with compulsory schooling would no longer fall under the jurisdiction of the municipalities, but would be the exclusive responsibility of the minister responsible for National Education (hereinafter referred to as the "minister") on a monthly basis from the start of compulsory schooling. Furthermore, this control would not only concern Luxembourg's public education but would also extend to private education, including homeschooling.¹⁹³

The CNPD wishes to emphasize from the outset that the analysis of chapters 1 and 2 of the bill regarding the right to education and the fundamental objectives and values of education, as well as the extension of compulsory schooling and the modifications regarding the frequency and the competent authority to control compulsory schooling provided for in chapter 3 of the said bill, do not fall within its scope of competence. On the other hand, the concrete modalities of the minister's monthly control of compulsory schooling as currently provided in Article 16 of the bill raise questions related to the protection of personal data.

It will therefore limit its observations to preliminary remarks on distance education or hybrid forms, as well as on homeschooling (point I) and to the aforementioned Article 16 (point II).

Preliminary Remarks

According to Article 12 of the bill, the obligation of schooling is satisfied "when the minor attends, in physical presence, remotely, or in a hybrid form, the mandatory courses, activities, and internships [...]."

Neither the text of the bill nor the commentary on the articles provides explanations regarding the concrete modalities of distance education or hybrid forms, so the National Commission cannot express an opinion on the potential consequences for data protection. Already in its opinion on Bill No. 7784 amending the modified law of July 17, 2020, on measures to combat the Covid-19 pandemic,¹⁹⁴ the CNPD had considered that, as clarifications on distance education by public and private educational institutions were lacking, it "was not in a position to assess its impact on potential data protection provisions."

In the same vein, the text under review remains silent regarding the concrete modalities to be respected in the case of courses provided "in the form of homeschooling" as currently stipulated by Article 12, point 4 of the bill.

However, the CNPD wonders whether it is envisaged to use videoconferencing for the purposes of distance education or hybrid forms. In case of response

193 See doc. parl. 7977/00, explanatory memorandum, p. 15.

It is important to emphasize that the processing of images of teachers and students is a processing of personal data subject to the GDPR. Furthermore, the use of a system that goes beyond a live transmission, such as the recording of lessons and the dissemination of these videos to allow for delayed viewing, raises additional questions regarding privacy protection, particularly concerning the proportionality of data processing, and requires the implementation of specific technical and organizational measures.

Moreover, any processing of personal data must be based on a lawful basis in accordance with Article 6 of the GDPR. The CNPD understands that in particular circumstances related to the specific situation of a student, the right to education, and even compulsory education, on one hand, and the right to image and the protection of personal data, on the other hand, may need to be balanced in such a way that one could conclude that the right to education of the absent student requires, under certain conditions, the use of electronic communication means to take into account the best interests of the child. In such a case, the processing of personal data of the various individuals involved (students, parents, teachers, etc.) could be considered necessary for the performance of a task carried out in the public interest in accordance with Article 6, paragraph 1, letter e) of the GDPR.

However, without clarification from the authors of the draft law, it is not clear who should be considered responsible for processing in the sense of Article 4, point 7) of the GDPR, that is to say, who is responsible for complying with the general rules and principles arising from the GDPR. Would it be each individual school that resorts to such a distance learning solution? Or would it rather be the minister, while the said schools would act, where appropriate, as subcontractors of the minister?

In particular, it should be noted that the processing of personal data collected and processed in the context of the performance of a task carried out in the public interest or concerning the exercise of public authority vested in the data controller must be based on a legal basis in accordance with Article 6, paragraph 3, of the GDPR, read together with its paragraph 1, letter e) which states that: "The basis for processing referred to in paragraph 1, points c) and e), is defined by:

- a. the law of the Union; or
- b. the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, with regard to the subcontractor definition in Article 4.8 of the GDPR: "the natural or legal person, public authority, service, or other body that processes personal data on behalf of the data controller."

Article 6, paragraph (1), letter e) states that: "Processing shall be lawful only if, and to the extent that, at least one of the following conditions is met: (...) e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller; (...)"

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concerning the processing referred to in paragraph 1, point e), are necessary for the execution of a task carried out in the public interest or in the exercise of official authority vested in the data controller. This legal basis may contain specific provisions to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of processing by the data controller; the types of data that are subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and the processing operations and procedures, including measures aimed at ensuring lawful and fair processing, such as those provided for in other specific processing situations as set out in Chapter IX."

It follows from the above that this article provides for a particular constraint related to the lawfulness of data processing necessary for the execution of a task carried out in the public interest or in the exercise of official authority vested in the data controller. In this case, the basis and purposes of data processing must be specifically defined either by Union law or by the law of the Member State to which the data controller is subject.

Furthermore, Recital (45) of the GDPR specifies that it should "...be for Union law or the law of a Member State to determine the purpose of the processing. Moreover, this law could specify the general conditions of this regulation governing the lawfulness of the processing of personal data, establish the specifications aimed at determining the data controller, the type of personal data being processed, the data subjects, the entities to which personal data may be communicated, the limitations of purpose, the duration of retention, and other measures aimed at ensuring lawful and fair processing. [...]".

Under the aforementioned provisions, this legal basis should establish specific provisions aimed at determining, among other things, the types of data processed, the data subjects, the entities to which the data may be communicated and for what purposes, the retention periods of the data, and the processing operations and procedures.

Recital (41) of the GDPR further states that "this legal basis or legislative measure should be clear and precise and its application should be foreseeable for the individuals concerned, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights."

In the event that personal data processing is carried out in the context of distance education, in hybrid form or at home, the CNPD therefore recommends that the authors of the draft law detail them in the body of the text of the draft law for reasons of legal certainty in favor of all parties involved. Likewise, it goes without saying that appropriate technical and organizational measures should be put in place and

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that the rights of the data subjects, as provided for in Chapter III of the GDPR, are respected.

Monthly monitoring of the school attendance obligation by the minister

According to Article 16, paragraph 1, of the draft law under review, the "monitoring of compliance with the school attendance obligation is the responsibility of the minister, who exercises it continuously, and at least once a month."

However, the text remains silent regarding the specific modalities of said monitoring. It is only by reading the explanatory memorandum that the CNPD understands that the aforementioned Article 16, paragraph 1, would authorize the minister to compare "monthly the data collected through the various student files as well as the files provided by the private and international education authorities with the data in the national register of natural persons or the file of applicants for international protection."

The commentary on the articles specifies in this context that the provision in question, namely Article 16 of the draft law, would allow the minister to conduct "systematic, more regular, and computerized monitoring, by allowing the comparison of the different student files managed by the minister with the national register of natural persons; the aim being to centralize the monitoring procedure of the school attendance obligation. The minister uses for this purpose the means provided by the amended law of March 8, 2013, relating to the processing of personal data."

Article 22 of the draft law specifically provides for the amendment of Articles 3 and 4 of the amended law of March 18, 2013, relating to the processing of personal data concerning students (hereinafter referred to as the "amended law of March 18, 2013") in order to allow the minister to process data relating to "absences and exemptions" of students "so that the minister can fulfill his monitoring mission conferred by Article 16 of this text."

After these legislative amendments, Articles 3, paragraph 1, first point, and 3, paragraph 3, letter a) of the amended law of March 18, 2013, would indeed grant the minister the right to process data relating to absences and exemptions of students for the purpose of monitoring compliance with the school attendance obligation. Furthermore, even at the current stage of the text of the amended law of March 18, 2013, the minister can access, in pursuit of the purpose of monitoring compliance with said school attendance obligation, the data from the national register of natural persons (hereinafter referred to as the "RNPP") to obtain identification information of students and their legal representatives.

However, the CNPD notes that the possibility of cross-referencing RNPP data with the various student files managed by the minister is not explicitly provided for. Furthermore, it questions what these student files concretely are. Are they the files of students enrolled in public and private education in Luxembourg? If so, are these files regularly updated so that the minister's monthly monitoring is effective?

In the interest of clarity and legal certainty, the CNPD therefore deems it necessary to specify in the body of the draft law under review the possibility for the minister to cross-reference RNPP data with that of student files and to include a reference to the means provided by the amended law of March 8, 2013.

Moreover, the CNPD notes that the explanatory memorandum specifies in the context of monitoring compliance with the school attendance obligation that a "future law regulating the relationship between the State and private schools must specify the procedures to be followed by private schools."

Nevertheless, it regrets that the procedures to be followed by said schools have not been integrated into the draft law under review, and therefore it cannot express an opinion.

Finally, the National Commission notes that under Article 15, paragraph 1, of the draft law, "the persons holding parental authority over a person subject to the school attendance obligation who complies in one of the ways referred to in Article 12 points 2, 3, or 5, are obliged to communicate a certificate of enrollment to the minister no later than eight days after enrollment."

However, since the article in question does not specify what the communication obligations to the minister are for the holders of parental authority over a person subject to home schooling as provided for by Article 12 point 4 of the draft law under review, the CNPD wonders how the minister will plan to verify compliance with the school attendance obligation in this context.

Final remarks

In conclusion, the National Commission recommends that the authors of the draft law integrate into the body of the text of said draft any potential processing of personal data carried out in the context of distance education, in hybrid form, and at home, on the one hand, as well as the specific modalities for the minister to monitor compliance with the school attendance obligation, namely the possibility of cross-referencing RNPP data with that of student files based on the means provided by the amended law of March 8, 2013, on the other hand.

This legislative framework would guarantee the principle of legal certainty for the benefit of all concerned parties, namely students, persons holding parental authority, and teachers.

Thus decided in Belvaux on August 5, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

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Opinion of the National Commission for Data Protection regarding draft law no. 7904 amending the Consumer Code for the purpose of transposing Directive (EU) 2019/2161 of the European Parliament and of the Council of 27 November 2019 amending Council Directive 93/13/EEC and Directives 98/6/EC, 2005/29/EC, and 2011/83/EU of the European Parliament and of the Council regarding better enforcement and modernization of Union rules on consumer protection.

(Deliberation no. 37/AV18/2022 of 19 August 2022)

In accordance with Article 57, paragraph 1, letter c), of Regulation (EU) 2016/679 of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of 1 August 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Not having been directly consulted by the Minister of Consumer Protection, neither at the draft stage nor at the bill stage, the National Commission nevertheless wishes to express its opinion on draft law

no. 7904 amending the Consumer Code for the purpose of transposing Directive (EU) 2019/2161 of the European Parliament and of the Council of 27 November 2019 amending Council Directive 93/13/EEC and Directives 98/6/EC, 2005/29/EC, and 2011/83/EU of the European Parliament and of the Council regarding better enforcement and modernization of Union rules on consumer protection (hereinafter referred to as the "draft law"). This opinion refers to the text of the draft law as amended by the Committee on Economy, Consumer Protection, and Space during its meeting on 30 June 2022. Directive (EU) 2019/2161 of the European Parliament and of the Council of 27 November 2019 amending Council Directive 93/13/EEC and Directives 98/6/EC, 2005/29/EC, and 2011/83/EU of the European Parliament and of the Council regarding better enforcement and modernization of Union rules on consumer protection (hereinafter referred to as the "Omnibus Directive") introduces new concepts that are difficult to reconcile with the applicable rules on data protection, and more specifically the GDPR. Aware of the limited scope of action available to the authors of the draft law in light of the legal framework established by the Omnibus Directive, the National Commission nevertheless wishes to express its concerns regarding the implications that the draft law may pose.

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on the protection of personal data.

This opinion does not examine the draft law in detail but will limit itself to raising the fundamental issues regarding data protection. For a more in-depth analysis of the Omnibus Directive, reference is made to Opinion 8/2018 of the European Data Protection Supervisor (hereinafter "EDPS") dated October 5, 2018.

I. On the provision of digital content or digital services in exchange for the provision of personal data
According to the explanatory memorandum of the draft law, the Omnibus Directive aims, among other things, to adapt consumer protection to the digital age and to take into account the new business practices that continue to develop. Thus, it is necessary "to extend the scope of the rights of consumers of 'Chapter 3 - Other Consumer Rights' to certain situations where the consumer does not pay in money but with their personal data."

Under Article L. 113-1, paragraph 2, subparagraph 2, of the Consumer Code, as amended by the draft law, the professional must provide the consumer with the pre-contractual information provided for in paragraph 1 "when the professional provides or undertakes to provide the consumer with digital content not supplied on a tangible medium or a digital service and the consumer provides or undertakes to provide personal data to the professional, unless the personal data provided by the consumer is exclusively processed by the professional to provide the digital content not supplied on a tangible medium or the digital service, or to enable the professional to fulfill the legal obligations incumbent upon them, provided that they do not process this data for any other purpose."

The National Commission welcomes the legislator's intention to modernize existing rules in consumer law and to extend the scope of certain rights to "free of charge" contracts for which no monetary price is paid. Indeed, in light of the increasing economic value represented by personal data, it seems unfair that consumers engaged in such contracts do not benefit from the same level of protection as consumers who pay a sum of money in exchange for digital content or services.

Nevertheless, and without wishing to deny the existence of various business models aimed at monetizing consumers' personal data, the CNPD regrets that

199 European Data Protection Supervisor (EDPS), Opinion 8/2018 of October 5, 2018, on the legislative package "A New Deal for Consumers," available at: https://edps.europa.eu/data-protection/our-work/publications/opinions/edps-opinion-legislative-package-new-deal-consumers_fr

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the Omnibus directive and, consequently,
the draft law equate the provision
of personal data to the payment
of a price²⁰⁰. By considering personal

data as a mere economic good, this approach does not sufficiently take into account the fundamental nature of the right to data protection under Article 8 of the Charter of Fundamental Rights of the European Union²⁰¹.

Furthermore, the question arises as to how the professional must inform the consumer of the "total price of the good or service" or the "method of calculating the price," as provided by Article L.113-1, paragraph 1, letter c), of the Consumer Code. A similar issue was raised by the EDPS in its aforementioned opinion 8/2018 regarding the reimbursement of the consumer who has exercised their right of withdrawal. Here, the EDPS notes that "it may not be possible to assess the value of personal data in the event of withdrawal from the contract. One may therefore wonder whether the proposal could effectively ensure fair compensation for consumers"²⁰².

In light of the potential interferences of the draft law with the application of the GDPR, it is positively noted that the new Article L. 222-10 of the Consumer Code provides that "[w]ith regard to the personal data of the consumer, the professional shall comply with the obligations applicable under the [GDPR]." The National Commission wishes to emphasize that the processing of personal data may only be carried out by professionals in accordance with the applicable data protection rules, and in particular the GDPR.

II. On the risk of a conflict of competencies
Secondly, the National Commission notes that certain provisions of the draft law could, where appropriate, interfere with the competencies of the CNPD in the field of data protection.

Indeed, Article L. 113-1, paragraph 8, as resulting from the draft law, empowers the minister responsible for Consumer Protection (hereinafter the "minister") with a number of powers in the event that they become aware of a professional's non-compliance with the provisions of paragraph 1 of said article. Thus, the minister may notify the professional of the finding of this violation and require compliance or initiate an action for cessation or prohibition as provided for in Articles L.320-1 and following. It should be noted that the Consumer Code, in its currently applicable version, provides for criminal fines in the event of a violation of Article L. 113-1, paragraph 1, of the Consumer Code.

²⁰⁰ See also in this sense the opinion of the CNPD regarding draft law n°7818, deliberation

n°30/AV25/2021 of October 1, 2021,

parliamentary document 7818/10

201 European Data Protection Supervisor (EDPS), Opinion 8/2018 of October 5, 2018 on the legislative package "A new deal for consumers," point 70.

202 European Data Protection Supervisor (EDPS), Opinion 8/2018 of October 5, 2018 on the legislative package "A new deal for consumers," point 70 point 72.

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Insofar as Article L. 113-1, paragraph 1, of the Consumer Code also applies to contracts for the provision of digital content or digital services in exchange for the provision of personal data, the pre-contractual information provided therein may include aspects related to data protection. For example, the question arises as to what information about the price must concretely be provided in the event that the consumer "pays" with their personal data.

In any case, it should be recalled that Article 4 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection assigns the CNPD the task of overseeing the applicable rules on data protection, and more particularly the GDPR.

It is therefore necessary to ensure that data protection and consumer protection cooperate coherently to guarantee that all consumers are treated fairly and transparently, without encroaching on the competencies that have been delegated to the National Commission, particularly by the GDPR.

Thus decided in Belvaux on August 19, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

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Opinion of the National Commission for Data Protection regarding draft law no. 7975 on accessibility requirements applicable to products and services

(Deliberation no. 41/AV19/2022 of October 7, 2022)

1. In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), which is referenced in Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

2. By letter dated March 3, 2022, the Minister of Family and Integration invited the National Commission to express its opinion on draft law no. 7975 regarding accessibility requirements applicable to products and services (hereinafter referred to as the "draft law"). On July 27, 2022, the governmental amendments of June 30, 2022, were submitted for the opinion of the CNPD. This opinion refers to the text of the draft law as resulting from said amendments.

3. The purpose of the draft law is to transpose into national law Directive (EU) 2019/882 of the European Parliament and of the Council of April 17, 2019, on accessibility requirements applicable to products and services (hereinafter referred to as the "Directive"). According to the explanatory memorandum, the objective of the Directive is "to create an environment with products and services that are more accessible from their initial design or through subsequent adaptation, thus enabling the creation of a more inclusive society that facilitates the self-determination of persons with disabilities." Thus, the draft law intends to assign the oversight of accessibility requirements for the products and services covered by the Directive to a newly created authority, namely the Office for the Oversight of Accessibility of Products and Services (hereinafter referred to as the "OSAPS").

4. This opinion will limit its observations to issues related to the protection of personal data raised by Articles 4.1.6, 5, and 30 of the draft law. According to the correspondence table accompanying the draft law, these provisions do not result from the transposition of the Directive.

On Articles 4.1.6 and 5 of the draft law

5. According to the terms of Article 4.1.6 of the draft law, one of the missions of the OSAPS is to "collect, in collaboration with the competent national entities, the data necessary for statistical studies related to the needs of persons with disabilities and persons with limitations."

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functional aspects regarding the accessibility of products and services covered by the law in order to develop knowledge about the market and to respond to the needs of the target public and to promote the implementation of Article 31 of the United Nations Convention on the Rights of Persons with Disabilities.²⁰³

6. Article 5, titled "Studies and Research," states:

"In the context of statistical studies referred to in Article 4, paragraph 1, point 6, the OSAPS may collaborate, at the minister's discretion, with economic and social research centers in Luxembourg.

For the purpose of developing the aforementioned statistical studies and collaborations, the OSAPS and the authorities with specific responsibilities regarding the products and services referred to in Article 1, paragraphs 1 and 2, exchange data for statistical purposes using automated or non-automated processes. Automated processes are carried out through data interconnection and under the guarantee of secure, limited, and controlled access."

7. It is regrettable that the commentary on the articles remains silent regarding the organizations with which the OSAPS will collaborate or exchange data. Furthermore, there is the question of whether the authors of the draft law intend to grant the OSAPS the power to collect and/or exchange personal data, including so-called "sensitive" data as defined in Article 9 of the GDPR.

8. In this regard, the National Commission wishes to emphasize that the processing of personal data,

that is, information relating to an identified or identifiable natural person, is subject to the rules established by the GDPR. Thus, such processing is lawful only if it can be based on one of the lawful conditions listed in Article 6.1 of the GDPR. Moreover, Article 9 of the GDPR provides special protection for so-called "sensitive" data, including data concerning the health or disability of a natural person. Finally, Article 89 of the GDPR as well as Articles 63 to 65 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, apply to the processing of personal data for scientific research and statistical purposes.

203 Article 31 of the United Nations Convention on the Rights of Persons with Disabilities states the following:

"1. States Parties undertake to collect appropriate information, including statistical data and research results, that enables them to formulate and implement policies aimed at giving effect to the present Convention. The procedures for collecting and storing this information respect:

- a) Legal guarantees, including those arising from data protection legislation, to ensure the confidentiality and respect for the privacy of persons with disabilities;
- b) Internationally accepted standards for the protection of human rights and fundamental freedoms and the ethical principles governing the collection and use of statistics.

2. The information collected in accordance with this article is disaggregated, as appropriate, and used to assess how States Parties are fulfilling their obligations under the present Convention and to identify and remove the barriers faced by persons with disabilities in exercising their rights.

3. States Parties have the responsibility to disseminate these statistics and ensure that they are accessible to persons with disabilities and others."

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9. In view of their vague and imprecise nature, the provisions under review could in no case serve as a legal basis for any potential processing of personal data that may be carried out by the OSAPS, particularly for scientific research or statistical purposes.

10. The legal framework established by the GDPR and the law of August 1, 2018, mentioned above, does not apply, however, to anonymous data. Recital (26) of the GDPR states in this regard that there is "no need to apply the principles relating to the protection of personal data to anonymous information, that is to say, information that does not relate to an identified or identifiable natural person, nor to personal data rendered anonymous in such a way that the data subject is not or no longer identifiable. This regulation, therefore, does not apply to the processing of such anonymous information, including for statistical or research purposes." However, it is necessary to ensure that these are indeed anonymous data and not pseudonymized data that could be attributed to a natural person by the use of additional information and which, in turn, fall within the scope of the GDPR²⁰⁴.

On Article 30 of the draft law

11. Article 30, titled "International Cooperation," notably provides that the OSAPS "shall exchange information and documentation useful for the required research carried out on its own initiative or initiated by an international or European body, institution, agency, or a competent foreign authority."

12. In the absence of further explanations provided by the authors of the draft law, the CNPD simply wishes to remind that the GDPR, and more particularly Chapter V relating to transfers to third countries or to international organizations, is intended to apply in the event that personal data is covered by this provision.

13. For the remainder, the National Commission has no other observations to make.

Thus decided in Belvaux on October 7, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner
Alain Herrmann
Commissioner

204 For all useful purposes, the CNPD refers to Opinion 05/2014 of the "Article 29" Working Party on anonymization techniques, available at:

https://cnpd.public.lu/content/dam/cnpd/fr/publications/groupe-art29/wp216_en.pdf

preventive detention being ineffective, 9° of the amended law of March 15, 1983 on weapons and ammunition, 10° of the amended law of March 2, 1984 concerning compensation for certain victims of bodily harm resulting from an offense and the repression of fraudulent insolvency, 11° of the amended law of December 4, 1990 organizing the service of bailiffs, 12° of the law of January 31, 1998 approving adoption services and defining the obligations incumbent upon them, 13° of the law of May 6, 1999 on criminal mediation and amending various provisions a) of the amended law of March 7, 1980 on judicial organization, b) of the social security code, 14° of the law of November 12, 2002 on private security and surveillance activities, 15° of the amended law of June 7, 2012 on judicial attachés (Deliberation No. 42/AV20/2022 of October 7, 2022).

1. In accordance with Article 57.1.c) of Regulation 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (hereinafter referred to as the "GDPR"), which is referenced in Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

2. On February 10, 2021, the National Commission notified the draft law No. 7691 amending: 1° the Code of Criminal Procedure, 2° the New Code of Civil Procedure, 3° the law of July 7, 1971 concerning criminal and administrative matters, the establishment of experts, translators, and sworn interpreters and supplementing the legal provisions relating to the swearing-in of experts, translators, and interpreters, 4° the amended law of December 9, 1976 on the organization of notaries, 5° the amended law of April 20, 1977 on games of chance and sports betting, 6° the amended law of March 7, 1980 on judicial organization, 7° the amended law of November 7, 1996 organizing the jurisdictions of the administrative order, 8° the law of December 30, 1981 on compensation in the case of ineffective preventive detention, 9° the amended law of March 15, 1983 on weapons and ammunition, 10° the amended law of March 2, 1984 concerning compensation for certain victims of bodily harm resulting from an offense and the repression of fraudulent insolvency, 11° the amended law of December 4, 1990 organizing the service of bailiffs, 12° the law of January 31, 1998 approving adoption services and defining the obligations incumbent upon them, 13° the law of May 6, 1999 on criminal mediation and amending various provisions a) of the amended law of March 7, 1980 on judicial organization, b) of the social security code, 14° the law of November 12, 2002 on private security and surveillance activities, 15° the amended law of June 7, 2012 on judicial attachés.

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ineffective preventive detention,

9° of the amended law of March 15, 1983 on firearms and ammunition, 10° of the amended law of March 2, 1984 relating to the compensation of certain victims of bodily harm resulting from an offense and to the repression of fraudulent insolvency, 11° of the amended law of December 4, 1990 on the organization of the bailiff service, 12° of the law of January 31, 1998 on the approval of adoption services and defining the obligations incumbent upon them, 13° of the law of May 6, 1999 relating to criminal mediation and amending various provisions a) of the amended law of March 7, 1980 on judicial organization, b) of the social insurance code, 14° of the law of November 12, 2002 relating to private security and surveillance activities, 15° of the amended law of June 7, 2012 on judicial attachés (hereinafter the "draft law").

3. On August 8, 2022, the Minister of Justice invited the CNPD to express its opinion on the parliamentary amendments adopted by the Justice Commission during its meeting on July 20, 2022 (hereinafter the "parliamentary amendments").

4. It should be noted that the title of the draft law has been slightly modified to take into account the removal of certain provisions of the draft law. These removals occur following the entry into force of the law of February 2, 2022 on firearms and ammunition and the submission of draft law No. 7863A on judicial referees, which notably aims to regulate the procedure of honorability in the recruitment of personnel for judicial authorities and administrative courts. The provisions of draft law No. 7863A addressing honorability issues will therefore be the subject of a separate opinion from the CNPD.

5. The National Commission will now present its observations regarding the data protection issues raised by the parliamentary amendments.

I. Preliminary Remarks

1. On the concept of honorability and the legal framework established by the draft law

6. The authors of the parliamentary amendments should be commended for their effort to reformulate and restructure the draft law "to ensure better coherence among the various texts"²⁰⁵ as well as "to align the vocabulary used according to the different categories of honorability investigations concerned"²⁰⁶.

7. However, while disparities remain among the different categories

²⁰⁵ See point I of the parliamentary amendments, page 2, parliamentary document No. 7691/07.

²⁰⁶ See point I of the parliamentary amendments, page 2, parliamentary document No. 7691/07.

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Regarding background checks²⁰⁷, it should be noted, as rightly pointed out by the Council of State in its opinion dated October 26, 2021, that "the harmonization could have been taken further. The Council of State must emphasize that the effort to clarify the procedures is limited to the sole jurisdiction of the Minister of Justice. However, there are many sectors under other ministerial departments that currently provide for some form of integrity control, whether it concerns authorizations or access to certain jobs or functions. It is clear that these texts, which can also be subject to the same criticisms of imprecision, remain unchanged for the time being, thereby creating a risk of legal uncertainty"²⁰⁸.

8. The CNPD also wishes to reiterate its observations made in its opinion dated February 10, 2021, in which it regrets "that a common structure could not be established by the authors of the draft law regarding the entities that conduct administrative investigations and the modalities for transmitting data resulting from such investigations"²⁰⁹. These observations are shared by the Council of State, which, while approving "the approach of the authors of the draft law to gradate intrusions into private life based on the sensitivity of the matters concerned by the authorizations, approvals, or recruitments in question"²¹⁰, regrets "that the effort at standardization has not been taken further. This latter remark concerns the authorities that conduct administrative investigations and the form in which the data is communicated to them"²¹¹.

9. For the remainder, the CNPD wishes to reiterate all of its observations made in its opinion dated February 10, 2021 on this subject²¹².

2. On the origin of the data

10. In its opinion dated February 10, 2021, the CNPD noted that the provisions of the draft law did not specify the origin of the data with sufficient precision²¹³. However, it understands that the data collected and processed under the draft law comes from files maintained by the Grand Ducal Police, the Public Prosecutor's Office, and the State Intelligence Service (hereinafter the "SRE")²¹⁴.

11. However, and although such clarifications are not provided by the parliamentary amendments, it is appropriate

²⁰⁷ See in particular paragraphs 26 and 35 of this opinion.

²⁰⁸ See general considerations, pages 2 and 3 of the Council of State opinion dated October 26, 2021, parliamentary document No. 7691/05.

²⁰⁹ See point I.2., page 6 of CNPD deliberation No. 3/AV3/2021 dated February 10, 2021, parliamentary document No. 7691/03.

²¹⁰ See general considerations, page 4 of the Council of State opinion dated October 26, 2021,

parliamentary document No. 7691/05.

211 See general considerations, page 4 of the Council of State opinion dated October 26, 2021, parliamentary document No. 7691/05.

212 See points I.1 and 2, pages 3 to 6, of CNPD deliberation No. 3/AV3/2021 dated February 10, 2021, parliamentary document No. 7691/03.

213 See point III., pages 14 and following, of CNPD deliberation No. 3/AV3/2021 dated February 10, 2021, parliamentary document No. 7691/03.

214 See point III, pages 14 and following, of CNPD deliberation No. 3/AV3/2021 dated February 10, 2021, parliamentary document No. 7691/03.

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It should be noted that Bill No. 7882215 aims to "regulate the processing of personal data carried out by judicial authorities using the JU-CHA application, which allows for the management of criminal cases from the first act of procedure to the execution of judicial decisions." This bill specifically details the modules included in the JU-CHA application (for example, the "criminal record" module, the "criminal case" module, etc.), the personal data that would be contained therein, as well as the purposes for which these modules would be consulted.

Furthermore, it follows from the commentary on Article 1 of this bill that "the purpose of the processing of personal data carried out in the JU-CHA application is to enable judicial authorities to fulfill the missions arising from European law and international agreements binding the Grand Duchy of Luxembourg on the one hand, and on the other hand, those related to the Penal Code, the Code of Criminal Procedure, and special laws. This aims to facilitate the management of criminal cases and youth matters, from the first act of procedure to the execution of judicial decisions. The following missions are specifically targeted:

- the execution of measures requested under European arrest warrants and European mutual recognition instruments, as well as letters rogatory and other requests for international criminal assistance;
- the holding and organization of hearings;
- the management of the criminal record;
- the restitution of stolen or recovered items;
- the traceability of files transmitted to the national archives;
- the management of personal data processed in the context of the execution of the law of August 10, 1992, relating to the protection of youth;
- the management of files from the Central Social Assistance Service;
- the exploitation of information collected for statistical, historical, forensic, and educational research purposes.

It should be noted that the enumeration of the aforementioned missions does not correspond to a fixed and exhaustive list and that it is naturally intended to evolve based on modifications made in national law (...). Thus, once Bill 7691 on background check procedures is adopted, the mission to assess the honorability of a person will be added, for example, during recruitment within the judicial administration."

215 Bill No. 7882 concerning 1° the introduction of specific provisions for the processing of personal data in the "JU-CHA" application; and 2° the amendment of the Code of Criminal Procedure.

216 Explanatory memorandum PL No. 7882.

217 See Ad Article 1, page 9, parliamentary document No. 7882/00.

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12. Consequently, the CNPD understands that the JU-CHA application would be consulted when the Attorney General conducts a background check in accordance with the provisions of the bill under review. Nevertheless, it is to be regretted that this purpose is not expressly specified in the text of Bill No. 7882218.

Furthermore, would it not also be relevant to specify in the text of Bill No. 7882 which module(s) would be accessible by the Attorney General when assessing the honorability of a concerned individual?

13. Finally, while it is appropriate to welcome the aforementioned clarifications, it is regrettable that the origin of the data processed by the Grand Ducal Police or the SRE is not specified. On this point, the CNPD takes the liberty of referring to all its observations made in its opinion of February 10, 2021, cited above.

II. On the processing of personal data related to criminal convictions and offenses or related security measures

A. On the first category of background checks

14. The authors of the parliamentary amendments intend to remove the reference, in the articles relating to the first category of background checks, to Article 8.1 of the amended law of March 29, 2013, relating to the organization of the criminal record.

15. As noted by the CNPD in its opinion of February 10, 2021, this reference was not likely to be relevant as this article referred to the amended Grand Ducal Regulation of July 23, 2016, setting the list of administrations and legal persons of public law that may request a bulletin No. 2 or No. 3 of the criminal record with the written or electronic consent of the concerned individual (hereinafter the "amended Grand Ducal Regulation of July 23, 2016"). Indeed, the minister responsible for the bill (hereinafter the "minister") was not included on this list for certain articles of the bill.

16. The authors of the parliamentary amendments now specify that a draft Grand Ducal regulation modifying the amended Grand Ducal Regulation of July 23, 2016 "will propose to add the Minister of Justice for the processing of requests related to facilitators in restorative justice to the list of concerned administrations." The same will apply to requests related to the accreditation of mediators in civil and commercial matters, and those.

218 See also point I.1., pages 3 and following, of deliberation No. 29/AV13/2022 of July 1, 2022, parliamentary document No. 7882/02.

219 See point III. of deliberation No. 3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document No. 7691/03.

220 See Article 1, Article 2, point 3°, Article 3, and Article 13 of the bill, as amended.

221 See point IV.2.A.a., page 19, of deliberation No. 3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document No. 7691/03.

222 See Articles 1, 2, point 3°, and 13 (becoming the new Article 10) of the bill.

223 See commentary on the parliamentary amendments under amendment No. 2 – Article 1 of the bill.

224 See amendment No. 5 – Article 2, point 3° of the bill.

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related to the approval of mediators in criminal matters²²⁵.

It is necessary to commend the authors of the parliamentary amendments for providing such clarifications.

B. On the second category of background checks

17. It should be noted that Articles 6, 7, and 15 of the draft law²²⁶ are deleted and are the subject of a separate draft law²²⁷.

This second category of background checks now pertains to Articles 4 and 8 of the draft law²²⁸.

These articles specify respectively the procedure for checking the backgrounds of candidate notaries and candidate bailiffs.

It should be noted that the provisions of these articles are formulated identically following the parliamentary amendments, so that the CNPD will address together the modifications made to these provisions.

First of all, it is necessary to congratulate the authors of the parliamentary amendments for clarifying which number of the criminal record is referred to by the provisions under review, as recommended by the CNPD and the Council of State in their respective opinions²²⁹.

18. It is also necessary to commend the authors of the parliamentary amendments for clarifying the data that the Attorney General can refer to in his opinion. Indeed, the CNPD in its opinion of February 10, 2021, regretted, like the Council of State, the lack of precision regarding the categories of data that would be communicated to the Attorney General so that he could verify the honorability of the persons concerned²³⁰.

It is now provided that the information "derived from judicial decisions establishing facts related to a criminal conviction for a crime or offense for which rehabilitation has not yet been achieved at the time of the application for candidacy" and those "derived from police reports establishing facts that may constitute a crime or offense, if these facts are the subject of an ongoing criminal procedure, excluding facts that have resulted in a decision of acquittal, of non-suit or

225 See amendment no. 16 – Article 13 of the draft law (becoming the new Article 10).

226 See amendments no. 10, no. 11, and no. 18.

227 See paragraph 4 of this opinion.

228 See amendments no. 7 and no. 14.

229 See point IV.2.B., page 19, of deliberation no. 3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document No. 7691/03, see comments made by the Council of State under Article 4, page 8 of its opinion of October 26, 2021, parliamentary document No. 7691/05.

230 See point IV.2.B., page 19, and point IV.3., pages 25 and following, of deliberation no. 3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document No. 7691/03, see comments made by the Council of State under Article 4, page 8 of its opinion of October 26, 2021, parliamentary document No. 7691/05.

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"discontinuation of proceedings" shall be transmitted to the Attorney General.

19. Finally, it is worth commending the authors of the parliamentary amendments for specifying the facts that should be included in the notice from the Attorney General, when these are covered by the

secrecy of the investigation.

20. For the rest, the CNPD refers to its observations made on this subject in its opinion of February 10, 2021.

C. On the third category of background checks

21. The parliamentary amendments related to the third category of background checks introduce new provisions that align with the provisions of Article 14 of the law of February 2, 2022, on weapons and ammunition, in a "concern for harmonization and coherence of the bill as a whole."

1. On the adoption of the wording of Article 14.2, paragraph 1, sentence 2 of the law of February 2, 2022, on weapons and ammunition

22. Article 14.2, paragraph 1, sentence 2 of the law of February 2, 2022, on weapons and ammunition states that "[t]he facts to which the information provided by the State Prosecutor and the Grand Ducal Police relates may not have been committed more than five years before the submission of the application for obtaining a permit, a license, or an approval provided for by this law or are the subject of ongoing criminal proceedings."

These provisions have been adopted by all articles of the bill concerning the third category of background checks. The authors of the parliamentary amendments should be congratulated for including such a limitation on the facts that may be transmitted to the minister.

23. For the rest, the National Commission permits itself to refer on this point to its observations made in its second supplementary opinion regarding bill No. 7425.

2. On the adoption of the wording of Article 14.3 of the law of February 2, 2022, on weapons and ammunition

24. It is appropriate to commend the authors of the parliamentary amendments for their desire for harmonization and coherence of the procedures for verifying honorability in the wording of Article 14.3 of the aforementioned law of February 2, 2022. However, despite these efforts, certain disparities persist regarding the facts that would be covered by the third category of background checks.

25. Thus, Article 14.3 of the law of February 2, 2022, states that "[t]he State Prosecutor and the Grand Ducal Police shall only communicate information to the minister, in accordance with this article, for facts:

1° classified as a crime or offense by law;

2° referred to in Article 563, point 3°, of the Penal Code relating to assault and minor violence;

3° that motivated an expulsion procedure based on Article 1 of the amended law of September 8, 2003, on domestic violence.

Paragraph 1 does not apply to facts that, although falling under points 1° and 2°, have been the subject of an acquittal, judicial or legal rehabilitation, or are time-barred."

26. If the wording of the aforementioned Article 14.3, particularly the provisions relating to the facts on which the verification of honorability is based, is adopted identically concerning the honorability investigations conducted in the context of cases brought before the family court, in matters of adoption, in the context of the approval of the adoption service, and in the context of authorizations for private security and surveillance activities, this is not the case for the honorability investigation conducted for applications for authorization and applications for approval in the field of gambling and sports betting.

27. Indeed, the investigations conducted to assess the honorability of individuals applying for an authorization or an approval in the field of gambling and sports betting concern "facts classified as a crime or offense by law that have been the subject of a criminal conviction or that have led to the establishment of a police report or a police report."

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On this point, the National Commission refers to its observations made in the context of its opinion dated February 10, 2021, where it questioned whether "it would not be possible (...) to indicate more

precisely which crimes or offenses such verifications pertain to?"²⁴² as well as to all of its developments on this subject²⁴³.

3. On the communication of bulletin No. 1 of the criminal record

28. Articles 2, points 1° and 2, and 9 of the draft law²⁴⁴ provide that the Attorney General may access bulletin No. 1 of the criminal record. The CNPD regrets that the authors of the parliamentary amendments did not provide more details regarding the necessity of accessing such a bulletin, and reiterates its observations made in its opinion dated February 10, 2021, on this matter²⁴⁵.

29. Insofar as draft law No. 7881²⁴⁶ aims to amend the modified law of March 29, 2013, concerning the organization of the criminal record, should we not take this opportunity to specify in Article 6 of the aforementioned law that bulletin No. 1 of the criminal record may be communicated, in the strictly defined cases referred to in the draft law, for the purpose of verifying the honorability to the Attorney General?

4. On the communication of bulletin No. 2 of the criminal record

30. It is appropriate to commend the authors of the parliamentary amendments for specifying the bulletin number that would be addressed by the provisions of Article 5 of the draft law²⁴⁷, as suggested by the National Commission in its opinion dated February 10, 2021²⁴⁸.

However, are the provisions of the draft law as amended, which stipulate that "[t]he person or persons concerned shall attach to their request the authorization for bulletin No. 2 of the criminal record to be delivered directly by the Attorney General to the Minister of Justice," not superfluous? Indeed, Article 1, point 7) of the Grand-Ducal Regulation of July 23, 2016 states

²⁴² See point IV.3.A. of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

²⁴³ See point IV.3., pages 25 et seq., of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

²⁴⁴ See amendments No. 3, No. 4, and No. 15.

²⁴⁵ See point IV.2.C.a., page 22, of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

²⁴⁶ Draft law No. 7881 on the exchange of information regarding nationals of third countries to the European Union as well as the European Criminal Records Information System (ECRIS) concerning: 1° transposition of Directive (EU) 2019/884 of the European Parliament and of the Council of April 17, 2019, amending Framework Decision 2009/315/JAI of the Council regarding the exchange of information concerning nationals of third countries and the European Criminal Records Information System (ECRIS), and replacing Decision 2009/316/JAI of the Council; 2° implementation of Regulation (EU) 2019/816 of the European Parliament and of the Council of April 17, 2019, establishing a centralized system to identify Member States holding information on convictions concerning nationals of third countries and stateless persons, which aims to complement the European Criminal Records Information System, and amending Regulation (EU) 2018/1726; 3° amendment of the modified law of March 29, 2013, concerning the organization of the criminal record, see parliamentary document No. 7881/02.

²⁴⁷ See amendment No. 8.

²⁴⁸ See point IV.2.A.C.a. of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

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already that "bulletin No. 2 can be issued upon request and with the express written or electronic consent of the person concerned to the minister responsible for Justice for the processing of requests related to games of chance."

31. In any case, for the purpose of standardizing all the provisions of the draft law, the National Commission proposes to omit such provisions as the articles relating to the first category of integrity checks do not provide for such provisions regarding the communication of bulletin No. 2 of the criminal record to the minister. Indeed, the CNPD understands that the authors of the parliamentary amendments prefer to introduce new provisions into the Grand-Ducal Regulation of July 23, 2016,

which lists the administrations and legal entities under public law that may request a bulletin No. 2 or No. 3 of the criminal record with the written or electronic consent of the person concerned.

5. On the specific provisions concerning facts covered by the secrecy of the investigation

32. It should be noted that amendments No. 8, 15, and 17 of the draft law introduce, within articles 5, 9, and 11 of the draft law, a new paragraph whose provisions are as follows: "[d]uring the entire duration for which the facts in question are covered by the secrecy of the investigation provided for in Article 8 of the Code of Criminal Procedure," "the information provided by the Attorney General" or "the opinion of the Attorney General" "only includes the name, first name, and identification number within the meaning of the amended law of June 19, 2013, relating to the identification of natural persons or, failing that number, the date of birth and the address or last known address of the concerned applicants, as well as the legal qualification of the alleged facts."

33. However, it should be noted that such provisions are not specified for articles 2, point 1° and point 2° of the draft law. However, these articles are part of the third category of background checks. The National Commission wonders why such developments relating to the secrecy of the investigation have not been provided for these articles?

34. Therefore, it is regrettable that there is a lack of standardization, as noted by the Council of State in its opinion of October 26, 2021, "the fact of addressing one aspect in a text and not mentioning it in another, while the issue at hand arises in both cases, can only lead to confusion. This is particularly the case regarding (...) the rules applicable to ensure respect for the secrecy of the investigation."²⁴⁹
249 See general considerations, page 4, of the opinion of the Council of State of October 26, 2021, parliamentary document No. 7691/05.

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6. Final remarks

35. For the remainder, regarding the third category of background checks, reference is made to all the developments expressed by the National Commission in its opinion of February 10, 2021.²⁵⁰

III. On the modalities for transmitting data from the various background check procedures

36. It should be noted that disparities persist despite the harmonization efforts of the authors of the parliamentary amendments regarding the different integrity procedures provided for in the draft law. Indeed, it appears from articles 5 and 11 of the draft law²⁵¹ that an administrative investigation is conducted by the minister with the Attorney General and the Grand-Ducal Police.

However, it would have been preferable for the authors of the parliamentary amendments to opt for the solution retained by articles 2, points 1° and 2°, 4, 8, and 9 of the draft law, namely the communication of an opinion by the Attorney General.

These disparities had already been pointed out by the CNPD in its opinion of February 10, 2021, and it therefore allows itself to refer to its observations made therein.²⁵²

IV. On the duration of retention

37. It should be noted that the text under review provides for certain background check procedures with retention periods. These clarifications are commendable.

A. On the first category of background checks

38. The authors of the parliamentary amendments specify, regarding the first category of background checks, that it is based exclusively on the communication of an extract from the criminal record, and that "in accordance with the opinion of the Public Prosecutor's Office, Article 8-5, paragraph 1 of the amended law of March 29, 2013, relating to the organization of the criminal record already provides that a bulletin issued to the administration handling a request cannot be retained beyond a period of one month after the expiration of the period provided for a contentious appeal."²⁵³

39. However, it is necessary to question the retention period for extracts of foreign criminal records that may, if applicable, be collected as part of a background check procedure.

²⁵⁰ See point IV.2.C, pages 22 and following, and point IV.3., pages 25 and following, of deliberation No. 3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document No. 7691/03

²⁵¹ See amendments No. 8 and No. 17.

252 See point I.2. and point VI. of deliberation No. 3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document No. 7691/03.

253 See comments from the parliamentary authors under amendment No. 2 – Article 1 of the draft law.
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of the first category. Shouldn't a retention period identical to that provided for criminal record extracts under the provisions of the amended law of March 29, 2013 mentioned above be established?

B. On the second category of background checks

40. For the second category of background checks, identical provisions are provided for in Articles 4 and 8 of the draft law. These stipulate that "the opinion of the Attorney General is destroyed six months after a decision that has become final regarding the application that motivated the opinion."

The authors of the parliamentary amendments should be commended for introducing such clarifications.

41. Furthermore, if the Attorney General were to collect Bulletin No. 2 or an extract of a foreign criminal record, the National Commission refers to its observations made in paragraphs 38 and 39 above.

C. On the third category of background checks

a. On Articles 5, 9, and 11 of the draft law

42. It should be noted that Articles 5 and 11 of the draft law provide identical provisions in that it is stipulated that:

- "the facts to which the information provided by the Attorney General relates cannot have been committed more than five years before the submission of the applicant's request or are subject to an ongoing criminal procedure"; and
- copies of judicial decisions that appear in Bulletin No. 2 of the criminal record, which are, where applicable, transmitted to the minister, are "destroyed six months after a decision that has become final regarding the authorization request that motivated the communication request."

Article 9 of the draft law states that "[t]he opinion of the Attorney General is destroyed six months after a decision that has become final regarding the approval request that motivated the opinion."

The authors of the parliamentary amendments should be commended for providing such clarifications.

43. Moreover, in the context of the honorability investigation conducted under Articles 5 and 11 of the draft law, the minister is likely to collect Bulletin No. 2 of the criminal record or an extract of a foreign criminal record; the National Commission refers to its observations made in paragraphs 38 and 39 above.

44. Finally, if the Attorney General were to collect Bulletin No. 1 of the criminal record or an extract of a foreign criminal record in the context of the investigation conducted under Article 9 of the draft law, the National Commission wonders what their retention periods would be?

Regarding the retention period for Bulletin No. 1 of the criminal record, it is worth questioning whether the provisions of Article 8-5.1 of the amended law of March 29, 2013, relating to the organization of the criminal record would apply in such a case?

b. On Article 2, points 1° and 2 of the draft law

45. It is regrettable that an identical retention period, as provided for in the articles mentioned in the above developments, has not been specified for Article 2, points 1° and 2° of the draft law, whereas these provisions also concern the third category of background checks.

Thus, although the assessment of honorability by the Attorney General in such cases takes the form of written conclusions submitted in the context of a civil procedure, would it not still be feasible to establish an identical retention period regarding such conclusions?

In any case, clarifications on this subject should be provided by the authors of the parliamentary amendments. The National Commission would like to remind that while the retention period does not necessarily have to be defined in the draft law, it should at a minimum specify the criteria that would be taken into account to determine what the proportionate retention period would be for each category of personal data that would be collected by the Attorney General in the aforementioned cases.

46. Finally, regarding the retention period for Bulletin No. 1, if it were to be collected by the Attorney General, or an extract of a foreign criminal record in the context of Article 2, points 1° and 2° mentioned above, the CNPD refers to its developments made in paragraph 45 above.

257 It is specified in Article 9.3 of the draft law that the Attorney General "may also take note of the entries in Bulletin No. 1 of the criminal record," without specifying whether he would be provided with such a bulletin if applicable.

258 The provisions of Article 2, points 1° and 2° of the draft law provide the identical following provisions: "the Attorney General may also take note of the entries in Bulletin No. 1 of the criminal record," without specifying whether he would be provided with such a bulletin if applicable.

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V. Final Remarks

47. Despite the clarifications provided by the authors of the parliamentary amendments, it must be noted that a number of questions raised by the National Commission in its opinion of February 10, 2021, remain unanswered.

Thus, the CNPD, like the Council of State²⁵⁹, had notably questioned the modalities for establishing a monitoring system regarding the verification of honorability²⁶⁰.

The National Commission also inquired about the lack of details in the draft law concerning a possible limitation of the rights of the individuals concerned²⁶¹, as well as the absence of specifications regarding the competent supervisory authority to oversee and monitor compliance with the legal provisions set forth in the text under review²⁶².

Furthermore, the CNPD reiterates all of its developments articulated in its opinion of February 10, 2021.

Thus decided in Belvaux on October 7, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

259 See general considerations, page 4, of the opinion of the Council of State dated October 26, 2021, parliamentary document No. 7691/05.

260 See point VII, page 32, of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

261 See Article 23 of the GDPR, as well as point XI, page 35, of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

262 See point XIII, page 37, of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

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Opinion of the National Commission for Data Protection regarding draft law No. 7863A on judicial referees and amending: 1° the amended law of March 7, 1980, on judicial organization; 2° the amended law of November 7, 1996, on the organization of administrative courts; 3° the amended law of July 27, 1997, on the organization of the Constitutional Court; 4° the amended law of June 7, 2012, on judicial attachés; 5° the amended law of April 16, 1979, establishing the general status of state officials; 6° the amended law of March 8, 2017, on Luxembourg nationality (Deliberation No. 43/AV21/2022 of October 7, 2022)

In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data,

and repealing Directive 95/46/EC (hereinafter the "GDPR"), to which Article 7 of the law of August 1, 2018, on the organization of the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

On February 10, 2021, the National Commission advised on draft law No. 7691, which aims to clarify the various procedures for verifying honorability that fall under the competence of the Minister of Justice.

On October 7, 2022, the CNPD adopted its supplementary opinion²⁶⁴ regarding the aforementioned draft law following the parliamentary amendments adopted by the Justice Commission during its meeting on July 20, 2022.

It should be noted that the title of draft law No. 7691 has been slightly modified to reflect the changes. ²⁶³ Draft law No. 7691 amending: 1° the Code of Criminal Procedure, 2° the New Code of Civil Procedure, 3° the law of July 7, 1971, concerning criminal and administrative matters, the institution of experts, sworn translators, and interpreters, and completing the legal provisions regarding the swearing-in of experts, translators, and interpreters, 4° the amended law of December 9, 1976, on the organization of notaries, 5° the amended law of April 20, 1977, on games of chance and sports betting, 6° the amended law of March 7, 1980, on judicial organization, 7° the amended law of November 7, 1996, on the organization of administrative courts, 8° the law of December 30, 1981, on compensation in cases of ineffective preventive detention, 9° the amended law of March 15, 1983, on weapons and ammunition, 10° the amended law of March 2, 1984, on compensation for certain victims of bodily harm resulting from an offense and on the repression of fraudulent insolvency, 11° the amended law of December 4, 1990, on the organization of the bailiffs' service, 12° the law of January 31, 1998, on the approval of adoption services and defining their obligations, 13° the law of May 6, 1999, on criminal mediation and amending various provisions a) of the amended law of March 7, 1980, on judicial organization, b) of the social security code, 14° the law of November 12, 2002, on private security and surveillance activities, 15° the amended law of June 7, 2012, on judicial attachés.

²⁶⁴ Deliberation No. 42/AV20/2022 of October 7, 2022.

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taking into account the removal of certain provisions of the aforementioned draft law²⁶⁵. These removals occur following:

- the entry into force of the law of February 2, 2022, on weapons and ammunition; and
- the submission of draft law No. 7863A on judicial referendaires and amending: 1° the amended law of March 7, 1980, on the judicial organization; 2° the amended law of November 7, 1996, on the organization of administrative courts; 3° the amended law of July 27, 1997, on the organization of the Constitutional Court; 4° the amended law of June 7, 2012, on judicial attachés; 5° the amended law of April 16, 1979, establishing the general status of state officials; 6° the amended law of March 8, 2017, on Luxembourg nationality.

The draft law under review was initially an integral part of draft law No. 7863. However, following the opinion of the Superior Court of Justice²⁶⁶ and the opinion of the Council of State²⁶⁷, it appears from the amendments adopted by the Justice Commission during its meeting on July 20, 2022 (hereinafter the "amendments")²⁶⁸ that the draft law No. 7863 has been split into two distinct draft laws: the aforementioned draft law No. 7863A (hereinafter the "draft law") and draft law No. 7863B, which abolishes the position of honorary advisor to the Court of Appeal.

Thus, the draft law aims in particular to regulate the control of honorability in the recruitment of personnel of the judicial order and the administrative order.

The CNPD, not having been directly seized by the Minister of Justice to advise on the draft law, nevertheless wishes to take the initiative and express its opinion on such a draft as it addresses issues related to questions of honorability.

This opinion will therefore be limited to the issue of the control of honorability in the recruitment of

personnel of the judicial order and the administrative order, as well as the questions that this issue raises in terms of data protection and privacy.

I. Preliminary Remarks

It should be noted that the provisions of the draft law intend to "frame the control of honorability" of the candidate for a position as a judicial referendary (Article 3 of the draft law)²⁶⁹, future members of the judicial personnel of the judicial order (Article 20

²⁶⁵ See Article 6 of draft law No. 7691 relating to honorability in the recruitment of personnel of the judicial authorities, Article 9 relating to authorizations, permits, and approvals in the field of weapons, Article 7 on the honorability of personnel of the administrative courts, Article 15 on judicial attachés.

²⁶⁶ Opinion of the Superior Court of Justice, parliamentary document No. 7863/01.

²⁶⁷ Opinion of the Council of State of May 10, 2022, parliamentary document No. 7863/04.

²⁶⁸ Parliamentary document No. 7863A/01.

²⁶⁸ See amendment No. 6 – Article 3 of the draft law.

²⁶⁹ See amendment No. 22 – Article 20 of the draft law.

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of the bill)²⁷⁰, the clerks of the administrative courts (Article 30 of the bill)²⁷¹, and the judicial attachés (Article 34 of the bill)²⁷².

The authors of the amendments specify, regarding the aforementioned provisions, that they were "inspired by the opinion issued on October 26, 2021, by the High Corporation on Bill No. 7691"²⁷³.

They further clarify that "in order to ensure legal certainty, it is deemed useful to standardize the verification of honorability for all agents serving justice, regardless of their status"²⁷⁴. It indeed appears from all the provisions under review that they are drafted identically.

While it is appropriate to commend the efforts of the authors of the amendments for having standardized "the verification of honorability for all agents serving justice," it is regrettable that the authors of the amendments adopt a sectoral approach, just as that undertaken in the context of Bill No. 7691, and not a global and transversal approach to the issue.

Indeed, the honorability investigations that do not fall under the jurisdiction of the Minister of Justice "remain immediately unchanged"²⁷⁵. However, as noted by the Council of State in its opinion regarding Bill No. 7691, "there are many sectors under other ministerial departments that currently provide for some form of honorability control, whether it concerns authorizations or access to certain jobs or functions. It must be noted that these texts, which may also suffer from the same criticisms of imprecision, remain immediately unchanged, thereby creating a risk of legal uncertainty. The Council of State deems it essential to broaden the harmonization effort to all legal provisions providing for some form of honorability control with verification of criminal records and others"²⁷⁶.

In this regard, the National Commission refers to all its observations made in its opinion of February 10, 2021, on Bill No. 7691²⁷⁷.

II. On the honorability investigation established in Articles 3, 20, 30, and 34 of the bill

Regarding the articles of the bill related to the honorability investigation²⁷⁸, it is appropriate to commend the authors of the amendments for having included similar, if not almost identical, provisions to those in Articles 4 and 8 of Bill No. 7691, as amended²⁷⁹.

²⁷⁰ See amendment No. 22 – Article 20 of the bill.

²⁷¹ See amendment No. 32 – Article 30 of the bill.

²⁷² See amendment No. 36 – Article 34 of the bill.

²⁷³ See comments under amendment No. 6 – Article 3 of the bill.

²⁷⁴ See comments under amendment No. 6 – Article 3 of the bill.

²⁷⁵ See general considerations, page 3, of the opinion of the Council of State dated October 26, 2021, parliamentary document No. 7691/05.

²⁷⁶ See general considerations, pages 2 and 3, of the opinion of the Council of State dated October 26, 2021, parliamentary document No. 7691/05.

²⁷⁷ See point I.2., page 6, of deliberation No. 3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document No. 7691/03.

278 See amendment No. 6 – Article 3 of the bill, amendment No. 22 – Article 20 of the bill, amendment No. 32 – Article 30 of the bill, amendment No. 36 – Article 34 of the bill.

279 These provisions concern the honorability of candidate notaries and candidate bailiffs.

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Indeed, just like the aforementioned Articles 4 and 8, the integrity investigation established by the draft law is conducted by the Attorney General, who issues an opinion at the conclusion of this investigation. It is appropriate to commend the authors of the amendments for adopting such a system.

Similarly, under the provisions of the draft law, the integrity investigation concerns facts similar to those established in Articles 4 and 8 of the amended draft law N°7691.

Therefore, insofar as these provisions are nearly identical to the provisions of Articles 4 and 8 of the draft law N°7691, the CNPD allows itself to refer to all of its developments expressed in this regard in its opinions dated February 10, 2021,²⁸⁰ and October 7, 2022.²⁸¹

However, regarding the provisions of the draft law related to facts that would be covered by the secrecy of the investigation, it should be noted that these differ slightly from those of draft law N°7691.

Indeed, the provisions of Articles 4 and 8 of the amended draft law N°7691 state that "in the absence [of the identification number as defined by the amended law of June 19, 2013, relating to the identification of natural persons], the date of birth and the address or the last known address of the candidate concerned." Such a distinction, however, is not reflected in the provisions under review.

It is regrettable that these provisions were not formulated identically by the provisions of the present draft law, whereas, as noted by the Council of State in its opinion regarding draft law N°7691, "the fact of regulating in one text and not mentioning in another, while the issue at hand arises in both cases, can only lead to confusion. This is particularly the case regarding (...) the rules applicable to ensure respect for the secrecy of the investigation."

For the remainder, reference is made to all observations expressed by the CNPD in its opinion dated February 10, 2021, as well as in its supplementary opinion dated October 7, 2022, both relating to draft law N°7691.²⁸²

Thus decided in Belvaux on October 7, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

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²⁸⁰ See points III, pages 14 and following, IV.2.B., page 19, and IV.3., pages 25 and following, of deliberation n°3/AV3/2021 of the CNPD dated February 10, 2021, parliamentary document N°7691/03, also see comments made by the Council of State under Article 4, page 8 of its opinion dated October 26, 2021, parliamentary document N°7691/05.

²⁸¹ See paragraphs 10 to 13, 17 to 20, 41 and 42 of deliberation n°42/AV20/2022 of the CNPD dated October 7, 2022.

²⁸² See paragraph 48 of deliberation n°42/AV20/2022 dated October 7, 2022.

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Supplementary Opinion of the National Commission for Data Protection

Regarding Government Amendments to Bill No. 7787 on the Implementation of Regulation (EU) 2017/821 of the European Parliament and of the Council of May 17, 2017, Establishing Obligations Related to Due Diligence in the Supply Chain for Union Importers of Tin, Tantalum, and Tungsten, Their Ores, and Gold from Conflict-Affected or High-Risk Areas
(Deliberation No. 44/AV22/2022 of October 7, 2022)

In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016, on the Protection of Natural Persons with regard to the Processing of Personal Data and on the Free Movement of such Data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), which is referenced in Article 7 of the Law of August 1, 2018, on the Organization of the National Commission for Data Protection and the General Data Protection Regime, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPDP") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

On May 14, 2021, the CNPDP was notified of Bill No. 7787 on the Implementation of Regulation (EU) 2017/821 of the European Parliament and of the Council of May 17, 2017, Establishing Obligations Related to Due Diligence in the Supply Chain for Union Importers of Tin, Tantalum, and Tungsten, Their Ores, and Gold from Conflict-Affected or High-Risk Areas (hereinafter referred to as the "Bill").

By letter received on July 18, 2022, Mr. Minister of Foreign and European Affairs invited the National Commission to express its opinion on the government amendments to the Bill, submitted on July 15, 2022.

It appears from the commentary on the articles that amendments Nos. 2, 3, 4, 5, 7, and 8 concerning Articles 2, 3, and 4 of the Bill aim to clarify the respective roles of the Ministry of Foreign and European Affairs, designated as the "competent authority" in the text of the Bill, on the one hand, and the Customs and Excise Administration, on the other hand. Amendments Nos. 12 and 13 concerning Article 8 of the Bill aim to specify the categories of data that would be processed by these authorities in the context of ex-post controls of supply chains, and the purposes for which they would be processed.

The CNPDP wishes to commend the submission of such amendments, which allow for a response to the issues raised.

283 Deliberation No. 19/AV15/2021 of May 14, 2021, Parliamentary Document 7787/2.

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to a number of observations it had made in its initial opinion. In particular, Article 8 of the draft law, relating to the processing of personal data, appears more complete and compliant with Article 6.3 of the GDPR following the amendments submitted by the government. The National Commission notes for all practical purposes that it is not necessary to specify each piece of data, but that the categories of data (for example: identification data, contact details) are sufficient, provided that more precise data may be stipulated by grand-ducal regulation, which can be amended more easily than a law.

Regarding amendment No. 9, relating to Article 4.5 of the draft law, it nevertheless notes a difference in wording with Article 9.2 of the draft law. Indeed, while the latter provides for the archiving of documents related to corrective measures for five years, the new Article 4.5 provides for the retention (and not archiving) of documents necessary for on-site inspections for five years. It questions whether such a distinction is desired by the authors of the draft law.

Concerning the status of joint controllers of the competent authority and the Customs and Excise Administration, defined in the first paragraph of Article 8 of the draft law, the National Commission takes the liberty of referring the authors of the draft law to the guidelines 7/2020 of the European Data Protection Board regarding the concepts of controller and processor in the GDPR. These guidelines specify, in particular, that "[...] the concepts of controller and processor are functional concepts: they aim to allocate responsibilities based on the actual roles of the parties." It is therefore important that the definition of these actors as joint controllers of processing accurately reflects the reality on the ground. The National Commission also reminds that consequently, both the competent authority and the Customs and Excise Administration will remain fully subject to the obligations applicable to controllers under the GDPR.

Thus decided in Belvaux on October 7, 2022.

The National Commission for Data Protection

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284 European Data Protection Board, guidelines 7/2020 on the concepts of controller and processor in the GDPR, version 2.0, adopted on July 7, 2021, available at https://edpb.europa.eu/system/files/2022-02/eppb_guidelines_202007_controllerprocessor_final_fr.pdf, in particular pp. 21-29.

285 Ibid, p. 10.

****Notice from the National Commission for Data Protection regarding Bill No. 7938 on Individual Housing Assistance and the Grand-Ducal Regulation Establishing the Implementation Procedures Related to Individual Housing Assistance (Deliberation No. 46/AV23/2022 of October 12, 2022)****

14. In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or "CNPDP") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures related to the protection of the rights and freedoms of natural persons concerning processing."

15. Article 36.4 of the GDPR states that "Member States consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

16. By letter dated February 8, 2022, the Minister of Housing invited the National Commission to express its opinion on Bill No. 7938 regarding individual housing assistance (hereinafter referred to as the "Bill") as well as on the Grand-Ducal Regulation establishing the implementation measures related to individual housing assistance (hereinafter referred to as the "Grand-Ducal Regulation"). By letter dated September 20, 2022, the Minister of Housing submitted to the CNPDP for its opinion the governmental amendments to the Bill and the Grand-Ducal Regulation that were approved by the Government Council in its meeting of September 15, 2022 (hereinafter referred to as the "governmental amendments").

17. It appears from the explanatory memorandum that the Bill provides for the reform of the amended law of February 25, 1979, concerning housing assistance, and more particularly of the section concerning individual housing assistance, not only updating the legislation but also introducing a series of new concepts. Furthermore, as the Bill aims to consolidate all the main texts related to individual housing assistance into a single text, it is intended to incorporate the provisions of the amended law of December 23, 2016, concerning the collection, seizure, and control of housing assistance files, with some adaptations to the text currently in force.

18. It should also be noted that the law of July 22, 2022, regarding a grant...

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of rent introduced in advance
on August 1, 2022, all adaptations
related to the rent subsidy provided
for in the bill under review. The provisions
of the law of July 22, 2022, will, however,
be repealed at the time of the entry into

force of the bill under review. The government amendments aim to take into account the observations made by the Council of State in its opinions regarding bills No. 8000 and 8000B which led to the aforementioned law of July 22, 2022.

19. This opinion will limit its observations to the issues raised by aspects related to respect for privacy and the protection of personal data contained in the bill as well as in the grand-ducal regulation draft, as amended.

Preliminary Remarks

20. The bill particularly regulates the processing of data carried out in the context of aid applications. Such processing must be based on a legal basis, in accordance with Article 6.3 of the GDPR²⁸⁶. This article provides for a specific constraint related to the lawfulness of data processing necessary for compliance with a legal obligation or for the performance of a task carried out in the public interest or in the exercise of public authority vested in the data controller. In these cases, the basis and purposes of data processing must be specifically defined either by European Union law or by the law of the Member State to which the data controller is subject.

21. Furthermore, Recital (45) of the GDPR specifies that it should “[...] be for Union law or the law of a Member State to determine the purpose of the processing. Moreover, this law could specify the general conditions of this regulation governing the lawfulness of the processing of personal data, establish the specifications aimed at determining the data controller, the type of personal data subject to processing, the data subjects, the entities to which the personal data may be communicated, the limitations of purpose, the retention period, and other measures aimed at ensuring a lawful and fair processing. [...]”.

²⁸⁶ Article 6.3 of the GDPR states that “[t]he basis for processing referred to in paragraph 1, points c) and e), is defined by:

c) Union law; or

d) the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, with regard to the processing referred to in paragraph 1, point

e), are necessary for the performance of a task carried out in the public interest or in the exercise of public authority vested in the

data controller. This legal basis may contain specific provisions to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of processing by the data controller; the types

of data that are subject to processing; the data subjects; the entities to which the personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and the

processing operations and procedures, including measures aimed at ensuring lawful and fair processing, such as those provided

in other specific processing situations as provided for in Chapter IX. Union law or the law of the Member States

serves a public interest objective and is proportionate to the legitimate objective pursued.

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Recital (41) of the GDPR states that “[w]hen this regulation refers to a legal basis or to a legislative measure, this does not necessarily mean that the adoption of a legislative act by a parliament is required, without prejudice to the obligations laid down by the constitutional order of the Member State concerned. However, this legal basis or legislative measure should be clear and precise, and its application should be foreseeable for the individuals concerned, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights.”

22. Although the draft law provides a legal basis for the processing carried out in the context of aid applications, certain points are not sufficiently specified in the text of the draft law, such as the documents and information that the Minister responsible for Housing (hereinafter referred to as the “Minister”) may require from applicants.

On Article 47 of the draft law and the draft Grand-Ducal regulation

23. Article 47 of the draft law, read in conjunction with the draft Grand-Ducal regulation, concerns the practical modalities for the submission and processing of applications for individual housing aid. It follows from these provisions that the application must be addressed to the Minister using a specific application form and must be accompanied by the documents listed in the draft Grand-Ducal regulation.

Article 47.2 of the draft law further specifies that the applicant is required, at the request of the Minister, to “provide all the information and documents necessary for the examination, management, and follow-up of their aid application, to verify whether the conditions for granting and maintaining aid are met. Failure to respond to this request within a period of three months will result in the closure of the application file.” It emerges from the commentary on the articles that following the submission of an application, the Minister may request a certain number of documents and information from the aid applicant in order to verify whether the conditions for granting the requested aid are met and to monitor whether the conditions are respected after the granting of the requested aid. The authors of the draft law further emphasize that “apart from the mandatory supporting documents listed in the aforementioned implementing regulation of the law, the applicant must obviously also provide any other document or information that may be deemed necessary and requested by the Minister to verify compliance with one or more conditions set by this law.” Thus, the Minister would be entitled to require.

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the provision of information and documents that are not listed either in the draft Grand-Ducal regulation

or in the new Article 53 of the draft law.

24. Under the principle of data minimization enshrined in Article 5.1.c) of the GDPR, personal data must be adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed. In light of the eligibility conditions provided in the draft law, the documents listed in the draft Grand-Ducal regulation appear necessary and proportionate for the processing of aid applications.

25. However, the National Commission wishes to draw the attention of the authors of the draft law to the fact that the minister will be required to process so-called "sensitive" data within the meaning of Article 9 of the GDPR, particularly in the context of applications for a grant for special accommodations that meet the needs of persons with disabilities. Indeed, such an application must be accompanied by a medical certificate attesting to the disability status of the person concerned²⁸⁸. However, Article 9.1 of the GDPR generally prohibits the processing of health-related data, except in the cases listed in Article 9.2 of the GDPR. Given that the processing appears to pursue an important public interest, namely the promotion of the autonomy of persons with disabilities, it could be based on Article 9.2.g) of the GDPR, provided that national law includes "appropriate and specific measures for the safeguarding of the fundamental rights and interests of the data subject"²⁸⁹. In this regard, the CNPD suggests that the draft Grand-Ducal regulation establish the model and content of the medical certificate to ensure that the principle of minimization is respected and that only strictly necessary data is transmitted to the minister.

26. Regarding "the necessary information and documents" that the minister may request following the submission of the application, it is regrettable that neither the text of the draft law nor the commentary on the articles provides any clarification in this regard. This is particularly concerning given that failure to respond to this request within a period of three months will result in the refusal or cessation of aid. However, the current wording of this provision is very vague and does not allow either the applicants to know what documents or information the minister may require from them, or the CNPD to assess whether the principle of data minimization is being respected.

²⁸⁸ Article 9, point 2°, of the draft Grand-Ducal regulation

²⁸⁹ Article 9.2 of the GDPR: "Paragraph 1 does not apply if one of the following conditions is met: [...] g) the processing is necessary for reasons of substantial public interest, based on Union law or the law of a Member State, which must be proportionate to the aim pursued, respect the essence of the right to data protection, and provide for appropriate and specific measures to safeguard the fundamental rights and interests of the data subject [...]."

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It follows that this provision risks being contrary to the requirement of precision and predictability, which stems from the fundamental principle of legal certainty, to which every legal text must conform under the jurisprudence of the European Court of Human Rights and the Court of Justice of the European Union²⁹⁰. The indication in the commentary on the articles that the competent administration "requests information and documents while ensuring compliance with the principles of legitimacy, purpose, necessity, proportionality, data accuracy, fairness, security, confidentiality, and transparency" is not sufficient to address these shortcomings.

27. The National Commission also questions the interaction of Article 47 of the draft law and the provisions of the draft Grand-Ducal regulation with the new Article 53 of the draft law. It will return to this point later²⁹¹.

On Chapter 6 of the Draft Law

28. Chapter 6 of the draft law entitled "Collection, seizure, and control of files related to individual housing assistance" contains provisions related to the processing of personal data carried out within the framework of the draft law.

1.

On Article 52 of the Draft Law

29. The authors of the draft law should be commended for having taken care to specify in Article 52 of the draft law that the minister is the data controller in the context of a request for assistance. Indeed,

the notion of data controller plays an important role in the application of the GDPR as it determines who is responsible for the various rules regarding data protection as well as how individuals can exercise their rights²⁹².

30. The CNPD also approves the amendments made to the draft law by the government amendments. As raised by the Council of State in its opinion dated May 20, 2022, regarding draft law No. 8000, the provisions removed by the government amendments did not add value in terms of data protection. As for the purposes that were stated in paragraph 3, the National Commission believes that they are sufficiently covered by paragraphs 1 and 2.

31. Finally, the National Commission approves the removal of the old Article 53 of the draft law. More specifically, the first paragraph of this article listed the categories of data processed, but it raised the question of

290 See also in this sense: CNPD Opinion of September 14, 2018, deliberation No. 450/2018, doc. parl. 7258/03

291 Points 22 and 23 of this opinion

292 See in this sense: European Data Protection Board (EDPB), Guidelines 07/2020 on the concepts of controller and processor in the GDPR, p. 3., available at: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-072020-concepts-controller-and-processor-gdpr_fr

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the added value of this provision, given that the categories of data were stated very broadly and that the former article 54 of the draft law as well as the draft grand-ducal regulation enumerate the personal data processed in the context of aid applications in much more detail. Furthermore, the enumeration of the categories of data was incomplete. For example, it follows from article 9, point 2°, of the draft grand-ducal regulation that data relating to a potential disability would be processed without this category of data having been mentioned in the former article 53, paragraph 1, of the draft law.

2. On the new article 53 of the draft law

32. The new article 53 of the draft law provides that the minister may request a number of bodies to transmit the data listed therein.

A. On the terminology used

33. The terms used throughout the draft law are not consistent, leading to some uncertainty regarding the practical modalities of data transmission. For example, it follows from the new article 53, paragraph 1, of the draft law that the minister receives the data, whereas the new article 54 speaks of "access to information," "access to data and information," or "data exchange."

For greater legal certainty, it would be desirable to use consistent terminology throughout the draft law and to clarify whether the minister has direct access to data held by other administrations or whether he can only request the transmission of certain data relating to the concerned individuals, that is, according to the understanding of the CNPD, the applicants and beneficiaries of aid as well as, where applicable, the members of their household.

34. It should also be noted that the list in the new article 53, paragraph 1, does not only enumerate public administrations but also mentions, in point 8° new, the credit institution in the case of a request for an interest grant. The text of the draft law should take into account any specificities related to the transmission of this data. Thus, it would not be conceivable for the minister to have direct access to data held by credit institutions.

B. On the legality basis

20. The draft law provides for an administrative simplification measure that was initially subject to the consent of the applicant. Thus, the draft law as initially submitted stipulated that, by signing a special declaration, the applicant gives his explicit consent for the minister to have access "to the information from the files and databases of other state authorities [...]". Following the opinion of the Council of State dated May 20, 2022, regarding draft law no. 8000, the amendments

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government authorities remove paragraph 1 of the former article 54 which referred to the consent of

the applicant to now base this processing on article 6.1.c) of the GDPR, which states that processing is lawful if it is necessary for compliance with a legal obligation to which the data controller is subject.

21. The National Commission welcomes this amendment. Indeed, it follows from recital (43) of the GDPR that it is unlikely that public authorities can rely on consent for the processing of personal data, since in cases where the data controller is a public authority, there is often a manifest imbalance of power between the data controller and the data subject, such that consent is not freely given. The GDPR does not entirely exclude the use of consent as a legal basis for data processing by public authorities, but there are often other legal bases more suitable for the activities of public authorities²⁹³. In this case, consent does not seem to be the appropriate legal basis to justify the minister's access to data held by other administrations, and the CNPD agrees with the opinion of the Council of State that this processing should rather be based on article 6.1.c) of the GDPR.

C. On the interaction with article 47 of the draft law and the provisions of the draft Grand-Ducal regulation

22. According to the commentary on amendment 10, the minister's access to data held by other administrations aims to "relieve applicants or beneficiaries of housing assistance from the completion of the legal administrative formalities related to an application for assistance or during the periodic reviews of a file provided for by law (administrative simplification not only for the concerned citizens but also for the public administration)." According to the understanding of the National Commission, applicants no longer need to provide the supporting documents referred to in article 47.3 of the draft law, which are more extensively listed in the draft Grand-Ducal regulation. Therefore, should these provisions not be amended or even removed?

23. Furthermore, it follows from the new article 53, paragraph 1, that the minister may request the transmission of the data listed therein "in order to verify whether the conditions for granting the requested assistance are met and to check the accuracy and authenticity of the data and documents provided by the applicant or beneficiary of the assistance." The Commission

²⁹³ See in this regard: European Data Protection Board (EDPB), Guidelines 5/2020 on consent under Regulation (EU) 2016/679 of the European Data Protection Board, points 16 et seq., available at: http://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-052020-consent-under-regulation-2016679_fr

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Nationally, it should be considered that the verification of the accuracy and authenticity of the data should only take place in the event that the applicant or the beneficiary of aid provides the required information themselves. However, the draft law provides that the minister receives the data from other state authorities, making such verification, in principle, superfluous.

D. On the categories of data

24. Paragraph 1 of the new article 53 enumerates the bodies to which the minister may request the transmission of data, as well as, for each body, the categories of data that may be transmitted. First of all, it should be noted that the draft law provides that the minister can request the transmission of data from a significant number of bodies²⁹⁴ and that the data that can be transmitted often overlaps. For example, regarding the name, first name, national identification number, and address, the minister can access data from three administrations, namely the Administration of Direct Contributions, the Common Social Security Centre, and the National Solidarity Fund, while also having the right to consult this data in the national register of natural persons. The National Commission views this proliferation of access critically, as it does not seem to be justified.

25. Furthermore, for a number of data points, it is not clear from the text of the draft law or from the commentary on the articles why it would be necessary for the minister to receive these data in the context of verifying the conditions for granting the requested aid. The National Commission recalls the importance of the principle of minimization enshrined in article 5.1.c) of the GDPR, according to which the minister may only access data that is strictly necessary for verifying the conditions for granting the requested aid. Thus, it would be useful for the authors of the draft law to specify at least within the framework of which aid(s) the minister could request the transmission of the data in question.

E. On the national register of natural persons

26. Article 53, paragraph 2, new states the following:

"The minister is entitled to receive information from the national register as defined by the amended law of June 19, 2013, relating to the identification of natural persons and the general directory as defined by the amended law of March 30, 1979, organizing the identification."

294 Namely: 1° the Administration of Direct Contributions; 2° the Cadastre and Topography Administration; 3° the Administration of Registration, Domains, and VAT; 4° the Common Social Security Centre; 5° the National Solidarity Fund; 6° the Fund for the Future of Children; 7° the National Health Fund or the Health Fund for Public Officials and Employees; 8° the credit institution; 9° the Agency for Employment Development. Furthermore, the minister is entitled to receive information from the national register of natural persons.

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digital identification of natural and legal persons to verify for an applicant or beneficiary of assistance or any other member of the household living in the accommodation the following personal data:

1° the last name and first names;

2° the national identification number;

3° the sex;

4° the date and place of birth;

5° the date of death;

6° the marital status;

7° the domicile and usual residence, mentioning the locality, street, and building number, where applicable, the order number established in execution of the amended law of March 19, 1988 on land publicity in matters of co-ownership or any additional details regarding the property in which the accommodation is located, as well as the history concerning the duration of residence or changes of residence in order to verify compliance with the conditions related to the principal and permanent residence or the occupation of the accommodation by the applicant or beneficiary of assistance."

27. Regarding the reference to the general directory as defined by the amended law of March 30, 1979 organizing the digital identification of natural and legal persons, it should be noted that under Article 45 of the amended law of June 19, 2013 relating to the identification of natural persons, the amended law of March 30, 1979 organizing the digital identification of natural and legal persons no longer applies to natural persons.

28. Concerning the national register of natural persons, as provided for by the amended law of June 19, 2013 relating to the identification of natural persons, the modalities of access and transmission are defined by the aforementioned law of June 19, 2013 as well as by the Grand-Ducal regulation of November 28, 2013 setting the modalities for the application of the law of June 19, 2013 relating to the identification of natural persons. Even though the term "communication" is used, the CNPD understands that the minister will have access to this register. This access must be carried out in accordance with the procedure provided for by the aforementioned texts²⁹⁵.

F. On the practical modalities of the transmission of data held by other administrations

29. The National Commission regrets that the explanations provided in the commentary on the articles may lead to the belief that the provisions of the new Article 54 only apply to the transmission of data as provided for in the new Article 53. However, it considers that it follows from the new Article 54.3 that the modalities provided therein, and in particular the principle of logging, also apply to processing carried out in the files held by the minister.

30. The new Article 54.1 specifies that "[a]ccess to the information and the transmission of the information and data listed in Article 53 and necessary for the processing of an assistance application takes the form of a data exchange on request triggered by the computer system or through written correspondence initiated by a case manager." In this regard, it should be noted that the term

"exchange" implies reciprocity. However, the transmission of data by other administrations is in principle unilateral. It is therefore preferable to adapt the terminology used by employing the term "communication."

31. According to the terms of the new Article 54.2, "[o]nly personal data having a direct link with the application for assistance provided for by this law may be consulted," which is in accordance with the aforementioned principle of minimization. It is, however, suggested to use the same terminology as that used in Article 55.3 of the draft law, so that Article 55.2 would take the following wording: "Any consultation may only take place for a specific reason."

32. The new Article 54.3 provides clarifications regarding the operation of the computer system. The National Commission welcomes that the draft law provides for the principle of access control to the data through logging. However, it suggests extending the retention period for logging data to five years, which also corresponds to the limitation period for offenses such as the violation of professional secrecy provided for in Article 458 of the Penal Code.

Furthermore, it regrets that the explanations provided in the commentary on the articles suggest that the provisions of the new Article 54 only apply to the transmission of data as provided for in the new Article 53. However, it follows from the new Article 54.3 that the modalities provided therein, and in particular the principle of logging, also apply to processing carried out in the files held by the minister. For all practical purposes, it should be recalled that the minister may be required to process so-called "sensitive" data that are subject to special protection under Article 9 of the GDPR and for which "appropriate and specific measures" must be provided²⁹⁶. The establishment of logging files may constitute such a measure, as well as the restriction of access.

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4. On the retention period

33. According to Article 5.1.e) of the GDPR, personal data must not be kept longer than necessary for the purposes for which they are collected and processed. Beyond that, the data must be deleted or anonymized. However, the draft law does not specify how long the data collected in the context of aid requests will be retained. Therefore, the National Commission is unable to assess whether, in this case, the principle of limited data retention is respected.

Even if the retention period does not necessarily have to be defined in the draft law, it should at a minimum specify the criteria that would be taken into account to determine what the proportionate retention period is for the personal data that would be collected by the minister. The period during which the minister may request the reimbursement of unduly received aid in the event of recalculation could serve as an indication in this regard²⁹⁷.

Thus decided in Belvaux

on October 12, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

297 Article 51.4 of the draft law

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Opinion of the National Commission for Data Protection regarding draft law No. 8012 establishing the National Institute of Languages Luxembourg and

1° amendment of the amended law of March 8, 2017 on Luxembourg nationality;
2° repeal of the amended law of May 22, 2009 establishing a) a National Institute of Languages; b) the position of Luxembourgish language teacher
(Deliberation No. 47/AV24/2022 of October 12, 2022)

In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 relating to the organization of the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Furthermore, Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or of a regulatory measure based on such a legislative proposal, which relates to processing."

In a letter dated May 13, 2022, the Minister of National Education, Childhood, and Youth invited the National Commission to express its opinion on draft law No. 8012 establishing the National Institute of Languages Luxembourg and

1° amendment of the amended law of March 8, 2017 on Luxembourg nationality; 2° repeal of the amended law of May 22, 2009 establishing a) a National Institute of Languages; b) the position of Luxembourgish language teacher (hereinafter referred to as the "draft law").

It appears from the explanatory memorandum that the draft law aims to reform the National Institute of Languages by removing missions that no longer fall within its competencies while assigning it new missions. This opinion will limit its observations to aspects related to data protection contained in the draft law.

Thus, Article 4.1 of the draft law states the following:

"A certificate of participation specifying the attendance rate is made available to each learner.

Furthermore, for individuals whose participation is mandated by a state administration under a legal or regulatory provision, the Institute transmits the certificate of participation specifying the attendance rate to the relevant state administration."

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It follows from the commentary on the articles that the second paragraph was designed to comply with the provisions regarding the protection and exchange of data of the learners concerned. The authors of the draft law cite the example of the Agency for the Development of Employment (hereinafter referred to as "ADEM") "which may, in accordance with Article L.621-3 of the Labor Code, be required to call upon other public administrations for the implementation of employment policy: the Institute thus constitutes a privileged partner for ADEM regarding language teaching."

The National Commission welcomes that the draft law expressly provides that the Institute may transmit the certificate of participation specifying the attendance rate to the administration that mandated participation under a legal or regulatory provision, thereby providing a legal basis for this data transfer.

Thus decided in Belvaux
on October 12, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Opinion of the National Commission for Data Protection regarding draft law no. 7945 transposing Directive (EU) 2019/1937 of the European Parliament and of the Council of October 23, 2019, on the protection of persons who report breaches of Union law.

(Deliberation no. 49/AV25/2022 of October 21, 2022)

In accordance with Article 57, paragraph 1, letter c) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), which is referenced in Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Furthermore, Article 36.4 of the GDPR states that "[m]ember states shall consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

By letter dated December 22, 2021, the Minister of Justice invited the National Commission to express its opinion on draft law no. 7945 transposing Directive (EU) 2019/1937 of the European Parliament and of the Council of October 23, 2019, on the protection of persons who report breaches of Union law (hereinafter referred to as the "draft law").

According to the explanatory memorandum, the purpose of the draft law is to transpose into national law Directive (EU) 2019/1937 of the European Parliament and of the Council of October 23, 2019, on the protection of persons who report breaches of Union law (hereinafter referred to as the "directive") and "to extend the material scope of the directive to all national law." According to the authors of the draft law, it aims to "establish a more clearly defined framework for reports made in cases of violations of Luxembourg law, thereby providing greater legal certainty for both whistleblowers and employers."

V. The purpose and material and personal scope of the draft law

Echoing recital (3) of the directive, the authors of the draft law believe that "violations of national law, regardless of their classification as administrative, criminal, or of another nature, can indeed seriously harm the public interest and prove detrimental to society as a whole." Thus, Article 3, 1°, of the draft law defines "violations" as "acts or omissions that a) are unlawful; or b) go against the object or purpose of the provisions of national or European law."

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"direct application, provided that the consequence is a disturbance caused to the public interest."

Article 3, 7°, of the draft law defines a whistleblower as a "natural person who reports or publicly discloses information about violations that they have obtained in the course of their professional activities," while Article 2 of the draft law defines a very broad personal scope of employment relationships that establish the "professional context" in which information can be obtained.

According to Article 1, paragraph 1, of the draft law, its "purpose is to protect whistleblowers [...] against all forms of retaliation [...]". Recital (36) of the directive explains that "it is necessary to offer specific legal protection to individuals when they obtain the information they report in the course of their professional activities and thereby expose themselves to a risk of work-related retaliation, for example, for breach of confidentiality or loyalty duties. The underlying reason for granting protection to these individuals is their position of economic vulnerability vis-à-vis the person they are de facto dependent on in their work."

Recital (36) of the directive further specifies that, according to the European legislator, "In the absence of an inherent power imbalance in the employment relationship, for example, in the case of ordinary complainants or observing citizens, it is unnecessary to provide protection against retaliation."

The CNPD understands the need for increased protection for whistleblowers of violations as defined in this draft law against retaliation. However, if the legislator deems it unnecessary to extend protection against retaliation to "ordinary complainants or observing citizens," the CNPD questions the consequences to be reserved for a report of a violation as defined in the draft law coming from a natural or legal person who does not fall within the personal scope as defined in Article 2 of the draft law.

In the absence of other more relevant means for the person wishing to make a report, the National Commission suggests extending access to the various reporting mechanisms to any person who has obtained "information about violations" as defined in this draft law, that is, about unlawful acts and omissions "or contrary to the object or purpose of the provisions of national or European law of direct application, provided that the consequence is a disturbance caused to the public interest."²⁹⁸

For example, in the specific case of the processing of information brought to the attention of the CNPD by a person who is not a "concerned person" as defined in 298 Opinion of the Centre for Equal Treatment of April 21, 2022, doc. parl. no. 7945/6, p. 1.

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the legislation on the protection of personal data, in its current state, the rules regarding professional secrecy do not allow for follow-up to be provided to this person on the measures taken following this communication of information.

The extension of the application of certain provisions of this draft law relating to access to reporting channels to any natural or legal person could provide a clearer procedural framework for addressing information related to violations for the competent authorities referred to in Article 18, notably allowing them to be informed of the outcomes reserved for a report.

Article 1, paragraph 3, of the draft law specifies that

"[t]he facts, information or documents covered by medical secrecy or the secrecy of the relationship between a lawyer and their client, by Article 11 of the General Statute for Civil Servants, as well as the rules regarding criminal procedures, are excluded from the protection regime introduced by this law, without prejudice to derogatory legal provisions."

Article 1, paragraph 4, of the draft law inserts the possibility of exemption from criminal sanctions related to a potential violation of the aforementioned professional secrets when the report is "proportionate and necessary for the safeguarding of the public interest and occurs under the conditions of this law." The National Commission notes that the three aforementioned conditions are cumulative and add to the criteria of Article 3, 1° of the draft law. However, it questions the difference between "the public interest," referred to in Article 1, paragraph 4, and "the public interest," referred to in Article 3, 1°, b) of the draft law. However, Recital (91) of the directive explains that "[l]egal obligations [...] of individuals [...] should not be invoked to prevent reporting, refuse to ensure protection or penalize whistleblowers for reporting information on violations [...]".

The question arises whether excluding "the facts, information or documents covered [...] by Article 11 of the General Statute for Civil Servants" from the scope of the draft law does not equate to generally excluding public officials from the benefit of the protection provided in the draft law and whether this does not constitute a too restrictive transposition of the directive. Similarly, the CNPD wonders whether the extension of the scope of Article 1, paragraph 3, of the draft law to the professional secrecy of accountants and auditors or to the professional secrecy enshrined in Article 13 of the amended law of December 24, 1985, establishing the General Statute for Municipal Civil Servants, would be compliant with the directive²⁹⁹.

²⁹⁹ Opinion of the Order of Accountants of January 27, 2022, doc. parl. 7945/2, p. 1; Opinion of the Institute of Company Auditors of February 23, 2022, doc. parl. no. 7945/4, pp. 1-2; Opinion of the Union of Luxembourg Cities and Municipalities of March 28, 2022, doc. parl. 7945/5, p. 2.

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The CNPD notes that, while Article 1, paragraph 4, of the draft law protects a whistleblower from criminal consequences related to the potential violation of the protected secrecy referred to in paragraph 3 necessary for making the report, said whistleblower is not protected against all forms of retaliation.

For example, it follows that Article 26 of the draft law will not be applicable to state agents when the report concerns information covered by Article 11 of the general statute for civil servants. In the commentary on the articles, referencing various provisions of said general statute, the authors of the draft law believe, regarding Article 26 of the draft law, that on the one hand "the application of disciplinary sanctions against a civil servant is strictly regulated" and on the other hand "the protection currently granted to state agents is sufficiently robust and does not require additional provisions."

The National Commission wonders whether, provided that the stricter conditions of Article 1, paragraph 4, of the draft law are met, a whistleblower should not be able to benefit from protection against all forms of retaliation on the same basis as a whistleblower who is not bound by a protected secrecy referred to in paragraph 3. Indeed, a restrictive application of the protection offered to whistleblowers could undermine the stated objectives of this draft law by discouraging individuals, particularly state agents, who are aware of violations within the meaning of the draft law from making a report for fear of retaliation.

VI. Obligation to establish internal reporting channels

Article 6 of the draft law requires "private legal entities with 50 workers or more" and public sector legal entities, except for municipalities with fewer than 10,000 inhabitants, to establish "channels and procedures for internal reporting and their follow-up," thereby transposing Article 8, paragraphs 3 and 9, of the directive.

Article 6, paragraph 7, of the draft law specifies that

"When specific rules regarding the establishment of internal reporting channels for violations are provided in the provisions referred to in Part II of the annex of Directive 2019/1937, the provisions of this article shall only apply to the extent that a matter is not mandatorily addressed by these specific provisions."

The authors of the draft explain in this regard that this "paragraph 7 [...] specifies that the special provisions concerning the establishment of internal channels, provided in Part II of the annex of the directive, particularly regarding the minimum threshold, take precedence over the general provisions of this law."

The CNPD questions whether this provision constitutes a faithful transposition of Article 8, paragraph 4, of the directive which, regarding the limit of 50 workers, provides that this "threshold [...] does not apply to entities falling within the scope of the acts of the Union referred to in the parts

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I.B and II of the annex [of the directive]. Thus, it would be appropriate to include these entities within the scope of Article 6 of the draft law, including when they have fewer than 50 workers.

The National Commission notes that, under Article 6, paragraphs 3 and 4, of the draft law, "private sector legal entities with 50 to 249 workers may share resources regarding the receipt of reports [...]" and that "reporting channels may be managed internally by a designated person or service for this purpose or provided externally by a third party [...]"

Article 8, paragraph 7, of the directive allows Member States to "require private sector legal entities with fewer than 50 workers to establish internal reporting channels and procedures" "[following] an appropriate risk assessment taking into account the nature of the entities' activities and the level of risk arising therefrom, particularly for the environment and public health," echoing Recital (48) of the directive which states that "Member States could also require other businesses to establish internal reporting channels in specific cases, for example due to significant risks that may arise from their activities."

The National Commission understands that the draft law does not intend to extend the obligation to establish a reporting mechanism to other private sector legal entities with fewer than 50 workers, as the draft law and the commentary on the articles are silent on this matter.

Certain data protection activities may pose significant risks to the rights of data subjects, including

personal data processing carried out by entities with fewer than 50 workers. The National Commission draws attention to the inherent risks of data processing that, by their nature, scope, and/or purposes, require regular and systematic large-scale monitoring of data subjects and the inherent risks of large-scale processing of special categories of data referred to in Article 9 of the GDPR or personal data related to criminal convictions and offenses referred to in Article 10 of the GDPR. For entities implementing such personal data processing in the context of their core activities, the CNPD wonders whether it would not be appropriate to require these data controllers or processors to establish internal reporting channels and procedures.

Regarding the public sector, the authors of the draft law choose to exempt municipalities with fewer than 10,000 inhabitants from the obligation to establish an internal reporting mechanism, in accordance with Article 8, paragraph 9, second subparagraph, of the directive. The CNPD regrets that, on the one hand, the draft law does not provide the possibility for municipal administrations to share reporting channels as referred to in Article 8, paragraph 9, third subparagraph of the directive and that,

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On the other hand, the obligation to establish such an internal reporting mechanism should be reserved for the thirteen municipalities with more than 10,000 inhabitants. Indeed, in terms of data protection, the National Commission notes that the functioning, missions, and data processing resulting therefrom do not fundamentally differ from one municipal administration to another, notwithstanding differences in the number of residents, and that, at least within its area of competence, the differentiation made by the draft law seems somewhat artificial and potentially contrary to the objective of the draft law under consideration. When transposing the aforementioned provision of the directive, it would be appropriate to take into account the demographic and institutional specificities of the Grand Duchy of Luxembourg compared to most other Member States of the European Union. Nearly 90% of the municipalities in Luxembourg, which encompass about half of the population, will benefit, under the current state of the draft law, from the aforementioned exception. The CNPD therefore suggests placing all municipalities on an equal footing with respect to the obligations arising from this draft law by not exercising the option left by the directive. In doing so, municipal administrations would also be in the same legal situation as other legal entities in the public sector. If the legislator intends to maintain the aforementioned exception for municipalities with fewer than 10,000 inhabitants, the CNPD wonders whether it would at least be appropriate to provide that municipal administrations with more than 50 employees have the obligation to establish an internal reporting mechanism similar to that of private legal entities. The CNPD notes in this regard that Article 8, paragraph 9, second subparagraph, of the directive provides that “[M]ember States may exempt from the obligation [to establish an internal reporting mechanism] municipalities with fewer than 10,000 inhabitants or fewer than 50 employees.”

The CNPD welcomes the fact that Article 6, paragraph 6, of the draft law allows for voluntary establishment by entities that do not have an obligation to set up such internal reporting channels. The CNPD notes that the authors have chosen not to set less stringent requirements in the draft law, but to align them with the general requirements set out in Article 7 of the draft law, whereas Recital (49) of the directive specifies that “This directive should be understood without prejudice to the possibility for Member States to encourage legal entities in the private sector with fewer than 50 employees to establish internal channels for reporting and their follow-up, in particular by setting less stringent requirements for these channels than those provided for by this directive, provided that these requirements ensure confidentiality and diligent follow-up.”

VII. The Reporting Office

Article 20, paragraph 1, of the directive provides that persons covered by the personal scope of the directive benefit, as part of “support measures,” “from complete and independent information and advice that is easily

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accessible to the public and free of charge, regarding the procedures and remedies available, the protection against retaliation, as well as the rights of the person concerned.” Paragraph 3 of the same

article of the directive further specifies that the “support measures referred to in this article may, where appropriate, be provided by an information center or a single, clearly identified independent administrative authority.”

The “comprehensive and independent information and advice” referred to in letter a) is provided by the reporting office in accordance with Article 9 of the draft law and by the competent authorities in accordance with Article 20 of the draft law.

The National Commission wonders, with regard to Article 20, point 5°, of the draft law, whether it is not superfluous to cite the “Articles 5 and 13 of Regulation (EU) 2016/679” since these provisions are directly applicable and must, in any case, be respected by a data controller. The CNPD also questions which authorities are supposed to communicate the information referred to in “Article 12 of the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security and Article 15 of Regulation (EU) 2018/1725 [of the European Parliament and of the Council of October 23, 2018, on the protection of natural persons with regard to the processing of personal data by the institutions, bodies, and agencies of the Union and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC], as applicable.”

According to the explanatory memorandum, with the creation of a “reporting office,” “[i]t is planned to introduce an instance whose mission is to inform and assist whistleblowers, for example by indicating to them which authority to contact. This instance will also have the competence to raise public awareness of the rights of whistleblowers. The responsibilities of this instance are without prejudice to the competencies exercised by the relevant sectoral authorities.” Chapter 3 of the draft law is dedicated to the aforementioned reporting office.

Article 8 of the draft law specifies that the office “is placed under the authority of the minister responsible for Justice.” The missions of the office concern information and awareness-raising, “to develop recommendations” regarding legislation on whistleblowers as well as “to inform the respective competent authorities of breaches of the obligations of Article 6.” On the other hand, the missions of the “director of the office,” distinct from those of the office in Article 13 of the draft law, consist of “monitoring compliance with the legal provisions of this law and its implementing regulations.” The information that the competent authorities are required to publish on their website in accordance with Article 20 of the draft law includes, in particular, information on the “possibility for individuals considering making a report to receive confidential advice from the office.” The CNPD believes that it will be necessary to provide for coordination between the 22 competent authorities and the reporting office in order to ensure the consistency of the information published by the 23 different actors.

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The National Commission is questioning whether the office is, within the meaning of Article 20, paragraph 3, of the directive, a “single and clearly identified independent administrative authority” or an “information center.” Furthermore, it is concerned about the guarantees of confidentiality and independence of the office, given that it is placed under the authority of the minister responsible for Justice and that the draft law is silent on its independence and does not explicitly provide for obligations related to the establishment of reporting channels and procedures ensuring the confidentiality of the information obtained, contrary to the legal entities in the private and public sectors referred to in Article 6 and the competent authorities referred to in Article 18 of the draft law. The CNPD believes that, at a minimum, the office and the mission officer should be mentioned in Article 22 of the draft law. It would also be conceivable to impose on the office obligations comparable to those arising from Articles 19 and 20 of the draft law regarding individuals considering making a report.

The CNPD then questions the powers of the director in "monitoring compliance with the legal provisions of this law" and of the office in carrying out its missions, while the draft law is silent on any investigative powers of the office and the director. It also wonders what "implementing regulations" are referred to in Article 13 of the draft law.

VIII. Other Support Measures

Article 20, paragraph 1, of the directive provides that the authors of reports "benefit, where appropriate, from support measures, including the following measures:

- a) complete and independent information and advice, which are easily accessible to the public and free of charge, on the procedures and remedies available, on protection against retaliation, as well as on the rights of the concerned person;
- b) effective assistance from the competent authorities before any relevant authority associated with their protection against retaliation, including, where national law provides, certification that they benefit from the protection provided by this directive; and
- c) legal assistance in the context of cross-border criminal and civil proceedings in accordance with Directive (UE) 2016/1919 and Directive 2008/52/EC of the European Parliament and of the Council (48) and, in accordance with national law, legal assistance in the context of other proceedings as well as legal advice or any other legal assistance."

The CNPD is questioning how the competent authorities are supposed to provide "effective assistance [to the authors of reports] before any relevant authority associated with their protection against retaliation, including, where national law provides, certification that they benefit from the protection provided by this directive." Indeed, the missions and obligations of the competent authorities referred to in Article 19 of the draft law do not include the provision of such effective assistance. Certainly, the reporting office has the mission to "help

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in its approach, any person wishing to make an internal or external report, notably by specifying the procedures to follow," but it should be noted that the office is not a competent authority and to clarify whether "assistance in their approach" equates to "effective assistance before any relevant authority." It therefore seems that this support measure has not been adequately transposed in the draft law under analysis.

In the context of providing effective assistance to a whistleblower, the National Commission wonders whether the draft law should not provide for the possibility for the competent authorities to issue a "certification of the fact [that the whistleblowers]

benefit from the protection provided," as referred to in Article 20 of the directive, when such certification is crucial for the defense of a whistleblower's rights.

The CNPD notes that Article 26 of the draft law provides that "the person concerned may request within fifteen days following the notification of the measure, by simple request to the competent jurisdiction, to declare the measure null and to order its cessation." The CNPD questions whether this provision, coupled with the general provisions relating to legal assistance and the reception and legal information service before the courts, is sufficient to ensure a compliant transposition of Article 20, paragraph 1, letter c), of the directive, or whether it would be more appropriate to explicitly provide in the missions of the office the possibility of providing "legal assistance in the context of other procedures as well as legal advice or any other legal assistance" to whistleblowers.

IX. The choice between internal and external reporting channels

Article 5 of the draft law provides that whistleblowers "should first resort to internal reporting, when it is possible to effectively remedy the violation internally and they believe there is no risk of retaliation." The authors of the draft law specify that "whistleblowers should prioritize internal reporting, unless there are elements of contradiction [...]". Indeed, Article 7, paragraph 2, of the directive, transposed by Article 5 of the draft law, provides that "Member States encourage reporting through internal reporting channels before reporting through external reporting channels." According to the commentary on the articles, Article 16 of the draft law "reiterates the principle that a report can be directly made internally or through a competent authority."

The CNPD wonders whether a whistleblower resorting to external reporting must demonstrate the existence of the "elements of contradiction" referred to in Article 5 of the draft law. Furthermore, the question arises as to whether the legal entity referred to by the report could hold the whistleblower civilly liable, arguing that it would have been possible "to effectively remedy the violation internally" and that there was no

"risk of retaliation." The CNPD suggests leaving it to the competent authorities to assess external reports.

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regarding the conditions set out in Article 5 of the draft law and to open up the possibility, in the absence of conflicting elements, to transmit the report, if necessary anonymized, to the entity concerned so that it can remedy the violation internally, while excluding any measures of retaliation or recourse against the author of the report.

The National Commission agrees with the Competition Council, which states in its opinion that the "draft under review must avoid prioritizing reporting channels"³⁰⁰.

X. External Reports and the Role of Competent Authorities

Chapter 4 of the draft law concerns the designation of competent authorities to receive external reports through "independent and autonomous external reporting channels for the receipt and processing of information on violations."

Article 18 of the draft law exhaustively identifies the 22 competent authorities. The CNPD notes the heterogeneous nature of the competent authorities and questions the delineation of "their respective missions and competencies" among these competent authorities³⁰¹, particularly regarding the oversight of the establishment of internal reporting channels and procedures. Institutional differences, whether under the legal and procedural framework or in terms of available resources, risk leading to substantial disparities in oversight and follow-up of reports depending on the competent authority. Article 11, paragraph 1, of the directive provides, among other things, that member states "provide sufficient resources to these authorities."

It will be necessary to analyze, no later than during the review of procedures by the competent authorities referred to in Article 21 of the draft law, whether the competent authorities have sufficient resources to carry out their missions under this draft law, taking into account the number of reports received and the means necessary to ensure diligent follow-up of reports as defined in Article 19 of the draft law. Furthermore, it should be noted that the establishment of reporting channels requires technical and human resources which, depending on the entity in question, may generate significant budgetary needs and needs for recruitment or training from the entry into force of this draft law. The CNPD wonders whether it is appropriate for each competent authority to be individually responsible for developing an external reporting channel, at the risk of seeing divergences in the interpretation and implementation of the provisions of this draft law emerge to the detriment of the trust placed by potential whistleblowers in the external reporting channels established by the competent authorities.

³⁰⁰ Opinion of the Competition Council No. 2022-AV-03 of June 1, 2022, parliamentary document No. 7945/08, p. 12.

³⁰¹ See also Opinion of the Center for Equal Treatment of April 21, 2022, parliamentary document No. 7945/6, p. 3.

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The CNPD deems it necessary to provide at a minimum for coordination between the 22 competent authorities and the reporting office to ensure the coherence of recommendations and standards applicable to external and internal reporting channels, particularly regarding state-of-the-art security measures. The CNPD wonders whether it would be appropriate to designate, in the draft law, an entity responsible for providing an adequate technical solution to the competent authorities and public sector entities that request it, for example, the State Information Technology Center.

In general, the competent authorities must ensure to incorporate the powers, particularly the powers of sanctions, arising from this draft law into their respective institutional and procedural frameworks, notably by ensuring compliance with the requirements for procedural guarantees as defined in Article 6, paragraph 1, of the Convention for the Protection of Human Rights and Fundamental Freedoms. The National Commission also notes that no authority holds a subsidiary competence for cases where the violation does not fall within the jurisdiction of any specifically listed competent authority.

Furthermore, there is the question of the protection of whistleblowers in the event of reporting to a

public authority not designated in Article 18 of the draft law, as highlighted by the Medical College in its opinion. The CNPD questions whether it would be appropriate to provide, for one of the competent authorities, a subsidiary competence and to create an obligation for the administrations and public establishments of the State and municipalities to forward an external report to a competent authority while ensuring, as far as possible, the confidentiality of the identity of the reporting individual. However, it notes that in the current state of the draft law, the reporting office does not seem adequate to fulfill this role, in the absence of guarantees of independence and impartiality embedded in the draft law.

1.

The oversight of the establishment of internal reporting channels and procedures by the competent authorities

Regarding the oversight of the establishment of internal reporting channels and procedures, Article 6, paragraph 8, of the draft law specifies that “[t]he competent authorities verify, with the legal entities in the private sector falling within their respective areas of competence, the establishment of internal reporting channels.”

The National Commission notes that legal entities in the private sector may fall within the jurisdiction of several competent authorities and thus questions how these authorities are supposed to coordinate in organizing the verifications referred to in Article 6, paragraph 8.

302 Opinion of the Medical College dated January 19, 2022, parliamentary document no. 7945/1, p. 3. 306 307

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8, aforementioned³⁰³. While some competent authorities have missions related to a specific sector of activity or certain legal entities under private law, other competent authorities possess transversal competencies, verifying compliance with legal obligations that apply to a large number of entities and all sectors of activity. Thus, the provisions regarding the protection of personal data apply indiscriminately to the entity or sector concerned as soon as data processing is implemented.

Furthermore, the establishment of internal reporting channels and procedures necessarily involves the processing of personal data that falls under the general missions of the CNPD, outside the competencies assigned based on the draft law. The National Commission therefore suggests providing at a minimum a clear mechanism for competent authorities to coordinate their monitoring activities of reporting channels or to designate a single competent authority to carry out these controls, regardless of the sector of activity or its area of competence.

Article 7, paragraph 3, of the draft law provides that “[i]n the event of non-compliance with the provisions of Article 6 and [Article 7] by legal entities in the private sector, the competent authorities, in the absence of special rules provided in sectoral laws, may impose an administrative fine of 1,500 euros to 250,000 euros on the legal entity in the private sector.”

The National Commission regrets that competent authorities do not have the power to verify with public sector legal entities within their area of competence the establishment of internal reporting channels and that the draft law does not provide for sanctions for these entities in the event of non-compliance with the provisions regarding the establishment of such channels and procedures. The CNPD supports the proposal of the Competition Council in its opinion to “also extend to legal entities under public law [...] the possibility [...] of imposing administrative fines to avoid any form of discrimination”³⁰⁴.

The sanctions provided for in Article 7, paragraph 3, of the draft law apply “in the absence of special rules provided in sectoral laws,” namely, according to the understanding of the CNPD, the sectoral laws in the sense of Article 1, paragraph 6, of the draft law providing for a specific reporting mechanism for violations. The sanctions provided for in Article 18, paragraph 3, of the draft law may be imposed “without prejudice to special provisions.”

2. Cooperation between an entity subject to a report and the competent authorities

Article 18, paragraph 2, of the draft law provides that, “[i]n the exercise of their respective missions, the competent authorities may request, in writing or ³⁰³ As also raised in the Opinion of the Institute of Company Auditors dated February 23, 2022, doc. parl. no. 7945/4, p. 2,

³⁰⁴ Opinion of the Competition Council No. 2022-AV-03 dated June 1, 2022, doc. parl. no. 7945/8, p. 11.

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orally, to the entity concerned by the report or in case of failure to comply with the obligations of Articles 6 and 7, the communication of all information they deem necessary, within the limits of the scope of Article 1 and ensuring the confidentiality of the identity of the author of the report.”

Article 18, paragraph 3, then provides that

“[w]ithout prejudice to special provisions, the competent authorities may

impose an administrative fine

against individuals and legal entities of private law:

1° who obstruct or attempt to obstruct a report;

2° who refuse to provide the information required in paragraph 2, or provide incomplete or false information;

3° who violate the confidentiality enjoyed by the authors of reports;

4° who refuse to remedy the identified violation.

The CNPD regrets that legal entities in the public sector are excluded from the sanctions provided for in Article 18, paragraph 3, of the draft law in case of violations referred to in this article.

Just as the absence of oversight and sanctions related to the establishment of internal reporting channels and procedures, the absence of effective means available to the competent authorities for violations referred to in the aforementioned provision risks compromising the effectiveness of the implementation of this draft law and potentially reduces the trust placed by the individuals concerned in the reporting channels established by the legal entities of the public sector and thus risks reducing the effectiveness of this draft law.

However, the CNPD believes that the missions and powers of the CNPD arising from the GDPR and related national legislation remain fully applicable, including the provisions regarding sanctions and corrective measures, including with respect to legal entities in the public sector when violations of the provisions of this draft law also constitute potential violations of the GDPR or other provisions regarding the protection of personal data, such as when these violations risk leading to a loss of confidentiality concerning the authors of reports or third parties mentioned in a report or when the data controller does not cooperate with the CNPD.

3. Cooperation and transmission of reports between competent authorities

Article 19 of the draft law specifies in paragraph 2 that “[t]he competent authorities that receive a report that does not fall under their scope of competence shall confidentially and securely transmit the report to the competent authority within a reasonable time. [...]” and in paragraph 3, point 5 that the competent authorities are “obliged [...] to timely transmit the information contained in the report to the relevant institutions, bodies, or agencies of the European Union.”

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The question arises whether it should be considered to provide the possibility of transmitting to a designated competent authority in another Member State in order to report cases of violations that have a cross-border dimension. Indeed, as an illustration, in the area of personal data protection, it is common for a data controller or the processor established in one Member State to have substantial activities in other Member States, particularly for activities related to the information society, in which whistleblowers may be led to contact competent authorities as defined by the directive. Even though the GDPR provides for mechanisms of cooperation, particularly for the handling of complaints, it would be preferable to foresee the possibility of transmission and cooperation with the competent authorities of other Member States of the European Union.

The commentary on the articles is silent regarding the concrete modalities of the transmission of reports between two competent authorities or to entities of the European Union. First, it is up to each competent authority to know the scope of competence of other competent authorities to determine to which authority to transmit the report³⁰⁵. Then, the competent authorities must agree on modalities for confidential and secure transmission. In order to facilitate this transmission, the reporting office could be tasked with establishing a secure platform for the competent authorities that allows for computerized exchange of reports between competent authorities³⁰⁶.

Article 19, paragraph 9, of the draft law provides that “[i]nsofar as necessary for the performance of their respective missions under this law, the competent authorities cooperate and assist each other,” without specifying how the cooperation and mutual assistance between competent authorities will be structured. In the absence of further clarifications from the draft law under consideration, the CNPD notes that it is up to each competent authority to determine these points based on the applicable institutional and procedural provisions. Thus, for example, with regard to the provisions concerning professional secrecy arising from the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection, the National Commission must first verify whether the competent authority “[falls] under an equivalent professional secrecy” as per Article 458 of the Penal Code before being able to transmit confidential information.

In this regard, it would be interesting to provide in this draft law the possibility of conducting joint investigations on reports relating to the areas of competence of two or more competent authorities. However, it should be noted that

305 Opinion of the Centre for Equal Treatment dated April 21, 2022, parl. doc. No. 7945/6, p. 2.

306 Opinion of the Union of Luxembourg Cities and Municipalities dated March 28, 2022, parl. doc. 7945/5, p. 4.

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the institutional differences between the 22
designated competent authorities may

potentially create difficulties in the investigation procedures.

Article 19, paragraph 6, of the draft law provides that the "competent authorities designate the staff members responsible for handling reports" and that these staff members "receive specific training for the handling of reports, aimed in particular at ensuring the confidentiality of the person making a report." Recital (74) of the directive specifies that staff members should "be professionally trained, including regarding the applicable data protection rules, to handle reports [...]".

The commentary on the articles does not address the organizational modalities of this specific training, nor the body that could be tasked with providing it. Therefore, the competent authorities must ensure they organize this training themselves. The CNPD suggests that the reporting office could be tasked with proposing adequate training to the competent authorities, possibly in collaboration with the National Institute of Public Administration. Within the limits of its missions and powers and the available resources, the National Commission could potentially contribute to training modules related to data protection.

XI. Channels and procedures for internal and external reporting

Article 7, paragraphs 1 and 2, of the draft law concerns the minimum elements that the internal reporting channels and procedures and follow-up must respect. Article 17 of the draft law addresses the design of external reporting channels.

1.

Anonymous reports

The National Commission notes that Articles 6 and 9 of the directive allow Member States to include anonymous reports. This possibility is described in Recital (34) which states that "[w]ithout prejudice to existing obligations requiring the provision for anonymous reporting under Union law, it should be possible for Member States to decide whether the legal entities in the private and public sectors and the competent authorities should or should not accept anonymous reports of violations that fall within the scope of this directive and act on them." The draft law

does not explicitly clarify whether the legal entities referred to in Article 7 of the draft law or the competent authorities are supposed to follow up on anonymous reports. Thus, Article 7 of the draft law provides that legal entities must follow up on "reports where the author is identified or identifiable." Article 19, paragraph 3, point 2, of the draft law requires the competent authorities "to ensure diligent follow-up of reports," without being restricted to reports where the author is identified or identifiable. The National Commission wonders whether it would not be appropriate to explicitly provide for the obligation to ensure adequate follow-up of anonymous internal and external reports, especially since under Article 4, paragraph 2, of the draft law, "persons who have reported or disclosed information on

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violations anonymously, but which are subsequently identified and subject to retaliation, still benefit from the protection provided by this law."

2. Security Measures

The internal and external reporting channels are primarily intended to be used by individuals as whistleblowers and consequently result ipso facto in the processing of personal data.

The CNPD welcomes the definition of these minimum requirements for internal and external reporting channels in Articles 7 and 17 of the draft law and reminds that these must also be read in conjunction with the provisions arising from the GDPR, and in particular Article 32 of the GDPR relating to the security of processing, which requires that

"Taking into account the state of the art, the costs of implementation, and the nature, scope, context, and purposes of the processing as well as the risks, which vary in probability and severity, to the rights and freedoms of natural persons, the controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk, including, among other things, as necessary:

- a. the pseudonymization and encryption of personal data;
- b. means to ensure the ongoing confidentiality, integrity, availability, and resilience of processing systems and services;
- c. means to restore the availability and access to personal data in a timely manner in the event of a physical or technical incident;
- d. a procedure for regularly testing, assessing, and evaluating the effectiveness of technical and organizational measures to ensure the security of processing. [...]"

Given the risk to the rights and freedoms of whistleblowers as well as third parties mentioned in the report, it seems pertinent to consider for the relevant data controllers to provide for the pseudonymization and encryption of personal data when this is possible and necessary, taking into account organizational and technical constraints, in the context of data processing by authorized staff members. The CNPD also deems it necessary to establish a logging system, which can thus contribute to compliance with the obligation to secure any processing of personal data, in accordance with Articles 5 and 32 of the GDPR.

3. Duty of Confidentiality

Article 22 of the draft law then introduces an ex ante protection measure, which aims to preserve the confidentiality of the identity of the whistleblower regarding "any person other than the authorized staff members competent to receive reports or to follow up on them." The prohibition on disclosure also

applies to "any other information from which the identity of the whistleblower can be inferred."

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of the report can be directly or indirectly inferred.

To ensure the follow-up of reports, it seems necessary to communicate information about the content of a report to other members of the staff of the legal entity. However, in general, and in accordance with Article 22, paragraph 1, of the draft law, the CNPD recommends that the person or service receiving the report anonymize said report before transmitting it to other staff members, particularly the identity of the person making the report and, as far as possible in the context of the investigation of the report, the third parties mentioned in the report.

In this regard, the CNPD refers to Recital (26) of the GDPR which states that "[...] [t]o determine whether a natural person is identifiable, all means reasonably likely to be used by the data controller or by any other person to identify the natural person directly or indirectly, such as targeting, should be taken into account. To establish whether means are reasonably likely to be used to identify a natural person, all objective factors should be considered, such as the cost of identification and the time necessary for it, taking into account the technologies available at the time of processing and their evolution [...]"

The "Article 29" working group, in its Opinion No. 5/2014 on anonymization techniques, explains that "anonymization is the result of processing personal data in such a way as to prevent, irreversibly, any identification. In doing so, data controllers must take into account several elements, considering all means 'reasonably likely to be implemented' for identification purposes".

Thus, the CNPD emphasizes that it is important that the choice of anonymization techniques is made based on a case-by-case analysis taking into account the context of the data, while ensuring that the data is effectively anonymized. It is necessary to consider, in the anonymization measures, the professional relationship that generally links the person making the report to the legal entity receiving or targeted by the report. Depending on the size and structure of the legal entity, relevant contextual elements must be taken into account, and the probability as well as the severity of the risk, including the risk of re-identification, must be assessed.

Apart from intentional disclosure by the concerned person, the identity of the person making the report may be disclosed based on the "express consent of that person".

Then, in application of Article 22, paragraph 2, of the draft law, "when it is a necessary and proportionate obligation imposed by national or European law of direct application in the context of investigations conducted by national authorities or in the context of

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judicial procedures, particularly in order to safeguard the rights of the defense of the person concerned," the identity may be disclosed, whereas Article 22, paragraph 3, of the draft law provides that such "disclosures [...] are subject to appropriate safeguards."

Without specifics in the commentary on the articles, the National Commission understands that this exception to the principle of confidentiality applies only to competent authorities and other national authorities, including courts, excluding entities receiving internal reports. Moreover, Article 18, paragraph 3, of the draft law allows for sanctions against breaches of the confidentiality of the identity of the reporting person.

The CNPD regrets that neither the draft law nor the commentary on the articles specifies which provisions of national or directly applicable European law are referred to and what "appropriate safeguards" the disclosures must be subject to.

Without further details in the draft law, the National Commission considers that the data controllers must determine the recipients of the information in the event of disclosure, prioritizing transmission to a limited group of recipients and accompanying the transmission with guarantees to be provided by the recipients to best preserve the identity of the reporting person. When broader disclosure is necessary and proportionate, the data controllers should consider the feasibility of pseudonymizing the information.

Article 22, paragraph 3, of the draft law specifies that "reporting persons are informed before their

identity is disclosed, unless such information risks compromising the investigations or judicial procedures concerned," and that when a competent authority "informs reporting persons, the competent authority provides them with a written explanation of the reasons for the disclosure of the relevant confidential data."

Among appropriate safeguards, the CNPD believes that competent authorities should establish in the applicable procedural rules the grounds that may justify the disclosure of confidential data, for example, because such disclosure is essential for the investigation of the report. The CNPD questions whether national authorities, including judicial authorities, should also justify their decision to disclose the identity of a reporting person, whereas the provision under analysis is limited to "competent authorities" as defined in the draft law under consideration.

In the absence of specific provisions protecting the identity of other concerned persons, the CNPD reminds that the general provisions arising from the GDPR may apply and may require data controllers to take measures to preserve their identity as much as possible.

The National Commission wonders whether it would be appropriate to provide in

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the present draft law that individuals who are aware of the identity of the author of a report shall be bound by professional secrecy and subject to the penalties provided for in Article 458 of the Penal Code in the event of a breach of this secrecy. This would also facilitate, as already mentioned above, cooperation between competent authorities when a report falls within the scope of competence of more than one competent authority.

The CNPD believes that it would be necessary, to ensure the confidentiality of the author of the report, to provide for a proportional limitation of the right of access and the right to information of the persons concerned as defined in Article 23 of the GDPR and refers to the guidelines 10/2020 on restrictions under Article 23 of the GDPR, adopted by the European Data Protection Board on 13 October 2021. In this regard, it refers to recital (84) of the directive which states that:

"The procedures provided for in this directive regarding the follow-up of reports of violations of Union law in areas falling within the scope of this directive serve an important objective of general public interest of the Union and the Member States, within the meaning of Article 23, paragraph 1, point e), of Regulation (EU) 2016/679, as they aim to strengthen the enforcement of Union law and policies in specific areas where violations may seriously undermine the public interest. The effective protection of the confidentiality of the identity of reporting persons is necessary for the protection of the rights and freedoms of

others, in particular those of reporting persons, as provided for in Article 23, paragraph 1, point i), of Regulation (EU) 2016/679. Member States should ensure that this directive is effective, including, where necessary, by limiting, through legislative measures, the exercise of certain rights related to the data protection of the persons concerned in accordance with Article 23, paragraph 1, points e) and i), and Article 23, paragraph 2, of Regulation (EU) 2016/679, to the extent and for the duration necessary to prevent and thwart attempts to obstruct reports or to hinder the follow-up of these reports, to thwart this follow-up or slow it down, particularly with regard to investigations, or attempts to discover the identity of reporting persons.”

The exercise of the rights of the persons concerned conferred by the GDPR is at the heart of the right to the protection of personal data and any limitation must respect the requirements of Article 23 of the GDPR, to be interpreted in light of Article 52, paragraph 1, of the Charter of Fundamental Rights of the European Union which states that “Any limitation on the exercise of the rights and freedoms recognized by this Charter must be provided for by law and respect the essential content of those rights and freedoms. In compliance with the principle of proportionality, limitations may be made only if they are necessary and genuinely meet objectives of general interest recognized by the Union or the need to protect the rights and freedoms of others.”

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Article 23 of the GDPR reads as follows:

“1. The law of the Union or the law of the Member State [...] may, by means of legislative measures, limit the scope of the obligations and rights provided for in Articles 12 to 22 [...] as well as in Article 5 insofar as the provisions of the law in question correspond to the rights and obligations provided for in Articles 12 to 22, when such limitation respects the essence of fundamental freedoms and rights and constitutes a necessary and proportionate measure in a democratic society to guarantee:

[...]

e) Other important objectives of general public interest of the Union or of a Member State [...],

[...]

i) the protection of the data subject or the rights and freedoms of others;

In particular, any legislative measure referred to in paragraph 1 shall contain specific provisions relating, at least where applicable, to:

a) the purposes of the processing or categories of processing;

b) the categories of personal data;

c) the extent of the limitations introduced;

- d) the safeguards intended to prevent abuse or unlawful access or transfer;
- e) the identification of the data controller or categories of data controllers;
- f) the retention periods and applicable safeguards, taking into account the nature, scope, and purposes of the processing or categories of processing;
- g) the risks to the rights and freedoms of data subjects; and
- h) the right of data subjects to be informed of the limitation, unless this risks undermining the purpose of the limitation.”

In light of the objective of the bill under consideration aimed at protecting the author of a report, particularly through the confidentiality of their identity, and given that exceptions to the exercise of the right to data protection must be interpreted restrictively, the National Commission therefore considers that the bill should include a provision allowing for the limitation of the exercise of the rights conferred by the GDPR insofar as this is necessary to preserve the identity of the author of the report and to enable the effective handling of a report. It should be noted that these restrictions should be lifted as soon as the elements justifying the limitation are no longer relevant, such as when the identity of the author of the report has been made public or when the handling of a report is concluded.

4. Processing of personal data

Article 23, paragraph 1, of the bill specifies that “any processing of data carried out under this law [...] is carried out in accordance with the [GDPR] and the law of August 1, 2018, on the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security” (hereinafter the “law of August 1, 2018, on data processing in criminal matters”).

The CNPD is

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requests which competent authority, within the meaning of this draft law, is subject, for the data processing carried out under the draft law, to the law of August 1, 2018, relating to data processing in criminal matters. Besides the fact that it does not mention the material provisions of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on the protection of data and other potentially applicable legislative acts, particularly regarding electronic communications, the National Commission questions whether the reference to these legislations is not in itself superfluous, as the rules of the GDPR and other provisions regarding the protection of personal data must be respected in any case without this needing to be provided for by a legal provision.

The National Commission positively notes that Article 23, paragraph 2, of the draft law recalls that “personal data that are manifestly not relevant to the processing of a specific report are not collected or, if they have been accidentally collected, are deleted without undue delay,” even if it may be considered that this paragraph actually reflects the principle of minimization as directly applicable through Article 5 of the GDPR to any processing of personal data. Data controllers should establish procedures that allow for the identification of personal data upon receipt of a report and an analysis grid to judge whether a data point is relevant to the processing of a report. This approach could also contribute to pseudonymization and prepare for the anonymization of reports, for entities for which either technique constitutes one of the technical and organizational measures to be implemented to ensure data confidentiality.

Article 23, paragraph 3, of the draft law provides that “[l]egal entities under private and public law and the competent authorities archive all reports received in compliance with the confidentiality requirements set out in Article 22. Reports are not retained longer than necessary and proportionate to comply with the requirements imposed by this law or other requirements imposed by national or European law of direct application.” The commentary on the articles, reiterating the terms of recital (86) of the directive, indicates that “[r]eports of violations must be properly archived, so that each report is recoverable and that the information received through the reports can be used as evidence in actions aimed at law enforcement, where applicable.”

First, the CNPD recalls that the archiving referred to in this provision is to be differentiated from “archiving in the public interest” as defined by the law of August 17, 2018, relating to archiving, and cannot, by itself, justify permanent storage (i.e., without a deletion date) of reports. Moreover,

regarding the title of Article 18 of the directive referring to the “archiving of reports,” the German version of the directive refers to “Dokumentation der Meldungen” and the English version to “record keeping of the reports.” However, the National Commission

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considers that the provision under review is drafted too vaguely and therefore does not meet the requirements of clarity, precision, and predictability regarding a legislative provision, in that it does not allow for the assessment of compliance with the principle of data retention limitation as derived from Article 5, paragraph 1, letter e), of the GDPR.

The CNPD notes that, in the absence of clarifications in the draft law, it is up to each data controller to define the criteria relating to the duration of retention of reports based on the severity of the alleged violation and the available remedies for taking further action to “enforce the law.” In particular, limitation periods can provide important indications for determining retention durations.

The National Commission also questions whether, after processing a report, the data controller should, in principle, anonymize or at least pseudonymize the report in order to protect the identity of the reporting person and possibly the identity of third parties mentioned in the report, provided that this information contained in the report is not necessary to be used as “evidence in actions aimed at enforcing the law.”

Article 23, paragraphs 3 to 6, of the draft law faithfully transposes Article 17 of the directive. Article 23, paragraph 4, of the draft law provides the rules to be followed “[w]hen a recorded telephone line or another recorded voicemail system is used.” This provision creates a specific legal framework for these recordings, in addition to the amended law of May 30, 2005, concerning the protection of privacy in the electronic communications sector. Like Article 4, paragraph 2, of the aforementioned law of May 30, 2005, the draft law under consideration conditions the recording of the telephone call on obtaining the consent of the person concerned. Article 23, paragraph 6, of the draft law provides that “[l]egal entities in the private and public sectors and the competent authorities have the right to record the meeting in one of the following forms: 1° a recording of the conversation in a durable and retrievable form 2° an accurate record of the meeting, established by the staff members responsible for processing the report” and that these “[c]omplete and accurate records of the meeting shall be kept in a durable and retrievable form” “with the consent of the reporting person.” In the absence of a recording of the telephone call, Article 23, paragraph 5, of the draft law establishes “the right to record the oral report in the form of an accurate record of the conversation established by the staff member responsible for processing the report.” Similarly, during a meeting between the reporting person and the competent staff members, Article 23, paragraph 6, conditions the establishment and retention of “[c]omplete and accurate records of the meeting [...] kept in a durable and retrievable form” on obtaining the consent of the reporting person. In both cases, “the reporting person [has] the opportunity to verify, correct, and approve the record of the meeting.”

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by affixing its signature.” In all cases, the CNPD reminds of the requirements regarding the right to information, stemming in particular from Article 13 of the GDPR. Otherwise, these provisions do not call for any particular observations.

XII. Protection of Whistleblowers

Article 2 of the draft law regarding the personal scope states that “this law applies to whistleblowers working in the private or public sector [...]” and the authors of the draft law specify in the commentary on the articles that “civil servants and state employees” are also persons covered by this provision. The CNPD understands that it is appropriate to adopt a broad interpretation of the definition of the persons concerned by the draft law and thus also includes, by extension, “civil servants and municipal employees.”

Articles 25 to 27 of the draft law establish the principle of “prohibition of retaliation” against whistleblowers, establish a “legal remedy against the retaliatory measures suffered by the whistleblower,” and define “protection measures against retaliation.” Overall, these provisions

constitute the transposition of Articles 19 and 21 of the directive and do not call for any particular observations.

In the commentary on the articles, the authors indicate that "the procedure envisaged [in Article 26 of the draft law] is inspired by that established under the law of February 13, 2011, on the fight against corruption," which notably introduces Article L.271-1 of the Labor Code that refers persons affected by retaliatory measures in matters of corruption to "the president of the labor court who rules urgently." Article 26 of the draft law provides, on the one hand, that most retaliatory measures are "null and void by operation of law" and on the other hand that the "person concerned may request [...] by simple application to the competent court to declare the measure null and to order its cessation." The National Commission notes that neither Article 26, paragraph 2 of the draft law, nor the commentary on the articles specifies which "competent court" it refers to, particularly when the person concerned is someone working in the public sector.

The aforementioned law of February 13, 2011 introduces specific provisions in the general status of state civil servants and in the general status of municipal civil servants regarding the prohibition of retaliatory measures in matters of corruption and discrimination in the workplace. In particular, said law amends Article 44bis of the general status of state civil servants, which now provides, in matters of corruption and discrimination, that "no civil servant may be subject to retaliation either for having reported acts defined in Articles 1bis and 1ter [...] or in Articles 245 to 252, 310, and 310-1 of the Penal Code, or for having reported them."

The authors of the draft law explain in the commentary on Article 26 of the draft law that "the legal protection currently granted to state agents

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is sufficiently detailed and does not require additional provisions," indicating in particular that "the application of disciplinary sanctions against a civil servant is strictly governed by the general statute." The authors of the draft law also refer to the provisions that confer protection to civil servants in accordance with Article 31 of the Constitution. Thus, they rely on Articles 4, paragraph 5, 44bis, and 9, paragraph 4, of the general statute of state civil servants, which protect agents working under this statute, particularly in cases of reporting "faulty behaviors," acts or behaviors contrary to the principle of equal treatment, or contrary to the applicable rules regarding corruption. Similarly, they refer to Article 23, paragraph 2, of the Code of Criminal Procedure, which imposes an obligation on public agents to inform the public prosecutor of "facts that may constitute a crime or an offense [...]" notwithstanding any rule of confidentiality or professional secrecy."

However, it seems that Article 44bis of the general statute, in its current wording, does not explicitly protect the public agent from disciplinary sanctions in the event of reporting under this draft law. Article 9, paragraph 4, of the general statute of civil servants establishes an obligation to "make known one's opinion to the superior" when "the order received is tainted with irregularity, or its execution may lead to serious disadvantages" and the procedure to follow to refuse or execute the direct order. However, this provision does not concern the reporting of facts that the civil servant may have become aware of outside of a direct order and therefore does not expressly protect them from retaliation related to a potential report. Furthermore, the confidentiality of the identity of the reporting individual is clearly not respected when the public agent must follow this provision of the general statute. Additionally, Article 23, paragraph 2, of the Code of Criminal Procedure, reserved for the reporting of crimes or offenses, does not cover the entire material scope of this draft law, which also includes facts contrary to European and Luxembourg legislation that do not constitute a crime or offense, and cannot replace the internal and external reporting channels and procedures provided for in this draft law.

Moreover, the National Commission refers to the developments above concerning the material scope provided in Article 1, paragraph 3 of the draft law, which excludes "facts, information, or documents covered [...] by Article 11 of the general statute [...] from the protection regime introduced by this law, without prejudice to derogatory legal provisions" and questions whether these limitations, together with the absence of express guarantees in the aforementioned statutes, do not excessively restrict the

scope of protection for whistleblowers regarding individuals working in the public sector.

Thus, even if Article 25, read together with Article 2 of the draft law, would apply to individuals working in the public sector, the National Commission wonders whether it would not have been appropriate to introduce, similar to the aforementioned law of February 13, 2011, similar provisions in the two aforementioned general statutes protecting

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public agents from retaliatory measures

when they acquire the status of whistleblower as defined in this draft law. Therefore, for greater legal certainty, the CNPD suggests including the reports made under this draft law in Article 44bis of the aforementioned statute and in the corresponding provision of the general statute for municipal officials to explicitly allow public sector agents to resort to the remedies provided by said statutes in the event of retaliatory measures referred to in Article 25 of this draft law.

Furthermore, it will be necessary to ensure an adequate articulation between Article 26 of this draft law and Articles L.271-1 and L.271-2 of the Labor Code, by providing, where appropriate, adaptations of the relevant provisions of the Labor Code. The CNPD wonders whether it would be appropriate to insert, similar to the two aforementioned articles, more detailed provisions in the Labor Code establishing the procedures applicable to employees subject to the Labor Code regarding retaliatory measures related to reports made under this draft law.

Article 27, paragraph 2, of the draft law states that “[w]histleblowers shall not incur any liability regarding the obtaining of the information that is reported or publicly disclosed, or access to such information, provided that this obtaining or access does not constitute a separate criminal offense. In the event that this obtaining or access constitutes a separate criminal offense, criminal liability shall continue to be governed by the applicable national and European law.” The authors specify in the commentary on the articles that “[t]he second and third paragraphs [of Article 25 of the draft law] condition the legitimacy of obtaining certain information on the necessity to refrain from any separate criminal offense, that is to say, one that is not related to the obtaining of the information.”

According to the amendment proposed by draft law No. 7741 amending 1° the amended law of July 18, 2018, on the Grand Ducal Police; 2° the amended law of July 5, 2016, reorganizing the State Intelligence Service; and 3° the Penal Code, Article 509-1 of the Penal Code would read as follows: “Anyone who fraudulently accesses or remains in all or part of an automated or non-automated data processing or transmission system shall be punished by imprisonment for two months to two years and a fine of 500 euros to 25,000 euros or one of these two penalties.

Shall be punished by the same penalties, anyone who, having authorization to access all or part of an automated or non-automated data processing or transmission system for personal data, processes personal data for purposes other than those for which the access authorization was granted, including disclosing the personal data thus obtained to an unauthorized third party.”

However, obtaining information necessary for a report or disclosure often involves access or maintenance “in all or part of an automated or non-automated data processing or transmission system” in a “fraudulent” manner or “disclosing personal data” to an unauthorized third party by a whistleblower holding an “access authorization” to the data processing system.

The National Commission wonders whether Article 509-1 of the Penal Code, following its current wording or that proposed by draft law No. 7741, should be interpreted as a “separate criminal offense” when this offense is committed solely for the purpose of accessing the documents necessary to support the report.

In such cases, the CNPD questions whether it would be more appropriate not to classify these actions as a separate criminal offense, but rather to classify them as an offense related to a report. This latter interpretation would then allow, when the conditions of this draft law are met, to relieve the whistleblower of their criminal liability concerning Article 509-1 of the Penal Code. For greater legal certainty, it would be useful to expressly clarify the relationship between Article 27, paragraphs 2 and 3, of the draft law and Article 509-1 of the Penal Code and the proposed amendment in the aforementioned draft law No. 7741.

Thus adopted in Belvaux

on October 21, 2022.

The National Commission
for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

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Opinion of the National Commission for Data Protection regarding the draft Grand-Ducal Regulation on the rental of affordable housing provided for by the law # relating to affordable housing (Deliberation No. 54/AV26/2022 of November 21, 2022)

In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons concerning processing."

Furthermore, Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

By letter received on August 8, 2022, Mr. Minister of Housing invited the National Commission to express its opinion on the draft Grand-Ducal Regulation concerning the rental of affordable housing provided for by the law # relating to affordable housing (hereinafter referred to as the "draft Grand-Ducal Regulation").

According to the explanatory memorandum, the draft Grand-Ducal Regulation is an implementing regulation of Bill No. 7937 relating to affordable housing (hereinafter referred to as the "Bill") and primarily concerns the allocation of affordable rental housing by the social landlord. In its opinion of July 21, 2022, regarding the Bill, the National Commission noted that the procedure for allocating affordable housing via the national register of affordable housing (hereinafter referred to as the "RENLA") involves profiling of the persons concerned and, at least initially, automated decision-making, while highlighting the risks that may arise for the rights and freedoms of individuals. In light of the principle of transparency provided for by the GDPR, the CNPD recommended in its aforementioned opinion that the methods of evaluation and weighting of the allocation criteria as well as the modalities of the allocation procedure via the RENLA be specified by a Grand-Ducal Regulation, this possibility being expressly provided for by the Bill.

However, the National Commission regrets to note that the draft Grand-Ducal Regulation essentially merely refers to internal written procedures, or even methodologies. The draft Grand-Ducal Regulation therefore provides little clarification compared to the Bill, such that there exists a significant risk of resulting disparities in the application of the law, which is detrimental to legal certainty as well as to the transparency of the allocation procedure.

Thus adopted in Belvaux on November 21, 2022.

The National Commission for Data Protection

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Opinion of the National Commission for Data Protection regarding the draft Grand-Ducal regulation amending the amended Grand-Ducal regulation of June 18, 2014, concerning the identity card (Deliberation No. 55/AV27/2022 of November 21, 2022)

1. In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

2. Furthermore, Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or of a regulatory measure based on such legislative measure, which relates to processing."

3. Although not consulted by the Ministry of Digitalization, the CNPD wishes to advise on the draft Grand-Ducal regulation amending the amended Grand-Ducal regulation of June 18, 2014, concerning the identity card (hereinafter referred to as the "draft Grand-Ducal regulation"), which has nonetheless been brought to its attention by the aforementioned ministry.

4. The CNPD, having not been directly approached by the Minister of Digitalization to advise on the draft Grand-Ducal regulation amending the amended Grand-Ducal regulation of June 18, 2014, concerning the identity card (hereinafter referred to as the "draft Grand-Ducal regulation"), nevertheless wishes to take the initiative and express its opinion on the said draft.

5. It appears from the explanatory memorandum that the draft Grand-Ducal regulation "aims to create the regulatory framework for the introduction of the concept of a personal digital wallet available on a state mobile phone application and other devices, valid in the territory of the Grand Duchy of Luxembourg, which offers citizens the possibility to identify themselves online and offline." The authors of the draft Grand-Ducal regulation specify in this context that the "creation of the state application of the Luxembourg personal digital wallet is part of the context of the European digital identity, the introduction of which is envisaged by the European Commission in the coming years."

Indeed, the CNPD notes that the proposal for a regulation from the European Commission dated June 3, 2021

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amending Regulation (EU) No. 910/2014
regarding the establishment of a
European framework for a
digital identity³⁰⁸ sets, among other things, the
conditions for the issuance, by the
Member States, of European

digital identity wallets.

6. The authors of the draft Grand-Ducal regulation specify that in order "to enable citizens of Luxembourg nationality to identify themselves during an identity check on the territory of the Grand Duchy of Luxembourg, it is proposed to introduce a downloadable mobile application, allowing interested citizens to present to the police officer, upon request, a certificate justifying that they hold an identity card. It should be noted that the use of this application is reserved for citizens who possess a valid identity card."³⁰⁹

7. Thus, according to the commentary on the single article, the draft Grand-Ducal regulation aims to complement

Article 6 of the amended Grand-Ducal regulation of June 18, 2014, relating to the identity card by adding a paragraph 4 to equate the presentation of an electronic certificate of the identity card, within a personal digital wallet application, to the presentation of the physical identity card.

8. Furthermore, it follows from the commentary on the article that "the use of the personal digital wallet application, and consequently the downloading of the digital certificate of the identity card, are purely optional and depend entirely on the choice of the citizen who decides to opt or not to opt for this additional possibility.

Obviously, citizens have the right to prove their identity in the form of their choice. The person who presents their digital certificate to the police officer cannot be asked simultaneously for the physical identity card."

9. However, the National Commission notes that the draft Grand-Ducal regulation under review is limited to providing that a digital certificate of the identity card, located in a personal digital wallet application, allows citizens to prove their identity electronically. On the other hand, the basic application that will constitute the personal digital wallet is not regulated by this draft, and the CNPD is therefore unable to express an opinion.

For this reason, it cannot follow the considerations of the authors of the draft Grand-Ducal regulation who state that the said draft aims "to create the regulatory framework for the introduction of the concept of personal digital wallet available on a state mobile phone application and other devices, [...]".

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(EU) No. 910/2014 regarding

the establishment of a European framework for a digital identity, Brussels, June 3, 2021, COM(2021) 281 final, 2021/0136(COD).

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The CNPD assumes that a processing of personal data is implemented by the State through the so-called "state mobile phone application and other devices," which thus allows the downloading of the digital certificate of the identity card. The commentary on the article only explains that "[t]he digital identifier being defined as a mode of storage and representation of data in a transmissible format through a mobile application, this application will be an application developed and implemented by the State," without further explanations on the personal data processing carried out.

10. The CNPD wishes to emphasize that any processing of personal data must be based on a legal basis in accordance with Article 6 of the GDPR. In particular, it should be recalled that the processing of personal data necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller, or necessary for compliance with a legal obligation to which the said controller is subject, must be based on a legal basis in accordance with Article 6.3 of the GDPR, read together with its paragraph 1, letters c) and e), which states that: "The basis for the processing referred to in paragraph 1, points c) and e), is defined by:

a. Union law; or

b. the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, with regard to the processing referred to in paragraph 1, point e), are necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller. This legal basis may contain specific provisions to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of the processing by the data controller; the types of data that are subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and the processing operations and procedures, including measures to ensure lawful and fair processing, such as those provided for in other specific processing situations as provided in Chapter IX."

11. Recital 41 of the GDPR further specifies that this legislative measure should be clear and precise and its application should be foreseeable for the individuals concerned, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights.³¹⁰

³¹⁰ In this sense, V.M. Besch, "Processing of personal data in the public sector," Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; see among others ECtHR, Zakharov v. Russia [GCL n°47413/06], § 228-229, December 4, 2015. ECtHR, Vavříčka and Others v. Czech Republic (applications n°47621/13 and 5 others), § 276 to 293, April 8, 2021.

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12. Any processing of personal data carried out by the State through the aforementioned application must therefore be provided for in a law in the strict sense of the term in order to meet the aforementioned requirements of foreseeability and predictability that any legal text must satisfy, by reference to European case law, and with a view to transparency and legal certainty. Likewise, it goes without saying that appropriate technical and organizational measures should be put in place and that the rights of the data subjects, as provided for in Chapter III of the GDPR, must be respected.

13. Furthermore, the National Commission considers that the assimilation of the presentation of an electronic certificate of the identity card, contained in the personal digital wallet, to the presentation of the physical identity card goes beyond the mere form and technical modalities of the identity card which can, according to Article 15.4 of the amended law of June 19, 2013 on the identification of natural persons, be determined by grand-ducal regulation. It therefore believes that this legal

equivalence should be included in the body of the text of Article 15 of the amended law of June 19, 2013 on the identification of natural persons and not in the amended grand-ducal regulation of June 18, 2014 on the identity card.

14. The CNPD also notes that while the commentary on the article mentions that police officers can read the digital identifier affixed to the digital certificate in order to identify a person, the text of the single article and its commentary remain silent on the following questions: Will the digital certificate contain a digital copy of the identity card or will it only provide information about the existence of an identity card through a QR code? How can a police officer verify a person's identity via a personal digital wallet application in a manner equivalent to a physical check of the person presenting their identity card, according to criminal law rules? In the eyes of the CNPD, these points should necessarily be subject to the legislative framework in question.

15. The authors of the project also do not specify who may be, if applicable, the recipients of "the presentation by the holder of a digital certificate of the identity card." The National Commission therefore wonders whether the said holder could also prove their identity with such a digital certificate to other public or private actors besides the Grand Ducal Police.

16. Finally, as mentioned above, the commentary on the article provides that:

"[t]he police officer to whom the digital certificate is presented may read the digital identifier (which may take the form of a QR code or a barcode, for example) affixed to the certificate, using applications on their professional smartphone. These applications allow them, if necessary, to compare and verify the data displayed by the digital identifier with those contained in the databases of the national register of natural persons (RNPP) and driving licenses."

17. It follows that police officers will process personal data by scanning the said QR code or barcode and comparing the data displayed by the digital identifier with those contained in the national register of natural persons (RNPP). The CNPD assumes that this application available to police officers, allowing them to read the digital identifier affixed to the certificate of the person concerned, is different from the state application on which the personal digital wallet will be available.

18. As long as these questions are not resolved in light of the considerations above, the CNPD cannot give a favorable opinion on the draft text under review, as the legal framework that a legal text must meet is lacking.

19. It therefore deems it necessary to specify that the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security applies to the processing of personal data by the Grand Ducal Police in the execution of its missions of prevention and detection of criminal offenses, investigations, and prosecutions in this area or the execution of criminal sanctions, including protection against threats to public safety and their prevention.³¹¹ Moreover, the said law also applies to processing carried out by the Grand Ducal Police in the execution of missions for purposes other than those mentioned in the previous sentence and provided for by special laws.³¹²

Identity checks by the Grand Ducal Police³¹³ through the said application allowing the reading of the digital identifier affixed to the digital certificate of the holder must therefore comply with the provisions of the aforementioned law.

Thus adopted in Belvaux on November 21, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

³¹¹ Law of August 1, 2018, concerning the processing of personal data in criminal matters and national security, Article 1, paragraph 1.

³¹² Ibid., Article 1, paragraph 2.a).

313 See also Article 5 of the amended law of July 18, 2018, on the Grand Ducal Police.

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Supplementary Opinion of the National Commission for Data Protection regarding Bill No. 7863A on Judicial Referendaires and amending 1° the amended law of March 7, 1980 on judicial organization; 2° the amended law of November 7, 1996 on the organization of administrative courts; 3° the amended law of July 27, 1997 on the organization of the Constitutional Court; 4° the amended law of June 7, 2012 on judicial attachés; 5° the amended law of April 16, 1979 establishing the general status of state officials; 6° the amended law of March 8, 2017 on Luxembourg nationality (Deliberation No. 56/AV28/2022 of December 2, 2022)

In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 on the organization of the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

On October 7, 2022, the National Commission notified Bill No. 7863A314, which aims in particular to regulate the assessment of honorability in the recruitment of personnel in the judicial and administrative orders (hereinafter referred to as the "Bill").

On November 24, 2022, the Minister of Justice invited the CNPD to express its opinion on the parliamentary amendments adopted by the Justice Commission during its meeting on November 9, 2022 (hereinafter referred to as the "Amendments").

It should be noted that the Amendments modified the provisions of the Bill relating to the assessment of honorability³¹⁵. The National Commission will now provide its observations regarding the data protection issues raised by the Amendments.

314 Bill No. 7863A on Judicial Referendaires and amending: 1° the amended law of March 7, 1980 on judicial organization; 2° the amended law of November 7, 1996 on the organization of administrative courts; 3° the amended law of July 27, 1997 on the organization of the Constitutional Court; 4° the amended law of June 7, 2012 on judicial attachés; 5° the amended law of April 16, 1979 establishing the general status of state officials; 6° the amended law of March 8, 2017 on Luxembourg nationality.

315 See Amendments 1, 5, 9, and 12.

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First of all, it should be noted that new provisions³¹⁶ have been added in that they specify that the Attorney General "may access the personal data referred to" by the provisions of the articles of the draft law concerning the control of honorability. It is necessary to question the added value of such provisions insofar as the Attorney General necessarily has access to the personal data listed in articles 3, 20, and 34 of the draft law. It would have been preferable for the authors of the amendments to specify the source of the data, particularly which file(s) the Attorney General would have access to (e.g., the "JUCHA"). The National Commission allows itself to refer in this regard to its opinions related to draft law n°7691, which address the issue of the lack of precision regarding the origin of the data processed in the context of the control of honorability³¹⁷.

It should also be noted that the amendments intend to modify the provisions relating to the communication of a foreign criminal record extract³¹⁸. Indeed, these provisions have been

reformulated, and it is now provided that the communication of a foreign criminal record extract may be requested from a candidate who resides or has resided in the territory of a foreign country (in addition to the condition relating to the nationality of the candidate from a foreign country)³¹⁹.

The authors of the amendments specify in their commentary on the articles that these provisions take into account "the parliamentary amendments of September 29, 2022, relating to draft law N°7323B on the status of magistrates, and more particularly the article dedicated to the verification of the honorability of members of the judiciary." It is also specified that the inclusion of the provisions of draft law n°7323B is made with a view to ensuring legal certainty and responds to a political will to "standardize the verification of honorability for all agents serving justice, regardless of their status"³²⁰. It is regrettable that the authors of the amendments did not indicate the reasons why the communication of a foreign criminal record extract from a candidate who resides or has resided in the territory of a foreign country would be necessary in order to assess the honorability of the person concerned³²¹.

In the absence of clarifications on this matter, the National Commission cannot assess whether the principle of data minimization would be respected in this case.

Furthermore, it should be noted that these provisions go further than the provisions currently provided by draft law n°7691, as amended, as well as the provisions relating to the control of honorability of the law of February 22, 2022, on weapons and ammunition. The conditions of residence are not mentioned therein.

It is therefore regrettable that the addition of such provisions leads once again to disparities between the different texts governing the control of honorability³²².

For the remainder, reference is made to all the observations made by the CNPD in its opinion of October 7, 2022, relating to the present draft law³²³ as well as in its opinions relating to draft law n°7691³²⁴.

Thus adopted in Belvaux on December 2, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

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Marc Lemmer

Commissioner

Alain Herrmann

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³²² See also in this regard the absence of a comprehensive and cross-cutting approach to the issue of the control of honorability point I.1, page 3 and following, of deliberation n°3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document n°7691/03.

³²³ See deliberation n°42/AV20/2022 of October 7, 2022, parliamentary document n°7863A/03.

³²⁴ See deliberation n°3/AV3/2021 of the CNPD of February 10, 2021, parliamentary document n°7691/03, deliberation n°42/AV20/2022 of the CNPD of October 7, 2022, parliamentary document n°7691/08.

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Opinion of the National Commission for Data Protection regarding the draft law no. 8029 relating to the automatic and mandatory exchange of information declared by Platform Operators and amending 1° the amended law of December 19, 2008 concerning inter-administrative and judicial cooperation and the strengthening of the means of the Administration of Direct Contributions, the Administration of Registration and Domains, and the Administration of Customs and Excise, and amending - the amended law of February 12, 1979 concerning value-added tax; - the General Tax Law ("Abgabenordnung"); - the amended law of April 17, 1964 reorganizing the Administration of Direct Contributions; - the amended law of March 20, 1970 reorganizing the Administration of Registration and Domains; - the amended law of November 27, 1933 concerning the collection of direct

contributions and social security contributions; 2° the law of July 21, 2012 transposing Directive 2010/24/EU of the Council of March 16, 2010 concerning mutual assistance in the recovery of claims relating to taxes, duties, and other measures; 3° the amended law of March 29, 2013 relating to administrative cooperation in the field of taxation; 4° the amended law of December 18, 2015 relating to the Common Reporting Standard (CRS); 5° the amended law of December 23, 2016 relating to country-by-country reporting; 6° the amended law of March 25, 2020 relating to cross-border arrangements subject to reporting; 7° the amended law of March 25, 2020 establishing a central electronic system for the search of data concerning IBAN accounts and safes; with a view to transposing Directive 2021/514 of the Council of March 22, 2021 amending Directive 2011/16/EU regarding the automatic and mandatory exchange of information in the field of taxation (Deliberation No. 57/AV29/2022 of December 2, 2022)

1. In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Article 36.4 of the GDPR states that "Member States consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

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The European Data Protection Committee (hereinafter referred to as the "EDPC" or the "EDPB") further specifies that for any limitation on the rights of data subjects adopted at the level of Member States, the data protection supervisory authority must be consulted before the adoption of such a measure by the national parliament.

2. By letter dated June 15, 2022, the Minister of Finance invited the National Commission to express its opinion on draft law No. 8029 concerning the automatic and mandatory exchange of information declared by Platform Operators and amending

1° the amended law of December 19, 2008 concerning inter-administrative and judicial cooperation and strengthening the means of the Administration of direct contributions, the Administration of registration and domains, and the Administration of customs and excise, and amending

- the amended law of February 12, 1979 concerning value-added tax;

- the General Tax Law ("Abgabenordnung");

- the amended law of April 17, 1964 reorganizing the Administration of direct contributions;

- the amended law of March 20, 1970 reorganizing the Administration of registration and domains;

- the amended law of November 27, 1933 concerning the recovery of direct contributions and social security contributions;

2° the law of July 21, 2012 transposing Council Directive 2010/24/EU of March 16, 2010 concerning mutual assistance in the recovery of claims relating to taxes, duties, rights, and other measures;

3° the amended law of March 29, 2013 concerning administrative cooperation in the tax field;

4° the amended law of December 18, 2015 concerning the Common Reporting Standard (CRS);

5° the amended law of December 23, 2016 concerning country-by-country reporting;

6° the amended law of March 25, 2020 concerning cross-border arrangements subject to reporting;

7° the amended law of March 25, 2020 establishing a central electronic system for searching data concerning IBAN accounts and safes;

with a view to transposing Council Directive 2021/514 of March 22, 2021 amending Directive 2011/16/EU regarding the automatic and mandatory exchange of information in the tax field

(hereinafter referred to as the "draft law"), and on the draft Grand-Ducal regulation implementing the law of ... concerning the automatic and mandatory exchange of information declared by Platform Operators (hereinafter referred to as the "draft Grand-Ducal regulation").

3. To the extent that this draft law transposes into national law Council Directive (EU) 2021/514 of March 22, 2021.

325 European Data Protection Committee (EDPB), Guidelines 10/2020 on restrictions under Article 23 GDPR, §68, available at: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-102020-restrictions-under-article-23-gdpr_fr

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amending Directive 2011/16/EU on administrative cooperation in the field of taxation (hereinafter referred to as the "Directive"), the National Commission refers, regarding the legal framework of this Directive, to Opinion 6/2020 of October 28, 2020, of the European Data Protection Supervisor³²⁶ and will limit its observations to the legal provisions concerning the concrete implementation of this Directive in Luxembourg.

XIII. Preliminary Remarks

4. As a preliminary point, the CNPD notes that the draft law primarily concerns the processing of personal data of taxpayers by Luxembourg tax administrations (Administration of Direct Taxes, Administration of Registration and Domains, Customs and Excise Administration) and by the Administration of Cadastre and Topography as well as by certain private entities (Platform Operators, Luxembourg reporting financial institutions, intermediaries) in the context of their reporting obligations.

In addition to amending several existing laws, the draft law under review introduces a new type of automatic exchange of tax information between Member States. It emerges from the explanatory memorandum that the establishment of a standardized reporting obligation for Platform Operators regarding a number of data and information related to active providers on digital platforms (the sellers) as well as their services applies to the entire internal market of the European Union. The information thus reported will then be exchanged automatically and mandatorily between tax authorities to enable Member States to ensure better tax control of economic activities carried out through Platform Operators and to correctly determine the income tax and value-added tax (VAT) due.

5. It seems necessary to point out that automatic exchange, defined as "the systematic communication to another Member State, without prior request, of predefined information, at regular intervals previously set"³²⁷ raises significant issues from the perspective of personal data protection since it will result in the collection of a large volume of data and their systematic and recurring transfer to other Member States, and in some cases to third countries.

Although the National Commission does not wish to call into question the legitimacy of the new measures introduced³²⁶ European Data Protection Supervisor (EDPS), Opinion 6/2020 regarding an amendment to Directive 2011/16/EU of the Council on administrative cooperation in the field of taxation, available at: https://edps.europa.eu/data-protection/our-work/publications/edps-opinions/opinion-proposal-temporary-derogations-directive_fr

³²⁷ Cf. Article 2.p) of the amended law of March 29, 2013, on administrative cooperation in the field of taxation.

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by the bill, it emphasizes, however, that sufficient guarantees regarding the respect of fundamental principles of the right to personal data protection must be implemented.

XIV. On the processing of personal data by Platform Operators

1. The concerned individuals

6. Article 4.1 of the bill states that: "Declaring Platform Operators are required to carry out due diligence procedures and fulfill the reporting obligations set out in the annex, sections II and III."

The Annex regarding "Due Diligence Procedures, Reporting Obligations, and Other Rules Applicable to Platform Operators" specifies that for each individual Seller who does not qualify as an excluded

Seller, the declaring Platform Operator collects a certain number of information.

The CNPD understands that any excluded Seller, defined in point B 4) of Section I as one “for whom the Platform Operator has facilitated, through the sale of Goods, fewer than 30 relevant Activities, for which the total amount of the Consideration paid or credited did not exceed 2,000 euros during the Reporting Period” is not subject to the personal data processing provided for by the bill. Therefore, the latter does not impose on Platform Operators the obligation to collect information from individuals engaged in the sale of goods below a certain threshold (fewer than thirty sales transactions for which the total amount of the consideration does not exceed 2,000 euros during the Reporting Period).

However, the commentary on the articles specifies that “[a] public Entity, an Entity whose shares are subject to regular transactions on a regulated stock market, or an Entity linked to an Entity whose shares are subject to regular transactions on a regulated stock market, an Entity for which the Platform Operator has facilitated more than 2,000 rentals of real estate or fewer than 30 sales of goods for which the total amount of the Consideration paid or credited did not exceed 2,000 euros during the Reporting Period” is to be considered as an excluded Seller. The CNPD regrets that this wording suggests that only Entities, excluding individuals, can be excluded Sellers.

The CNPD wishes to emphasize in this context the importance of the data minimization principle provided for in Article 5.1.c) of the GDPR, which states that data must be adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed. The national Commission welcomes that such an exemption threshold is provided, including for individuals, as this will significantly limit the number of individuals concerned by the processing provided for by the bill. Indeed, the processing of data from Sellers for operations

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of occasional sales generating low revenues does not appear as relevant in light of the purpose of assisting tax administrations in improving the quality and efficiency of tax collection in the context of the fight against tax evasion.

2. The processing of personal data established by the draft law

7. It follows from Article 4 of the draft law that Platform Operators must implement two processes: on the one hand, due diligence procedures and on the other hand, the reporting obligations set out in the Annex.

8. Firstly, the due diligence procedures involve the collection and retention of the data listed in Section II of the Annex to the draft law. For each individual Seller who does not qualify as an excluded Seller, the following data would be collected: the first and last name, the main address, the Tax Identification Number (hereinafter referred to as the "TIN") and, in the absence of a TIN, the place of birth of the Seller, the Seller's VAT identification number, the date of birth (point B 1) of Section II of the Annex). Point E of Section II of the Annex also provides for the collection of information such as the address of a real estate property, the land registration number, supporting documents, data or information attesting that the real estate property belongs to the same owner, which, if they relate to an identified or identifiable individual, are to be considered as personal data.

However, such collection would not take place when the Platform Operator relies on a direct confirmation of the identity and residence of the Seller obtained through an identification service provided by a Member State or by the European Union in order to establish the identity and tax residence of the Seller (point B 3) of Section II of the Annex).

9. With regard more specifically to the TIN of individuals, it should be noted that in Luxembourg, this data corresponds to the identification number of individuals (also known as "matricule"). The CNPD wishes to remind that this data, which is subject to specific regulation (the use of the matricule by the private sector is only exceptionally permitted under the conditions set out in Article 2 of the amended law of June 19, 2013, relating to the identification of individuals), may only be processed by the Platform Operator for the purposes provided for by the draft law.

10. Point C 3) of Section II of the Annex further provides that in the event that the Platform Operator has any reason to believe that a Seller's data may be inaccurate due to information provided by the

competent authority of a Member State, it shall request the Seller to provide supporting documents, reliable data, or information from an independent source, such as an identification document issued by national authorities, valid or a recent tax residence certificate. The National Commission

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understands that the processing of such identity documents by the Platform Operator is aimed at verifying the data provided by the Seller. It recalls in this regard that, in accordance with the principle of data minimization set out in Article 5.1.c) of the GDPR, personal data must be adequate, relevant, and limited to what is necessary in relation to the purposes for which they are processed. It also emphasizes that this should not involve systematic processing, but that the request for such documents must be strictly limited to the case provided for in Section II, point C 3) of the Annex.

It is also important to recall the principle of data retention limitation (Article 5.1.b) of the GDPR), according to which personal data must be kept in a form that permits identification of the data subjects for no longer than is necessary for the purposes for which they are processed. The sole purpose being the verification of the data provided by the data subject, the Platform Operator should not retain such documents for a period of 10 years as provided for in Article 5 of the draft law for the registers of actions taken and any information used to ensure the execution of due diligence procedures and reporting obligations. The CNPD recommends the deletion of identification documents immediately after the verification of the data.

11. Regarding the verification of information related to Sellers (point C of Section II of the Annex), the CNPD also questions the notion of “the set of information and documents available in its records” and “online queryable registers” of the Platform Operator. In this context, particular attention must be paid to the principles of minimization (Article 5.1.c) of the GDPR) and accuracy (Article 5.1.d) of the GDPR) in the use of sources by the Platform Operators. The national commission recommends that the authors of the draft law specify that these sources must be accurate and reliable.

12. Secondly, the reporting obligations involve the communication of the aforementioned data to the Administration of direct contributions (Article 4.3). Article 4.5 specifies that the form and modalities regarding the reporting of information are determined by grand-ducal regulation. However, the text of the draft grand-ducal regulation provides no details on this matter and merely states that the registration, notification, and communication of information are organized electronically in a secure manner according to the procedures defined by the Administration of direct contributions. The national commission further emphasizes the importance of the principles of integrity and confidentiality (Article 5.1.f) of the GDPR) according to which personal data must be processed in a manner that ensures appropriate security of such data, including the protection

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against unauthorized or unlawful processing
and against loss, destruction, or
accidental damage, using
appropriate technical or organizational
measures. In any case,
any communication of personal data by
Platform Operators to the Direct Contributions
Administration must comply with
the provisions of Article 32 of the GDPR regarding
the security of processing.

13. The reporting obligations of
Platform Operators involve
the communication to the Direct Contributions
Administration of the data
processed in the context of their

due diligence procedures (point B) of Section III of the Annex). The Annex of the draft law also provides for the communication of the Financial Account Identifier and, when it differs from the name of the Seller to be reported, the name of the holder of the financial account on which the Counterparty is paid or credited “as well as any other financial identification information held by the reporting Platform Operator regarding the holder of this account” (points B) 2.c) and 3.c) of the Section III). Recital (45) of the GDPR specifies that “[w]hen processing is carried out in accordance with a legal obligation to which the data controller is subject [...]”, “[t]his right could specify the general conditions of this regulation governing the lawfulness of the processing of personal data, establish the specifications aimed at determining the data controller, the type of personal data being processed, the data subjects, the entities to which the personal data may be communicated, the limitations of purpose, the retention period, and other measures aimed at ensuring lawful and fair processing. [...]”. The draft law should therefore establish specific provisions aimed at determining, among other things, the types of data processed. However, the national Commission must emphasize the lack of precision in the provisions regarding the processing of “any other financial identification information held by the reporting Platform Operator.” These provisions do not allow for sufficiently precise forecasts regarding what data will be communicated by the Platform Operator to the Direct Contributions Administration and thus create the possibility of abusive processing by the Platform Operator. It should also be noted that certain financial data, when they can be used to commit payment fraud (for example, credit card numbers or other payment identifiers), are to be considered as “highly personal data” to the extent that their breach would clearly have serious impacts on the daily life of the data subject³²⁸.

328 Working Party “Article 29” on data protection, Guidelines on Data Protection Impact Assessment (DPIA) and how to determine if processing is “likely to result in a high risk” for the purposes of Regulation (EU) 2016/67, page 11, available at:

<https://ec.europa.eu/newsroom/article29/items/611236/en>

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3. The duration of data retention by Platform Operators

14. According to Article 5.1.e) of the GDPR, personal data must not be retained longer than necessary for the purposes for which they are collected and processed. Beyond that, the data must be deleted or anonymized.

The draft law provides that “[i]nformation processed in accordance with this law shall not be retained longer than necessary for the purposes of this law and, in any case, in accordance with the legal provisions applicable to each data controller regarding the statute of limitations” and that Platform Operators “are required to keep records of the steps taken and any information used to ensure compliance with due diligence procedures and reporting obligations for a period of ten years following the Reporting Period to which they pertain.” (Article 5). The CNPD notes that the provision stating that “[i]nformation processed in accordance with this law shall not be retained longer than necessary for the purposes of this law” does not provide any real added value as it merely reiterates the principle of Article 5.1.e) of the GDPR. It also observes that such a retention period is in line with Article 7.5, which states that “[t]he investigation powers of the Direct Contributions Administration are subject to a ten-year limitation period following the Reporting Period.”

15. Nevertheless, the CNPD raises the question, as mentioned earlier, regarding the retention period for identification documents and certificates of tax residence (Section II, Point C 3 of the Annex).

Indeed, the processing of these supporting documents serves solely the purpose of verifying the data of the concerned individual at a specific moment and should not be covered by Article 5 of the draft law. The national Commission believes that the Platform Operator should delete these documents as soon as the verification is completed.

4. The rights of the concerned individual

16. The CNPD welcomes the provision stating that “[e]ach declaring Platform Operator has the obligation to: a) inform each concerned individual that information relating to them will be collected and transferred in accordance with this law; b) provide each concerned individual with all information they may access that comes from the data controller within a sufficient timeframe to allow them to exercise their rights regarding data protection and, in any case, before the information is communicated to the Direct Contributions Administration” (Article 10.3 of the draft law). The national Commission understands that this obligation to inform, in accordance with the

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principle of accuracy as stated in

Article 5.1.d) of the GDPR, ensuring that accurate and up-to-date data is transferred, must be implemented prior to each transmission of data to the tax authority, in order to allow the data subject to exercise their right to rectification as provided in Article 16 of the GDPR.

The CNPD wishes to remind that these obligations must be respected by the Platform Operator without prejudice to the rights of the data subjects provided in Chapter III of the GDPR to the extent that they are applicable.

XV. On the processing of personal data by the tax administration

1. The processing of personal data established by the draft law

17. The CNPD observes that the draft law introduces the automatic exchange of personal data concerning the ownership of real estate with the competent authority of the member state of residence of the data subject (Article 14.6° of the draft law). It follows from Article 12 of the draft law that the Administration of Cadastre and Topography transmits for this purpose the information available in the land registers relating to natural persons residing in another member state of the European Union and who own real estate in Luxembourg to the Administration of Direct Contributions.

The commentary on the articles (Article 12) specifies that “[i]n order to allow the Grand Duchy of Luxembourg to exchange information in the additional category relating to the ownership of real estate, the Administration of Cadastre and Topography shall transmit, for transactions relating to the taxable periods starting from January 1, 2025, by electronic means to the ACD, the information available in the land registers, relating to natural and legal persons residing in another member state of the European Union and who own real estate located in the Grand Duchy of Luxembourg.”

The National Commission takes note of this and understands that the categories of data processed in this context are specified in Article 6.2° of the Grand-Ducal Regulation of August 10, 2018, establishing the conditions and modalities for consulting and issuing cadastral, topographical, cartographic, and geodetic documentation managed by the Administration of Cadastre and Topography [...]. The information contained in the land registers that would be transferred as part of the automatic exchange would include: the municipality and cadastral section of the location, parcel number, place name and area, the cadastral designation and the share of a co-ownership lot, the right of ownership and other real estate rights, their holders and respective titles, the history of modifications that occurred to the parcels, to the co-ownership lots and

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to real estate rights. The CNPD reminds, however, that in accordance with the principle of minimization (Article 5.1.c of the GDPR), only the data strictly necessary for the purposes provided in the directive (and more specifically for the determination of tax) should be communicated to the authorities of other Member States.

2. Limitation of the rights of the data subject

18. The authors of the draft law wished to provide in Article 23 of the amended law of March 29, 2013, relating to administrative cooperation in the field of taxation, the possibility for data controllers to limit the right to information (Articles 13 and 14.1 of the GDPR) and the right of access (Article 15 of the GDPR) of the data subjects. After clarifying that all exchanges of information under the amended law of March 29, 2013, relating to administrative cooperation in the field of taxation, are subject to the GDPR, the new Article 23, paragraph 1 states: “However, for the proper application of the law, the scope of the obligations and rights provided for in Article 13, in Article 14, paragraph 1, and in Article 15 of Regulation (EU) 2016/679, is limited to the extent necessary to safeguard the interests referred to in Article 23, paragraph 1, point e), of the said regulation.”

Insofar as a reference to the provisions of Article 23 of the amended law of March 29, 2013, is made, this new article providing for the limitation of the right to information and the right of access is also intended to apply within the framework of the amended law of December 18, 2015, relating to the Common Reporting Standard (CRS) (new Article 5.6), the amended law of December 23, 2016, relating to country-by-country reporting (new Article 7.2), and the amended law of March 25, 2020, relating to cross-border arrangements subject to reporting (new Article 14.4). It follows from all these provisions that all exchanges of information based on these laws (and possibly taking place with other States) may be subject to limitations regarding the rights to information and access of the data subjects.

The National Commission notes that the new Article 23 of the amended law of March 29, 2013, is a nearly verbatim reproduction of Article 25 of the directive (“However, for the proper application of this directive, Member States limit the scope of the obligations and rights provided for in Article 13, in Article 14, paragraph 1, and in Article 15 of Regulation (EU) 2016/679, to the extent necessary to safeguard the interests referred to in Article 23, paragraph 1, point e), of the said regulation.”). The CNPD regrets that the authors of the draft law did not understand this provision as an opportunity to frame certain limitations on the rights of data subjects in accordance with the GDPR. Indeed, the draft law fails to concretely indicate the scope and conditions of the limitations on the right of access and the right to information. The CNPD further regrets that the

the authors of the draft law have not made any comments regarding these limitations.

The formulas used in the draft law under review are indeed so general that they do not allow for a precise determination of the scope of the derogations to the rights of the concerned person. In addition to being vague, this article does not provide any guarantees to the rights of the concerned person.

19. The GDPR particularly grants in its Chapter III (Articles 12 to 23) various rights to the concerned persons, allowing them to control the use of personal data concerning them. Its Article 23 provides however that the right of a Member State may, through legislative measures, limit the scope of these rights, when such limitation respects the essence of fundamental freedoms and rights and constitutes a necessary and proportionate measure in a democratic society to guarantee one of the objectives provided limitatively in Article 23.1, provided that this legislative measure includes specific provisions relating at least to the elements referred to in Article 23.2. Furthermore, the limitations must respect the requirements set forth by the Charter of Fundamental Rights of the European Union (hereinafter the "Charter") and by the European Convention for the Protection of Human Rights and Fundamental Freedoms³²⁹.

20. The CNPD has already had the opportunity to express its opinion on the opening clauses of Article 23 of the GDPR in the context of its opinion of March 29, 2018, regarding the draft law No. 7250 implementing, in tax matters, the provisions of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, repealing Directive 95/46/EC and amending various provisions, in which it provided clarifications regarding the implementation modalities of the opening clauses and guarantees, which must be integrated into the legislative measure to ensure compliance with the GDPR³³⁰.

The CNPD also recalls that the EDPB recently published guidelines on the restrictions provided in Article 23 of the GDPR³²⁹, in light of which it will examine the provisions of the draft law under review. This examination requires, in the first instance, an analysis of the validity of the limitations provided by the draft law in light of Article 23.1 of the GDPR, and then, in a second step, a review of the conditions of Article 23.2 of the GDPR.

329 Cf. GDPR, Recital (73)

330 Deliberation No. 219/2018 of March 29, 2018, of the National Commission for Data Protection, doc. parl. No. 7250/01, pages 2 to 6.

331 European Data Protection Board (EDPB), Guidelines 10/2020 on restrictions under Article 23 GDPR, available at:

https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-102020-restrictions-under-article-23-gdpr_en

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a. Compliance with the conditions of Article 23.1 of the GDPR

i. The limitations respect the essence of fundamental freedoms and rights (Article 23.1 of the GDPR)

21. According to Article 23.1 of the GDPR, the legislative measure may limit the scope of the obligations and rights provided in Articles 12 to 22 "when such limitation respects the essence of fundamental freedoms and rights." Under Article 23 of the amended law of March 29, 2013, the scope of the obligations and rights provided in Article 13 (right to information when personal data is collected from the concerned person), in Article 14.1 (right to information when personal data has not been collected from the concerned person), and in Article 15 of the GDPR (right of access of the concerned person) is limited.

The right to information and the right of access are considered essential rights to enable the concerned person to exercise their other rights provided by the GDPR. They aim to ensure the effectiveness of the individual's control over the management of their personal data. More specifically, the right of access is explicitly mentioned in Article 8.2 of the Charter.

22. The CNPD notes that no clarification is provided by the authors of the draft law regarding

the extent of this limitation, which opens up numerous possibilities for restrictions on the rights of access and information of the concerned persons. In this regard, the CNPD wishes to remind that a generalized restriction, to the extent that it would empty a fundamental right of its basic content, cannot be justified. In any case, a general exclusion of the rights of the concerned persons regarding all or certain data processing operations or regarding specific data controllers would not respect the essence of the fundamental right to the protection of personal data, as enshrined in Article 8, paragraph 2 of the Charter³³².

ii. The limitations constitute a necessary and proportionate measure in a democratic society (proportionality and necessity test, Article 23.1 of the GDPR)
23. According to Article 23.1 of the GDPR, the legislative measure may limit the scope of the obligations and rights provided in Articles 12 to 22 when it "constitutes a necessary and proportionate measure in a democratic society [...]." A proportionality and necessity test must therefore be conducted before establishing a limitation³³³.

³³² European Data Protection Board (EDPB), Guidelines 10/2020 on restrictions under Article 23 GDPR, §14

³³³ European Data Protection Board (EDPB), Guidelines 10/2020 on restrictions under Article 23 GDPR, §40

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24. The provisions under review must initially constitute a strictly necessary measure to achieve the objectives of combating fraud and tax evasion, preserving tax revenues, and promoting fair taxation. As for income derived from commercial activities conducted through the intermediation of digital platforms, the explanatory memorandum of the draft law indicates that tax administrations generally do not have sufficient and concrete information to correctly assess and control these revenues.

Although it does not appear from the documents accompanying the draft law that a necessity test has been conducted, the CNPD understands that the proper functioning of the tax administration constitutes a legitimate objective and that the right to information and the right of access of a taxpayer should not prevent the administration from carrying out its missions.

25. However, the National Commission questions the potentially disproportionate nature of the limitations provided for in the draft law, as in the absence of clarifications, these could be applied arbitrarily to all processing carried out by the tax administration and without time limitation.

To satisfy the requirement of proportionality, the Court of Justice of the European Union has stated that such regulation must provide clear and precise rules governing the scope and application of the measure in question and impose minimum requirements, so that individuals whose personal data are concerned have sufficient guarantees to effectively protect this data against the risks of abuse. This regulation must be legally binding under domestic law and indicate under what circumstances and conditions a measure providing for the processing of such data may be taken, thereby ensuring that the interference is limited to what is strictly necessary.

The CNPD invites the authors of the draft law to take into account the example provided by the EDPB in its guidelines on Article 23 of the GDPR regarding the limitation of the right of access by a tax administration.

334 Recital (36) of Directive (EU) 2021/514 of the Council of March 22, 2021, amending Directive 2011/16/EU on administrative cooperation in the field of taxation

335 See the judgment of the CJEU of March 2, 2021, Prokuratuur, C-746/18, ECLI:EU:C:2021:152, paragraph 48; judgment of the CJEU of December 21, 2016, Tele2, C-203/15 and C-698/15, ECLI:EU:C:2016:970, paragraphs 117 and 118; judgment of the CJEU of October 6, 2020, Privacy International, C-623/17, ECLI:EU:C:2020:790, paragraph 68; judgment of the CJEU of October 6, 2020, La Quadrature du Net et al., C-511/18, C-512/18 and C-520/18, ECLI:EU:C:2020:791, paragraph 132.

336 European Data Protection Board (EDPB), Guidelines 10/2020 on restrictions under Article 23 GDPR, Version 2.0, adopted on October 13, 2021, §27: “As an example, a Direct Tax Administration may impose restrictions to the rights of access by the data subject where he or she is under an investigation led by the Tax Administration in the framework of its legal duty, in so far as this access would jeopardise the ongoing investigation. However, such restriction should be limited to the time necessary for the specific investigation and should be lifted as soon as the Tax Administration closes the investigation. The data subject should be informed without delay and be notified with the justifications contained in the decision of the controller and with the date from which he or she may again exercise his or her right of access. Also, appropriate safeguards should be ensured such as, for instance, an indirect access - when it is foreseen in national law - so as to ensure that an independent Authority may check the lawfulness of the processing.”

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iii. The limitations must be provided for by means of legislative measures (Article 23.1 of the GDPR) 26. The recital (41) of the GDPR states:

“When this regulation refers to a legal basis or a legislative measure, this does not necessarily mean that the adoption of a legislative act by a parliament is required, without prejudice to the obligations provided for under the constitutional order of the Member State concerned. However, this legal basis or legislative measure should be clear and precise, and its application should be predictable for individuals, in accordance with the case law of the Court of Justice of the European Union [...] and of the European Court of Human Rights.”

In this regard, the Court of Justice of the European Union has ruled that regulations containing a measure allowing interference, such as those provided for by Article 23 of the GDPR, must provide clear and precise rules governing the scope and application of the measure in question and imposing minimum requirements, so that individuals whose personal data have been transferred have sufficient guarantees to effectively protect that data against the risks of abuse.

Any measure adopted under Article 23 of the GDPR must thus be clear and precise, and its application must be predictable for individuals. In particular, individuals must be able to identify the circumstances and conditions under which the scope of the rights conferred upon them by the GDPR may be subject to limitation by the data controller.

27. However, the CNPD again notes the lack of precision in Article 23 of the amended law of March 29, 2013, concerning administrative cooperation in the field of taxation. The authors of the draft law could, in this regard, draw inspiration from German legislation, particularly Articles 32a, 32b, and 32c of the German Fiscal Code. For example, regarding the information to be provided when personal data is collected from the data subject, Article 32a limits the right to information of the data subject only concerning further processing of personal data for a purpose other than that for which the personal data was collected (limitation of Article 13.3 of the GDPR). This German provision specifies that such a limitation can only be established in 4 cases:

if the respect of such a right could (1) compromise the proper execution of the tasks within the jurisdiction of the tax authorities, for example, and that the interests of the tax administration in not

providing the information prevail over those of the data subject; (2) jeopardize public security or harm the general welfare of the federal state or the Land, and that the interests of the tax administration in not providing the information prevail over those of the data subject; (3) impede the ability of a legal representative of the tax administration to ascertain, exercise, or defend a right in civil proceedings, and that the tax administration is not subject to an obligation to provide information under civil law; or (4) could prevent the confidential disclosure of protected data to public authorities:

(1) The obligation of the tax authority to inform the data subject pursuant to Article 13(3) of Regulation (EU) 2016/679 does not exist in addition to the exception mentioned in Article 13(4) of Regulation (EU) 2016/679 when the provision of information about the intended further processing or disclosure

1. would jeopardize the proper execution of the tasks within the jurisdiction of the tax authorities in the sense of Article 23(1)(d) to (h) of Regulation (EU) 2016/679 and the interests of the tax authorities in not providing the information outweigh the interests of the data subject,

2. would jeopardize public safety or order or otherwise, and the interests of the tax authority in not providing the information outweigh the interests of the data subject,

3. would impair the legal entity of the tax authority in asserting, exercising, or defending civil claims or in defending against civil claims asserted against it in the sense of Article 23(1)(j) of Regulation (EU) 2016/679, and the tax authority is not obliged to provide information under civil law, or

4. would jeopardize the confidential disclosure of protected data to public authorities.

Article 32a(2) also specifies the cases in which the proper execution of the administration's tasks could be compromised, in cases where the communication of information could allow the data subjects or third parties to conceal relevant facts for tax purposes, erase relevant evidence for tax purposes, adjust the manner and extent of their duty to cooperate at the level of...

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knowledge of the tax authorities

or in cases where the

communication of information

would allow for the deduction of the design

of automated risk management systems

or control and verification measures

and would thus make it difficult

to uncover facts relevant for

tax purposes:

(2) The proper fulfillment of the

tasks within the jurisdiction of the tax authorities

in the sense of

Article 23(1)(d) to (h)

of Regulation (EU) 2016/679 is

particularly jeopardized when the

provision of information

1. could enable the affected person or third parties to

a) conceal tax-relevant

facts,

b) obscure tax-relevant traces, or

c) adjust the nature and extent of the fulfillment

of tax cooperation obligations

to the knowledge of the

tax authorities, or

2. allows for conclusions about the

design of automation-supported

risk management systems

or planned control or

audit measures, thereby significantly complicating the discovery of tax-relevant facts.

28. It follows from the above considerations that the tax administration cannot deviate from the provisions of Articles 13, 14, and 15 of the GDPR in the absence of a clear and precise legal basis, the application of which is foreseeable for the parties concerned, specifying the circumstances and conditions under which the scope of the obligations and rights provided in these articles may be limited.

iv. The limitations serve important objectives of general public interest (Article 23(1)(e) of the GDPR)

29. It emerges from the draft law that the scope of the rights to information and access of the affected person is limited to the extent necessary to safeguard important objectives of public interest of the European Union or a Member State, of an economic or financial nature. The national commission understands from the reading of the explanatory memorandum that the budgetary and fiscal areas are targeted by the draft law. It also takes note of all the objectives stated in the directive, notably in Recital (6) which states: "Compliance with tax obligations is lacking, and the value of undeclared income is significant. The tax administrations of the Member States have insufficient information to correctly assess and control the gross income received in their country, which comes from business activities conducted with the intermediation of digital platforms. This is particularly problematic when the income or the taxable amount passes through digital platforms established in another jurisdiction."

b. On the presence of specific provisions in accordance with Article 23(2) of the GDPR

30. The legislative measure limiting the rights of affected persons must also provide specific provisions related to the guarantees listed in paragraph 2 of Article 23 of the GDPR.

The draft law under review should thus include specific provisions related to the purposes or categories of processing, the categories of personal data,

the extent of the limitations introduced, the guarantees intended to prevent abuse or illegal access or transfer, the determination of the data controller, the retention periods, the risks to the rights and freedoms of the affected persons, and the right of the affected persons to be informed of the limitation.

The CNPD notes that the draft law contains a number of clarifications regarding the categories of personal data and their retention period. However, it finds that the provisions of the draft law, in particular the new Article 23 of the amended law of March 29, 2013, Article 10 of the draft law, the new Article 5 of the law of December 18, 2015, the new Article 7 of the amended law of December 23, 2016, and the new Article 14 of the amended law of March 25, 2020, are not sufficiently precise or simply do not contain provisions regarding the extent of the limitations introduced, the guarantees intended to prevent abuse or illegal access or transfer, the determination of the data controller, the risks to the rights and freedoms of the affected persons, and the right of the affected persons to be informed of the limitation.

31. These considerations lead the CNPD to conclude that the provisions under review only partially comply with the conditions required by Article 23 of the GDPR. The national commission therefore deems it necessary to draw more precise conclusions regarding the developments of point 2 related to the limitation of the rights of the affected person and to supplement the provisions of the draft law to ensure compliance with Article 23 of the GDPR.

3. On the transfer of personal data of taxpayers to third countries

32. Article 15 of the draft law provides for the introduction of a paragraph 6 in Article 5 of the amended law of December 18, 2015, relating to the Common Reporting Standard: "The exchange of information under this law and occurring with other Member States of the European Union is subject to the provisions of Article

23 of the amended law of March 29, 2013
relating to administrative cooperation
in the field of taxation.”

However, this last provision remains
silent regarding the exchange of data
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personal data with third countries to the European Economic Area (EEA). Indeed, the amended law of
December 18, 2015, concerning the Common Reporting Standard provides for the automatic
exchange of information related to financial accounts for tax purposes with the Member States of the
European Union as well as with other partner jurisdictions of Luxembourg³⁴⁰.

Article 96 of the GDPR states:

“International agreements involving the transfer of personal data to third countries or to international
organizations that were concluded by Member States before May 24, 2016, and that comply with
Union law as applicable before that date, shall remain in force until they are amended, replaced, or
revoked.”

33. In this regard, the CNPD wishes to remind that despite the existence of this provision and its
potential application to transfers based on the Common Reporting Standard, the EDPB has invited
Member States to assess and, where appropriate, reconsider their international agreements involving
international transfers of personal data, such as those related to taxation (for example, the automatic
exchange of personal data for tax purposes) that were concluded before May 24, 2016³⁴¹. This
reassessment should be carried out to determine whether, while pursuing the important public
interests covered by the agreements, it may be necessary to further align them with the current
legislation and case law of the Union regarding data protection, as well as with the guidelines of the
EDPB.

34. The National Commission takes this opportunity of the draft law to remind certain important
elements to best ensure compliance with the provisions of the GDPR concerning the transfer of
personal data to third countries that do not benefit from an adequacy decision from the European
Commission.

Article 46.1 of the GDPR provides: “In the absence of a decision under Article 45, paragraph 3³⁴², the
data controller or the processor may transfer personal data to a third country or to an international
organization only if it has provided appropriate safeguards and, on condition that the data subjects
have enforceable rights and effective legal remedies.”

The CNPD reminds that regarding minimum safeguards, international agreements between the
authorities

³⁴⁰ List of partner jurisdictions in the Grand-Ducal Regulation of March 15, 2016, implementing Article
2, paragraph 4 of the law of December 18, 2015, concerning the Common Reporting Standard

³⁴¹ European Data Protection Board (EDPB), Statement 04/2021 on international agreements,
including transfers, available at: https://edpb.europa.eu/our-work-tools/our-documents/statements/statement-042021-international-agreements-including_fr

³⁴² Adequacy decisions adopted by the European Commission (list of concerned countries available
here: https://ec.europa.eu/info/law/law-topic/data-protection/international-dimension-data-protection/adequacy-decisions_fr)

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public bodies should notably contain
provisions relating to the scope
of application and the purposes of
the processing, the categories of personal
data concerned and the type of data
processing, the definitions of key concepts

in data protection law, the principle of purpose limitation, the principles of accuracy and data minimization, the principle of storage limitation, the security and confidentiality of data, the rights of data subjects (transparency, access, rectification, erasure, restriction of processing, right to object), the absence of a decision based solely on automated individual decision-making, the rights to remedy, and independent control mechanisms to verify the proper application of the agreement³⁴³.

These appropriate safeguards may be provided by a legally binding and enforceable instrument between public bodies (Article 46.2.a of the GDPR) or, with the authorization of the competent supervisory authority, by provisions to be integrated into administrative arrangements between public bodies (Article 46.3.b of the GDPR). These instruments and arrangements may be bilateral or multilateral.

35. The CNPD notes that some of these safeguards are provided for in the amended law of December 18, 2015, relating to the Common Reporting Standard, but they are therefore not enforceable against bodies from third countries.

The CNPD observes that certain safeguards appear notably in Article 22 (“Secrecy”) of the Convention on Mutual Administrative Assistance in Tax Matters (effective June 1, 2011) and its amending protocol, signed in Paris on May 29, 2013, by the various countries applying the Common Reporting Standard (“Multilateral Convention on Mutual Administrative Assistance in Tax Matters”), but are nevertheless insufficient in light of the GDPR and the Guidelines of the EDPB³⁴⁴.

Finally, the National Commission notes the existence of a Multilateral Agreement between competent authorities regarding the automatic exchange of information related to financial accounts and the declaration signed in Berlin on

October 29, 2014 ("CRS Multilateral Competent Authority Agreement" or "CRS MCAA") containing a section 5 relating to Confidentiality and Data Protection and an Annex C relating to details concerning the protection of personal data. The CNPD regrets that such an annex

343 European Data Protection Board (EDPB), Guidelines 2/2020 on Article 46(2)(a) and Article 46(3)(b) of Regulation (EU) 2016/679 for the transfer of personal data between authorities and public bodies established in the EEA and those established outside the EEA, available at: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-2020-articles-46-2-and-46-3-b-regulation_fr

344 European Data Protection Board (EDPB), Guidelines 2/2020 on Article 46(2)(a) and Article 46(3)(b) of Regulation (EU) 2016/679 for the transfer of personal data between authorities and public bodies established in the EEA and those established outside the EEA.

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does not appear in the Official Journal of the Grand Duchy of Luxembourg³⁴⁵, thus not facilitating for the concerned individuals the knowledge of their rights regarding the protection of personal data.

In this regard, it is also important to recall that according to Article 14.1 of the GDPR, the data controller has the obligation to inform the concerned individuals that it intends to carry out a transfer of personal data to a recipient in a third country, and the existence or absence of an adequacy decision made by the European Commission or, in the case of transfers referred to in Article 46 of the GDPR, the reference to appropriate or suitable safeguards and the means to obtain a copy of them or the location where they have been made available. However, the absence of publication of the aforementioned annex makes it difficult for the Administration of Direct Contributions to implement these provisions.

36. In light of the above, the National Commission questions, on the one hand, the appropriateness of the safeguards provided in the annex to the CRS MCAA in relation to Article 46.1 of the GDPR and the Guidelines of the EDPB³⁴⁶. On the other hand, it raises the question of the qualification of such an instrument as legally binding and enforceable (in accordance with Article 46.2.a) of the GDPR). The CNPD recalls that in accordance with Article 46.3.b) of the GDPR, such safeguards could also be provided in an administrative arrangement between the Administration of Direct Contributions and the public authority or public body of the third country, but such an arrangement must be submitted for prior authorization from the CNPD.

37. Article 49 of the GDPR provides for a limited number of specific situations in which international data transfers may take place in the absence of an adequacy decision from the European Commission. However, the exceptions provided for in this article must be interpreted restrictively and mainly concern processing activities that are occasional and non-repetitive³⁴⁷ (which is, for example, 345 Grand-ducal regulation of December 13, 2017, publishing the - Multilateral Agreement between competent authorities regarding the automatic exchange of information related to financial accounts and the declaration signed in Berlin on October 29, 2014 - the Multilateral Agreement between competent authorities regarding the exchange of country-by-country reports and the declaration signed in Paris on January 27, 2016 - the "Declaration on the effective date for exchanges of information under the multilateral competent authority agreement on automatic exchange of financial account information" signed in Luxembourg on December 21, 2016 - the "Declaration on the effective date for exchanges of information under the multilateral competent authority agreement on the exchange of country-by-country reports" signed in Luxembourg on June 30, 2017.

346 European Data Protection Board (EDPB), Guidelines 2/2020 on Article 46(2)(a) and (3)(b) of Regulation (EU) 2016/679 for transfers of personal data between authorities and public bodies established in the EEA and those established outside the EEA,

347 European Data Protection Board (EDPB), Guidelines 2/2020 on Article 46(2)(a) and (3)(b) of Regulation (EU) 2016/679 for transfers of personal data between authorities and public bodies established in the EEA and those established outside the EEA, available at: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-22020-articles-46-2-and-46-3-b-regulation_fr

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in the case of an exchange of information

upon request), but this is not

the case for the automatic exchange of information related to financial accounts

as provided for by the amended law of

December 18, 2015, relating to the

Common Reporting Standard.

XVI. On the allocation of responsibilities

38. Article 10.2 of the draft law provides that

the Reporting Platform Operators

and the Direct Tax Administration are

“considered as data controllers when,

acting alone or jointly, they determine

the purposes and means of processing

personal data [...]”. The commentary on this

provision even indicates that the ACD

and the Reporting Platform Operators are

“jointly responsible” for the processing of

data exchanged under the draft law.

Article 15.1 of the draft law amending

Article 5 of the amended law of December 18,

2015, relating to the Common Reporting

Standard similarly provides that the

Luxembourg Reporting Financial Institutions

and the Direct Tax Administration are

“considered as data controllers when,

acting alone or jointly, they determine

the purposes and means of processing

personal data [...]”.

Article 15.3 of the draft law amending

Article 14 of the amended law of March 25,

2020, relating to cross-border arrangements

provides that intermediaries and the

Direct Tax Administration are “considered

as data controllers when, acting alone or

jointly, they determine the purposes and

means of processing personal data [...]”.

39. As a preliminary point, the CNPD finds

it necessary to clarify that in the

case of a public entity, it is indeed

by virtue of the law that it is tasked

with certain administrative duties.

It is therefore not the Direct Tax Administration that determines the purposes and means of processing personal data itself, but the legal provisions establishing the processing. It is thus up to the text of the draft law to determine who the data controllers are.

40. The concept of joint responsibility is provided for in Article 26.1 of the GDPR and corresponds to the situation where two or more data controllers jointly determine the purposes and means of processing.

However, the fact that several actors participate in the same processing does not necessarily mean that they act as joint controllers of that processing. Not all types of partnership, cooperation, or collaboration imply that the entities are joint controllers of the processing, given that this quality requires a case-by-case analysis of each processing and the specific role that each entity plays in each processing.

In the context of administrative cooperation in the tax field, entities such as the Reporting Platform Operators, the Luxembourg Reporting Financial Institutions, or intermediaries process the data of the data subjects in order to comply with their reporting obligations as provided by law. The Direct Tax Administration processes these data for different purposes, for example, the establishment and collection of taxes, or to fulfill its own obligations of cooperation with foreign competent authorities.

41. In this regard, the CNPD invites the authors of the draft law to refer to the guidelines of the EDPB regarding the concepts of data controller and processor in the GDPR. It is particularly important to refer to the example of a company communicating personnel data to the tax administration, a law requiring it to transmit all salary-related data to the tax administration in order to enhance tax control. In this example, the EDPB indicates that even if the company and the tax administration process the same salary-related data,

the absence of jointly determined purposes and means regarding this processing will result in both entities being considered as two distinct data controllers.

42. In light of the above, the National Commission recommends reconsidering the qualification of the Direct Tax Administration and respectively the Reporting Platform Operators, the Luxembourg Reporting Financial Institutions, or intermediaries as joint data controllers. The CNPD is of the opinion that within the framework of the various aforementioned provisions, the Direct Tax Administration should be qualified as a separate data controller.

43. The CNPD also notes that Article 14 (18°) of the draft law amending Article 23 of the amended law of March 29, 2013, relating to administrative cooperation in the tax field provides that the Luxembourg competent authority (the Minister in charge of Finance) is “considered as a data controller when, acting alone or jointly with other competent authorities of other Member States, it determines the purposes and means of processing personal data [...]”. The National Commission questions, on the one hand, the hypotheses.

348 European Data Protection Board (EDPB), Guidelines 07/2020 on the concepts of data controller and processor in the GDPR, §69, available at: https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-072020-concepts-controller-and-processor-gdpr_fr

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where the Minister responsible for Finance and other competent authorities of other Member States could be jointly responsible for processing. Such a situation could arise in the context of joint controls by the competent Luxembourg authority and the competent authority of another Member State (as provided for in the new Article 13bis of the amended law of March 29, 2013, on administrative cooperation in the field of taxation).

44. On the other hand, the CNPD questions the classification to be given to the various tax administrations processing the personal data of taxpayers based on the amended law of March 29, 2013, on administrative cooperation in the field of taxation (the Administration of Direct Contributions, the Administration of Registration and Domains, and the Administration of Customs and Excise). For example, in the context of the automatic and mandatory exchange of information (Article 9bis of the amended law of March 29, 2013, on administrative cooperation in the field of taxation), it is the Administration of Direct Contributions that communicates the personal data it holds to the authorities of other Member States and should be considered responsible for processing (in a manner similar to what is provided for by the draft law for the processing of data received by the Administration of Direct Contributions from Platform Operators).

45. In any case, the CNPD wishes to remind that in order to comply with the conditions of Article 26.1 of the GDPR, joint controllers of processing must conclude an agreement transparently outlining their respective obligations, including regarding the exercise of the rights of the data subject and their

respective obligations concerning the communication of information referred to in Articles 13 and 14 of the GDPR. The National Commission emphasizes in this regard that according to Article 25.7 of the directive, "[M]ember states, assisted by the Commission, shall lay down the practical arrangements necessary for the implementation of this article, including [...], where appropriate, a joint agreement between the controllers, an agreement between processors and controllers, or models of such agreements."

46. The National Commission also notes that in the context of their due diligence procedures as provided for in Article 4 of the draft law, Platform Operators may "rely on third-party service providers to fulfill their due diligence obligations [...]". Such reliance on a third party must be classified as a subcontracting relationship within the meaning of Article 4.8) GDPR and comply with the conditions of Article 28 of the GDPR.

XVII. Regarding access to the central electronic data search system extended to tax authorities

47. The CNPD observes that access "in a direct, immediate, and non

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"filtered" into the central electronic data search system is currently only provided for the CRF (Article 8.1 of the amended law of March 25, 2020 establishing a central electronic data search system concerning IBAN accounts and safes). The National Commission notes that Article 16 of the draft law aims to create such access for the Administration of Direct Contributions (for purposes arising from the amended law of March 29, 2013 on administrative cooperation in the tax field, the amended law of December 18, 2015 on the Common Reporting Standard, and the law of July 21, 2012 concerning mutual assistance in the recovery of claims related to taxes, duties, and other measures), for the Administration of Registration, Domains, and VAT, and for the Administration of Customs and Excise (for purposes arising from the law of July 21, 2012 concerning mutual assistance in the recovery of claims related to taxes, duties, and other measures).

48. The National Commission welcomes the currently applicable provisions regarding the limited number of persons authorized within national authorities to access the search system and the communication of lists of this specifically designated and authorized personnel to the CSSF (Article 8.3 of the amended law of March 25, 2020). However, it notes that the Administration of Direct Contributions and the Administration of Customs and Excise are not defined as national authorities in Article 1 of the amended law of March 25, 2020. The CNPD therefore recommends that the authors of the draft law amend this article so that all provisions relating to national authorities are also applicable to the Administration of Direct Contributions and the Administration of Customs and Excise.

49. The CNPD also takes an interest in the measure provided for in Articles 9.2 and 9.3 concerning the logging of data related to each access and search conducted in the search system (access logging system). In this regard, the CNPD recommends that the log data be retained for a period of five years from their recording, after which they are deleted, unless they are subject to a control procedure.

However, the CNPD notes that Article 9.2 of the amended law of March 25, 2020 does not specify the modalities of searches by national authorities and self-regulatory bodies with sufficient precision. To avoid searches by national authorities and self-regulatory bodies taking on an exploratory nature ("fishing expeditions"), constituting a disproportionate or even abusive collection of personal data, the law should, for example, require the indication of a reason for access and specify the identification data that must be communicated to conduct a targeted search in the system.

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Such conditions would help prevent the possibility of conducting approximate searches, that is, searches that generate broader ranges of results, even if a term is misspelled or incomplete, thus widening the matching results.

50. The CNPD also emphasizes the importance of proactively conducting internal controls. To this end, it is necessary, in accordance with Article 32.1.d) of the GDPR, to implement a procedure "aimed at testing, analyzing, and regularly evaluating the effectiveness of technical and organizational measures to ensure the security of processing."

XVIII. Conclusion

The CNPD believes that, in its current state, the texts under review do not meet the requirements of precision and predictability that a legal text must fulfill. It considers it necessary for the text to be clarified, particularly on the following points:

- the processing and retention of identification documents within the framework of the due diligence procedures of Platform Operators;
- the use of online searchable registers by Platform Operators within their due diligence procedures;
- the form and modalities regarding the reporting of information by Platform Operators;
- the financial identification information relating to the account holder on which the Counterparty is paid or credited within the information to be communicated by Platform Operators;
- the limitation of the rights of the data subject in relation to tax administrations;
- the determination of separate and possibly joint data controllers.

Regarding the transfer of personal data of taxpayers to third countries, the National Commission invites the Ministry of Finance to assess and, if necessary, review the international agreements involving the automatic exchange of personal data for tax purposes. This review should be conducted to determine whether, while pursuing the significant public interests covered by the agreements, it would be necessary to align them with the provisions of the GDPR and the current jurisprudence of the European Union on data protection, taking into account the guidelines of the EDPS.

Thus adopted in Belvaux on December 2, 2022.

The National Commission for Data Protection

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Notice from the National Commission for Data Protection regarding the draft Grand-Ducal regulation amending the amended Grand-Ducal regulation of November 23, 1955, concerning traffic regulations on all public roads

(Deliberation No. 68/AV30/2022 of December 9, 2022)

1. In accordance with Article 57.1.c) of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, concerning the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or "CNPD") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Furthermore, Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a legislative proposal to be adopted by a national parliament, or a regulatory measure based on such a legislative measure, which relates to processing."

2. By letter dated November 29, 2022, the Minister of Mobility and Public Works invited the National Commission to express its opinion on the draft Grand-Ducal regulation amending the amended Grand-Ducal regulation of November 23, 1955, concerning traffic regulations on all public roads (hereinafter referred to as the "draft Grand-Ducal regulation").

3. It appears from the explanatory memorandum that the draft Grand-Ducal regulation "aims to create the regulatory framework for the introduction of the concept of a personal digital wallet available on a state mobile phone application and other devices, valid in the territory of the Grand Duchy of Luxembourg, which offers resident citizens the possibility to identify themselves online and offline. Initially, the personal digital wallet (in English: e-wallet) will group electronic certificates of the identity card and the driving license." In this regard, it should be noted that the National Commission has already advised on the draft Grand-Ducal regulation amending the amended Grand-Ducal regulation of June 18, 2014, concerning the identity card on November 21, 2022, and that this opinion essentially reiterates the observations made therein.

4. The authors of the draft Grand-Ducal regulation specify that the "creation of the state application for the Luxembourg personal digital wallet is part of the context of a European e-wallet, the introduction of which is envisaged by the European Commission in the coming years."

Indeed, the CNPD notes that the proposal for a regulation from the European Commission dated June 3, 2021, amending Regulation (EU) No. 910/2014 regarding the establishment of a European framework for a digital identity sets, among other things, the conditions for the issuance, by member states, of European digital identity wallets.

5. The authors of the draft Grand-Ducal regulation further indicate in the explanatory memorandum that "[t]he digital certificate of the driving license offers drivers holding a driving license the possibility to prove the existence of their license electronically. It is proposed to introduce a downloadable mobile application, allowing vehicle drivers who do not have their driving license in physical form on them to present to the police officer, during a road check, a digital certificate justifying that they hold a driving license. It should be noted that the use of this application is reserved for drivers who are in possession of a valid driving license."

6. Thus, the draft Grand-Ducal regulation aims to supplement Articles 70, point 1, and 173, point 1, of the amended Grand-Ducal regulation of November 23, 1955, concerning traffic regulations on all public roads in order to equate the presentation of an electronic certificate of the driving license, in a personal digital wallet application, with the presentation of the physical license.

7. It further results from the commentary on the articles that "the use of the personal digital wallet application, and thus the downloading of the digital certificate of the driving license, is purely optional and entirely depends on the choice of the driver who decides to opt or not to opt for this additional possibility. Obviously, drivers have the right to prove the existence of their license in the form of their choice." The National Commission is therefore surprised that the authors subsequently explain that "[t]he police officer who wants to ascertain the possession of the license by the holder of the digital certificate may invite the latter to present their physical driving license the following day."

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nearest police station." One must question the reasons for this precision on the part of the authors, given that it represents a notable difference from the provisions set out in the draft Grand-Ducal regulation amending the modified Grand-Ducal regulation of June 18, 2014, concerning the identity card. Indeed, regarding the identity card, it is stated in the commentary on the sole article that "[t]he person presenting their digital certificate to the police officer may not be asked simultaneously for the physical identity card." As for the draft Grand-Ducal regulation under review, the CNPD considers that the commentary on the articles contradicts the text itself, which expressly provides that the presentation of a digital certificate of the driving license is equivalent to the presentation of the physical driving license. It indeed raises the question of what the utility of the draft Grand-Ducal regulation would be if the police officer can request, in addition to the presentation of the digital certificate, the presentation of the driving license in physical form.

8. Furthermore, the National Commission notes that the draft Grand-Ducal regulation under review is limited to providing that a digital certificate of the driving license, found in a personal digital wallet application, allows drivers to prove the existence of their license electronically. On the other hand, the basic application that will constitute the personal digital wallet is not regulated by this draft, and the

CNPD is therefore unable to express an opinion. For this reason, it cannot follow the considerations of the authors of the draft Grand-Ducal regulation who state that the said draft “aims to create the regulatory framework for the introduction of the concept of a personal digital wallet available on a state mobile phone application and other devices, [...]”.

The CNPD assumes that a processing of personal data is implemented by the State through the said “state mobile phone application and other devices,” which thus allows the downloading of the digital certificate of the driving license. The commentary on the articles only explains that “[t]he digital identifier being defined as a mode of storage and representation of data in a transmissible format via a mobile application, this application will be an application developed and implemented by the State,” without further explanations on the processing of personal data carried out.

9. The CNPD wishes to emphasize that any processing of personal data must be based on a lawful basis in accordance with Article 6 of the GDPR. In particular, it is important to recall that the processing of personal data necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller, or necessary for compliance with a legal obligation to which the said controller is subject, must be based on a legal basis.

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in accordance with Article 6.3 of the GDPR, read together with its paragraph 1, letters c) and e) which states that:

“The basis for the processing referred to in paragraph 1, points c) and e), is defined by:

- a. Union law; or
- b. the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, in relation to the processing referred to in paragraph 1, point e), are necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller. This legal basis may contain specific provisions to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of processing by the data controller; the types of data that are subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may be communicated; the limitation of purposes; the retention periods; and the processing operations and procedures, including measures to ensure lawful and fair processing, such as those provided for in other specific situations of processing as provided for in Chapter IX.”

Recital (41) of the GDPR further specifies that this legislative measure should be clear and precise and its application should be predictable for individuals, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights.³⁵¹

10. Any processing of personal data carried out by the State through the said application must therefore be provided for in a law in the strict sense of the term in order to meet the aforementioned requirements of foreseeability and predictability to which any legal text must respond, by reference to European case law, and in the interest of transparency and legal certainty. Likewise, it goes without saying that appropriate technical and organizational measures should be put in place and that the rights of data subjects, as provided for in Chapter III of the GDPR, should be respected.

11. Furthermore, the National Commission considers that the assimilation of the presentation of an electronic certificate of the driving license, contained in the personal digital wallet, to the presentation of the physical driving license should be included in the amended law of February 14, 1955 concerning the regulation of traffic on all public roads and not in

351 In this sense, V.M. Besch, “Processing of personal data in the public sector,” *Standards and Legislation in Public Law in Luxembourg*, Luxembourg, Promoculture Larcier, 2019, p.469, n°619; see also European Court of Human Rights, *Zakharov v. Russia* [GCL n°47413/06], § 228-229, December 4, 2015. European Court of Human Rights, *Vavříčka and others v. Czech Republic* (applications n°47621/13 and 5 others), § 276 to 293, April 8, 2021.

the Grand-Ducal regulation of November 23, 1955, concerning traffic regulations on all public roads. It also raises the question of whether the principle of checking the driving license by police officers does not fall under a matter reserved for the law. In this regard, it should be recalled that Article 32.3 of the Constitution states that “[i]n matters reserved for the law by the Constitution, the Grand-Duke may only issue regulations and orders by virtue of a specific legal provision that sets out the objective of the enforcement measures and, where applicable, the conditions to which they are subject.”

12. The draft Grand-Ducal regulation also raises questions about the practical functioning of this system. Thus, the commentary on the articles provides that “[t]he police officer to whom the digital certificate is presented will be able to read the digital identifier (which may take the form of a QR code or a barcode, for example) affixed to the certificate, using applications on his professional smartphone. These applications allow him, where applicable, to compare and verify the data displayed by the digital identifier with those contained in the databases of the national register of natural persons (RNPP) and driving licenses.” However, will the digital certificate contain a digital copy of the driving license, or will it only indicate the existence of a driving license through a QR code or a barcode? What data is precisely displayed by the digital identifier? In the eyes of the CNPD, these points should necessarily be subject to the legislative framework in the draft.

13. It also follows from the commentary on the articles that, in order to ensure the currency of the data related to the driving license displayed on the digital certificate of the license, this data is updated in the corresponding databases. The National Commission wonders which databases are exactly referred to.

14. In any case, it emerges from the explanations provided in the commentary on the articles that police officers will process personal data by scanning the said QR code or barcode and comparing the data displayed by the digital identifier with those contained in the national register of natural persons (RNPP) and driving licenses. The CNPD assumes that this application available to police officers, allowing them to read the digital identifier affixed to the certificate of the person concerned, is different from the state application on which the personal digital wallet will be available.

15. As long as these questions are not resolved in light of the considerations above, the CNPD cannot give a favorable opinion on the draft text under review, as the legal framework to which a legal text must respond is lacking.

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16. It therefore considers it necessary to specify that the law of August 1, 2018, concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security applies to the processing of personal data by the Grand-Ducal Police in the execution of its missions of prevention and detection of criminal offenses, investigations, and prosecutions in this area or the execution of criminal sanctions, including protection against threats to public safety and their prevention.³⁵² Moreover, said law also applies to processing carried out by the Grand-Ducal Police in the execution of missions for purposes other than those mentioned in the previous sentence and provided for by special laws.³⁵³

The verification of the existence of the driving license by the Grand-Ducal Police through the said application allowing the reading of the digital identifier affixed to the digital certificate of the holder must therefore comply with the provisions of the aforementioned law.

Thus adopted in Belvaux on December 9, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

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352 Law of August 1, 2018, concerning the processing of personal data in criminal matters and national security, Article 1, paragraph 1.

353 Ibid, Article 1, paragraph 2.a).

the compliance of certain vehicles with the regulations in force, and to facilitate the exchange of information regarding traffic violations and the identification of offenders.”

5. The Commission nationale has examined the draft law and the draft grand-ducal regulation in light of the applicable legal framework, particularly the GDPR and the national laws concerning data protection.

6. The Commission nationale emphasizes the importance of ensuring that any data processing activities resulting from the implementation of the draft law and the draft grand-ducal regulation comply with the principles of data protection, including legality, fairness, transparency, purpose limitation, data minimization, accuracy, storage limitation, integrity, confidentiality, and accountability.

7. The Commission nationale recommends that the draft law and the draft grand-ducal regulation include specific provisions to safeguard the rights of individuals whose personal data may be processed, including the right to access, rectify, erase, and object to the processing of their data.

8. Furthermore, the Commission nationale advises that appropriate technical and organizational measures be put in place to ensure the security of personal data against unauthorized access, loss, or destruction.

9. The Commission nationale also highlights the necessity of conducting a Data Protection Impact Assessment (DPIA) prior to the implementation of the proposed measures, as required under Article 35 of the GDPR, to evaluate the risks to the rights and freedoms of individuals and to identify measures to mitigate those risks.

10. In conclusion, the Commission nationale supports the objectives of the draft law and the draft grand-ducal regulation but urges that the recommendations outlined above be taken into account to ensure compliance with data protection laws and to protect the rights of individuals.

(Délibération n° 69/AV31/2022 du 19 décembre 2022)

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the customs clearance of the vehicle. This process between administrations will allow the citizen no longer to have to carry out this procedure themselves and will accelerate the registration of the vehicle,” to “create a legal basis that allows the exchange of data related to road vehicles regarding registration and civil liability (RC) insurance between the SNCA, as a subcontractor of the minister responsible for transport, and insurance companies,”

as well as to create a centralized database “allowing to obtain and maintain reliable information on the RC insurance of road vehicles.”

5. The National Commission will limit its observations to issues concerning the aspects related to the protection of personal data.

I. On the creation of a database related to automobile civil liability insurance

1. Preliminary remarks

6. In accordance with Article 6.3 of the GDPR, it is appropriate to commend the authors of the draft law for having provided for the very principle of creating a database related to automobile civil liability insurance³⁵⁴ (hereinafter the database “TR. RCA”).

Indeed, when the processing of personal data is “necessary for compliance with a legal obligation to which the data controller is subject”³⁵⁵ or “is necessary for the performance of a task carried out in the public interest”³⁵⁶, then the basis for such processing is notably defined by “the law of the Member State to which the data controller is subject” in accordance with Article 6.3 of the GDPR.

Article 6.3 of the GDPR states that “[t]he basis for the processing referred to in paragraph 1, points c) and e), is defined by:

- a. the law of the Union; or
- b. the law of the Member State to which the data controller is subject.

The purposes of the processing are defined in this legal basis or, with regard to the processing referred to in paragraph 1, point e), are necessary for the performance of a task carried out in the public interest or related to the exercise of official authority vested in the data controller. This legal basis may contain specific provisions to adapt the application of the rules of this regulation, among others: the general conditions governing the lawfulness of the processing by the data controller; the types of data that are subject to processing; the data subjects; the entities to which personal data may be communicated and the purposes for which they may

³⁵⁴ See Article 4.7, paragraph 3 of the amended law of February 14, 1955, concerning the regulation of traffic on all public roads, as amended by Article 4 of the draft law

³⁵⁵ Article 6.1.c of the GDPR.

³⁵⁶ Article 6.1.e of the GDPR.

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the entity; the limitation of purposes; the retention periods; and the processing operations and procedures, including measures aimed at ensuring lawful and fair processing, such as those provided for in other specific situations of processing as stipulated in Chapter IX.”

This article provides a specific constraint related to the lawfulness of data processing necessary for compliance with a legal obligation or for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller. In both cases, the basis and purposes of data processing must be specifically defined either by European Union law or by the law of the

Member State to which the data controller is subject.

7. Furthermore, Recital (45) of the GDPR specifies that it should "belong to Union law or the law of a Member State to determine the purpose of the processing. Moreover, this law could specify the general conditions of this regulation governing the lawfulness of the processing of personal data, establish the specifications for determining the data controller, the type of personal data being processed, the data subjects, the entities to which the personal data may be communicated, the limitations of purpose, the retention period, and other measures aimed at ensuring lawful and fair processing."

8. Recital (41) of the GDPR further states that "[w]hen this regulation refers to a legal basis or a legislative measure, this does not necessarily mean that the adoption of a legislative act by a parliament is required, without prejudice to the obligations laid down under the constitutional order of the Member State concerned. However, this legal basis or legislative measure should be clear and precise, and its application should be foreseeable for the individuals concerned, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights."

9. Under the aforementioned provisions, these legal bases should establish specific provisions aimed at determining, among other things, the types of data processed, the data subjects, the entities to which the data may be communicated and for what purposes, the retention periods of the data, and the processing operations and procedures.

10. It must be noted that the text under review does not clearly specify what categories of data would be processed and retained in the TR.RCA database, nor for what purposes these would be processed, nor what the retention periods for such data would be.

11. Such clarifications are all the more important given that the data controller of this database would be the Minister responsible for transport (hereinafter the "Minister"), but it would be managed by a private company, the SNCA, and would, moreover, be fed by data collected by private companies, namely the insurance companies of the Grand Duchy of Luxembourg. The National Commission will address, throughout its opinion, in detail the issues that may arise from such a system.

12. Furthermore, it is regrettable that the provisions governing such a database are scattered across several legal texts, making it difficult to understand the contours and scope of the TR.RCA database. Indeed, the draft law intends to provide provisions relating to this database in the amended law of February 14, 1955, concerning the regulation of traffic on all public roads, the amended law of April 16, 2003, relating to mandatory civil liability insurance for motor vehicles, as well as in the amended Grand-Ducal regulation of January 26, 2016, relating to the reception and registration of road vehicles.

13. For better readability and understanding of the functioning of the TR.RCA database, should not the provisions relating to the TR.RCA database be consolidated into a single text?

2. On the role of the different actors

A. On the role of the Minister, the SNCA, and the CTIE

14. It should be recalled that Article 4, point 7), of the GDPR defines the data controller as "the natural or legal person, public authority, agency, or other body which, alone or jointly with others, determines the purposes and means of the processing; where the purposes and means of that processing are determined by Union law or the law of a Member State, the data controller may be designated or the specific criteria for its designation may be provided for by Union law or by the law of a Member State."

Article 4, point 8), of the GDPR defines the processor as "the natural or legal person, public authority, agency, or other body which processes personal data on behalf of the data controller."

15. It follows from the provisions of the draft law that the "Minister is the data controller in accordance with the provisions of Article 4, point 7), of the [GDPR]," the "[CTIE] is the processor in accordance with the provisions of Article 4, point 8) of the [GDPR]," and "the SNCA is the processor in accordance with the provisions of Article 4, point 8), of the [GDPR]."

16. While it is appropriate to commend the efforts of the authors of the bill for attempting to define the role of the minister, that of the State Information Technology Center (hereinafter referred to as the "CTIE") as well as that of the SNCA from the perspective of data protection, these provisions are, however, incomplete.

17. Indeed, in order to understand the scope of such roles from a data protection perspective, it is essential that the text under review specifies for which data processing the minister is the data controller, and clarifies that the CTIE and the SNCA are the minister's processors.

18. Thus, the CNPD recommends specifying that the minister would be the data controller for the data processing carried out in the context of maintaining the TR.RCA database, that the SNCA would be the minister's processor, in that it would manage such a database, and that the CTIE would also be the minister's processor, in that it would implement the technical solutions enabling the maintenance of said database.

B. On the role of insurance companies

19. It should be noted that the role of insurance companies is not clearly defined in the bill. Indeed, it appears from the provisions of Article 4 of the bill that the SNCA would collect directly from the concerned insurance company the data related to the automobile liability insurance of road vehicles for the vehicle to be registered.

Article 29 of the bill further provides that insurance companies would notify the SNCA of "the expiration, cancellation, termination, or suspension of the contract or guarantee, related to a road vehicle subject to the registration obligation."

In accordance with Article 36 of the bill, they could also provide "the personal data of the policyholder, and of the owner, holder of the road vehicle or holder of the registration certificate to be established in the database related to the automobile liability insurance of road vehicles, as well as the technical data to identify the vehicle, which is the subject of the insurance contract, for the creation of the insurance contract and the registration certificate of the road vehicle."

20. Thus, insurance companies would act sometimes as a mere "data provider," sometimes as a data controller within the framework of the legal obligations arising from the aforementioned articles.

However, it is difficult to understand from reading these provisions in which situation insurance companies would act as a "data provider" or as a data controller.

21. Therefore, it is imperative in the eyes of the National Commission to clarify the role of insurance companies in order to clearly draw the consequences of their role within the framework of the TR.RCA database from a data protection perspective.

3. On the purposes of the TR.RCA database

22. Article 4 of the bill, which introduces the principle of the creation of the TR.RCA database, states that "[t]o certify the conclusion of an insurance contract complying with the provisions of the amended law of April 16, 2003, relating to the mandatory insurance of civil liability in respect of motor vehicles, the SNCA collects and retains, in the context of the registration of a road vehicle, in a database related to the automobile liability insurance of road vehicles, the data related thereto, collected from the authorized insurance company."

23. Data related to insurance would therefore be collected and retained by the SNCA in the TR.RCA database as they would be necessary for the purpose of registering the vehicle. However, it must be noted that the creation of a "national central insurance file" does not seem to rely solely on such purposes based on the explanations provided by the authors of the bill in the explanatory memorandum and their comments on the articles.

A. On the purposes for the registration of a road vehicle

24. It should be noted that the SNCA is already collecting data related to the automobile liability insurance of road vehicles because every vehicle must be covered by valid insurance in order to be put into circulation on the territory of the Grand Duchy of Luxembourg.

25. Indeed, one of the documents to be provided in the context of "the registration of a vehicle in Luxembourg" or "the obtaining of a registration certificate, a compliance sticker, a document or a copy of a document relating to the registration of a vehicle or any other administrative operation in the

context of putting a vehicle into circulation on public roads or taking it out of circulation on public roads in Luxembourg," is proof of "coverage of the vehicle by liability insurance for motor vehicles."

26. However, what would be the reasons for retaining such data in the TR.RCA database for the purpose of registering a road vehicle? Indeed, no provision...

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currently applicable, within the framework of the registration of a road vehicle, does not seem to justify such retention in a dedicated database, once the vehicle registration is completed.

27. Explanations on this matter would merit being provided by the authors of the draft law.

B. On the purposes for the control of the validity of a motor liability insurance

a. On the provisions of the directive (EU) 2021/2118 of the European Parliament and of the Council of 24 November 2021

28. Article 4.1 of the directive (EU) 2021/2118 of the European Parliament and of the Council of 24 November 2021 states that

"[e]ach Member State shall refrain from carrying out checks on the insurance of the civil liability of vehicles which are normally parked on the territory of another Member State or which are normally parked on the territory of a third country and enter its territory from the territory of another Member State. However, it may carry out these insurance checks provided that they are not discriminatory, that they are necessary and proportionate to the objective pursued, and:

a) that they are carried out within the framework of a check not aimed exclusively at verifying the insurance; or

b) that they are part of a general system of checks on the national territory also conducted on vehicles that are normally parked on the territory of the Member State carrying out the check and do not require the vehicle to be stopped."

29. Recital (16) of the said directive provides clarifications regarding these provisions, stating that "[M]ember States must currently refrain from checking the insurance of vehicles that are normally parked on the territory of another Member State, or

that are normally parked on the territory of a third country and enter their territory from the territory of another Member State. However, new technological innovations, such as technology enabling automatic license plate recognition, allow for the insurance of vehicles to be checked without stopping them and thus without interfering with the free movement of persons. It is therefore appropriate to allow checks on the insurance of vehicles, only if they are not discriminatory, if they are necessary and proportionate, if they are part of a general system of checks on the national territory also conducted on vehicles that are normally parked on the territory of the Member State carrying out the checks and if they do not require stopping the vehicle.”

Recital (17) of the aforementioned directive further states that “[M]ember States that opt for the establishment of a system that processes personal data that may subsequently be shared with other Member States, such as data obtained through license plate recognition technology, must legislate to allow the processing of personal data for the purposes of combating uninsured driving, while implementing appropriate measures to safeguard the rights and freedoms as well as the legitimate interests of the individuals concerned by these data. The provisions of the [GDPR] apply to the processing of personal data for the purposes of combating uninsured driving. The legislation of Member States should in particular specify the exact purpose, indicate the relevant legal basis, meet the applicable security requirements, respect the principles of necessity, proportionality, and “purpose limitation,” and set a proportionate retention period for the data.”

30. It follows from the above that it is left to Member States to establish systems for the control of vehicle insurance that would involve the processing of personal data.

However, it does not follow from the aforementioned directive (EU) 2021/2118 that Member States must create a national database regarding motor vehicle insurance, as

seems to be suggested by the authors of the draft law. The CNPD will return to this point below.

31. Furthermore, it should be noted that “[R]ecitals of directives are not subject to the obligation of transposition into national law, as they have no legal value in themselves. They simply contribute to facilitating the interpretation of the articles of the directives to which they relate and which prevail over the recitals in case of contradiction.”³⁶⁰

b. On the intentions of the authors of the draft law regarding the purposes pursued by the TR.RCA database

32. It emerges from the explanatory memorandum that

“[t]he European Union now makes it possible to check the obligation

to insure a road vehicle on road vehicles registered on

the territory of another Member State,

by the Police of the Member State on

whose territory this vehicle is located,

according to, in particular, Recital

(16) of the directive (EU) 2021/2118 of

the European Parliament and of the

Council of 24 November 2021 amending

Directive 2009/103/EC concerning

the insurance of civil liability arising from

the use of motor vehicles and

the control of the obligation to insure this

liability. Indeed, the question of the

³⁶⁰ In this sense, see M. Besch, “Processing of personal data in the public sector,” *Standards and Legislation in Public Law*

Luxembourg, Promoculture Larcier, 2019, p. 469, n°221.

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The lack of assurance for road vehicles is considered a serious issue, and allowing this exchange would contribute to improving road safety. Consequently, a vehicle registered in Luxembourg and operating on the territory of another Member State may be checked regarding the existence of its liability insurance. Instead of presenting a paper document, the reliability of which is relatively questionable, it is planned that the members of the Police of that Member State can directly verify this information in a database. The fact that this database is centralized is a requirement for this control system on a European scale. Conversely, the Grand Ducal Police will be able to conduct such checks under the same conditions on any vehicle registered in the territory of any other Member State.

33. The authors of the bill thus believe that “establishing this centralized database as well as the means to obtain and maintain reliable information on the liability insurance of road vehicles is therefore a necessity.” They further specify that “[t]he main advantage of this system is that the information on the existence or non-existence of liability insurance can be instantly updated and checked. Thus, the possibilities of fraud or falsification regarding insurance are excluded. This is why this data processing provides a real added value concerning the application and enforcement of the obligation to subscribe to automobile liability insurance, as provided for by the amended laws of February 14, 1955, and April

16, 2003, mentioned above."

34. It also emerges from the commentary on the articles that the TR.RCA database would be a database "dedicated to listing the existence of automobile liability insurance for vehicles in circulation in the Grand Duchy of Luxembourg. Indeed, the information contained in the database is considered to be the most reliable and will constitute the source of verification for the Grand Ducal Police during its checks," and that it would be centralized "in line with European requirements, and in view of satisfying an upcoming reform whereby Member States will communicate information regarding the existence of liability insurance for a motor vehicle to the police services of the Member States during a vehicle check on the territory of one of its Member States."

35. Thus, while the aforementioned Directive (EU) 2021/2118 does not seem to impose the creation of such a database, the CNPD understands that the creation of

361 See commentary on the articles, Ad article 29.

362 The authors of the bill seem to refer to Recital 16 of Directive (EU) 2021/2118 of the European Parliament and of the Council of November 24, 2021, amending Directive 2009/103/EC concerning the insurance of civil liability resulting from the use of motor vehicles and the control of the obligation to insure this liability, see paragraph 29 of this opinion.

363 See commentary on the articles, Ad article 36.

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the database would rather obey a political will – and the anticipation of an upcoming European reform, the primary purpose of which would be to allow for the control regarding the validity or existence of civil liability insurance for vehicles registered and put into circulation in the territory of the Grand Duchy of Luxembourg. However, this is not reflected in the draft law.

36. Consequently, in the absence of such clarifications in the text of the draft law itself, the current wording of the said provisions does not meet the criteria of clarity, precision, and predictability that a legal text must fulfill, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights³⁶⁴.

37. The CNPD therefore considers it essential that the provisions under review reflect the purposes as described by the authors of the draft law in the explanatory memorandum and in the commentary on the articles.

4. On the categories of data

38. Under Article 4.7 of the amended law of February 14, 1955 concerning the regulation of traffic on all public roads, as amended by the draft law³⁶⁵, the SNCA collects and retains "in the context of the registration of a road vehicle, in a database relating to the civil liability insurance of road vehicles, the data related thereto, collected from the authorized insurance company."

This article further specifies that "the data communicated by the insurance companies, for the purpose of registering a road vehicle, are specified in a Grand-Ducal regulation; they include certain technical data of the vehicle and the personal data of the owner, holder, or holder of the vehicle registration certificate, and, where applicable, the personal data of the insured."

39. Article 36 of the draft law³⁶⁶ further specifies that insurance companies enter "the personal data of the insured, and of the owner, holder of the road vehicle or holder of the registration certificate to be established in the database relating to the civil liability insurance of road vehicles, as well as the technical data necessary to identify the vehicle, which is the subject of the insurance contract," and that the "modalities and the type of data to be entered are specified by a Grand-Ducal regulation."

40. The CNPD understands that the provisions of the Grand-Ducal regulation in question, to which the aforementioned articles refer, are the provisions referred to in Article 50 of the draft Grand-Ducal regulation, which aims to amend Article 7 of the amended Grand-Ducal regulation of January 26, 2016, relating to the reception and registration of road vehicles.

41. This article states that "[f]or any registration of a road vehicle in Luxembourg, the insurance company holding the mandatory civil liability insurance contract shall enter the technical data relating to the vehicle to be registered, within the limits of the information provided in Annex 1 of this regulation.

In the context of this entry, the insurance company is authorized to process, in accordance with Article

4, paragraph 7, subparagraph 3 of the aforementioned law of February 14, 1955, the following personal data:

- the chassis number of the vehicle and the registration number assigned to the vehicle;
- the name(s) and address of the owner, holder, or holder of the registration certificate for which the vehicle is insured;
- the personal data of the insured, where applicable."

42. It follows from the commentary on the articles that these new provisions have been introduced "to describe the data processed by the insurance company holding the mandatory civil liability contract for the vehicle to be insured"³⁶⁷.

43. While it does not emerge from the aforementioned provisions, nor from the commentary on the articles, in which file these data would be entered, the CNPD understands that this data would appear in the TR.RCA database. Therefore, Article 50 of the draft Grand-Ducal regulation should expressly specify that this data be retained in the TR.RCA database.

44. Furthermore, both Article 4 of the draft law and Article 50 of the draft Grand-Ducal regulation expressly aim at the collection of "personal data of the insured" without explicitly specifying what data this would entail. Does it refer to the data appearing on the insurance certificate issued by an insurance company, as referred to in Article 12.4 of the amended Grand-Ducal regulation of January 26, 2016?³⁶⁷ See commentary on the articles of the draft Grand-Ducal regulation, Ad article 50.

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regarding the reception and registration of road vehicles³⁶⁸ ? This document is, indeed, necessarily communicated to the SNCA during the registration of a road vehicle³⁶⁹. Clarifications on this subject would merit being provided by the authors of the draft law.

45. Finally, it should be noted that insurance companies would notify the SNCA of personal data under Article 29 of the draft law. This article provides for the replacement of the provisions of Article 12.1 of the amended law of 16 April 2003 relating to the mandatory insurance of civil liability in respect of motor vehicles, by the following provisions: "[t]o be opposable to the injured party, the expiration, cancellation, termination, suspension of the contract or guarantee, related to a road vehicle subject to the registration obligation as defined in Article 7 of the amended Grand-Ducal Regulation of 26 January 2016 relating to the reception and registration of road vehicles, whatever their cause, must be notified by the insurance company authorized by electronic means to the [SNCA] acting on behalf of the minister responsible for transport."

46. It follows from the commentary on the articles that this information would be

recorded in the TR.RCA370 database.
However, such clarifications should be expressly mentioned in the provisions under review and not in the commentary on the articles³⁷¹.

47. Consequently, it follows from the previous developments that it is not clearly stated in the draft law and the draft Grand-Ducal Regulation what personal data would be collected and stored in the TR.RCA database.

48. Therefore, in order to meet the criteria of clarity, precision, and predictability that a legal text must fulfill, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights³⁷², it is imperative that the authors of the draft law clearly enumerate

368 Article 12.4 states that “[i]n order to document for a road vehicle the mandatory insurance of civil liability in respect of motor vehicles, it is necessary to produce an insurance certificate issued by an insurance company authorized for this purpose and certifying the coverage of the vehicle by a valid insurance policy on the day of issuance of the registration certificate or the compliance sticker. The insurance certificate must comply with the model approved by the minister and must contain at least the following information: the name(s), first name(s), and address of the policyholder or, in the case of a legal entity, the name and registered office, the name and signature of the insurance company, the dates of commencement and expiration of the certificate as well as, for vehicles, their registration number and their identification number.”

369 See Article 10 of the amended Grand-Ducal Regulation of 26 January 2016 relating to the reception and registration of road vehicles, as amended by the draft Grand-Ducal Regulation.

370 See commentary on the articles of the draft law, Ad Article 29.

371 See paragraphs 6 to 13 of this opinion.

372 In this sense, see M. Besch, “Processing of personal data in the public sector,” Standards and Legislation in Luxembourg Public Law, Luxembourg, Promoculture Larcier, 2019, p. 469, n°619; see among others ECtHR, Zakharov v. Russia [CGL n°47413/06], § 228-229, 4 December 2015, ECtHR, Vavříčka and others v. Czech Republic (applications n°47621/13 and 5 others), § 276 to 293, 8 April 2021.

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in the text under review which categories of personal data would be collected and stored in the TR.RCA373 database.

49. For all practical purposes, the National Commission believes that for better readability and understanding of the provisions aiming to specify which categories of data would

be collected and stored in the TR.RCA database, these clarifications should be included in a single provision.

5. On the modalities of access to this database

50. Article 36 of the draft law aims to introduce a new article 31bis into the amended law of April 16, 2003, relating to mandatory insurance for civil liability in the context of motor vehicles. This new article provides for regulating which data from the TR.RCA database would be communicated to the various entities referred to.

A. On the security measures that would be implemented

51. In accordance with Article 5.1.f of the GDPR, personal data must be "processed in a manner that ensures appropriate security of personal data, including protection against unauthorized or unlawful processing and against accidental loss, destruction, or damage, using appropriate technical or organizational measures (integrity and confidentiality)."

52. Article 32 of the GDPR further states that "the data controller and the processor shall implement appropriate technical and organizational measures to ensure a level of security appropriate to the risk." Such measures must be implemented to prevent unauthorized access to the data, data breaches, or unwanted modifications.

53. It should be noted that it is strongly recommended to define an access management policy, in order to identify from the outset the person or service, within each concerned entity, and to which specific data this person or service would have access.

54. Furthermore, it is necessary to provide for a logging system for access.

In this regard, the CNPD recommends that the log data be retained for a period of five years from their recording, after which they are deleted, unless they are subject to a control procedure.

55. It is also important to emphasize the necessity of proactively

373 On this point, see also paragraphs 6 to 13 of this opinion.

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conducting internal audits. To this end, it is necessary, in accordance with Article 32.1.d of the GDPR, to implement a

procedure "aimed at testing, analyzing, and regularly evaluating the effectiveness of the technical and organizational measures to ensure the security of processing."

56. The CNPD considers it essential, in the context of access to the TR.RCA database, that such security measures be implemented by the data controller to ensure the confidentiality and security of the data.

57. Furthermore, the implementation of these measures should necessarily take into account the specificities of each of the accesses envisaged by the draft law. Indeed, it should be noted that Article 36 of the draft law provides for different accesses to the TR.RCA database:

- access by the Grand Ducal Police;
- access by agents of the Customs and Excise Administration;
- access by authorized insurance companies;
- access by the Automobile Guarantee Fund; and
- the Office, as defined in Article 1 letter g) of the amended law of April 16, 2003, relating to mandatory insurance for civil liability in the context of motor vehicles.

The National Commission will return in the following developments to each of these accesses.

B. On access to the TR.RCA database by public and private actors

a. Preliminary remarks

58. The provisions of the new article 31bis³⁷⁴ provide that the SNCA "is authorized to make available information regarding the validity of a motor vehicle civil liability insurance certificate."

59. While it appears from these provisions that a communication of data seems to be envisaged, this seems to be contradicted by the commentary on the articles which mentions access or consultation of data. For better understanding and readability of the provisions under review, it is important that the intent of the authors is clearly reflected in these provisions and that consistent terminology is used.

60. In any case, the National Commission believes it would be preferable to

provide for a communication of data from the SNCA to private actors rather than access to the TR.RCA database.

61. Finally, it should be noted that in accordance with the principle of

374 The draft law introduces a new article 31bis into the amended law of April 16, 2003, relating to mandatory

insurance for civil liability in the context of motor vehicles.

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data minimization only the adequate, relevant, and limited data to what is necessary in light of the purposes for which they would be processed shall be communicated.

62. The CNPD understands that such a principle would be respected in this case as it

emerges from the provisions of the new article

31bis that the SNCA would communicate

“information regarding the validity of a

motor vehicle liability insurance certificate.” The authors of the

draft law further specify in the commentary on the articles that “[i]t

should be emphasized that for

each of the entities that have the possibility

to consult the TR.RCA database, the only

information that the SNCA communicates

is the answer to the question of whether

motor vehicle liability insurance exists or

not for the vehicle in question.” Therefore, such provisions deserve to be applauded.

b. On access by the SNCA

63. It is regrettable that neither the texts

under review nor the commentary on the articles

provide details regarding the

reasons that would justify an agent

of the SNCA accessing the TR.RCA database. Thus, what

would be the purposes for which an

agent of the SNCA could have access

to the TR.RCA database, once

the registration of a vehicle is completed?

64. Furthermore, it emerges from the draft law that another

database is currently managed by the SNCA, namely the

national file of road vehicles and their

holders, referred to as “TR.VIM”³⁷⁵. This

file would, according to the authors of the draft

law, also be linked to the TR.RCA file³⁷⁶.

65. In order to prevent any illegal access to

the data, it should be ensured that agents of the SNCA who have access

to the TR.VIM file cannot access the

TR.RCA file and vice versa, if the purposes

for which these accesses are granted

are different.

66. Consequently, in accordance with

the previous developments on the security measures to be implemented, it is important that an access policy is established and that the principles of data minimization and purpose limitation³⁷⁷ are respected in the context of such access.

c. On access by the Grand Ducal Police

67. It follows from the new article 31bis that the Grand Ducal Police would have access to the TR.RCA database "in accordance with the provisions set forth in article 43 of the amended law of July 18, 2018 on the Grand Ducal Police."

375 See in particular the commentary on the articles of the draft law, Ad article 31.

376 It follows from the commentary on article 31 of the draft law that "the database [TR.RCA] constitutes a separate file and is linked to the TR.VIM database by the identification of the relevant vehicle."

377 Under the principle of purpose limitation, personal data must be collected for determined, explicit, and legitimate purposes, and not be processed subsequently in a manner incompatible with those purposes.

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68. Article 39 of the draft law aims to reflect such a hypothesis in that it modifies Article 43 of the amended law of July 18, 2018, on the Grand Ducal Police. The TR.RCA database is thus expressly mentioned.

69. Without prejudice to the merits and necessity of such access, the National Commission wonders what the added value of such provisions would be if the Grand Ducal Police currently lacks the technical means that would allow it to remotely consult this database during a traffic control?

d. On access by the Customs and Excise Administration

70. Article 31bis further provides that agents of the Customs and Excise Administration would also have access to the TR.RCA database "in accordance with Article 6(b) of the amended law of February 14, 1955."

71. It is necessary to reiterate the questions raised by the CNPD in paragraphs 67 to 69 above.

e. On access by insurance companies

72. It follows from the provisions of the new Article 31bis that the SNCA "is authorized to provide information regarding the validity of a motor vehicle liability insurance certificate" to "authorized insurance companies, for the purpose of verifying this information, at the beginning and at the end of the insurance coverage period."

73. The authors of the draft law indicate in the commentary on the articles that this access "is provided in order to verify the consistency of the contractual information and the information contained in the database. Indeed, the main advantage of this centralized electronic system is to obtain reliable and up-to-date information."

74. However, what would be the usefulness of such access for insurance companies when they are already required, in accordance with Article 29 of the draft law, to notify the SNCA "of the expiration, cancellation, termination, suspension of the contract or guarantee, related to a motor vehicle subject to the registration obligation as defined in Article 7 of the amended Grand Ducal Regulation of January 26, 2016, concerning the reception and registration of motor vehicles, regardless of their cause"?

378 This article states that "[i]n the context of vehicle checks carried out in the exercise of the functions conferred on them by the legislation on road transport as well as, provided that the maximum weight of the vehicles to be checked exceeds 3,500 kg, by Articles 11 and 17, paragraph 1, the officials of the Customs and Excise Administration are responsible for ensuring the enforcement of the provisions of this law and the regulatory provisions adopted for its execution, insofar as they concern the arrangement of vehicles and their loads as well as the registration plates, identification numbers, and

onboard documents, and to draw up reports of violations of these provisions."

379 This article intends to replace the provisions of Article 12.1 of the amended law of April 16, 2003, relating to mandatory civil liability insurance for motor vehicles.

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75. Furthermore, the explanations put forward by the authors of the draft law to justify such access are manifestly contrary to the letter of the GDPR. Indeed, it should be recalled that in accordance with the principle of data accuracy, personal data must be accurate, and where necessary, kept up to date. Moreover, under this principle "all reasonable measures must be taken to ensure that personal data which are inaccurate, having regard to the purposes for which they are processed, are erased or rectified without delay."

76. This obligation rests on the data controller, in this case, the minister, in accordance with Article 5.2 of the GDPR. However, the provisions of the draft law, as currently foreseen, would have the consequence of reversing the burden of such responsibility and placing it on the insurance companies, which are entirely foreign to the maintenance and management of the TR.RCA file.

77. Thus, in light of the above, the National Commission believes that it is neither justified nor necessary for insurance companies to have access to the TR.RCA database for such purposes. This is all the more so as they would already have access to such data, which are their own customer data.

78. In any case, the CNPD considers that such access would pose significant risks of illegal access to the data in question. Indeed, in the absence of appropriate security measures, as described above, the risk of unsolicited communication for the clients of insurance companies would be, for example, significant. Likewise, there would be a non-negligible risk, in the event of a computer breach, that the customer data of an insurance company A could become accessible to an insurance company B.

f. On access by the Automobile Guarantee Fund and by the Bureau

79. The new Article 31bis provides for access to the Automobile Guarantee Fund "in accordance with the provisions of the law of June 1, 2007, transposing Directive 2005/14/EC on liability insurance resulting from the circulation of motor vehicles."

80. The National Commission understands that this access to the Automobile Guarantee Fund would only be granted when it needs it in the context of...

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of its mission to "repair the damages resulting from an accident caused in the Grand Duchy of Luxembourg by a vehicle exempt from the obligation of insurance under Article 4 points a) and b) of the Grand-Ducal Regulation of November 11, 2003, implementing this law or Article 4 point b) of Directive 1972/166/EEC."382

81. Finally, the National Commission understands that the Office would have access to the TR.RCA database as part of the provisions of Article 15 of the amended regulation of November 11, 2003, implementing the law of April 16, 2003, on mandatory insurance for civil liability in respect of motor vehicles.

82. However, are such accesses necessary? Would there not be other alternative means that are more protective in terms of data protection, in order to obtain such information, such as the communication of such information by the concerned insurance company?

6. On the retention period of data

83. According to Article 5.1.c of the GDPR, personal data must not be kept longer than necessary for the purposes for which they are collected and processed.

84. The draft law does not provide details regarding the retention period of the categories of data that would be included in the TR.RCA database. In the absence of such details, the National Commission is unable to assess whether, in this case, the principle of limited data retention would be respected.

85. Furthermore, the collected data must be deleted or anonymized as soon as their retention is no longer necessary for the purposes for which they are collected and processed.

86. Therefore, even if the retention periods are not defined in the draft law, it should at a minimum specify the criteria that would be taken into account to determine what the proportionate retention

period is for each category of personal data that would be collected under the draft law.

87. However, it is worth congratulating the authors of the draft law for specifying how long the data should be retained by the data recipients.³⁸³

382 See Article 16.2.1 of the amended law of April 16, 2003, on mandatory insurance for civil liability in respect of motor vehicles.

383 See new Articles 31bis.2 and 31bis.3 of the amended law of April 16, 2003, on mandatory insurance for civil liability in respect of motor vehicles.

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88. Furthermore, it should be noted that the provisions under review provide for a duration "which may not exceed seven years after the expiration of the automobile civil liability contract for the covered vehicle" regarding "information relating to the validity of a civil liability insurance certificate for automobiles" that would be collected by insurance companies.

89. The authors of the draft law explain that this duration would be necessary to allow insurance companies to fulfill "their obligation to inform the Automobile Guarantee Fund. This obligation concerns vehicles involved in accidents abroad and does not apply to all insured vehicles, but is crucial to ensure compensation for the victim." They further indicate that "the use of a centralized database best allows for the application of this rule, regardless of the status of the activities of the different insurance companies."

90. The CNPD can understand that a legal obligation defines the retention period for data collected by insurance companies. However, this obligation should weigh on insurance companies in their capacity as data controllers when they collect data for the conclusion of an insurance contract. Thus, this retention obligation cannot apply to the minister, as the data controller of the TR.RCA database, as might be suggested by the explanations of the authors of the draft law, since it concerns a different data processing for different purposes.

91. It is essential that clarifications on this matter be provided by the authors of the draft law.

II. On access for insurance companies to the "TR.VIM" database

92. Under the provisions of Article 50 of the draft Grand-Ducal Regulation, insurance companies appear to have access to the national file of road vehicles and their owners (TR.VIM), which is currently managed by the SNCA.

93. Indeed, it emerges from the commentary on Article 50 of the draft Grand-Ducal Regulation that "with regard to the technical data of the vehicle,"³⁸⁴ insurance companies could "access it to create the vehicle file of the holder. Thus, the SNCA will be informed of the initialization of a civil liability insurance coverage and can proceed with the allocation of the registration plate of the holder to the vehicle to be registered."

384 The CNPD understands that this would partly involve personal data, while the authors of the draft Grand-Ducal Regulation indicate in the commentary on Article 50 that "[f]or the communication of information from the insurance company to the SNCA, the VIN or chassis number is considered personal data."

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94. Furthermore, it appears from the explanatory memorandum of the draft law that "it is proposed to also introduce the possibility for insurance companies to pre-create a vehicle in the national database of motor vehicles for the purpose of registering the vehicle. For this purpose, insurance companies must enter a minimum of information regarding the vehicle and the holder of the future registration certificate of the vehicle."

95. It follows from these explanations that insurance companies would also have access to the national file of road vehicles and their holders. However, this is neither clearly nor expressly reflected in the texts under review. It is essential that such clarifications be provided by the authors of the proposed provisions, as it is difficult to understand the operation and scope of such a mechanism from the reading of said provisions.

96. Therefore, the National Commission believes that clarifications regarding the purposes and

modalities of such access should necessarily be provided and that security measures, within the framework of such access, should be implemented by the data controller.

III. On the consultation of databases by the SNCA for the purpose of verifying the information necessary for registration

97. Article 52 of the draft Grand-Ducal regulation intends to amend Article 10 of the amended Grand-Ducal regulation of January 26, 2006, concerning the reception and registration of road vehicles. A new paragraph would be introduced in the aforementioned Article 10, which would read as follows: "[t]he supporting documents referred to in this article as well as the related information may also be received or verified by the SNCA through a secure electronic system."

98. The authors of the draft Grand-Ducal regulation specify regarding these provisions that "it is planned that the SNCA may consult the relevant databases solely for the purpose of verifying the information necessary for registration. These verifications generate a real gain in time and efficiency, for the SNCA as it has access to reliable and up-to-date information, as well as for the applicant who no longer needs to carry out part of the procedures."

99. It is regrettable that the aforementioned provisions do not specify which other databases the SNCA would have access to nor what categories of data are concerned.

100. However, it is essential that such clarifications be provided in order to respect the criteria of clarity, precision, and predictability to which a legal text must respond, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights.

101. Furthermore, it should be recalled that pursuant to Article 6.4 of the GDPR "it is also necessary to determine in the national legal order the conditions under which data may be processed for a purpose other than that for which they were collected. This is the case when processing for another purpose is not compatible with the purpose for which the personal data were initially collected. This includes situations where data is continued by one administration to another, and data collected and processed by one administration is accessible to another administration (...). In compliance with Article 11, paragraph 3, of the Constitution, which establishes as a matter reserved for law the exceptions to the State's guarantee of the protection of privacy, the conditions under which data may be processed for a purpose other than that for which they were collected must be subject to a law, at least concerning the essential elements of the matter."

102. Therefore, should it not be provided in a law the principle of access by the SNCA to databases held by other administrations?

IV. On the data exchanges between the SNCA and the Customs and Excise Administration

103. Article 4 of the draft law states that "[f]or the same purpose of registering a road vehicle, the SNCA may receive confirmation of the payment of the value-added tax following a communication made by the Customs and Excise Administration. In the context of this exchange, the vehicle's chassis number is recorded. In order to verify the information relating to the declared vehicle, additional technical data of the vehicle may be consulted, according to the modalities set by a Grand-Ducal regulation, and the name(s), first name(s), and address of the person who made the tax payment may be communicated." It follows from the commentary on the articles that the authors of the draft law intend to provide for a data exchange between the SNCA and the Customs and Excise Administration.

104. While it is appropriate to congratulate the authors of the draft law for having provided for the exchange of data, it is also important to ensure that the necessary legal safeguards are in place to protect personal data and ensure compliance with applicable data protection laws.

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the principle of such exchange, it must be noted that they are not drafted with sufficient precision.

Indeed, is it a communication of data between the SNCA and the Customs and Excise Administration or a mutual access to databases?

105. In order to meet the criteria of clarity, precision, and predictability that a legal text must fulfill, in accordance with the case law of the Court of Justice of the European Union and the European Court of Human Rights³⁸⁷, it is essential that such clarifications be provided in the draft text.

V. On the amendments to the amended law of July 25, 2015 establishing the automated control and sanction system

106. The main amendments made by the draft law to the amended law of July 25, 2015 establishing the automated control and sanction system aim to include the concept of the holder of the registration certificate in accordance with the amended directive 1999/37/EC of the Council of April 29, 1999.

107. Furthermore, it is worth noting the amendments to Article 2.1 of the amended law³⁸⁸ of July 25, 2015 establishing the automated control and sanction system, by the draft law³⁸⁸, which intend to remove and replace the reference made to the amended law of August 2, 2002 concerning the protection of individuals with regard to the processing of personal data with the reference to the law of August 1, 2018 concerning the protection of natural persons with regard to the processing of personal data in criminal matters as well as in matters of national security.

108. Finally, insofar as the draft law does not clarify the questions raised by the CNPD in its opinions of February 25, 2015³⁸⁹ and December 30, 2020 regarding draft laws N°6714 and N°7652, it reiterates such questions regarding "the relevance of limiting the masking of third parties to the offense only during the exercise of the right of access to images of the driver or the person presumed financially responsible"³⁹⁰ as well as all its observations made regarding the exercise of the right of access to data from the CSA system by the concerned individuals³⁹¹.

Thus adopted in Belvaux on December 19, 2022.

The National Commission for Data Protection

Tine A. Larsen

President

Thierry Lallemand

Commissioner

Marc Lemmer

Commissioner

Alain Herrmann

Commissioner

³⁹⁰ See deliberation n°32/2020 of December 30, 2020, of the National Commission for Data Protection, parliamentary document n°7652/03, see under point II titled "Regarding images taken by red light cameras," page 3, and deliberation n°74/2015 of February 25, 2015, of the National Commission for Data Protection, parliamentary document n°6714/05, page 4.

³⁹¹ Deliberation n°32/2020 of December 30, 2020, of the National Commission for Data Protection, parliamentary document n°7652/03, see under point V titled "Regarding the exercise of the right of access to data from the CSA system by the concerned individuals," as well as deliberation n°74/2015 of February 25, 2015, of the National Commission for Data Protection, parliamentary document n°6714/05, page 4.

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